

JK Lakshmi Cement (JKLAKSHMI)

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Call: Nov 2022

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JKLC :SECTL:SE:22
5th November 2022

1 BSE Lt d. 2 National Stock Exchange of India Ltd.
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Mumbai – 400 001 Mumbai – 400 051
Security Code No. 500380 Symbol: JKLAKSHMI, Series : EQ
Through: BSE Listing Centre Through: NSE Digital Platform

Dear Sir/ Madam,

Re: Conference Call organized by Phillip Capital (India) Pvt. Ltd. on 4th November 2022
at 4.00 P. M.

In continuation of our letters on the above captioned subject, attached herewith the transcript/
minutes of the aforesaid conference call, this is for your information and record.

Thanking you and assuring you our best co- operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

End: as above

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"JK Lakshmi Cement Q2 FY23 and H1 FY23 Earnings
Conference Call"

November 04 , 2022

MANAGEMENT : MR. SUDHIR BIDKAR – CFO, JK LAKSHMI CEMENT
MR. ARUN KUMAR SHUKLA – PRESIDENT AND
DIRECTOR , JK LAKSHMI CEMENT
MR. RAJESH SHARMA – JK LAKSHMI CEMENT
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator : Ladies and Gentlemen , Good day and welcome to the Q2 FY23 and H1 FY23 Call of JK Lakshmi Cement hosted by PhillipCapital (India) Private Limited . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference , please signal an operator by pressing '*' and then '0' on your touchtone telephone . Please note that this conference is being recorded. I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited . Thank you and over to you, Sir.

Vaibhav Agarwal : Thank you Melissa. Good evening everyone. On behalf of PhillipCapital (India) Private Limited , we welcome you to the Q2 FY23 and H1 FY23 Call of JK Lakshmi Cement . I need to highlight that JK Lakshmi Cement is also the holding company of Udaipur Cement Works Limited and therefore the call is also open for discussion about the performance of Udaipur Cement Works Limited .

On the call we have with us Mr. Arun Kumar Shukla – President and Director and Mr. Sudhir Bidkar – CFO of JK Lakshmi Cement . I would like to mention on behalf of JK Lakshmi Cement and its management that certain statements that may be made or discussed on this conference call maybe forward -looking statements related to future developments and current performance. The statements are subject to number of risks, uncertainties and other important factors which may cause the actual developments and results to differ materially from the statements made. JK Lakshmi Cement Limited and the management of the company assumes no obligation to update or alter these forward -looking statements whether as a result of new information or future events or otherwise. I will now hand over the floor to the management of JK Lakshmi Cement for their opening remarks which will be followed by interactive Q&A. Thank you and over to you, Sir.

Management : Thank you Mr. Vaibhav and good afternoon ladies and gentlemen for this and welcome to Q2 call for FY23. We have with us as Vaibhav mentioned Mr. Arun Kumar Shukla – our President and Director and also my colleague , Mr. Rajesh Sharma . The results you would have seen I do not have to harp on or repeat the results to save on time let us keep the floor now open for questions and answers please.

Moderator : Thank you. Ladies and gentlemen we will now begin the question -and-answer session. We have the first question from the line of Prateek Kumar from Jefferies . Please go ahead.

Prateek Kumar : My first question is can you highlight like versus peers or volume growth have been a bit tepid , but our realizations seems to have significant difference versus what most companies have report in the sector, so is there any material difference in our strategy for past 6 months which have helped our realization better versus the peers?

Management : I think our focus when it comes to prices and realization has been on couple of things. One of course how we are going to optimize the geo mix so that is one area which we have been focusing

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on for the last so many months. Second, has been the premium product proportion which we are

driving because we do have some good products in our portfolio and we are trying to take leverage of that and third of course I think other elements like product mix and segment mix also which has been in the focus of our team and JK Lakshmi Cement as a whole to drive realization and the top line.

Prateek Kumar : So, what would be our trade mix and OPC mix currently and how do we look at 12 months to 18 months from now?

Management : Blended cement production is about 67% and 33% OPC and trade also we are at about 54%, 55% now. There has been good improvement in the past

few quarters on account of segment

mix which is trade and non trade and product mix which is blended versus pure cement.

Prateek Kumar : Sir how has the sense like in past fifth year and how do you see that moving forward next 12 months to 18 months from current run rate?

Management : So, you are asking about the outlook.

Prateek Kumar : So, trade mix has been now 54-55 I guess it was close to 50% earlier.

Management : Our plan is to take it to beyond 60% in the next maybe two, three quarters and blended proportion to about 72% to 75%. So, that is what our plan is.

Prateek Kumar : And sir any specific focus on overall profit per ton as a business under new leadership?

Management : I think I will give you the focus because it is very important and it is not only about top line, but I think you have to really look at all elements of your balance sheet. So, when I said that our major focus is on the top line. Of course, I think we need to grow our volume, we need to grow our volume in the right market where our competitiveness is better than others. So, this is one. Second I told you about the segment and the product mix which we are driving and third of course the premium product which we have with us. So, this is what the focus is on our top line of course I think focus is on utilizing our full capacity grinding station or Clinkerization unit and we are keeping a very close eye on each and every element of cost be it our logistic cost, be it our fuel cost, fuel mix or power cost I think this is what our focus is. So, while we are working consistently on top line improvement, but at the same time trying to better our performance in terms of efficiency at the plant and all other valid names which takes our cement to the customers.

Prateek Kumar : Last question on your CAPEX project the UCW project the timeline for commissioning of the same and the status of environmental clearance etcetera for that project?

Management : On Udaipur 75% civil work has already been accomplished. Our target is to accomplish our Clinkerization unit wise we hope to complete that project by March 24.

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Prateek Kumar : So, the clinker plus grinding all by March 24?

Management : So, maybe I think clinker would come little earlier. So, maybe around March and month or two latter is going to be the grinding capability.

Moderator : Thank you. We have the next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Before asking the questions couple of data points first is non cement revenue and the RMC revenue for the quarter?

Management : Non cement revenue is 116 crores and RMC is 52 crore.

Shravan Shah : Premium sir last time you said 14% of total sales is premium product, so what was in this quarter?

Management : It is more than 21%.

Shravan Shah : 21% of trade sales or the total volume?

Management : Total sales.

Shravan Shah : 21% of total volume is a premium sir ?

Management : 21% of trade sales volume.

Shravan Shah : What was the sale number in Q1 FY23 last quarter ?

Management : I think it was a percentage and half lower than this.

Shravan Shah : What was the lead distance in Q2?

Management : Q2 lead distance about 395 kilometer.

Shravan Shah : Still once again I want to reiterate the first question again still not able to understand clearly in terms of the realization the growth that we have seen last 6 months particularly Q1 we have seen a 12% plus and this quarter only 0.4 decline though you have mentioned, but if you can elaborate more because that is the thing that is definitely positive for us, but we are still not able to understand and how do we see in terms of the pricing post September how much price increase we have seen in each of the states or the region where we operate so that I want to understand?

Management : On pricing Shravan July, September typically

is lower demand wise and hence prices also were

also under pressure. Overall industry wise we see a decline of about 5% in the prices. So, July,

August price wise I think there was lot of pressure, but September prices realized little bit during
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fag end of the month maybe after 15 or so. So, we have seen revival of prices towards end of September and now onwards it is going to take a steam because demand is improving. So, this is on market side if you really look at our net sales it has gone up by 8% YoY and if you compare this with previous quarter it has gone down by 3%. So, while industry our estimation is about 5% lower. We are down by about 3% lower than the preceding quarter and 8% with respect to corresponding quarter.

Shravan Shah : Sir that I understood, but if I look at our trade share has not increased it has remained another from the last quarter it was 56% now it is 54 %, 55% nothing has much changed in terms of the premium share also 1.5%, but the realization increase so not only my I think the entire trade just wanted to understand in detail in terms of if we divide revenue by the volume the realization growth that we are seeing in the first quarter and the second quarter of this year it is much higher than the entire all other peer. So, that thing we are not able to understand so my question is on the console level. So, I understand on the standalone last quarter we have changed the method, but on the console level nothing change it remains , but still we are not able to understand what is driving our realization growth?

Management : I will tell you Shravan I think it is very good question and in fact you have noticed when I started my conversation the first priority of course is geo mix. Typically our presence is there in north, west and east part of India part of this trade, prices in western part of India is better. So, our effort was to maximize our sales in western part of our footprint where prices are better. So, just to hallucinate this non trade realization our margin of west is much than trade in some part of north and even in part of east. So, our focus was to first optimize the geo mix how we can sell more in the area where our margins are low irrespective of the segments so that is what is the first effort is and that is what we have done in the previous quarter and even before. We are consistently increasing our volume share in this part of geography where our margins are better irrespective of the segment this is one and then there comes thereafter within that area how we are going to optimize our maximize trade. Suppose we have optimize segment mix or geo mix let us say more sales in western part of India and when it comes to north then we are optimizing our trade and non trade our segment if you go to east the same way. So, wherever our margins are better first we go for geo mix and then we go for nontrade. So, the kind of hierarchy which we follow. We are not really looking at segment first why at all we have divided that sale into segment because of the profitability of margins. If you get better margin in nontrade segment I think we are not averse of that and that is what we have done in previous quarters as well.

Shravan Shah : So, just furthermore on does our trade, nontrade price gap in last 6 months has it reduced significantly versus Q4 average?

Management : Yes this has gone down.

Shravan Shah : How much was in Q4 and now in last 6 months how much it has reduced what is the difference gap between what we sell in trade and nontrade, on an average I am not asking the exact number, but broadly?

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Management : Shravan range is average would not be the right one. So, I just give you example in case of west the gap in trade and nontrade is very low. It is about maybe about Rs. 200 a ton. If you go to

R

ajasthan and northern part of it the gap is about Rs. 1,200 to Rs. 1,400 a ton. If you go to east I think gap is about Rs. 400. So, averaging would not be the right way of looking at this gap between trade and nontrade because there is a huge I think wide band and that is why I told you that first focus was to really kind of capture non trade also in western part of our footprint where trade, nontrade gap was the least.

Shravan Shah : Last question is on the power and fuel mix so what was the fuel mix for this quarter and the fuel consumption cost because last quarter we said even 1,7 00 and how do we see though we expected 20% increase this quarter, but it has only the 10%, so how do we see now in the third quarter the power and fuel cost?

Management : In this quarter our pet coke consumption was about 48%, 39 was gold and balance was the other. Broadly it will remain the same in the coming quarter. Cost was yes you are right we had thought that it will go up, but thanks to some additional low-cost inventory we are able to curtail it down to less than Rs. 12,000. Going forward we will see that overall fuel cost going up from 12,000 to 13,000 in the coming quarter.

Shravan Shah : So, currently for Q2 it was 12,000 and it will increase to 13,000?

Management : That is what our expectation is in the coming third quarter.

Shravan Shah : And sir last on the working capital we are seeing the 420 odd crore increase in the first half for console basis, so do we see this once again reducing in the second half and that if you can clarify?

Management : That is increase in working capital on account of the stocking of the petcoke and coal primarily on account of that. So, it may depending on our strategy going forward of sourcing petcoke and coal it is expected to come down that is what we believe.

Moderator : Thank you. We have the next question from the line of Kamlesh Bagmar from Lotus Asset Managers . Please go ahead.

Kamlesh Bagmar : Since we had changed that volume accounting or volume presentation for standalone operations right from Q1 FY23, so can you give the numbers for the Q1 and Q2 of last year to have the like-to-like comparison?

Management : It will be erroneous for us to give because last time we had accounted for a clinker sales and all that so that will not be proper, but for the sake of giving the figures I am telling you in the corresponding quarter last year you want on a consolidated basis.

Kamlesh Bagmar : Because what happened that there are some doubt in the market that our volumes in the standalone has gone down because we do not have the like -to-like volumes for the last year on the standalone front?

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Management : On a standalone basis this year you have the volume 22.36 is cement sales and 0.69 is clinker sales total in this quarter is 23.05 in the corresponding quarter last year our cement sale was 20.43. So, there is an increase in cement sales by 7% but clinker has gone down last year it was in corresponding quarter 1.48. So, that has reduced from 1.48 to 0.69 clinker sales. Overall, this time it is 23.05 last year it was 21.95 overall growth is 2% clinker and cement included, but important is cement has gone up by 7%.

Kamlesh Bagmar : And same for the Q1 last year?

Management : Q1 I do not have ready because I have for the corresponding figure quarter I have kept it ready.

Kamlesh Bagmar : And sir lastly like if we see our performance or the margins in this quarter they have been far better and the way the gap between our and like say the peers the margins is like us say that the gap is hardly around Rs. 100 now, so going forward like I believe in this quarter we had some benefit of low cost coal which peers may not have. So, going forward do we see this particular trend going on like Rs. 100 to Rs. 150 gap because over the years we had this particular argument that on the logistics

front we are not that competitive as against peers because of our low plants location is Sirohi . So, have we been able to contain that particular impact our margins going to remain like say now the gap is going to remain let us say Rs. 50 to Rs. 100 compared to our peers, so what is the thought process on that part?

Management : I cannot comment on the fuel cost of the other players. We can talk of what we are doing as I mentioned in response to our earlier question. Fuel cost is expected to go up from about 12,000 the cost to about 13,000 I do not know about the other, but yes this quarter we have been able to substantially reduce other overheads. Our endeavor would be to continue to work on that and improving as Mr. Shukla mentioned the geo mix which helped us to reduce the logistic cost also doing more of direct dispatches and trying to reduce on the lead aspects. So, that should help us to bridge that gap going forward.

Kamlesh Bagmar : And sir any measures we are taking in east market to bring down our power cost or any particular effort going on there?

Management : East we are trying to evaluate the possibility of increasing from the renewable sources, trying to see if we can put additional solar power to reduce the cost of thermal generation and that we are evaluating.

Kamlesh Bagmar : So, what is the potential there like what can we do there?

Management : We can do about maybe because of the availability of we can go up to an additional because we need to make some investment. We are evaluating the proposal maybe about 30 megawatt, 40 megawatt we are trying to evaluate. For doing the entire CAPEX in our books we will try to get some implement the project for us and we take a stake in that because as of now the state of Chhattisgarh allows the various benefit under the captive roof by taking only 26% stake. So, we

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are evaluating as of now that could come with the complete plan going forward may be in this quarter.

Kamlesh Bagmar : And lastly like say on the console size if we take out the non cement revenues then it seems that realizations have fallen by Rs. 94, Rs. 95, so it is not the case that our realizations have not fallen it has fallen, but to a very less quantum that is Rs. 94 because you have provided the non cement revenues so based on that your realizations have fallen Rs. 94, so is it on the correct line?

Management : Other players were commenting other colleagues of your who are commenting was may be because of non-exclusion of the non-cement revenue. Last year in the corresponding year last year it was 92 crore it has gone up non cement revenue to 116 if you eliminate that what you are saying maybe right.

Moderator : Thank you. We have the next question from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.

Rajesh Kumar Ravi : I have a few question s some of them have already been answered, could you share the clinker production number for this quarter?

Management : Sorry.

Rajesh Kumar Ravi : Clinker production in Q2?

Management : Clinker production in this quarter was 19.47, 14.9%.

Rajesh Kumar Ravi : Sorry can you repeat please?

Management : 14.69 lakh ton.

Rajesh Kumar Ravi : 14.69 this is standalone console?

Management : 14.69.

Rajesh Kumar Ravi : Standalone or console?

Management : This is standalone and UCWL was 3.8 so on a consolidated basis the clinker production is 18.49.

Rajesh Kumar Ravi : Sir, if I look at the purchase of traded good s that number is heard of considerably I assume this is with regard to the arrange ment with Kanodia Cement , so how is this being accounted sir you are booking sale of clinker to them and purchase of cement from there and subsequently sale of that cement is booked into the top line again?

Management : Yes that will be th e way it will be accounted for the balance purchase. We have to do that way.

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Rajesh Kumar Ravi : How much would be the volume from this Kanodia Cement is that would be Q2 numbers?

Management : About 70,000 ton right. So, we started during th is monsoon season end of August that is about 70,000 tons.

Rajesh Kumar Ravi : By March what sort of number, you are looking at?

Management : We have ramped up plan for this outsource unit and we have a plan to take it to about 65,000 ton by March 2024.

Rajesh Kumar Ravi : 65,000 tons pe r quarter?

Management : No, per month.

Rajesh Kumar Ravi : And this quarter (Inaudible) 27:12 70,000 tons of cement ?

Management : Yes.

Rajesh Kumar Ravi : If you are looking to increase our blended cement by another 600 to 700 bps and similarly trade share should go up so we have sharp jump as you mentioned two to three quarters, what are the strategies which are helping you which gives you confidence?

Management : Question is not clear your voice is breaking.

Rajesh Kumar Ravi : I wanted to understand from 54% trade sales you are looking to go up to North of 60% over next two quarters and similar ly your blended cement sale is also expected to expand and which is a good thing given that you are running high on clinker utilization, so what is giving you t his confidence in terms of your strategies distribution?

Management : I think we are reasonably confident tha t the steps which we are taking at the ground level that is going to help us and more so I think all those efficiency ground logistics efficiencies which we are looking at I think that will also help us to achieve this. So, we are reasonably confident that this will help us to achieve our objective of blended cement.

Rajesh Kumar Ravi : Second question pertains to an earlier participant have also wanted to know this in terms of realization see we understand sequentially all markets witnessed pressure on the realization while on blended basis your numbers do not reflect that, but for your own market, can you give us a sense what was the like -to-like realization for across north, west and east market for you in Q2 quarter -on-quarter?

Management : I think market wise we are not ready with all those realization data what we hav e as of now is consolidated one. P erhaps I think we can improve we can discuss or send you separately this data.

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Rajesh Kumar Ravi : In terms of two more questions on the green power usage what is the current green power consumption and what are the targets for FY24 and in FY24 what sort of green power number you are looking at on s equential basis?

Management : We are working quite intensively on improving our green power proportions and right now we are close to about 35% number renewable source of energy.

Rajesh Kumar Ravi : And where do you see this number going up?

Management : So, we see that this number should go to about 37% from currently we are at 35%.

Rajesh Kumar Ravi : Other expenses number on a per ton if I look at quarter -on-quarter they have come off despite lower volume quarter -on-quarter, so is there any deferment in the maintenance expense or some other cost which was building up in Q1 has not come in Q2 could we explain the Q2 other expense number?

Management : Other expenses have dropped in this quarter you are right, but a major portion of that like other expenses includes packing, commission, stores and spares which are in direct proportion to the change in the production. So, production has fallen so as these expenses, but overhead we have slightly been able to reduce on that. So, broadly the fall is in line with the fall in the production.

Moderator : Thank you. We will move to the next question from the line of Navin Sahadeo from Nuvama Securities . Please go ahead.

Navin Sahadeo : Sir two questions one is are we also looking at or in a way already able to narrow the price gap

vs peers because since Shukla ji in his initial comment said the prime focus is on the top line and revenue, so I am saying is there already an implementation or a thought to narrow the price gap how do you see this?

Management : Yes I think you are right this is one of the major value driver when we talk of top line and we do have identified few actions which we have started implementing market by market and perhaps this implementation part would be over by end of this quarter or maybe it will extend till about January and hopefully I think February, March onward we see that in our prices price gap will dwindle and we have clarity in our thought as to what we need to do in order to reduce this gap. So, all those actions have been taken.

Navin Sahadeo : Second question then I had was on the cost front so of course I think on the power utilization front in terms of overall energy consumption I think we are already at a fairly low level even I think both at clinker stage as well as at the cement stage and you said you are looking at adding some waste heat recoveries or more green renewable energy per se at the eastern plant. Apart from this what are the other initiatives which are possible to pull the cost down further both from a near term or even if it is a medium term kind of a thing what could be those revenue sir?

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Management : I think renewable is one part which we are working which is going to help us to reduce cost. So, that I told you that we have we are already at 35% will go to 37%. Another big area where we are working on is alternate fuel afar. Right now, we are at not so great level like about 3.5 level. Our plan is to take this afar proportion to 10% in the next 9 to 12 months' time and for that we have already started developing our capabilities at our integrated units that is you know second major action which we are taking and third action also is on how we can really use cost effective raw materials. So, just to give you an example maybe mineral gypsum versus phosphogypsum, chemical gypsum versus mineral gypsum, fly ash rise also I think also different sourcing flyash sources and different kind of flyash availability . So, that is another thing raw material part also we are looking at very closely as to how we can use all those resources to reduce our cost without compromising on our promises to customer so that is another thing which we are working on and as you know I think we are already competitive in terms of heat value, power consumption, but we are not at all complicit let me tell you I think there is an endeavor to further reduce these cost elements by two ways. One of course straightway improvement of efficiency second also if we can improve productivity to an extent with some low CAPEX intervention. So, these are the few actions which we are looking at.

Navin Sahadeo : I will just leave this with one feedback that while JK Lakshmi is taking so many efforts like it spills up profitability it would be really great if you can also have some sort of a quarter presentation which gives volume data and more importantly the ESG milestone targets if there are because most of the company's other cement companies tend to talk about this and investor also incrementally are getting aware of ESG target and the roadmap that the company has I think if you include it in a presentation form it will really help JK Lakshmi not just the realization gap which you are trying, but also the valuation gap in mind.

Management : We will do that we will upload that on the website in near future.

Moderator : Thank you. We have the next question from the line of Simranjeet from Omkara Capital. Please go ahead.

Simranjeet : Sir, I just want to understand what is the JK Lakshmi focus on the debt to bring down the debt of the Udaipur Cement how the company is focusing on that in the future means because

se we are

still having close to 1,000 crore of that mix of long and short in the Udaipur Cement so that is the only point which I want to understand how the JK Lakshmi Cement is focusing on bringing down the debt of Udaipur?

Management : Basically, we are in the process of implementing this project of expanding its capacity in clinker of 1.5 which will take their capacity from 1.5 to 3 million and cement capacity from 2.2 to 4.7 then that project will cost 1,650 and we are planning to contract and the fund to debt equity of 2 is to 1 contracting 1,100 crores of debt. So, basically we do not have any immediate plans to suddenly bring down the debt they already have about 500 crores of debtors based on the existing CAPEX which they have done in the recent past and gradually it will get paid off from their cash flow only, no immediate plan to as such pay-off of any debt because otherwise that will require JK Lakshmi Cement
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induction of funds from JK Lakshmi only. We are, in any case, going to fund about 400 crores through the rights issue which will come in the next year. So, no immediate plan as such, but yes to the extent possible we tried to pay off from their cash flow only.

Simranjeet : Sir this 400 Cr of the rights issue is for the Udaipur or from the JK Lakshmi just want to understand?

Management : Udaipur we have part finance the expansion project. So, out of 1,650 1,100 crores comes by debt and 550 is the promoter contribution and out of that 150 comes from their internal accrual of UCWL and 400 crore would be to the right issue size of UCWL and JK Lakshmi being 72% holder of shares in UCWL we will have to fund a major portion of the rights issue balance 28 coming from the public.

Moderator : Thank you. We will move to the next question from the line of Parth Bhavsar from Investec India . Please go ahead.

Parth Bhavsar : Sir, I just had one question that you said that geo mix is improving and the focus is going ahead could be on the geo mix, so can you help me with this like in this quarter what was the geo mix in percentage terms if you can share?

Management : So, we have divided different geographies into GY and R we call it green, yellow and red. So, green proportion is going up month after month and our green proportion as of 30th of September was more than 55%.

Parth Bhavsar : So, green is basically blended cement?

Management : No, green is based on the margins. You talked about geo mix right.

Parth Bhavsar : In terms of west, north and east?

Management : So, what we have done is all markets are divided into GY and R green, yellow and red categories based on the margins which we get. So, we tried to sell maximum quantity in G areas where margins are more.

Parth Bhavsar : So, green is right now at 55 and what was the number last year?

Management : It was about 52%, 53% before.

Parth Bhavsar : And yellow and red if you could help?

Management : I think red days are I think dwindling with the fastest. So, red still is about 12% around.

Parth Bhavsar : What was this red last year?

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Management : 15%.

Moderator : Thank you. We have the next question from the line of Uttam Kumar Simal from Axis Securities Limited. Please go ahead.

Uttam Kumar Simal : My question relates to gross debt and net debt position on standalone basis?

Management : Standalone our total debt on standalone basis is about close to 900 crore and net is about 225 crore.

Uttam Kumar Simal : And sir we have included EBITDA turnover of around 600 for this quarter, so what kind of EBITDA turn we are looking in Quarter 3 and 4 since commodity prices were also softened?

Management : It is difficult to pinpoint the figure of EBITDA target is to ultimately up to Rs. 1,000 EBITDA but considering the increase in the fuel cost it may take some time for that to act

ually materialize,

but endeavor would be to ultimately have a four digit EBITDA.

Uttam Kumar Simal : And sir what has been our railroad mix this quarter?

Management : I think rail proportion is less and maybe we do not have the exact data we can give you little latter we are not carrying that, but I think majority is road only that way only west some of the markets we go through rail otherwise all road.

Moderator : Thank you. We have the next question from the line of Dharmesh Shah from Emkay Global. Please go ahead.

Dharmesh Shah : Sir, my first question is on the company strategy side from the next two to three years perspective and if you can just prioritize what are the numbers on priority number two priority?

Management : So, I will tell you some up level strategy I will give you and this is what in fact we are working on. One of course I think we are working with lot of focus and lot of intent on the top line and

when I talk of top line then it includes improving volumes, it includes quality of volume which I told you geo mix how we can sell in the right area at the right price. Our focus is leveraging our brand because we do have some good products in our portfolio, how we can leverage and really kind of go to the customer with the right value and the right kind of product and services which we have. So, leveraging our brand which we have. We are also working on I think some of you asked the question of price positioning how we can really improve our price positioning so this is also a strategy there are some milestones which we have set for ourselves. We have started working on that, so that is another one and of course I think blended cement and trade mix wherever favorable that is what the top line strategies are and for each and every element we do have quantifiable numbers as to what we are targeting and how we are going to achieve that so those things are in place. When it comes to operations I think our focus is on renewable energy how we can really take our renewable energy from 35% to may be beyond 50% going forward for that also we have prepared some roadmap which is combination of solar power plant

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wherever possibility of improving efficiency and WHR then on fuel I think our strategy is to improve our AFAR which we are there at about 3.5% now. How we can really go to 10% at the first place and then to 15% and for that I think we have already started working on that. We are also working quite intensively on using digital and technology to drive performance. We have started a pilot project in our kiln as to how AIML can help us in kind of improving our kiln efficiency and also improving optimal fuel mix. We have also started kind of monitoring all our critical equipments through this IOT internet of things. So, lot of digitalization which is happening in the operation side. At logistic front, our focus is to really work on lead, how we are going to reduce our lead and if we really achieve our geo mix target then I think lead is resultant of this is in a way I would say the lag indicator, but the leading indicator of course is geo mix PT PK is the pure logistic section which we are working on how we can reduce PT PK with lot of analytics and also using technology. So, OTM we have implemented in all our plants, Oracle transport management so how we can improve turnaround time and hence if you can really work on reducing our PT PK and the logistic cost. So, that is other area we are working on. I think lot of things on customer interface so we are using digital to give them a differentiated experience like now our dealers can place their order over WhatsApp what we have recently launched. They have got their app they can place their order through mobile, they can look at their account statement and all those stuff. So, I think there also I think is going to help us to achieve our in a

way top line and the positioning which we are seeking for. Our focus also is on ESG I think which combines host of things, some of things which I have already mentioned you, but yes I think ESG front I think is one of our focus area where we are going to work on reducing carbon footprint. We have taken a very ambitious target of being carbon neutral by 2047 and right now just to give you a sense we are at about 555 Kg per ton of cement as of today. Our focus is to reduce this and make among the best in the industry. So, that is another focus which we have. So, this is what I think broader I would say strategies which we have which includes just to summarize on top line, driving top line performance in terms of volume, premiumness and pricing on operations it is all about operational efficiency using different means like renewable AFAR and digital. On customer front using digital to really give them the right value and take the right value from them. On logistics I think using digital and lot of other methods like OTM and e-Bidding those things we are working on. So, this is in nutshell I think our strategy is.

Dharmesh Shah : Secondly our lead distance are broadly flat on quarter -on-quarter basis, but what does it explain the decline in the freight cost per ton?

Management : Freight cost per ton.

Dharmesh Shah : I am looking at console basis?

Management : 1,263 per ton.

Management : We are trying to increase the perforation of direct dispatches which is helping us apart from the PT PK and other things.

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Moderator : Thank you. We will move to the next question from the line of Vishal Periwal from IDBI Capital. Please go ahead.

Vishal Periwal : More clarity if you can just provide on the band which you mentioned green, yellow and red, so what kind of I mean the sales qualify for a green any particular EBITDA margin or threshold that is there or it will vary every quarter?

Management : That varies because you know that situation is quite volatile. So, these GYR is dynamic so

typically you cannot really put EBITDA because maybe during Quarter 1 EBITDA green would have been different than what green is today. So, this is based on the blend of margins which we have from different markets and based on that this is dynamically decided that this is about GY and R is and typically those see we have a matrix of just to give you a little bit more on this. We have a matrix of one total delivered cost in that particular market and the margin. In a way most of the time I think this is in the direct relationship. If your logistics or your total deliver cost is low then typically you are going to have better margins unless you have a different market dynamics where prices are not operating that. So, we have a matrix of total delivered cost and margin and market share. So, based on that we kind of categorize our market in categories of GY and R.

Vishal Periwal : So, just a clarification so this GYR it is not a margin it is a combination of three some sort of weightage would have given ?

Management : But invariably your KTC is low then I think typically those markets are going to be falling in that green category. If market dynamics is entirely different that is a different issue, but that is I think very rare.

Vishal Periwal : But then you did mention in this call this has been a better market, so can we broadly say green is something probably west region?

Management : Yes you are right. So, maybe I think green is west region why typically some of the markets of north and red is far off market yes you are right.

Vishal Periwal : And last thing can you give clarity like how is the pricing behaving for us in the market I think you did mentioned like from September onward there has been a price hike which is there and we would also there in October, can you give some color like region wise which has been better

market for us in terms of pricing in this Quarter 3?

Management : September I think I told you that little bit inching of prices towards fag end of the month. October more or less has been flat. There has not been any increase because of the reasons demand was again low Dussehra, Deepavali both in the same month and also prolonged south west monsoon, but November onwards since I believe that demand is going to pick up and we do have some initial sense towards that. So, prices will be definitely likely to go up I would say in coming months

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which is going to be better than October, but again I think market dynamics you know we just based on the demand situation we can reasonably say that yes prices will go up.

Moderator : Thank you. We have the next question from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : On the intent of kind of improving the price realization so I just wanted to understand like how are you going about it in terms of your distribution network are you also trying to revamp your distribution network to do the same or is it going to happen through the same network?

Management : Margin and prices not only the function of the right sales or the right (Inaudible) 56:31, but also the couple of channel which you have and somehow I think Vaibhav also has mentioned in lot of write us that this also really affect the margin to an extent. Yes I think we do have a strategy which we call channel strategy, what kind of channel we are going to set up like is it going to be balanced kind of architecture some big dealers, maybe more number exercise dealers and not too long tail right. Based on the competitive environment and competitive landscape we do have a strategy to setup a designed channel architecture in different markets. So, what kind of dealers we are going to have and of course I think that also is part of our strategy when we talk of improving our volume and premiumness in the market.

Amit Murarka : But generally, like when you go about doing some changes in the dealership network like typically how long can it take to revamp this distribution channel?

Management : I would not say this revamp I think I would say for this process of metamorphosis that takes time and you do this gradually in a designed way because you are in the market and I think revamping I would not really go for entire revamping right away probably I think what you can do is without it is just for example if you want to really grow a certain set of dealers let us say misguide or lower segment dealer then you have your strategy aligned to that rather than two ways are there kind of improving a set of dealers either you kind of improve their volume and improve their presence or you reduce the upper one, but I would say I think what we do we will improve all of them and probably the desired one we will be improving much more than the other one. So, this is the way we are going about it.

Moderator : Thank you. Ladies and gentlemen that was the last question for today. I now hand the conference back to Mr. Vaibhav Agarwal for closing comments. Please go ahead.

Vaibhav Agarwal : Thank you. On behalf of PhillipCapital (India) Private Limited we will like to thank the management JK Lakshmi Cement for the call and also many thanks to the participant joining the call. Thank you very much sir. Mellissa, now you can conclude the call.

Moderator : Thank you members of the management and Mr. Agarwal. Ladies and gentlemen on behalf of

PhillipCapital (India) Private Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

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14th February 2023

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Through: BSE Listing Centre Through: N EAPS

Dear Sir/ Madam,

Re: Conference Call organized by PhillipCapital (India) Pvt. Ltd. on 13th February 2023
at 4.00 P. M.

In continuation of our letters on the above captioned subject, attached herewith the transcript/
minutes of the aforesaid conference call.

This is for your information and record.
Thanking you and assuring you our best co- operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

Encl: a.a.

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"JK Lakshmi Cement Q3 and 9 Months FY23 Earnings
Conference Call"

February 13, 2023

MANAGEMENT : MR. ARUN KUMAR SHUKLA – PRESIDENT AND
DIRECTOR , JK LAKSHMI CEMENT
MR. SUDHIR BIDKAR – CFO , JK LAKSHMI CEMENT
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator : Ladies and Gentlemen , Good day and welcome to the Q3 and 9 Months FY23 Call of JK Lakshmi Cement hosted by PhillipCapital (India) Private Limited .

As a reminder for the duration of this conference , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions at the end of today's presentation . Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal of PhillipCapital (India) Private Limited . Thank you and over to you , Sir.

Vaibhav Agarwal : Thank you Aman. Good evening everyone. Firstly, we apologize for this delay which was on account of connectivity issues .

On behalf of PhillipCapital (India) Private Limited , we welcome you to the Q3 FY23 and 9 Months FY23 Call of JK Lakshmi Cement . I need to highlight that JK Lakshmi Cement is also the holding Company of Udaipur Cement Works Limited and therefore this call is also open for discussion about the performance of Udaipur Cement Works Limited .

On the call we have with us Mr. Arun Kumar Shukla – President and Director and Sudhir Bidkar – CFO of JK Lakshmi Cement. I would like to mention on behalf of JK Lakshmi Cement and its management that further statement that is made or discussed on this conference call maybe forward -looking statement related to further developments and current performance. These statements are subject to a number of risks, uncertainties and other important factors which may cause the actual developments and results to differ materially from the statement made.

JK Lakshmi Cement Limited and its management of the Company assumes no obligations to update or publicly alter these forward -looking statements whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of JK Lakshmi Cement for their opening remarks which will be followed by interactive Q&A. Thank you and over to you, Sir.

Management : Thank you Mr. Vaibhav and good afternoon ladies and gentlemen and sorry for this delay which was due to some technical problem in connectivity and welcome to this Q3 Concall for JK Lakshmi. You must have seen the results which were approved by the board and published and intimated to the stock exchange on Friday.

So, without any waste of time since we have already run out of time I am throwing the floor open for question -and-answer session.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abhimanyu Kasliwal from Choice India Limited. Please go ahead.

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Abhimanyu Kasliwal : So, to the management I would like to ask that now South African coal it is trading at slightly better prices around 250, 300 as opposed to 350, 400, are we seeing impact on the cost side of the equation, can we expect margin improvement going forward because of this factors, the second question is sir that our current capacity and capacity utilization just wanted a question

that what is the current capacity that the Company is operating at and what is this quarter tonnage and related to that if that are we expecting to see some kind of operating leverages going forward especially with new capacity and one more question we were setting up high margin VAP product RMC AAC wall putty how is that going sir I know they were three, four questions together so I will really appreciate if you could answer?

Management : Just correct me I think the first question was regarding that margin improvement outlook. So, as you know I think we are going through demand month, demand is good in the market. The last quarter and the quarter

before I think we have not seen good price increases despite demand being good, but this quarter we do see some kind of improvement not big improvement in prices of margin, but definitely I think we see some kind of prices moving upward and hence margin also will improve and margin will improve little bit better than the price improvement because of the internal drive which we are taking on the top line and also at the manufacturing end. So, I think our outlook is that this quarter is going to be a little better than last quarter in terms of margins. Perhaps I think this is the first part of your question. Second was on capacity utilization so last quarter I think our capacity utilization was 77% and this quarter we believe that our utilization would be at about 85% plus so that is what we see. So, definitely I think that is also we will have bearing on our margin because of the dilution of the fixed cost and other cost.

Abhimanyu Kasliwal : Sir the current capacity around 14 million tons what are we looking at?

Management : I think we do have one outsource unit with us in Amethi UP based. If you take that into consideration and we are at about 15 million ton roughly.

Abhimanyu Kasliwal : Sir what about the additional capacity of high margin products which we were planning to work on VAP, RMC, AAC, wall putty would you like to provide any guidance on that or any outlook on that?

Management : So, I think we do have a very good focus on our value-added products which give us good access first to customer directly and also I think entering into some areas which is a growing area in the case of VAP. Just to give you a sense that we are focusing quite a bit on RMC business expanding it further and also AAC and putty business. Just to let you know that RMC business I think we are progressing very well, we do have some model by which we are expanding our capacity and last quarter our skills have improved and total volume was about 1.35 lakh cubic meter and AAC block also we are doing quite well, AAC our volume last quarter was on 1.36.

Abhimanyu Kasliwal : What is the revenue that we are seeing?

Management : Revenue last quarter we have achieved a revenue of about 116 crore.

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Abhimanyu Kasliwal : VAP and RMC and AAC?

Management : So, this includes POP, this includes RMC, this includes AAC blocks and little bit of mortar as well.

Abhimanyu Kasliwal : And what margins do they usually operate on 15%, 20%?

Management : So, I will just let you know I think in our case the high margin business is AAC block is about 12% margin and overall if you take up fully of RMC, AAC and putty POP greater than 7% margin.

Abhimanyu Kasliwal : 7% operating margin, 7% net margin sir?

Management : We are talking of operating margin. Just to let you know AAC block is I think as I told you margin is about 12% we have plan to grow it further. So, Aligarh plant recently we have acquired one plant and we have started production of AAC block that Aligarh unit in UP and we do have some future plans also for AAC block and going forward our focus is going to be AAC and RMC. Putty also I think last time around we had announced that we are going to put up a putty plant that we have already inaugurated that grand making ceremony has happened and probably I think let us know 6 to 9 months' time about we will have a putty plant at Alwar in Rajasthan.

So, that is also going to give a good boost to our VAP portfolio going forward.

Moderator : Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Sir, before asking the question just wanted to clarify now sir when did we met the investors in Mumbai I suppose we met in end of November or the first week of December, is it right?

Management : Yes, you are right.

Shravan Shah : Sir then how come we have not informed to the exchanges

?

Management : Sorry.

Shravan Shah : We did not inform the exchanges normally that is the process that when corporate meets the investors they inform to the exchanges that we are meeting investors on this day, but we have not informed to the exchanges?

Management : Whatever presentation we had done we have uploaded on the website of the Company so that

meeting investor is an ongoing process just did happen that we merged it together instead of whatever we discussed that is all presented in a presentation which has been already uploaded well before meeting the investor.

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Shravan Shah : So, that normally is the case with all corporate, but if that is the process set by either SEBI or the exchanges that we should be following the thing is that just wanted to clarify on that aspect, have we talk about Rs.1,000 EBITDA without increase in the realization?

Management : So, Shravan I think yes we believe that we do have scope or headroom in improving our topline because as you know we are controlling the manufacturing cost. Our effort is definitely to hold those internal efficiency pertaining to the top line just to breach that gap up and if you really look at without taking price into consideration the EBITDA gap between JK Lakshmi Cement and the leaders is diminishing and dwindling and that is coming about the fact that we are working internally on our levers and we have decided that this is going to add value. So, yes I think whatever EBITDA (Inaudible) 11:42 was without (Inaudible) 11:51 .

Shravan Shah : Sir the simple thing the simple question right now I have is the kind of selected information to be set with the investors, so that is why I am raising this point because I do not think this is what we have discussed on the conference call last time. So, that the thing is that force pure meeting with the investors the stock has seen a significant turn up and then pull off so that is the simple point I am just trying to request you if anything has to be said it should be at a common platform and not to the selective investors so that is the humble request, my question is now in terms of the needed couple of data points in terms of the trade share of premium, blending share, lead distance, rail road mix, fuel mix for this quarter?

Management : As we speak today I think we are at about 54% of trade and about 66% of blended cement and our lead distance is 396 kilometer and last quarter our lead distance was the quarter 401 kilometer.

Shravan Shah : 401 for the third quarter and the blended cement you said 67%?

Management : 66%.

Shravan Shah : And the premium sir you said?

Management : Premium is about close to is about if you take overall volume then is about 11% and if you take only trade volume then it is close to about 25%.

Shravan Shah : So, related question is that last concall we said that we are targeting to increase the trade share to more than 60% in two to three quarters, so this time as you mentioned our trade share is at 54% last quarter also the same number were there, so just trying to understand where are we still we are expecting that we will be able to increase this to more than 60%, so now two quarters remains if last quarter if I include in your target of two to three quarters so only two quarter left, so are we able to do more than 60% trade share in two quarters and the same way the blended share where we said that we want to achieve a 72%, 75% in two to three quarters we are at 66% last quarter was 67%, so just wanted to understand how we are planning are we now increasing our target time maybe by two, three more quarters?

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Management : I think in last call I did mentioned that if you look at our efficiency lever so first efficiency lever was geo mix because trade and non-trade is all about margin optimization, but we open

rate in a

diverse geography wherein trade, non trade and even different zone varies quite significantly.

Just to elaborate further on this if you take let us say North, North I think trade and nontrade is very high and gap is very high as about Rs. 800 to Rs. 1,000 a day, but if you go to East and West that gap is not that much there. So, one way to improve the margin is to optimize the geo mix at the top level. So, geographies where nontrade is better than the trade of other geographies I think that is what is going to be my preference and I think I mentioned last time I remember very clearly at first level of geo mix level of optimization is geo mix. To sell more in the area where we have a better margin one and the second level thereafter goes is trade and nontrade just to clarify that one. Second, I think yes I think 50% that is what we are going to achieve this next two quarters that is what the endeavor and effort is, but first and foremost thing is of course geo mix optimization. Blended also I think we do have a target of getting it to similar to 65% we are there at 66%, 67% and I think we are working the way we are progressing I think I am quite okay the first level is geo mix optimization and second comes trade, non trade and blended, but I think that is what our target is achieving close to 75% of blended and 60% beyond trade.

Shravan Shah : Last in terms of the fuel mix and the power and fuel consumption cost for this quarter?

Management : Fuel mix in this was coal, 37% and petcoke 48% and total cost in terms of Kilo cal was Rs. 257.

Shravan Shah : What was in the Q2 sir?

Management : Come again Shravan what you asked?

Shravan Shah : 257 Kcal cost you said in the Q3 what was the same number in Q2?

Management : 252 and overall group is 2.57.

Shravan Shah : So this is for third quarter what was the same number in Q2 FY23?

Management : 230.

Shravan Shah : How do we expect the same in this quarter?

Management : It will be flattish same.

Shravan Shah : And in terms of the debt, gross debt and cash and other deadline for the Udaipur expansion remains the same March 24, how much CAPEX we have done and what is the number we are looking for this fourth quarter and the next FY24?

Management : Deadline remains the same which is March 24, but it may spill over to the first quarter of FY25 that is number one and number two regarding our long-term debt on a standalone basis we have

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at about 53% and net debt is about 200 crores on a consol basis the total debt is 1,875 and net debt is 125.

Shravan Shah : Sorry net debt is?

Management : 1,225 on a consolidated basis.

Shravan Shah : And in terms of the CAPEX what is left in the fourth quarter and FY24?

Management : As far as JK Lakshmi is concerned barring some projects we are not doing any major CAPEX there .

Shravan Shah : At consol level sir I am asking?

Management : On a consolidated basis we have already incurred about 700 crores out of 1,650 up to December in that period and another 150 crores to 200 crores will go in the current period. I would just like to clarify when we had met the investor we did not disclose anything new other than what was already talked in the conference call which was held immediately after the result. So, nothing new which we have said whatever presentation was there that was in public domain other than that nothing was discussed.

Shravan Shah : Thanks for the clarification, but the thing was initially sir mentioned that in terms of the Rs. 1,000 EBITDA per ton without realization growth that is the important aspect so that is what I was just trying and request that we should be disclosing at open forum like earnings call and not to the selective analyst so that is the only simple point I wanted to highlight?

Management : That was also highlighted in the last concall that how we are graduating and bridging the gap

and trying to reach Rs. 1,000 same was with investors when we met in cement.

Moderator : Thank you. The next question is from Rajesh Kumar Ravi from HDFC Securities. Please go ahead.

Rajesh Kumar Ravi : So first of all on the house keeping you said that there is a non cement revenues for this quarter is 116 crore did I get it right?

Management : Yes you have heard it right.

Rajesh Kumar Ravi : And how much is the RMC revenues for the quarter?

Management : RMC is about 56, 40 crores is AAC block, POP is 20.

Rajesh Kumar Ravi : 56 crores is the RMC sorry I could not hear after that AAC.

Management : AAC is 40 and 20 is POP.

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Rajesh Kumar Ravi : And on a non cement revenues you are making around 7% EBITDA margin?

Management : Yes.

Rajesh Kumar Ravi : Sir on the CAPEX front you mentioned as a consol basis you have incurred around 700 crore in the 9 months?

Management : No I said on that project of the 60 -50 we have incurred up to December 700 crore.

Rajesh Kumar Ravi : 700 crore because why I am asking this the September quarter half yearly balance sheet suggest that CAPEX spent till first half was around 330 crore, so we have incurred another 400 crore in the third quarter, is that understanding right?

Management : What was the third quarter sorry?

Rajesh Kumar Ravi : No, September H1 till September the CAPEX spent on a consol basis appears to be around 330 crores?

Management : That would have been only for the current project , 700 crores is the figures we have talked off on that project of 60 -50 a portion of which would have also incurred before March 22 you cannot lend the two things.

Rajesh Kumar Ravi : No, I am referring to the half yearly cash flow statement?

Management : Absolutely that is what you cannot link the cumulative figure up to December with a cash flow

of 6 months and adding there to the remaining CAPEX. Many additional CAPEX in this quarter was only about 250 crore.

Rajesh Kumar Ravi : So, 250 crore is the incremental and for this fourth quarter how much incremental CAPEX expenditure you are looking at sir?

Management : Another 200-crore incurred on that.

Rajesh Kumar Ravi : And so that would also be around 700 crore for the full year and next year how much you are guiding cash flow basis?

Management : That would be about 700 crores on a consolidated basis including the remaining part of the project and also the effect on JK Lakshmi....

Rajesh Kumar Ravi : I heard your CNBC comments also today that you are looking at 12% volume growth for this year which primarily means your cement volume grows, but if I look at cement plus clinker you would be doing around 6% to 7% growth on a consolidated basis?

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Management : I think we have decided that I think clinker we are into cement selling business. Clinker is here I think we sell little bit based on again the opportunity which we have where we have a good margin and that makes sense in business otherwise we are primarily focused on cement and we will continue to do in future.

Rajesh Kumar Ravi : I am asking for next year until your this new projects get commissioned, what sort of a volume growth on a consolidated basis one should factor in and could you for your Amethi only grinding unit would you need to take clinker from market also or to drive growth?

Management : I think next year I think we are looking at anywhere between 12% to 15% growth that is what we are looking at.

Rajesh Kumar Ravi : Only on cement you are saying right I am looking at a total base cement plus clinker?

Management : So, I think let us know now on consider growth in cement.

Rajesh Kumar Ravi : So incrementally your clinker sale will meaningfully reduce because you will be converting it into your own cement right?

Management : Right and understanding for Amethi they do have

clinker with us as of now because that we can supplement it from our Clinkerization.

Rajesh Kumar Ravi : So for next year also you do not require additional clinker from external purchase is required or not for this growth of 12% that you are targeting on cement?

Management : So, 12% is all internal without dependence on clinker buying.

Rajesh Kumar Ravi : This sequential increase in your cost is it because your cost base was lower in Q2 and that is why Q3 you have seen a 2.3 to 2.52 or jump in the cost and so now from 2.5 how are the cost numbers looking in Q4?

Management : Q4 will be flattish around the same level. Q2 you are right lower at 2.3. So, it will be flattish so it has peaked out.

Rajesh Kumar Ravi : But incrementally in Q1 and all are you looking these numbers to come down meaningfully closer to Rs. 2 on a current cost front basis?

Management : Rs. 2 means the reduction of 20% that is not that is what has happened marginally it will come down in the first quarter, but not to that level as Rs. 2.

Rajesh Kumar Ravi : We also see freight cost for all the players they have shown an increase when the busy seasons starts getting introduced and many players talking this will now remain a full year phenomena rather than a one or two quarter, so you also the margin levers share on Q4 and all could be

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restricted because you are not expecting fuel cost savings and realization improvement is also not great so far for all players?

Management : You are right our internal efficiencies will drive because the energy has....

Rajesh Kumar Ravi : Last question on this 40 megawatt the solar power supply this is on the consumption basis or this is 40-megawatt capacity which we have tied up I mean PLF being 20%?

Management : 40 megawatt of capacity which we have tied up is on an outsource model in which we are investing about 26 in (Inaudible) 27:39. The only advantage is that in Chhattisgarh state they allowed the banking of the power. So, power would be produced in limited period of time and then we can use it.

Rajesh Kumar Ravi : By when should this project be ready and how much equity you are infusing for 26%?

Management : For 26% we are inducing about 22 crores and should be ready by the fourth quarter and financial year.

Rajesh Kumar Ravi : Sorry fourth quarter this year itself by end of March?

Management : Yes.

Rajesh Kumar Ravi : And what cost will be sourcing out from this unit?

Management : We will be getting effectively landed at about Rs 5 per unit handed to us Rs. 5.50 paisa is it clear. I mean fourth quarter 24 I would like to clarify implementation will be in March 24 not 23.

Moderator : Thank you. The next question is from the line of Prateek from Jefferies. Please go ahead.

Prateek : So my question is in the press release you have talked about 80% power mix in Eastern operation as a renewable power, we also have this captive power on the Eastern operation, so what happens to that once we have this 80% renewable power mix?

Management : Obviously we will not be using that because of the full cost and 80% will be drawn from renewable will not be required.

Prateek : So, we will be selling off that plant or that will be like?

Management : We will take a call at an appropriate time too early let the project. We also have plants to expand that we will see it is not that immediately sale off debt equity.

Prateek : And just for clarification on the consolidated CAPEX this year and next year we are looking at around 1,000 crores this year and 700 crore next year on consolidated basis?

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Management : Current year we are talked of about 750 crores and another 750 next.

Prateek : 750 and 750 this is including UCW and standalone operations combined?

Management : Yes.

Prateek : And FY25 also has this impact of CAPEX of UCW

?

Management : Maybe marginal 100 to 200 crore depending on what and when exactly we goes to that project.

Prateek : And on pricing sir you mentioned that there is no change in pricing of late so are we or as an industry it is looking at post March like financial year end or that is also like looking out of question now?

Management : So, I do not know about the industry, but I think demand and supply is going to really decide this and probably I think prices may go little bit further up much is what I see. We will try to take price increase and I am not talking of JK Lakshmi, I am talking about industry what they are going.

Prateek : Sir we are losing your audio we could not hear that?

Management : So, prices will inch up little bit this quarter and in coming quarters and we will try to attempt the price increase and I am talking about only JK Lakshmi Cement not talking about industry what they are going to do, but based on the demand supply situation and our position we will try to take it.

Prateek : So, when we talk about like this Rs. 1,000 EBITDA per ton for consolidated operations from let us say current run rate of 650, would it be possible to like sort of break it down to internal efficiency including power and fuel or logistic or your market positioning or like several steps we are looking at?

Management : Yes I think 1,000 is not going to be achieved just by saying. You will all those granular planning in place first element of manufacturing, for supply chain or in top line, did you have granular details as to where we need growth and how much time it is going to take to implement all those operational plans. We do have those details.

Prateek : I mean is it possible to discuss on the call?

Management : Yes I will just tell you if you want let us take a gap of about Rs. 300. So, I think about 200 plus is going to come out of this top line levers improvement about maybe Rs. 50 or so will come from manufacturing and Rs. 50 to Rs. 75 utilization in a broader way I think this is what is the pickup is, but I think we have elemental analysis also and each is broader heads.

Moderator : Thank you. The next question is from Ritesh Shah from Investec. Please go ahead.

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Ritesh Shah : Couple of questions first is you indicated a sale of 115, 117 crores for the quarter pertaining to AAC blocks, RMC everything else, did I hear the number right?

Management : Yes correct.

Ritesh Shah : Sir, can you give the same number for Q2 and Q3 of last year please and the corresponding margins?

Management : So, we can give you Q2 as well. So, incidentally almost same overall 160 crore only, RMC was 52 crore in this quarter the quarter which has ended 116 crore margin 5% last quarter was 10% as against current quarter.

Ritesh Shah : Sir I could not hear you sir sorry.

Management : 116 is the current value -added products, which was the same as in the preceding quarter. Margin has improved from 5% in the second quarter to 7% third quarter in the value -added products.

Ritesh Shah : And sir last year numbers?

Management : 99 crores in the preceding quarter the margin of 3%.

Ritesh Shah : Sir if we have to look at the cement business would it be fair to step down this number and then look at it?

Management : Yes that will be the correct way.

Ritesh Shah : Sir my second question is the reported numbers what we give for cement sales and volumes I think last year in Q2 or Q3 you had indicated that there was an element of double counting which we had and then basically rectified, so I just wanted to check the reported number that we have for cement and clinker volumes, if you could just help us understand whether it is only for JK Lakshmi or it also includes UCW and if you could please bifurcate it for cement and clinker for JK Lakshmi and UCW separately for this year and last year Q3?

Management : Q3 thi

s year on JK Lakshmi standalone basis we had cement sale of 2 4.22 and clinker sale of 1.82 that makes it full of 26.04 and UCWL they did not sell any clinker.

Ritesh Shah : Yes sir your voice was breaking sorry I could not get you said UCW after that I lost you sir.

Management : UCWL was 4.48 and they did not have any clinker so that was their total sales and on a consolidated basis eliminating the inter unit sale total cement sale is 26.96, clinker sale only for JK Lakshmi 1.82 so total is on a consol basis 28.78.

Ritesh Shah : And same numbers for last year?

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Management : Last year the same number JK Lakshmi was 20.96, cement 0.33, clinker total 23.29 and UCWL 4.47, cement 0.37, clinker was 4.84 and consolidated basis excluding the inter unit cement was 23.44 and clinker 2.7 total is 26. On cement there is a 60 on a consol basis there is a 16% increase and overall, 10%.

Ritesh Shah : Sir if it is possible if you could please those in the press release from the next year onwards it would help us understand and appreciate the numbers better so that was one request and sir last question how should one look at the limestone lease expiries I understand we have multiple Auctionality also on the table, how should we look at that?

Management : For limestone I think except Sirohi which is due in the year 2030 I think rest everywhere I think we are secured in terms of limestone mining leases that is good enough for couple of decades, but in case of Sirohi I think that is going to be renewed in the year 2030 and we are hopeful that we will be able to do that because this entire industry is going to face this issue during that time probably I think that is not going to be a big issue rest all other places I think we are secured in terms of which we have in terms of years we have in our hand.

Ritesh Shah : Is there any risk mitigation strategy if at all the Sirohi is come to us in 2030 or if the premiums are very high, what is the plan B that is what I want to understand?

Management : Udaipur is nearby then we do have limestone they are with us that could be one fallback option for us and probably I think by that time Nagaur also will be ready in case of extreme eventuality that can also happen, but that is something which is yes as an optional, but I think we are confident of getting it renewed in the year 2030.

Ritesh Shah : And on the growth auctionality we have a couple of limestone leases which we have recently won on auction can you please detail how and when will we exercise those auctionality that we already have?

Management : So, currently we are working on Nagaur that is what the first priority for us is which is situated in North part of Rajasthan all those preliminary activities in terms of mining and approvals, waste of land and things like that is already on the way that is going to be the top most priority for us, but before that Durg can come because we do not have railway siding, we are trying to have railway siding very quickly maybe in the next one and half years' time that happens then probably I think Durg will come before Nagaur . So, we have three locations positions with us Durg in East, Nagaur in Rajasthan and Kutch in Gujarat. We are at about 15 million ton as of today then half million ton we will be having by March in terms of cement, clinker we are going to have even before at max 18 and these three locations we will be putting up another 12 million ton put together. Our plan is to go to 30 million ton by 2030. Now the order and priorities will depend on how we are progressing at Nagaur and at Durg in terms of railways. If railway siding comes first then Durg is going to be the priority, if Nagaur progresses very well then that is going to be ahead of those. So, this is what the plan is followed by Kutch.

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Ritesh Shah : And

when are we likely to decide on this incremental capital allocation decisions?

Management : For that capital allocation decision will come somewhere in the next financial year and what is

happening to our external approval.

Ritesh Shah : And sir if I may squeeze one question are we looking to collapse JK Lakshmi and UCW structure, any timelines I think there was a tax angle have we exhausted that?

Management : Tax angle still continues we have been mentioning it to peers, but that got entitlement of about 150 crores its not a tax efficient merger if we do it now, but ultimately it will happen and we exhaust that Mat credit entitlement. Our plan is very much there, but without merger on paper all synergy benefits in any case we are driving today also in terms of marketing of top management. So, apart from this collapsing of this having a common cash flow size valuation obviously will get factored in, but otherwise this will be synergical.

Ritesh Shah : Sorry to interrupt we just lost you in the last minute.

Management : So, I am saying most of the synergical benefits in any case are being driven now also without paper merger.

Moderator : Thank you. Next question is from Kamlesh Bagmar from Lotus Asset Managers. Please go ahead.

Kamlesh Bagmar : One question on the part of like say last concall we had told that by the month of like say January we would be more clear about how much price gap we have narrowed down with a peer, so any update on that part?

Management : I think we did ease our price gap with others, for instance, I think Western and Eastern part of India we have reduced this quite significantly I would say I think where we wanted to actually position ourselves that I think progress is there. I would not say that we have accomplished it, but I think there we have done quite a bit. In the North I think we need to opt on that further. The progress in case of North has not been that great. In the West and East yes, we have picked.

Kamlesh Bagmar : Like is it more of an issue with regard to the leakage of volume from nontrade to trade I think that even if we see today the prices the gap is massive like Rs. 30, Rs. 35 gap with a top players and it is not like your gap with Shree is there or the second run or third tier companies it is majorly with the top players and those gap would remain, so why are we harping so much on the price gap side and there could be some issues on the cost price because the realizations in the case of Shree or any other players are at the similar levels, but they are much more competitive on the cost side I do appreciate that we have worked a lot on the cost side be it waste heat recovery or the solar or renewable energy, where is the issue on the margin front not on the price front, but on the margin front?

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Management : I think lot of price is one part and major part I agree with you and in terms of trade, nontrade I think we have quite a robust way of checking all those in. So, I am talking of the recent past I think we have really improved quite a bit on that intermingling of trade and nontrade I think I am reasonably confident that is not happening in our end. I am not talking what they are doing. So, in the given state or given zone also there are corporate where your brand is more strong or less strong that also determines the price gap, but we do have a roadmap as to where we want to reach in terms of the benchmark brand which we fixed for ourselves. So, discipline part I think we have already worked so I think I do not see much of an issue more so with the technology in place I think nothing of that sort can happen. I would not say 100% sure about it, but I am reasonably confident maybe to the extent of 90% that is not happening in case of our case trade, nontrade or backend loading and things like that. It is more to do with kind of elevating our

brand proposition and brand value itself which is a long term debt and when I was discussing with all of you maybe perhaps last call also brand positioning that takes little bit longer time. So, this is not something which is going to give you benefit right away. So, I think yes there also we are doing quite a bit in terms of improving our brand salience, but I think our much more focus is on those initiative which is some kind of low hanging fruit which we can pluck right away. So, we have prioritize our initiative and parallel is also of course brand building, brand salience improvement and things like that.

Kamlesh Bagmar : So, honestly like say if you take your Gujarat market it is a purely a nontrade market I really do not understand that how the brand is going to give you such a big push it maybe in the East market, but not in your core market like say Gujarat because over the last two, three quarters if we see our performance it has been fairly because of the low cost cones which you had the benefit, but as we move ahead like say even in this quarter the gap with all your peers which was in the last quarter by around Rs. 100, Rs. 125 now that has again like say widen to roughly around Rs. 250 honestly that has not really played out and even if we do the channel set no improvement has yet been witnessed on the pricing part?

Management : So, price I think positioning part yes of course that is going to take time and you mentioned about Gujarat or West market I think the industry structure is that you know you have major projects out there even in case of leaders also nontrade portion is high, but if you see trade and nontrade gap in case of Gujarat is the least and that is what I think I was trying to explain one

gentlemen who asked the question of trade, nontrade I explained that in geo mix. So, I think trade and nontrade gap is not that much and if you go to other market North gap is very high. So, I think we do have priority I think price positioning is not going to really being done immediately that is going to take some time, but what we can do is all those levers and matrices which we can work and probably I think our direction is all right I think you mentioned about two, three quarters I think if you look at our gap with the leaders have been the highest, if you look at 9 months EBITDA per ton of the leaders and ours I think drop in case of or that gap which we had with them was much higher before. This year I think we have reduced this quite significantly I think perhaps we need to really at that and as you miss that you look at that how much EBITDA we have kind of their EBITDA has declined or reduced and our have declined.

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I think that will give you fair bit of idea that something has happened that is what is seeing us the result.

Kamlesh Bagmar : Thanks a lot and lastly one suggestion which has been the common suggestion that do give about volumes in your press release, your press release just statement of the revenue, EBITDA, PBT and PAT there is no statement about the volume s. Every Company even like say half of your size gives the volumes in their press release I do not understand like say for the last 10 quarters, 12 quarters this would have been the common suggestion which has been made on this forum why that is not getting implemented every time we have put up the messages or the SMS to get the volume s?

Management : We will see if it is feasible we will do.

Moderator : Thank you. The next question is from Uttam K Srimal from Axis Securities. Please go ahead.

Uttam K Srimal : Sir my question relates to your grinding unit so how that is shaping up and what kind of volume we are expecting in FY23 and FY24?

Management : So, we are averaging close to between 25,000 to 30,000 because we commission this project during July and August during this monsoon time. How volume have started pi

cking up probably

this month onward or maybe this quarter I think we will see average volume of about more than 50,000 tons. In the previous quarter we have about close to 30,000 tons that improvement we see this.

Uttam K Srimal : So, 50,000 per month?

Management : Yes per month.

Uttam K Srimal : And sir this other expenses in this quarter has been very high, so what has been the reason for that and will this run rate will continue in the fourth quarter also?

Management : Second quarter we had some lower expenditure on advertisement this will be the normative one.

Uttam K Srimal : This will remain in fourth quarter also?

Management : Yes.

Uttam K Srimal : How has been rail road mix during this quarter?

Management : Rail is very insignificant in our case about 10% only.

Moderator : Thank you. The next question is from Ronald Siyoni from ShareKhan Limited. Please go ahead.

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Ronald Siyoni : What are the repeat Quarter 3 FY22 numbers last year same quarter if you can please repeat volume number?

Management : Last year.

Ronald Siyoni : Yes last year.

Management : Last year we had JK Lakshmi total volume of 20.96 cement and clinker (Inaudible) 53:33

UCWL was 4.47, cement and (Inaudible) 53:40 and clinker total was 2.84 and on a consol basis that on the net off unit consolidated 23.44 that was cement, clinker 2.7 total is 26.14.

Ronald Siyoni : And you said JKL standalone was 20.96 and 0.33 clinker?

Management : 2.33 clinker total was 23.21.

Ronald Siyoni : And second thing was that the capacity expansion which you spoke about so you had said 15 million ton and thereafter you would be adding around 0.5 or 1.5 till March so that part I could not get 30 million ton was by 2030, but in between what is the expansion plan of the Company ?

Management : So, 2.5 by March 2024 that UCWL expansion.

Moderator : Thank you. The next question is from Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti : Sir you mentioned in the call that premium sales is 11% overall is 25% of trade have I recorded correct?

Management : Right.

Keshav Lahoti : Because math is not working you said that trade is around 54% and premium is total 11% and out of trade it should be 20% only which is your consistent trend of 20%, 21%?

Management : I think I just mentioned approximately and that does not include our operating volume. Any volume which I does not include trading volume as the outsource volume where from where we are seeing premium product. I put everything together and I mentioned it to you.

Keshav Lahoti : And sir how will the non-cement revenue margin will look like next year?

Management : I think it is going to be about 7%, 8% kind of thing.

Keshav Lahoti : This 300 per ton internal lever which you are talking about so by when should we achieve this to be fully achieved?

Management : Can you repeat your question please.

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Keshav Lahoti : This 300 per ton internal lever which you are talking about improvement in EBITDA by when this will be achieved?

Management : 18 months to 24 months I think you can take that.

Keshav Lahoti : One last question from my side so your fuel cost is not expected to cool off in Q4, is it like you have a very high cost inventory already, what sort of inventory you are carrying?

Management : You are right we have this same cost inventory. So, we will be having the same fuel cost in the coming quarter. It will start tapering down from April onwards.

Moderator : Thank you. The next question is from Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Sir just wanted to clarify as your voice was breaking in between couple of times Rs. 300 internal levers you said if you can break it up 200 50 -50 again if you repeat what you mentioned?

Management : Yes 200 50 -50 approximately you can take 200

top line and 50 manufacturing and supply chain.

Shravan Shah : Sorry 200 from top line.

Management : Yes.

Shravan Shah : 50 from manufacturing and 50 from?

Management : Supply chain logistic out bound logistics.

Moderator : Thank you. Next question is from Rajesh Kumar Ravi from HDFC Securities. Please go ahead.

Rajesh Kumar Ravi : My question is could you give the clinker production consolidated for Q3 and 9 months and second is 30 million ton by 30 which is incremental 12 million ton capacity, what is the CAPEX number you are factoring in for those 12 million ton?

Management : Consolidated clinker production in this quarter was 21.86 which includes 18.51 of JK Lakshmi and 3.35.

Moderator : Thank you. Ladies and gentlemen due to time constraint that would be a last question for today.

I now hand the conference back to Vaibhav Agarwal from PhillipCapital (India) Private Limited for closing comments. Over to you, Sir.

Vaibhav Agarwal : Thank you. On behalf of PhillipCapital (India) Private Limited, we thank the management of JK Lakshmi Cement for the call and many thanks for participating and joining the call. Thank you very much sir and you may now conclude the call.

Management: Thank you Mr. Vaibhav and thank you everyone.

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Moderator: Thank you very much. Ladies and gentlemen on behalf of PhillipCapital (India) Private Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: May 2023

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Dear Sir/ Madam,

Re: Conference Call organized by PhillipCapital (India) Pvt. Ltd. on 22nd May 2023 at 4:00 P.M. IST

In continuation of our letters on the above subject, attached herewith the transcript/minutes of the aforesaid conference call. This is for your information and record.

Thanking you and assuring you our best co -operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

"JK Lakshmi Cement Q4 & FY23 Earnings Conference Call"

May 22, 2023

MANAGEMENT : MR. ARUN KUMAR SHUKLA – PRESIDENT AND DIRECTOR , JK LAKSHMI CEMENT

MR. SUDHIR ANNA BIDKAR – CFO, JK LAKSHMI CEMENT

MODERATORS : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

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Moderator : Ladies and gentlemen, Good day and welcome to the Q4 & FY23 Call of JK Lakshmi Cement hosted by PhillipCapital (India) Private Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited . Thank you and over to you Sir.

Vaibhav Agarwal: Thank you, Aman. Good evening everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q4 FY23 and FY 23 Call of JK Lakshmi Cement .

I need to highlight that JK Lakshmi Cement is also the Holding Company of Udaipur Cement Works Limited and therefore this call is also open for discussion about the performance of Udaipur Cement Works Limited .

On the call we have with us Mr. Arun Kumar Shukla – President and Director and Mr. Sudhir Anna Bidkar – CFO of JK Lakshmi Cement .

I would like to mention on behalf of JK Lakshmi Cement and its Management that certain statements that may be made or discussed on this conference call may be forward -looking statements related to future performance based on current expectations. These statements are subject to a number of risks, uncertainties and other important factors which may cause the actual developments and results to differ materially from statements made. JK Lakshmi Cement Limited and the management of the company assumes no obligation to update or publicly alter these forward -looking statements whether as a result of new information or future events or otherwise.

I will now hand over the floor to the Management of JK Lakshmi Cement for their opening remarks which will be followed by interactive Q&A . Thank you and over to you, Sir.

Management: Thank you Mr. Vaibhav and good afternoon ladies and gentlemen for this Q4 FY23 Call for JK Lakshmi Cement . You would have already seen the results and also our press release where we have also given the volume numbers both for the quarter as well as for the full year along with the standalone and the consolidated one. So, without wasting any time I will leave the floor open for question and answer so that we are able to take maximum question and answer from you. So, over to you for the question and answers.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from Shravan Shah from Dolat Capital. Please go ahead.

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Shravan Shah: Sir, before asking any questions just couple of data points so what was the trade share for this quarter premium share, blending ratio, lead distance, railroad mix?

Management: For this financial year as a whole our trade was 55%, blended was also incidentally 55% and premium product overall it was about 11% and lead distance was 398.

Shravan Shah: And for this quarter?

Management: Broadly the same marginally lead distance was around 400.

Shravan Shah: And what was the non-cement revenue so RMC, AAC and POP?

Management: In this quarter it was Rs. 128 crores and for the full year Rs. 478 crore.

Shravan Shah: And RMC revenue was?

Management: Total product all taken together.

Shravan Shah: Rs. 128 crore combined, but for RMC revenue for the 4th Quarter was?

Management: RMC on separately it was Rs. 62 crores for the quarter and Rs. 225 crores out of Rs. 478 crores for the year.

Shravan Shah: And in terms of the margins for the non-cement it was around same 7%, 8% kind of EBITDA margin for non-cement revenue?

Management: 5%.

Shravan Shah: So, now coming

to the base main questions in terms of the we were looking at to increase our trade share to more than 60% this we are seeing for last two quarters still the number remains at the same 55%, so how do we see it and I think in terms of the overall EBITDA margin also last time we said we are looking at close to Rs. 1000 kind of EBITDA per ton over 18 to 24 months so that is from Rs. 300 improvement that we have mentioned 200 from realization, 50 from manufacturing and 50 from supply chain, so what is the stand there?

Management: On the trade percentage I think we have progressed well. January look at our trade proportion was 52%, February it was 54% and March it was 60%. We are hovering around 55% as of today and as I told you during the last call also I think our order of priorities are as follows. One, first we want to optimize the geo mix. Since, we operate in three distinct geographies which are materially different in terms of EBITDA margin like West in Central or North part of it and Eastern part of India. So, our effort is to maximize our sales in the West we trade or non trade because nontrade EBITDA margin also is much better than trade EBITDA margin of Central or East. So, the first priority or the lever of margin improvement is of course geo mix optimization and that goes in favor of Western market and that is what we have been able to do successfully

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right. If you look at the trade percentage per se overall basis I think we are improving. We are at 55%, but within the Western market also we are now trying to improve further trade margin proposal which will further improve our overall trade percentage at BU level.

Shravan Shah: And in terms of the EBITDA per ton which we were looking at that Rs. 300 kind of improvement over 18 to 24 months that stand remains the same?

Management: Yes. So, I think market condition also like prices are not going up and what we were trying to do was all those internal improvement. If you really analyze the entire year the way we have progressed margin wise our gap with the leaders has gone down significantly. If you look at one year back gap margin was more than about Rs. 600, Rs. 700. Now we are around Rs. 200 Rs. 250 with respect to the leaders. So, that is what has come about on account of our internal efforts and that internal effort will continue. Now, if prices go up then definitely I think we are going to catch up this 1000 very quickly, but what we are looking at definitely is how we are going to bridge that gap up in leaders in the industry and where are we today and I am happy the way we are progressing the whole year if you really look at the gap which has really dwindled over a period of time is significant more than Rs. 500 to Rs. 700 a ton and that journey is going to continue going forward.

Shravan Shah: So, now in terms of the fuel cost so for how much it was on the K KL basis and also the fuel mix and how now one can look at in terms for Q1, Q2 how we can see in terms of the decline in the fuel cost?

Management: Fuel cost is going down because we were carrying some inventory before. So, I think the impact of this softening of fuel cost is going to come about. So, that is going to come last quarter we have a fuel ratio of kilocal is 2.31.

Management: 2.42 overall likely to further go down to about 2.31 in the coming quarter.

Management: So, the forecast is 2.31 2.3 around this quarter and what we have achieved so far is 2.42 which is lower than previous quarter.

Shravan Shah: And the fuel mix for 4th Quarter was?

Management : 30% fuel, 53% Petco ke and 17% others.

Shravan Shah: And last on the expansion just trying to understand we have preponed the clinker deadline so previously Q4 now we are looking at December this year and grinding unit 2.5 at WCL we have actually postponed by one quarter. S

o, I am not able to understand how we will utilize this clinker

which we are commissioning one quarter before and the clinker grinding is coming at the Q3 FY24?

Management: Shravan before that I think one just small correction. So, last quarter the fuel ratio was 40 in favor of coal, 44 petcoke and 60 others Kilocal is 2.42. Now coming to your next question as to JK Lakshmi Cement

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how we are going to manage mismatch between clinker capacity which is going to come in the month of October and grinding capacity in the month of March 2024. So, our plan is like the ramp up is going to be about 50% during first year. So, whatever clinker we are going to get in between. So, typically October to March is about 6 months' time and if you take 25% of clinker volume of rated capacity of 1.5 million tons that we plan to take it to our grinding station where we have that headroom of further improving our capacity utilization. So, suppose we have two grinding stations in Gujarat one Kallur near Ahmadabad and Surat. So, that clinker will go there and we do have one outsource unit within Gujarat near Palanpur. So, that grinding station also we are going to utilize in the interim. So, we do have plan to consume this clinker which you are going to get during these 6 months before our grinding capacity.

Moderator: Thank you. Next question is Kamlesh Bagmar from Lotus Asset managers. Please go ahead.

Kamlesh Bagmar : So, one question on the part of this M&A activities let us say based on some media reports one of the companies for sale and it is in your core market that is Gujarat, so any thought process like would you be interested in that or how does it patch with you does it synchronize with your thought process or the vision to expand the capacity to let say 20 million, 25 million tons which you have been highlighting that our vision or the plan in the coming years?

Management: You are talking of which opportunity please?

Kamlesh Bagmar : Sanghi cement.

Management : There is some news item which is there in the news. So, we would not like to comment on that.

Kamlesh Bagmar : But if say like just hypothetically if it is available at 190, 200 odd dollars and which we are trading at let us 70 odd dollars, would we be assessing that given the long-term opportunity which we have while the market is factoring the short-term issues over your stock price. So, would we be looking at that facility or the operations?

Management: We are already operating at around \$100, barring these last two-three days drop in the price and certainly if that comes at a much lower cost why not, but the numbers which are being talked of are much higher. You are right if it comes at a value lower than what we are traded at certainly why not it does make sense and we are always open to any acquisition opportunity provided for two things. 1) If it comes at the right value one and 2) it makes synergistic sense for this. So, the asset which you are talking of yes does make lot of synergistic sense, but if it comes at the right price certainly why not.

Kamlesh Bagmar : And on the debt side like say would it be what eventually net debt EBITDA would be looking at let us say absorb those capacities or those opportunities?

Management: That depends, but broadly we are on a net debt basis we are negative as far as on a stand alone basis is concerned. Overall, anywhere see whenever you do an acquisition opportunity for some period in the beginning or when you go for an expansion like we are doing in Udaipur what JK Lakshmi Cement

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happens generally the debt get contacted whereas the commensurate better flows much later. So, initial period yes there are distorted numbers you may see, but once underlying EBITDA starts flowing in then obviously it tapered down. So, any acquisition or for

that matter expansion would

have initial period under implementation or stabilization you will have some ratio which may go off maybe even 4 to 5 times of net debt -to-EBITDA, but once the underlying EBITDA flows in it will be back to normatively it should not more than 3 to 3.5 net debt -to-EBITDA that is the prudential now which we generally follow.

Kamlesh Bagmar : And lastly, on the let us say what we have been highlighting for last three, four quarters that our gap with our peers in terms of pricing or NSR is going to narrow down. So, what is the progress on that because when we analyze the market prices your gap has not yet filled in like say it continues to remain elevated at the similar levels which it was there at like 6 to 9 months back.

Management : I think if you look at a margin level we have bridge that gap to an extent. There is no doubt about

it perhaps I think you must have done your analysis and that is majorly coming out of some of the actions which we have taken and which we have continued to take. In the recent quarter I think because of some very temporary disturbance like during let us say last quarter or 4th Quarter of last year I told you that Western market is one of our markets where we want to optimize our sales. I think because of wholly and temporary disturbance on account of rains. So, that has impacted a bit, but that is the most temporary thing and we are pretty confident that the plan which we have 18 to 24 months to bridge this gap of margin by Rs. 250 with respect to top line. So, that will come true.

Moderator: Thank you. Next question is Niraj Mansingka from White Pine Investment Management Limited.

Niraj Mansingka : I wanted to ask few questions can you elaborate on how the cash will flow to Udaipur subsidiary because we are right now net cash company and so how will it flow like , will you raise the money Udaipur size was announced that is one question and secondly in the cost reduction in the operating cost can you share how much come from it is actually like Udaipur which is increasing our scale or from other locations where you are trying to put more trade activities and grinding units?

Management: Cash flow wise whatever money we have to induct into UC WL will ultimately be by way of our contribution in the rights issue of UC WL. They are planning to come up with the rights issue somewhere in June, July and we are being the 72% holders there off in UC WL stock so will be subscribing to that. The size of the issue is expected to be around 450 crores and what we have also submitting or giving the confirmation that in the event unlikely event of the public remaining 26 %, 27% not fully subscribing to that then also we will be making up for good for the unsubscribed portion or shortfall in the public subscription of 27%. So, that is how that money will flow in and pending the launch of the rights issue about 85 crores has already been deployed in UC WL by way of unsecured loan which will be adjusted against our rights entitlement in the rights issue. So, that is as far as how the money will come and we would not JK Lakshmi Cement

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be required to borrow anything for investing in the rights issue our treasury corpus of 800 crores will take care of that and regarding your other question on the grinding units etcetera as Mr. Shukla mentioned in response to earlier question once that clinker flows in so it will be grounded at our grinding units in Gujarat and other places.

Niraj Mansingka : My question was that whenever you said that you are looking at increasing the EBITDA by Rs. 300 per ton, so what are the major cost cutting factors that are going to play out?

Management : So, this gap I think is going to come from three places. One, of course is the improvement in top line efficiency, which is about premiumization , price positioning, sett

ing in the right market,

premium product and direct dispatches. So, more than half is going to come from this and logistics efficiency also we feel that we are working on reducing our lead further because we are at around 400 kilometers now. Our plan is to take it to 375 kilometers . So, that is going to give us saving of about let us say 25 kilometer means about Rs. 70, Rs. 75 a ton and third of course is from manufacturing wherein we are establishing that AFR facility or solid waste facility handling facility. So, that is also going to give a good benefit like our plan is to take it to 16% in a phase wise manner right now we are at 4 % we are going to take it to 16%, but in the near term let us say around by end of this year like calendar year around October to December we will be reaching about 10% of AFR . So, that is another saving we are going to have. So, I think as an all-round activity which we are planning and which we are very clear as to where to attack and which area we need to focus on. So, more than half is going to come from the top line. Logistics about Rs. 70, Rs. 75 not only lead reduction, but also lot of logistics efficiency like PTPK improvement and wheeler oil freight and a lot of levers we have using technology to an extent kind of getting rid of some of the warehouses in the vicinity of the plants, some of the actions which we have already initiated and plant efficiency majorly from AFR and also some minor I would say contribution from heat consumption improvement, specific power consumption improvement and things like that.

Niraj Mansingka : And what would be the peak debt in UCW subsidiary?

Management: UCWL there existing debt is about 500 crores and they will be contacting 1,100 crore 1,600 crores should be the peak debt minus the repayment of 100 crores so maybe 1,500 odd would be the peak debt.

Moderator: Thank you. Next question is from Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Just wanted to check like when you will take clinker from UC W to JK Lakshmi plants what will be the formula for that transfer like will it be cost or how will it work?

Management: It will be at arm's length pricing.

Amit Murarka: But just to understand like how does it really I mean will it work in a cost plus margins or cost plus ROC or how what will the framework for that?

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Management: Cost plus whatever is their total cost they will retain some, add on their some margin and that that will be the cost to us.

Amit Murarka: Also on the CAPEX front like how much CAPEX is spent already on this plant and how much is pending and what is the planned outlay for FY 24?

Management: We have spent about 850 crores on this project up to now which includes about 630 which incurred during the FY23 and we think the balance about 800 odd crores would get spent about 500 in the coming year and Balance 300 in the next financial year.

Amit Murarka: Also just wanted to check is there any further update on the wall putty business you were setting up a plant at Alwar?

Management: For putty we are putting up our own plant at Alwar in Rajasthan and we plan to rule it out from the month of October onward. So, that that is in progress and we are hopeful of commissioning it by October.

Amit Murarka: And that would need a separate new distribution network to sell the putty?

Management: Can you speak a bit louder.

Management: I think your voice is quite feeble.

Amit Murarka: I was asking you would need a separate distribution network as well for the business and that is already being done now?

Management: So, putty we are already there into putty business through outsource unit. So, we do have established network already that we are going to use and furthermore we are going to add channel partners and the activity has already started, we have a

already recruited manpower also and we are enhancing our channel reach and acceptance for putty business and I think we have a big advantage of our cement channel because this is B2C and that goes very well with our cement distribution and that is falling in our footprint of cement distribution. So, I think distribution channel wise we are well placed in every sense.

Moderator: Thank you. Next question is Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Couple of questions for FY23 year as a whole our consolidated volume grew more like 5.5%, so what kind of growth because clinker as we are all well aware that clinker is coming in Q3 and grinding unit for that is coming a little later couple of quarters down the line, so what kind of volume growth are we looking at for FY24?

Management: I think our cement sales grew by about 12% last year. Clinker I think I told you during last call also that clinker is something which we are not encouraging to sell until unless we have some good position. The cement sales grew by 12% last year and what we plan we have taken a growth

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of 19% this year FY23-24 cement sales growth we have taken as 19% and we are pretty confident because that Udaipur also is going to contribute in terms of clinker access which you are going to get during last 6 months' time.

Navin Sahadeo: Can you please share the breakup of the clinker and cement volume for the quarter and the year I am so sorry I missed it?

Management: Yes we can give you that cement sales is 91.16 lakh ton.

Management: That was last year and this year it was 102.05.

Management: So, this year means the year which we have closed was 10.2 million ton and last year it was 9.1 million ton so 12% growth and clinker last year was 9.78 lakh ton and last year it was 5.53. So, this is a growth of about 43%.

Navin Sahadeo: And this year you said for cement sales we have a target of 19% volume?

Management: 19% growth this is what we have taken as part of our businesses.

Navin Sahadeo: Second question was about prices like so far into the quarter almost done with May, so directionally the pricing trend are we down versus March so far into the quarter or we will be higher?

Management: So, this quarter I think prices are more or less flattish so there is increase as such. I think some market if you go to micro market there is some reduction as well I would say some reduction, but definitely no increase, there will be some reduction.

Navin Sahadeo: And would it be more in trade or because typically like there is a decent gap between trade and nontrade, so will it be both or non trade has slipped more?

Management: Typically, it happens both ways trade and nontrade because typically there is a correlation between trade and nontrade prices in different geography. So, that moves in tandem.

Navin Sahadeo: My next question was about putty plant capacity that you said is coming up at Alwar, so what is the capacity you are looking at and the white cement for putty will be then sourced locally or are you planning to import it?

Management : White cement we are going to produce there itself. So, we will have mill also for white cement and if at all we want some additional white cement then that will get imported as well.
Navin Sahadeo : Produce itself in the sense the same plant you are saying we have a white cement manufacturing unit also?
Management : Yes we have that manufacturing.
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Navin Sahadeo : What is the CAPEX for this putty and white cement units we are looking at?
Management : Around 65 crore, 70 crore.
Navin Sahadeo : And what is the capacity for putty you said how many lakh tons will that be?
Management : I think putty capacity is about one and half 2 lakh I will just confirm you just give a sec is about 1 and half.
Navin Sahadeo : Meanwhile I could just move on to the next question which is a fuel mix you mentioned 44% is petcoke for the quarter and you said the balance is 40% coal , so that balance 40% is imported coal or domestic coal?
Management : So, this is combination like in Eastern part of India we have all domestic and in Northern part of India we have imported.
Navin Sahadeo : So, if we just to get the cycle better because East I think we could be closer to coal mine, so is it fair to assume that in East bulk of the consumption is domestic coal and then in North bulk of the consumption is petcoke ?
Management : I will further modify this so 100% is domestic in East and 100% imported in case of North .
Management : And you are right in Eastern market coal is more as compared to the Northern plant means Sirohi plant where 65% is almost domestic coal and here 60% is imported petcoke in Sirohi.
Navin Sahadeo : And just one last thing I will confirm you said that the cost of fuel I mean in Kcal term it is going down from 2.42 to 2.31 in Q1, so we are roughly let us say looking at a cost saving of Rs. 60, Rs. 70 per ton?
Management : Yes around that.
Navin Sahadeo : So, that also means the prices being flattish to marginally down that also means that prices being flattish to marginally down huge benefit is there , but we will not have the operating leverage benefit because typically June quarter volumes are lower than March though on a year on year basis it could be growth, so your staff cost and other expenses typically on a per ton basis could be higher, so June quarter EBITDA per ton directly at least could be lower as compared to March, is that a safe thing to look at this point in time?
Management : Yes I think price wise going to be flattish a little lower and we will have some leverage on account of this. So, more or less flattish kind of thing that is what we see.
Navin Sahadeo : And look forward to more improvements on trade, percentage and all the other initiatives that you have mentioned I really forward to hear more progress on that front?
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Management : So, on putty plant I think is about close to 1 lakh ton of capacity.
Moderator : Thank you. Next question is from Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi : First of all, could you give the clinker production for Q4 and FY23?
Management : Clinker production you want.
Rajesh Ravi : Consol ?
Management : Full year.
Rajesh Ravi : Full year and for Q4 also?
Management: Clinker production in this quarter was 17.28 lakh tons and for the year as a whole it was 67.16 tons.
Rajesh Ravi: I would believe your clinker utilization would be close to peak now?
Management: Yes almost full 100%.
Rajesh Ravi: The volume growth that you are looking at 19% cement volume growth this year for this if could understand that 5 lakh ton clinker which is sold in FY23 that may get converted into cement that will be a major price and is it fair to understand that because your new clinker line will be available by end of Q3 will have some surplus clinker coming in maybe Q4 from Udaipur?
Management: Yes you are right it will be available in Q3.
Rajesh Ravi: And second when you say that you will be inching up to 1,000 per ton and given that is it Q4 and Q1 also you are not looking at margin improvement versus Rs. 700 odd that we have delivered in March and so what are the levers you are looking at whereby your full year number could inch up to Rs. 1,000 for FY 24?
Management: I think I just mentioned a gentlemen who asked this question this is about Rs. 300 closed more than half around 70% is going to come from top line improvement which is about

premiumization , segment mix, Geo mix or some of the levers like direct dispatches. So, price I think price positioning which anyway we have already start

ed working on it is about 60% is

going to come out of that and the second important lever is logistics wherein one is lead reduction, warehouse distribution, optimization and technology usage. I think from there also we are planning to have at least you know Rs. 70, Rs. 75 and third major contribution is going to come from our plant efficiency and the major element out of that plant efficiency is AFR or the alternate fuel which we are going to use because we are setting up capability also at our locations So, that is the third one which is going to contribute towards inching towards Rs. 1000 EBITDA.

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Rajesh Ravi: So, you mean that it will be a granule move from Rs. 700 odd to Rs. 1,000?

Management: Right.

Rajesh Ravi: But given that this premiumization and this lead distance reduction they would take by which quarter three quarter, four quarter or eight quarters what is the timeline that you are looking at because last three quarters margin which we see have been largely flattish between Rs. 650 to Rs. 700?

Management: I think we gave a plan of about 18 to 24 months that is what we are sticking to. Some of the actions which we have taken will take some time to get realize and little bit let us say I would say market support I think all those actions will further abstain . So, I think that plan is still intact. So, 18 to 24 months that is what we promised last time that we are working on.

Rajesh Ravi: So, 18 to 24 months from now?

Management: Out of 24 months you take out 6 months two quarters.

Rajesh Ravi: So, is it for FY25 you are targeting close to a Rs. 1,000 margin and of which 60% would come in from top line improvement and rest we have lead distance and other productivity and this white cement plant which you are saying when you said that you are setting up a captive mill it is in a grinding mill or even setting up a kiln for white cement?

Management: No, it is a grinding one.

Rajesh Ravi: You will buy clinker from market and ran at your factory?

Management: So, different sources and import is also one of this thing.

Rajesh Ravi: Also sequentially this quarter from last quarter your fuel prices have come up by 12 to 13 paisa quarter -on-quarter, so why have they not reflected into margin improvement sequentially because that would have added some number because this quarter we have healthy volumes also so it is an operating leverage plus fuel cost savings, but they have not percolated into margin improvements sequentially?

Management: Basically you are right that has not resulted in because in this quarter despite they are being volume increase as you rightly mentioned stock and trade has been higher in this quarter. So , that is the result it is not fully reflected in the margins, but it is flattish on that bound.

Rajesh Ravi: Just for this purchase and stock of trade which is the only grinding unit is what we would be referring to?

Management: We do have an arrangement within East UP , we have made that arrangement that is your contributor for that in the current quarter.

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Rajesh Ravi: So, that clinker availability is done by you?

Management: We supply the clinker to them and buy the cement.

Rajesh Ravi: And this clinker sale which you reported 5 lakh or something that does not include the clinker sold to all these units?

Management: No, that does not increase.

Management: We have started avoiding that double counting .

Rajesh Ravi: And possible for full year what was the traded volume you bought from these all these units?

Management: About close to 2.5 lakh tons.

Moderator: Thank you. Next question is from Uttam Kumar Srimal from Axis Securities number. Please go ahead.

Uttam Kumar Srimal: Sir any RMC plan that you are helping to set up?

Management: Yes, I think we do have plan and

and as per our strategy sector power RMC plant in the areas where we operate we are in cement, for instance, I think we have put up two plants in Gujarat, Bhavnagar and another plant in Baroda. We are setting up another plant in Sonapat is in the NCR region and Lucknow, Raipur also we have planned to put up our RMC plants . We do have plans

to set up RMC plants in the market where our cement availability is there and we find a good synergy between our different product lines.

Uttam Kumar Simal: One more question sir this year we have done EBITDA turnover of around 55, so what kind of EBITDA ton we are looking in FY24?

Management: Sorry can you repeat your question please.

Uttam Kumar Simal: This year in total we have done EBITDA turnover Rs. 65 so in FY24 what kind of growth we are looking at this?

Management: I think it is not very clear.

Management: EBITDA is close to about Rs. 700 this year.

Uttam Kumar Simal: So, what kind of growth we are looking at in FY24?

Management: On the EBITDA front you are asking.

Uttam Kumar Simal: Yes.

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Management: I told you I think we do have plan to go closer to Rs. 1,000 by FY25 and we do have plan working on top line logistic area and operations areas. So, yes we do have plan and if we look at budget then I think we are taking a growth in EBITDA as well exact number we will give you little later what kind of EBITDA target we have kept, but definitely I think we have taken a growth over whatever we have this year.

Uttam Kumar Simal: So, actually sir we are looking at Rs. 800 per ton in FY24?

Management: Yes, definitely that much I think we would be looking at.

Management: Basically, the gap is Rs. 300 and out of that as we mentioned earlier 60% will come by FY24 by the 4th Quarter and balance will come in the first two quarters of FY25.

Moderator: Thank you. Next question is from Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia : So, my first question is with respect to one of the previous questions on Sanghi cement I just want to understand where has the divestment process reached and given our interest I mean how does it fit into our strategic priorities and our plan to reach 30 million tons over the next 5 years, 7 years?

Management: Our plan is to go up to 30 million through our organic growth only. We will be close to 18 million once this Udaipur expansion comes in and then 18 to 30 will be a journey of 12 million ton which will be partly done by Brownfield 3 million tons that Udaipur and then the two mines which we have recently been allotted in Nagor and Kutch. So, 3 million each year those two sides Greenfield expansion. So, that is where we are, but yes we are always looking for opportunities in organic way also if it comes as I mentioned to Mr. Kamlesh question if comes at the right price.

Sumangal Nevatia : Sir where are we in terms of timeline for these divestment process and have we done the due diligence etcetera?

Management : I am not aware of the divestment process and what is going on and we have not done any due diligence is over.

Moderator : Thank you. Next question is from Mudit Agrawal from Motilal Financial Services. Please go ahead.

Mudit Agrawal : Sir I have three questions number one is about the green bond we are about to issue of 2 billion for the green project, can you please highlight which green project we will be taking on these funding and second question is you have mentioned about the Palanpur grinding unit, so what is the capacity of this Palanpur grinding unit and from when this plant we are using as all the arrangement?

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Management: To answer your first question regarding the green projects as we mentioned last time also we have taken up several green projects for implementation. One is waste heat recovery project of

debottlenecking it and adding about 3.5 to 4 megawatt. Second is the increase in the TSR and the usage of the AFR. So, there it is being gradually increased the TSR from 4% to 16% in phases then we also tied up through under the captive mode 40 megawatt of solar power for our door Durg facility and we are also planning another 7 megawatt of solar power at Sirohi. All these projects would entail an investment of close to about 200 to 250 crores for which this fundraising through green bonds of 200 is envisaged. Now regarding Palanpur what was that question exactly?

Mudit Agrawal: Sir from when this Palanpur grinding unit we are chasing and what is the capacity of those grinding unit?

Management: So, Palanpur grinding station which is outsource is of small capacity about 15,000 to 20,000 ton a month, but good thing is that falls into our main market of North Gujarat. So, in a way we have

been using this plant occasionally before. Once we have clinker capacity then we will use this full-fledged and the output would be about 15,000 to 20,000 ton a month.

Mudit Agrawal: And up to what period this arrangement we have made.

Management: So, there is no I think as and when basis kind of we have not entered into a some kind of permanent agreement. So, I think on and off we have been using and once we have this capacity the same way because in a way they have promised us to dedicate this plant to us once clinker is available with us after all. They are with us occasionally before we do not find any issue even after that.

Moderator: Thank you. Next question is from Shravan Shah from Do lat Capital. Please go ahead.

Shravan Shah: Sir, this TSR you mentioned that by December we are looking at increasing to 10% and 16% we will reach by March, June?

Management: No 16% I think Phase -2. So, Phase -1 we are through with the Phase -1 part of it to 10% and somewhere I think end of this calendar year we will reach their October, November kind of thing and Phase -2 I think that next year that will come 16%. Phase-2 we have not yet started we are just working on Phase -1.

Shravan Shah: Second sir Bidkar sir has mentioned that for all the solar and every thing we are looking at this 200, 250 CAPEX, so just to come back to the main question in terms of the CAPEX at the consol level for FY24 and 25 how much one can look at?

Management: It will be about 200 crores in the company main company JK Lakshmi and as I mentioned about 500 crores of the expansion CAPEX they are in UCWL in FY24.

Shravan Shah: And for 25 at JK Lakshmi would be the similar 150, 200 crores?

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Management: Around that 150 or so.

Shravan Shah: And sir you mentioned previously last time I think we mentioned that railways siding at Durg so if that comes then we can think of first prioritizing the North expansion at Durg or the Nagor Rajasthan and then we can look at Kutch Gujarat. So, that remains the same thing and because you mentioned 3 MTPA at Durg and Udaipur so that is the same thing?

Management: You are right absolutely once the railway siding visibility is there we will immediately announce the expansion at Udaipur.

Shravan Shah: Sir just to get you the number again so premium we mentioned 11%, but since out of the total volume, but in terms of the out of the trade volume last time we said around 21%, so what was the number for 4th Quarter?

Management: 4th Quarter number was about 26% of trade volume. January we were at 24%, February 26% and March 27%.

Shravan Shah: And road -rail mix would remain the same around 90%-odd would be the road?

Management: Now 90 is about road.

Moderator: Thank you. Next question is Hiten Boricha from Sequent Investments. Please go ahead.

Hiten Boricha: Most of my questions have been answered just one clarification so you mentioned we are looking for about 1

8%, 19% volume growth from consol level or the standalone level?

Management: Consol level JKLC also is at the same level.

Management: Both at JK Lakshmi as well as Udaipur broadly the same plus minus 1%, 2% at each place

Moderator: Thank you. Next question is from Vishal Periwal from IDB Capital. Please go ahead.

Vishal Periwal: I think in the call you did mention like the non trade EBITDA margin that you get in some of the regions like including West it is better than the margins that you get in trade side in the center that you get now is this has any role to play where you are targeting EBITDA margin

improvement Rs. 700 to Rs. 1,000 a ton?

Management: Yes, this has got a major role to play. So, I told you the hierarchy of optimization of levers. So, first goes with Geo mix. Second on then trade optimization and then you have got premium product then segment mix and then so on. The first lever is of course I think optimizing Geo mix irrespective of trade and nontrade where from we get the better margin.

Vishal Periwal: So, basically the NSR that you mentioned is a part of all?

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Management: Correct part of them.

Moderator: Thank you. Next question is from Nishant Bagrecha from InCred Equities. Please go ahead.

Nishant Bagrecha: So, as you have mentioned our plan is to go to around 30 million tons by let us say next 6 to 7 years, so when are we likely to decide on this incremental capital allocation decisions, so any timeline or by FY25, FY26?

Management: As far as Durg is concerned we will do in this current financial year for sure and maybe one year later we will take a call on usable of that. As regards to the Greenfield projects at Nagor and

Kutch we have already started the land acquisition activities at those two places and as you would know we have to first acquire the land minimum some portion of percentage of land and then go for the environmental clearances and all that. So, that process will take its own time. Right now we are focusing initially on Brownfield and to start with Durg in this year and maybe take a call on UCWL next year.

Moderator: Thank you. Next question is from Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo : Sir, previously you just shared the volume breakup for the standalone entity can you also please share the cement and clinker number for the consolidated entity?

Management : Yes sure. In this quarter I am talking of total sale we did about 30 lakh tons UCWL did about 5.92, but on a consol level netting of the inter unit sale total sales cement was in this quarter 31.56 and clinker 2.32 so that makes it on a consol basis 33.88 and similar figure for the year were 112 lakh tons JK Lakshmi is 107 on a standalone, UCWL is 20 so that makes it 127, but net of the inter unit sale it is 118, 12.36 of the cement and 5.79 of clinker on a consol basis netting of the inter unit.

Navin Sahadeo : So, on a consol basis the cement growth is how much sir just one question here?

Management : On a consol basis is 6%.

Navin Sahadeo : Yes that is total but only for cement this 112 number which you gave that was last year?

Management : growth in standalone is 12% and consol 11%.

Navin Sahadeo : Sir one observation I just had was with regards to your receivable they seem to be like at 60 crore as a standalone level this year and last year also just about 34 crore, 35 crore, so compared to the size amongst the lowest in the industry the other peers could be at least if not more 7, 8 times higher than that, so is there anything different that we do here, is it only against advance that we spent or what exactly do we get our receivable at so low and all?

Management : In our standard I think still this is on the higher side let me tell you our plan is to go a little below that and in fact I think on receivable front this all rec

eivable only on account of where from we

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have got BG and LG, otherwise from everywhere we have got our cash back. So, we have a special drive. I think we work quite incessantly and focused manner on receivable on a monthly basis and of course on quarter end I think that focus gets further intensified. So, that is what we do and the team is quite aligned they know what they need to deliver. So, to our standard I think this is on little bit on the higher side.

Moderator: Thank you. Ladies and gentlemen, that was the last question I would like to hand the floor back to Mr. Vaibhav Agrawal for closing comments. Thank you and over to you, Sir.

Vaibhav Agarwal : Thank you. On behalf of PhillipCapital (India) Private Limited we like to thank the management of JK Lakshmi Cement for the call and many thanks to the participants joining the call. Thank you very much, Sir. You may now conclude with the call.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of PhillipCapital (India) Private Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines. Thank you.

Call: Jul 2023

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JKLC:SECTL:SE:23
29th July 2023

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Mumbai – 400 001 Mumbai – 400 051
Security Code No. 500380 Symbol: JKLAKSHMI, Series: EQ
Through: BSE Listing Centre Through: N EAPS

Dear Sir/ Madam,

Re: Conference Call organized by PhillipCapital (India) Pvt. Ltd. on 28th July 2023 at 4:00 P.M. IST

In continuation of our letters on the above subject, attached herewith the transcript/minutes of the aforesaid conference call. This is for your information and record.

Thanking you and assuring you our best co -operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

"JK Lakshmi Cement Limited Q1 FY24 Earnings
Conference Call"

July 28, 2023

MANAGEMENT : MR. ARUN KUMAR SHUKLA – PRESIDENT &
DIRECTOR , JK LAKSHMI CEMENT LIMITED
MR. SUDHIR BIDKAR – CHIEF FINANCIAL OFFICER , JK
LAKSHMI CEMENT LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

JK Lakshmi Cement Limited
July 28, 2023

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Moderator: Ladies and gentlemen, good day and welcome to the JK Lakshmi Cement Q1 FY24 Earnings Conference Call hosted by PhillipCapital (India) Private Limited . As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' then '0' on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited . Thank you and over to you, Mr. Agarwal .

Vaibhav Agarwal: Thank you, Melissa. Good evening, everyone. On behalf of PhillipCapital (India) Private Limited , we welcome you to the Q1 FY24 Call of JK Lakshmi Cement. I need to highlight that JK Lakshmi Cement is also the holding company of Udaipur Cement Works Limited and therefore this call is also open for discussion about the performance of Udaipur Cement Works Limited .

On the call , we have with us Mr. Arun Kumar Shukla - President and Director and Mr. Sudhir Bidkar - CFO of JK Lakshmi Cement. I would like to mention on behalf of JK Lakshmi Cement and its management, that certain statements that may be made or discussed on this conference call may be forward -looking statements related to future developments based on current expectations . These statements are subject to number of risks, uncertainties and other important factors which may cause actual developments and results to differ material from the statements made. JK Lakshmi Cement Limited and the management of the company assumes no obligation to publicly update or alter these forward -looking statements, whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of JK Lakshmi Cement for their opening remarks which will be followed by interactive Q&A. Thank you and over to you, sir.

Management : This is Sudhir Bidkar from JK Lakshmi along with my colleague Mr. Arun Kumar Shukla, welcoming you for this Q1 FY24 call. You would have seen the results and we don't have any comments to it other than that we will throw the floor open for question and answer , so that we can take maximum questions.

Moderator : Thank you. Ladies and gentlemen, we will now begin the question and answer session. We have the first question from the line of Shyam Sundar Sriram from Franklin Templeton. Please go ahead.

Shyam Sundar Sriram : We had highlighted in our press release , clinker capacity utilization almost touching 97% and the cement utilization at 85% , with such strong utilization and our Geo Mix strategy , it appears our operating performance could have been better , so in this journey of improving EBITDA that

we have embarked on, what according to you could have been better on the realization cost front and where lies the scope for EBITDA improvement?

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Management : Good evening to all of you. I am Arun Shukla from JK Lakshmi Cement . Yes, I think couple of points , I think you could have done better because if you look at volume which is alright, our AFR realization also looks alright, which is in line with what others are doing . But 2-3 points where I feel we would have done better of course , first better volume and I think we have some headroom right , so 85% capacity utilization of cement, so we could have done better on volume , one. Second is we could have done better on operating cost, which is a little bit higher, right, and third , I think if I am looking at what others have published till now, employee costs . I think these are the three elements we feel I think we have gone little away.

Shyam Sundar Sriram : Sir, as you talk about volumes, which regions, if you

can share some regional perspective

between North, East and West, which were some regions from our utilization, how were the utilizations in these regions for us, any perspective that you can share and how that has improved either sequentially or year-on-year or declined that would be helpful to understand, sir?

Management: I think our peak utilization is about 90% and the North , West part of it I think it is lower than 90%, overall is 85% . I really give you sense as to where we could have done a better volume , I think in West because as I told you during my last call also that we have our new firm Geo Mix strategy wherein we plan to sell more in the areas where our realization is better and if you recall, I think we suffered a setback on account of the Biparjoy cyclone which happened in Gujarat during latter part of quarter right and in the month of April also and March end , there was Holi and there were labor unavailability in part of Gujarat because during post Holi is little higher than other part of India. I think there I could have done better volume than what we do normally. What we have done last quarter and also I think different parts of India because post this cyclone, in fact, Rajasthan was also impacted quite heavily. There also I think our volume went down and if you know hands on volume is about 25% in North and Western part of India. So, I think that is what has impacted our volume growth . Just to give you a sense , whatever information I am having, we have done better than industry . As per my estimation, I think growth is about 16% in Eastern part of India and we have grown more than 16% , but in case of North and Western part , West alone if you take then there we are in line with industry , but central part of India, which is in our case Rajasthan and Western part of MP, we are poorer than the industry. So, that is what the impact is because if Northwest volume goes down, then overall volume goes down , one and this also impacts our realization because realization in Northwest part is better than (Inaudible) 7.12. So, I think I would say the regional nuances which impacted our performance in quarter one of this year .

Shyam Sundar Sriram : So, as we look forward, while I understand this since we are getting into a seasonally weak quarter with the monsoons setting in, but post that, do we anticipate this situation to get remedied as we get into Q3-Q4?

Management: Yes, for sure, I think this is just most phenomenal and being kind of too heavily on North and West that was natural way, right , but I am pretty sure this is the most phenomenal we are going to just come back to original sense .

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Shyam Sundar Sriram : Sir, on the operating cost other than the employee cost, we leave aside the staff cost, where else do we think there lies some scope for betterment?

Management: I think we could have done little better on our WHR I think, because we add one breakdown in one of our plants , so waste heat recovery production was lower than last year. That is one area that we could have better, but unfortunately I think we had one breakdown that impacted our power cost a little bit. One area actually I think is which we need to really work on going forward. Apart from that, I think power and fuel we have done alright in line with industry , in fact, better than some of the peers who have declared their results so we are better than them, but the power and fuel I think is going to give further maybe levy going forward. We are planning in that part. Power cost per say we are little bit higher because of the reason I told you lesser WHR production. So, this is what it is I think in summary.

Shyam Sundar Sriram : Sir, on the capacity expansion post the UCW expansion that is underway, is there an inorganic strategy as well? If so, what are some

wide spaces from a regional mix that we would like to

address and your thoughts on the upper bound on valuations, if you can share on those aspects?

Management : After UCWL expansion, which our capacity will be close to about 18 million tons and we have

the vision of going up to 30 million tons as we mentioned in our earlier calls also and that gap between (Inaudible) 10.05 to Brownfield and the Greenfield expansion. Brownfield can happen at the (Inaudible) 10.12 and then followed by another line in Udaipur and as we mentioned in the past con calls, we have two mines recently been awarded one in Nagaur in Rajasthan and Kutch in Gujarat. So, those Greenfield can take us to 30 million tons by 2024.

Shyam Sundar Sriram : Sir, I was more trying to understand if there are any thoughts on inorganic acquisitions, which is also part of this and if so, how would we think on the evaluations there?

Management : We have plans to reach the 30 through the (Inaudible) 10.49, but like we always evaluate that always if it comes at the right valuation, we will evaluate.

Shyam Sundar Sriram : And what would be the upper bound, sir, for such valuations, anything internally that you would think of and you can share?

Management : But there is no limit as such, it has to make synergical sense to us. That is all.

Management : I think one thing which we see is strategic fit because we are not going to grow (Inaudible) 11.23 comes under way. That helped to make sense and what Mr. Bidkar has to really add, value and the right value (Inaudible) 11.32. So, these are the two primary criteria which we applied.

Moderator: Thank you. We will take the next question from the line of Prateek Kumar from Jefferies. Please go ahead.

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Prateek Kumar : My first question is on your guidance. Last quarter we discussed targeting around 19% volume growth and Rs. 1,000 EBITDA per ton by the exit of this year, where are we in terms of that?

And after a week first quarter results, would we want to revisit the guidance?

Management : Yes, so I think this is what the target we have taken 19%. Typically, I think the one used to be always good, but I told you in our geographies, I think we had some unprecedented situation. I would say, the cyclone and little bit longer layout forcefully. So, that impacted this thing, but still I think we hold on to our volume growth what we planned at the beginning of the year. There is no revision as such.

Prateek Kumar : I was asking that with high utilization both of cement and clinker specially clinker, how do you plan to achieve the guided volume growth?

Management : So, UCWL will be taking out the clinker from October this year. I said during last call also that one I think we are going to use clinker, some of the grinding, still we have that another 10% capacity, I think headroom. So, that is one. Second, we do have some tie-ups with external parties where from we can grind cement and we do have some tie-ups and even now also we take a little bit of volume out of that, so that grinding capability will complement with outsourced units, which we have already tied up, second. So, these are the two, I would say levers that we are going to use to reach to that level of growth, which we have envisaged for this year, our own grinding station capability utilization and second outsourced utilization out of the clinker which we are going to produce from Udaipur Cement Works.

Prateek Kumar : And what is the runway of our unit EBITDA from current quarter Rs. 610 to Rs. 1,000 by the end of this year?

Management : So, yes, I think Rs. 1,000, this is what I think our plan is and all actions which we have kind of put in place is internal, and we are moving I think in the right direction in terms of Geo Mix, we have kind of moved in the right direction. I think I to

Id you that high realization area 75% volume

we are selling now which used to be about 70:30 in favor of Northwest before, now it is 75:25.

So, there we have moved very well. Second, I think within the regions also we are optimizing our volume. So, let us say within Northwest the areas where I think Western market where we get you know better realization, so selling more volume in that area and within North wherever I think those markets which are closer to our plans and remunerative we are going to sell volume, so that I think we are doing alright. Second lever, I think I mentioned you on premium product.

So, we are progressing very well. Now we have reached to about 26-27% of premium product which was last year we closed at about 21%-22%. So, there also we have improved very well.

So, that is second. Third was a blended, I mentioned you that we want to go to about 75%. We have reached to about 66%-67% now and that is because of the higher volume in Western market which is predominantly OPC market. So, that is what the reason is, but still I think we are working on reaching to 75% of our blended cement volume and next I think on lead and other supply chain efficiency, which we had envisaged, so that we are working on, we are using technology OTM, Oracle Transport Management we have deployed recently and that has started

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giving benefit now. So, probably in coming quarter, I think we will get benefit from logistics end also. Another thing which I mentioned before was that we are working on AFR, alternate

fuel capabilities at different plants. Probably, I think I am sure that by October we will be commissioning our AFR capability at Sirohi and our plan is to take our TSR from currently 4% to about 10% very quickly once I think that facility is there. So, that is another action which I told all of you before. And of course I think we are coming up with AFR capability at our Udaipur Cement Works Limited as well. We are putting up some improvised capability at our Durg plant with very low CAPEX. So, that is also going to give us the benefit in terms of increasing our AFR. So, these are the actions which we are taking. Some of the actions I have already where I would say partially rectified and some of the actions I think will get realized in coming months. One of the examples is AFR capability which we are going to commission at Sirohi in the month of October. Parallely, we are also working on renewable energy. I told you that within a captive mode, we are putting a 56 MW solar power plant in Durg with the third party with 26% equity from our end. So, that is also going to get commissioned in the month of October. So, all these things put together, I think I feel that we are on right track and we will hit that target which we have set for ourselves to achieve Rs. 1,000 EBITDA. When I spoke to you about six months back, that timeline was two years. So, still I think 18 months are there and we will reach there.

Prateek Kumar : One more question on your capital enabling resolution for Rs. 2,500 crores of capital, so by what time period we are looking to utilize this capital and is there a time lapse for this?

Management : There is no time lapse. Once we have taken that enabling resolution, we can do the fundraising within a year.

Moderator : Thank you. We have the next question from the line of Kamlesh Bagmar from Lotus Asset Managers. Please go ahead.

Kamlesh Bagmar : Sir, with regard to this enabling resolution Rs. 2,500 odd crores, so like I know we are in active discussion for Sanghi Cement's acquisitions, so like so based on that enabling acquisition, it suggests that we are looking for around Rs. 4,500 to Rs. 5,000 odd crores acquisition or consideration assuming like say Rs. 2,000 crores debt at Sanghi, so like say, what is the thought process

there? If we are positive or if we succeed to get that particular asset, then what about the organic expansion because if you see North East market, we are the smallest player there like say, all the players who added capacity at your time, when your plant came in Durg, all have almost are at around 3X of their capacity, so there we have not expanded capacity and at Udaipur also we are looking at the second line, so what is the progress or what is the thought process there because if we go for this particular Rs. 5,000 or Rs. 4,500 odd acquisition, we would be starve of the capacity of the funds to fund our organic expansion really if you can share some thought process on that particular part?

Management: You are right, Kamlesh that we have not grown that much as others have grown in the Eastern and the reason which we have been saying for quite some time has been that due to the non JK Lakshmi Cement Limited

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clarity on the railway siding, we have not been able to expand our capacity. Now, the good news which we would like to share with all of you is that finally we have got the approval for setting up the railway lines. Whatever were the impediments, those have all been cleared and the approval is in place, so that gives us an opportunity to expand at a fast pace with the railway siding in place in the eastern region and reach out to the markets which are having high realization mark with the movement of clinker through the railway sidings. That should be in place in about 9 to 12 months' time, now that the approval is in place and the visibility of that coming up in the near future is quite clear now. Yes, that was the reason as to why we have not been able to grow and yes, then once we complete this UCWL expansion, then there could be a possibility of another Brownfield there that coming in. So, you are right to that extent that we have fallen back, we have not been able to grow in the East as fast as others have grown, now that clarity has come, we will be in line with the growth of the other players.

Kamlesh Bagmar : But if this Sanghi acquisition goes through and then how this coal organic expansion will shape out because entire capital would get blocked there, so how would we grow our organic expansions because honestly, like say, Rs. 4,500 crores or Rs. 5,000 crores is pending at that particular inorganic acquisition, let us say, Gujarat would be around 50% of your capacity and on top of that, there are no good backup plans in case of Sanghi for that movement to the Western like say Maharashtra or the Mumbai market, you would have to expand spend another Rs. 500 to Rs. 600 crores over there, so how we are looking at that because for the size of us, we should only be focusing on the organic expansion?

Management: We are focusing on the organic expansion only. Inorganic, we evaluate the quantity and if it comes at the right cost and make synergical sense, we do take into account, but our focus has always been in the past also on organic growth only.

Kamlesh Bagmar : And lastly, on the like say for last three-four quarters, we have been so upbeat or like say we have been so vocal about this Geo and Geo Mix and then optimizing our NFR, but honestly for

the last three quarters, it is nowhere visible like if I compare it with all the peers, be it East or the Gujarat market, they are way a head of ours in terms of margin, like so on the consolidated margins we have done hardly around Rs. 615 and like say the gap with our all other players, now that has expanded to around Rs. 300-Rs. 350, so what is happening on that particular part because if we are impacted by this whole storm or the flood, all our other players are also impacted. If you see Shree Digvijay Cement, their volumes have increased by around 18% year over year, while in our case like we have expand

ed, our growth is hardly around 5% year over year ?

Management : What Kamlesh, you are saying is absolutely right that we have been talking much on that bridging the gap, but barring this quarter, especially this quarter has been pretty bad for us. We were able to bridge, if you see our gap between the peers, we were able to narrow it down from almost Rs. 500 plus to close to about Rs. 200. This quarter was a setback for us. You are right that the rains and cyclones impact everyone, but for us it was slightly different in the sense that it hit two regions, which account for almost 70% of our sales, Rajasthan and Gujarat. So, that was the reason as to why while others were able to balance it out with the increase in sales from

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their other regions. For us, there was no backup from the Eastern or the Northern side. The impact has been severe for us more than other players because of Rajasthan and Gujarat accounting for almost 70% of our sales, but we are confident that going forward we will be able to again bounce back and bridge this gap. Your concerns are well founded that we have been talking big and not have been able to deliver, but barring this bad quarter, which unfortunately was for external reasons, we are quite confident we will be able to bounce back and bridge that gap going forward, as Mr. Shukla has explained in detail on various parameters through which we will be able to narrow that gap and reach that magic figure of at least four figures of EBITDA in about 12 months' time, 12 to 18, whatever we have projected.

Moderator : Thank you. We have the next question from the line of Shravan Shah from the Dolat Capital. Please go ahead.

Shravan Shah : Sir, just to reconfirming when we are saying the 19% volume growth, so this is on the console volume that we have done in FY23 on that we are seeing the 19% growth still we can achieve ?

Management : Yes, over FY23 only.

Shravan Shah : So, that means for next 9 months, the ask would be a 23% plus kind of a growth that we have to do, so just to reconfirm at least in June-July, have we seen that kind of run rate, that kind of growth ?

Management : That is what we are trying. I think arithmetically, we cannot put on a pro rata basis because July, August, September are typically lean months and I told you that October, we are going to have clinker also in place right and from October, I think we will have a good impetus on volume growth because we will add clinker, that 97% clinker utilization we have already done and grinding is about 85%. So, once I think clinker is available and we have grinding capability which is available at different locations, we will like hit that. Maybe I think growth rate is going to be much more beyond October, but July, August, September typically I think low months. So, definitely we will do better than others, but I would not say that we are going to kind of run at the rate of 23%.

Shravan Shah : And second aspect in terms of the though definitely Bidkar sir has mentioned in the previous reply, Rs. 1,000 EBITDA that we are reiterating to reaching next, let us say 18 months for this year, considering the first quarter, broadly, just trying to understand in terms of the on full year FY24, last time you said close (Inaudible) 28.23 broadly where one can see on the full year FY24 we can look at ?

Management : So, I think I will let you know. I think we are not ready that what is the landed kind of EBITDA by the end of the year, but maybe I think I will let you know.

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Shravan Shah : Sir, I need many data points for this quarter, so just starting with, if you can share the console standalone clinker sales, then trade share for this quarter, lead distance for this quarter, rail mix for this quarter, gross date and c

ash standalone and console as on June?

Management : I will start with the reverse order. The debt numbers, standalone, our debt as of June on a standalone basis, Rs. 770 crores and on a console basis Rs. 1,950 as of June and the cash balance about Rs. 900 on a standalone, Rs. 950 on a console basis. To answer other questions regarding the sales, you had asked about the rail-road mix and ...

Management : I think we are very heavy on the road, about 10% is rail and 90% is road.

Shravan Shah : Trade share for this quarter, sir?

Management : So, trade is quarter 55%.

Shravan Shah : The same because we for last three quarters, we were saying that we want to reach to 60% and in last call we said that in March we reached to a 60% but ?

Management : We are not being bothered about trade, nontrade, we are focusing more on, as we have been explaining on the Geo Mix. If nontrade in the certain market is higher than the trade in the other zones, obviously we will sell more in nontrade. So, that was the reason. So, Geo Mix is a better parameter for us, anything which adds to the ultimate EBITDA. So, we give priority to Geo Mix than to trade, nontrade. Ultimately yes, with even in particular market that nontrade is higher, our focus will be to focus trade, their trade and nontrade and then go to our market where the trade is lower than the nontrade of the high price market.

Shravan Shah : Sir, lead distance, non-cement revenue and then finally the volume clinker sale standalone and console ?

Management : Lead distance is about 400 overall.

Management : Overall is 400 kilometers.

Management: 430 odd in the Northern side and about 300 in the Eastern side, and about your clinker sale, we have done a total clinker sale of about 2,00,000 tons out of the total in this quarter of 32,00,000 tons, 2,00,000 is the clinker sale.

Shravan Shah : Non-cement revenue and RMC revenue for this quarter?

Management : You are doing a very detailed analysis.

Management : Rs. 133 crore is non-cement revenue.

Shravan Shah : Rs. 133, sir?

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Management: Rs. 133 out of which Rs. 63 is the RMC.

Shravan Shah : Rs. 63 is RMC and broadly in terms of the margin for that last quarter it was 5% for non-cement revenue, so will it be the same or has it improved?

Management: It has fallen to 4%. On the sale of Rs. 133 crores out of the total sale of Rs. 1,633 crores, so about 1500 is our cement sales and 133 is the non-cement sales and on the non-cement the operating margin is 4%.

Moderator: Thank you. We have the next question from the line of Parth from Investec. Please go ahead.

Part h: Sir, I had a few questions. So, the first one is on that, you mentioned earlier that we won few leases in Gujarat and Rajasthan, so wanted to understand like what is the reserve size like? What is the premium paid over there and by what time do we plan to exercise this growth optionality?

Management: The premium etc. is a little slow. You can see I don't have the figure readily available, but it has not been exorbitant premium which we have paid. It has been almost a year that we have acquired those mines. That is number one. Number two, we are focusing initially on the Nagaur mines in Rajasthan. We have started the land acquisition process and Kutch will be after some time.

Part h: And so what are the reserves?

Management: Reserves also will let you know separately, but that is all in public domain. We don't have the figure right now with us in the call, but I think the both the data on the premium at which that those mines have gone as well as the reserves available are in public domain. Still you can send a mail, I will respond to that. I don't have any available here.

Parth: Sir, this Rs. 2,500 crores that you are planning to raise, this would be used for organic and inorganic expansion?

Man

agement: Yes, it is an enabling resolution because if we have to grow organically or inorganically, we don't have to rush back either to the shareholders or to the board for that approval. It is enabling and we have the levy of doing the fundraising in about a year's time. We are not doing it tomorrow.

Part h: And sir, there is one question on related party transaction, so if I look at H1 FY23 numbers that you have shared, in that there is a number of Rs. 300 crores which is under purchase of cement, so this is pertaining to what exactly?

Management: Rs. 300 crores, sorry, come again.

Part h: There is a number of Rs. 302 crores under the purchase of cements and others, so this would be pertaining to what?

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Management: Just give me a second. Purchase of cement, purchase of stock and trade is there.

Part h: Purchase of cement under related party transaction 3019 is the figure?

Management: You are talking of which report you are reading?

Part h: This is related party transaction that you have disclosed on H1 FY23 basis?

Management: Yes, that is basically the normal purchase of clinker or the cement purchases which we are doing from our subsidiary Udaipur Cement Works Limited .

Part h: Can you help me with the clinker and cement volume like both in value and volume terms related to this transaction? Is it possible?

Management: Yes, this would be primarily cement which we are sourcing from Udaipur, it is about 2.35 lakh tons in this quarter . I will explain it . JK Lakshmi on a standalone basis, I have done total sales of 29.25, you can note down . 29.25 is the total sales of JK Lakshmi in this quarter on standalone basis, right ?

Part h: Right.

Management: Which includes 27.64 of cement and 1.61 of clinker, right?

Part h: Right.

Management: And you add there to 5.15 lakh sales of UCWL. That again, breakup you can note down , out of 5.15, 4.71 is cement and 0.44 is clinker, right?

Part h: Right.

Management: So, the total of JK Lakshmi 29.25 and 5.15 is 34.4 , but in the consolidated we are reporting 32.05. So, the difference between the summation and the consolidated number is the inter unit sale of 2.35 for which that 300 odd figures you are talking of pertains to the related party transaction of the inter unit sale of cement within JKLC and UCWL which is knocked off in consolidated numbers . So, on consolidated basis , it is 30,00, 000 tons of cement and 2.05 lakh tons of clinker, making a total of 32.05.

Part h: And this would be all cement?

Management: That is all cement , but going forward, as we see the production from the clinker line of UCWL started coming in from October, there will be increase in the clinker sale from Udaipur to JK Lakshmi in the third and fourth quarter.

Part h: Until the time grinding unit at UCWL comes up ?

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Management: Yes, you are right. That is still maybe 6 to 8 months away from their Clinkerization line. So, till that time their grinding unit comes up, we will be using that clinker for grinding at our locations.

Part h: Sir, would it be possible to share the same numbers for even FY23 like I could write a mail to you and if you can share it over mail?

Management : Full year, I don't have it readily, but you can mail it, I will respond to that.

Moderator: Thank you. We have the next question from the line of Amit Murarka from Axis Capital . Please go ahead.

Amit Murarka : Just wanted to clarify the target of Rs. 1,000 per ton is including the fuel cost benefit that you are seeing or it is excluding that?

Management : As I told, I think this is excluding right , all internal efficiency because we wanted to bridge that gap of about Rs. 300 - Rs. 350.

Amir Murarka : So, industry I understand is having or estimating like a Rs. 300 cost benefit from foreign fuel costs ,

so then basically we should expect 1300, right? Is that understanding correct?

Management : So, I think our estimation is a little lower on fuel cost for this thing because we are already there at about 2.3 now around, right , so maybe if you have recent cost, it started going up. I don't think 300 headroom is there for fuel cost , this is what my estimation is.

Amit Murarka : But whatever industry will get basically additional over and above 1000 ?

Management : Yes.

Amit Murarka : So, earlier , I know you had given a road map for reaching 1000 , like it has been, I think, almost a year since we had spread out the road map , so how much progress do you think we have made on Geo Mix and other aspects around cost and all?

Management : That is what I was trying to explain that on Geo Mix, we have been able to optimize to an extent about close to 75% of volume in North and West part of our geography and within North and West, I think then core areas. So, that is one . Second on premium product , we have improved quite a bit. So, we have gone to about 37%. So, this is second. Third, I think I told you that logistics using technology, if you can take some advantage and revisiting our distribution network , so that project is in progress. So, probably I think we will get this benefit in coming quarters and third was on alternate fuel capability, which we are setting up at Sirohi and some kind of improvisation at Durg, capability at Udaipur, so this is what I think progress we are making . Some of these actions which I explained to you before are work in progress. So, maybe another 3 -4 months ' time those some of the actions will get rectified. Then we will start getting benefit out of that. We are also working on renewable energy as to how we are going to improve our renewable energy proportion in our total consumption. So, right now we are close to about

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30%. Our plan is to go to about 37 % to 40%. So, for that we are setting up 56 42.15 MW under captive mode in East and another 7 MW at Sirohi. So, these projects also will get concluded in the next 3 months ' time at Durg and about 3 -4 months ' time at Sirohi, s o that will also give some benefit.

Amit Murarka : But would it be possible to have some numbers around it , because on realization if I am not wrong you had mentioned like 15 0-175 will come from realization , so have we got like maybe 50 to 100 out of that already , like how should we think on numbe r terms on these things?

Management : Definitely , I think we have got out of , I mentioned about 250 plus around on realization , so definitely we have got about you know 50 to 75 out of that a nd if you look at our realization, I think we are almost we are reasonably already placed with the leaders in the industry.

Amit Murarka : And also like on this clinker purchase that you would do from Udaipur, just to understand like how will the cost work on that like purchase cost will, how will the margin s be split basically between Udaipur and JK Lakshmi on that ?

Management: They will be doing it on a cost plus basis.

Amit Murarka : And lastly, any thoughts or clarity around merging UCW L like FY25, FY26 , anytime we can expect ?

Management: Yes, we wi ll be certa inly doing it , once we graduate in JK Lakshmi to the new regime of 25% and for us to graduate, we need to first exhaust the MAT credit outstanding, which earlier used to be Rs. 200 crores has narrowed down to now Rs. 140 o dd crores. So, maybe in a couple of years we will exhaust that MAT credit entitlement and then we can graduate to 25% and collapse the structure, so maybe two years away, may still.

Moderator: Thank you. We have the next question from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi : My question pertains to first, could you share the clinker production at Udaipur

and standalone entity?

Management: Production of clinker in the standalone entity in this quarter, our clinker production was 16.65 lakh tons and for Udaipur it was 3.88 la kh tons.

Rajesh Ravi : What was the fuel cost on console per kilocal ?

Management: Our fuel cost in this quarter on kcal basis was Rs. 2.23 paisa.

Rajesh Ravi : And this was what number in Q4?

Management: And Q4, it was 242.

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Rajesh Ravi : And how are the se even trending in month of July?

Management: In the coming quarter, we expect it to further go down from 223 to 215 or so .

Rajesh Ravi : But why is th e softening you are looking at a very smaller number because petcoke prices and all have come down significantly , so the current spot prices by when do you look them to reflect in your numbers?

Management: Time lag between the cost reduction and its impact in the P&L is ranging between 4 to 6 m onths depending on the inventory which you are carrying. So, eventually it will come, but based on the inventory levels in the coming quarter, it will be slightly lower at 2.15 , likely to be that.

Rajesh Ravi : And this 4 0 MW solar capacity which you talked about, this is only installed capacity which is 40 MW, which would have effective 10 MW availabilit y or it is actual 40 MW which you would be sourcing ?

Management: You are right on the install ed basis , based on the PLF a bout 20 -25%, you are right, effective availability could be 8 to 10 MW only , but the big advantage in that arrangement is especially in this state of Chhattisgarh is that they allow the banking of that power generation and can be used in the non -generating hours , so that is a big advantage.

Rajesh Ravi : So, your costing would be just overhead cost?

Management: No, costing , since we are not making an y investment , our landed cost would be about close to Rs. 5.

Rajesh Ravi : Rs. 5?

Management: Yes, as opposed to we are not making any capital investments, only a 26% equity stake costing us about.

Rajesh Ravi : And sir, what would be your grid cost currently?

Management: It is more than about Rs. 7.5 in East. So, if we are getting at Rs. 5 per unit there is Rs. 2 plus saving.

Rajesh Ravi : Sir, given that th ese solar power plants have such a strong effect period, would it not make better your b usiness s ince to ha ve it captive than going through, is there any other cost which gets up, like any incentives which like you said the banking and all which prevents you to having on your own books and just incur the overhead cost ?

Management: We have adequate land , for a 40 MW you have to have live huge land bank available , the first

foremost requirement, but ultimately yes, it makes sense if you can have that sort of land to do it in a CAPEX mode as we are doing in Rajasthan where they are imposing even on the captive JK Lakshmi Cement Limited
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26%, they are putting the cross subsidy and the electricity duty etc. Yes, in Rajasthan, it is not allowed. So, we are in fact doing the reverse thing in Udaipur. There is a 7-8 MW of power project, which we had started in the captive third party route. Now, eventually we are forced to buy it and put it under the CAPEX mode because of the policy of the Rajasthan government. So, yes, ultimately it makes better sense to put if you can and have the necessary resources and the land to put it at the captive or the CAPEX mode, but the policy of the government has to support that.

Rajesh Ravii: And then last question on the balance sheet, we have net debt to EBITDA of 1x and given the market chatter of you bidding for Sanghi while you will not confirm, I agree, I know, I accept that, but could you give us a sense to the minority shareholders, what are your peak net debt targets or leverage factors which you would be following or not?

o area at least because given

that JK Lakshmi has rebated balance sheet after long and this has helped the stock move up, so could you give us a sense what sort of leverage number you are looking at while you would be pursuing your growth?

Management: First and foremost, we don't distinguish between the majority shareholders and minority shareholders. We take all the shareholders together. They are part of the shareholders family. That is number one. Don't treat anybody as a minority shareholder, even if they are not part of the promoters group. We have never made that bifurcation or distinction. That is number one. Number two, whenever you are doing any expansion for a temporary period, you may sacrifice certain ratios so long as you have a clear visibility that going forward in next couple of years whenever we commensurate EBITDA from either the new plant or the expansion which you have done comes in or any acquisition which you have done, like take the case of Udaipur, they have just completed the rights issue of Rs. 450 crores. Prior to that, their EBITDA used to be in the range of about Rs. 150 crores and they have contracted a debt of Rs. 1,100 crores for the expansion. Just before the start of the expansion, the existing debt of Rs. 500 crores together with the Rs. 1,100 crores of the expansion debt, the debt number looks like Rs. 1,500-Rs. 1,600 crores on the EBITDA of Rs. 150 crores which looks haywire, but movement that expansion EBITDA starts flowing it that numbers get narrowed down and comes within the visible range. So, also, whenever at a consolidated level you also see either you go for the expansion or any inorganic growth. For a couple of years, one or two years, it may haywire, but so long as we have the clear plan that it will be narrowed down to the range of about, not the debt to EBITDA not more than 3, 3.5, 4 max that should not be of concern being a temporary phenomenon so long as the clear visibility is there. On talking on a prudential norm, yes, you are right, 3 to 3.5 is the outer limit, but can be sacrificed for exceptional cases.

Moderator: Thank you. We have the next question from the line of Sanjay Nandi from V T Capital. Please go ahead.

Sanjay Nandi: Can you please guide us on the coal inventory on the petcoke inventory which you are holding, like what kind of three months inventory or what is the shipment have been done for this quarter, if you can throw some lights on that?

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Management: We are holding an inventory of about 100 odd days.

Moderator: Thank you. We have the next question from the line of Mudit Agarwal from Motilal Oswal Financial Services. Please go ahead.

Mudit Agarwal: Sir, my question is pertained to again on the inorganic growth opportunity. Sir, what valuation we are comfortable for the acquisition, what is your thoughts on this?

Management: We have not assigned any number for any acquisition value, depends on what benefit that asset drives to us and whether it makes synergical sense. So, it could be different figure for assets located at different place, ultimately has to be seen in a case to case basis. There is no fixed number there too.

Mudit Agarwal: And just last question on net debt, what is the current consolidated net debt, I missed the number, sir earlier?

Management: No issues. I will read out that. Net debt is Rs. 1,000 crores as on date, 1950 is the gross debt and 950 is the cash.

Moderator: Thank you. Ladies and gentlemen, we will take one last question from the line of Uttam Kumar Shrimal from Axis Securities Limited. Please go ahead.

Uttam Kumar Shrimal: Sir, what is our CAPEX guidance for FY24 and FY25 on standalone level?

Management: We have CAPEX on 2-3 counts, which is presently underway. We are working on a waste heat recovery as we mentioned of about 3.5 MW.

Then there is an AFR project going on. We are doing some AC blocks at AI war plus the solar power also. All in all , about Rs. 400 crores of CAPEX is lined up and now that the approval as we mentioned in response to our earlier call, the approval for the railway siding and the conveyor belt having been there, there could be some CAPEX of about Rs. 100 odd crores, 100-250, maybe around in that range on that , so maybe 300 plus 100 around 400 in this year.

Uttam Kumar Simal : 400 in FY24, sir .

Management: Yes, out of which we have already done about 50 odd in the first quarter.

Uttam Kumar Simal : And sir, what has been our fuel mix in this quarter, petcoke, coal and alternate fuel?

Management: Yes, we have done about 40% coal, 43 % odd petcoke and the balance is the biomass and other s.

Uttam Kumar Simal : And so you said about the premium cement is about 25% on overall sale or trade sale 27% ?

Management: Trade sale. It is only always on trade sales.

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Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference back to Vaibhav Agarwal for closing comments . Please go ahead.

Vaibhav Agarwal: Thank you. On behalf of PhillipCapital (India) Private Limited , we would like to thank the management of JK Lakshmi Cement for the call and many thanks to the participants joining the call. Thank you very much, sir. Melissa , you may conclude the call. Thank you.

Moderator: Thank you . Ladies and gentlemen, on behalf of PhillipCapital (India) Private Limited , that concludes this conference call. Thank you f or joining us and you may now disconnect your lines .

Call: Sep 2023

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JKLC:SECTL:SE:23
5th September 2023

1 BSE Ltd. 2 National Stock Exchange of India Ltd.
Department of Corporate Services
Phiroze Jeejeebhoy Towers "Exchange Plaza"
Bandra - Kurla Complex
Dalal Street Bandra (East)
Mumbai – 400 001 Mumbai – 400 051
Security Code No. 500380 Symbol: JKLAKSHMI, Series: EQ
Through: BSE Listing Centre Through: N EAPS

Dear Sir/ Madam,

Re: Conference Call organized by PhillipCapital (India) Pvt. Ltd. on 4th September 2023 at 4:00 P.M. IST

In continuation of our letter s dated 30th August 2023 and 04th September 2023 on the above subject, attached herewith the transcript/minutes of the aforesaid conference call. This is for your information and record.

Thanking you and assuring you our best co -operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

“JK Lakshmi Cement Limited
Conference Call to Discuss the Outcome of E-Voting ”
September 04, 2023

MANAGEMENT : MR. SUDHIR BIDKAR – CHIEF FINANCIAL OFFICER –
JK LAKSHMI CEMENT LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL INDIA
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to JK Lakshmi Cement Limited Conference Call to discuss the outcome of e -voting at the recently held Annual General Meeting hosted by PhillipCapital India Private Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital India Private Limited . Thank you and over to you, sir.

Vaibhav Agarwal: Yes, thank you, Yas hasvi . Good evening, everyone. On behalf of PhillipCapital India Private Limited , we welcome you to this exclusive call of JK Lakshmi Cement to discuss the outcome of e-voting at the recently held AGM. On the call, we have with us Mr. Sudhir Bidkar , CFO of the company. I will now hand over the floor to Mr. Bidkar for his opening remarks, which will be followed by interactive Q&A. Thank you and over to you, sir.

Sudhir Bidkar: Thank you, Mr. Vaibhav and good afternoon, ladies and gentlemen, for this call which is especially being held to share with you the company's point of view of the various resolutions which were put to revote in the just concluded AGM and which was passed barring one resolution with overwhelming majority by the shareholders and the investors.

We take this opportunity of thanking each and every individual investor for having voted based on their recommendation which they have got from their either proxy or from their internal team on various resolutions.

With this call, the idea of having this call was basically to have a good corporate governance, one, from the point of view of the company, you should understand the point and the logic on which the resolutions were proposed, and two, from the management point of view, also wanted to understand your concerns for the resolutions which you had any reservation for based on which the voting was against one of the resolutions.

So we will go item by item. I would like to share the first item was basically for the adoption of the annual accounts which was passed with overwhelming majority. In fact, one of the proxy advisors had made some comments on some of the observations of the auditor's report, CARO report, but when we shared with them the correct report, it was then reversed by SES on two things

One was the internal financial controls and other was on whether there was any qualification. They understood SES proxy advisor, they changed their recommendation, therefore. The second resolution was for the dividend which was again passed with overwhelming majority. Third resolution was regarding the reappointment of our chairman as director liable to retire by rotation.

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Here, while SES has initially given a negative recommendation, but based on the representation made by the company, they understood the company's point of view and reversed their recommendation from against to for. Only ISS had recommended a negative voting and the logic which they gave was since they have two directors, Mr. Ravi Jhunjhunwala and Mr. N. G. Khaitan, who had longer association with the company prior to the enactment of the company in 2013.

But you would appreciate the shareholders that company law itself allows any director to continue for a term of two terms of five years each and they will step down after their term vacates and get vacated in 2020. So that was the logic.

Next resolution was for the payment of remuneration to Mr. Bharat Hari Singhania Chairman . He stepped down as the Executive Chairman in October 2021 and has not been

drawing any

salary, but he has been devoting full time. So the Board decided in the FY '23 to give him a commission of INR2.5 crores, which since it was higher than more than 50% of the total commission paid to the other Non-Executive Director , it was put to vote by way of a special resolution.

Here also, SES as based on the explanation given by the company, reversed their initial recommendation from against to forth, but ISS continued to have a negative recommendation.

And the logic which they gave ISS especially was his commission which you gave of 2.5 was exceeding the total remuneration of Executive Director Mr. Shukla, which you paid INR2.4 crores. But what they forgot to realize that the remuneration of Mr. Shukla was of INR2 .4 crores for a period of eight months only, which is from 1st August 2022 to 31st March 2023.

So if one were to analyze that, then it comes to be 3.6 and the remuneration or the commission which was paid to the Chairman was much lower than the salary paid to the Executive Director . So obviously, most of the shareholders and investors like you voted for favourably and this resolution was also passed with overwhelming majority.

Next resolution was for the payment of remuneration to the cost auditor, which was passed unanimously by all the shareholders who voted in favour . The next two resolutions were regarding increasing the borrowing limits of the company from INR4,000 crores to INR7,000 crores. Here were also initially SES advisers that recommended a negative voting, but after the company's representation that the company does use a lot of non -fund-based facility which doesn't get captured in the annual balance sheet which talks of only the fund -based limit. They also requested a favourable voting and both this resolution for increasing the borrowing limit and also for the creation of charge therefore of 7,000 was passed with overwhelming majority. The only resolution which some of the investors had reservation was primarily to increase the limit for making investment or giving guarantees or securities from the limits prescribed under Section 186 of the Companies Act to about INR10,000 crores.

As per Section 186 of the Companies Act, a company is eligible to make investment, give loans or offer guarantees or securities up to an amount of 60% of its paid -up share capital, free reserves

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and security premiums or 100% of reserves, whichever is higher. In our case, the figure was about INR2 ,650 crores and the amount was almost fully utilized.

At the time the board recommended this resolution to the shareholders, the company was evaluating an acquisition opportunity which was having an enterprise value of close to about INR6,000 crores to INR6,700 crores, which was though because of the confidentiality, the company did not disclose the name of the entity, but it was in the interest of the entity or the target asset which the company was looking at.

That was the reason as to why the company had proposed a resolution for increasing the limit. If one were to bid that, we would have had to make an investment, one, in the equity capital of the target company and two, the company would have had to require to give the corporate guarantee for the substitution of the high -cost loan which the target company was carrying. So, about INR4,500 to INR4,000 was the key value and about INR2,000 crores of loan was sitting in the target balance sheet.

So, this together would have required the company to have sufficient limit in place based on which this resolution was proposed by the board and since all the three proxy advisors, IAAS, SES and ISS had recommended negative vote, this resolution though passed with a simple majority, garnered 71% voting and was not passed by way of a special resolution which was required.

So, just wanted to explain, we have given that explanation t

o the TSC also based on some news

item that the shareholders have struck down this resolution, but we would like to mention that basically this resolution was required since the company was evaluating that opportunity. Now, since that opportunity did not materialize, thus we did not pursue aggressively.

I just wanted to explain that point of view and wanted to understand from the investors their concerns based on which negative voting was done for this particular resolution. So, I hope the company has explained its point of view.

And with that I will throw the floor open for question -answers if any of the investors have any to understand from your point of view or your concerns on the various items which were proposed about this AGM, just concluded AGM. Over to you the investors. The floor is now open for question -answers, please.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have a question from the line of Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti: Sir, thanks for hosting the call. So, just want to understand one thing. You said that you wanted to acquire a company at 6,000 to 6,500 EV. Have I heard it correctly? Because what we understand, the company was bought at much lower valuations. So, that's a bit going off -sync.

Sudhir Bidkar: Yes, we were evaluating at that value. But obviously, the final offer which we would have made would have been much lower. But to be sure, we wanted to take an extra limit for that. Because

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apart from the acquisition, the opportunity which we are looking at, the company is also required to do two things.

One, you would know that the company has acquired some mines in Nagaur in Rajasthan. And those limestone mines for which the company is now presently in the process of doing land acquisition have been awarded in our subsidiary. The subsidiary is Hansdeep Investment Limited. And for them to acquire land, we have to give continuously the advance to them. So, that was another purpose for which this limit was to be used.

And secondly, you would know in our con call after the quarterly results we have mentioned that the company has made an arrangement for sourcing power from a third party under the captive route for sourcing about 40 megawatts of power in the state of Chhattisgarh for our Durg Cement Plant. Now, under the captive mode, you are required to make an investment up to 26% of the capital of that company which is producing power to be qualified as a captive user. So, this limit was partly to be used for that as well.

So, that was the reason as to why we had to have the sufficient cushion for keeping and getting...

Moderator: Thank you. Ladies and gentlemen, to ask a question, please press star and one on your phone now. Participants, who wish to ask a question, may please press star and one on their phone now.

Sudhir Bidkar: Mr. Vaibhav, if there are no questions, we can...

Moderator: Sir, we have one question. Should I take it now?

Sudhir Bidkar: Yes.

Moderator: We have a question from the line of Fatema Pacha from Mahindra Manulife. Please go ahead.

Fatema Pacha: Hello, sir. Sir, is this a call only for queries regarding the AGM or can we ask business questions right now?

Sudhir Bidkar: Yes, sure. I am not restricting it to that. Idea was to keep it for the AGM but I would be happy to answer if there are any questions on the business.

Fatema Pacha: So, sir, basically, obviously, we have a full year guidance on how EBITDA per tonne trajectory is moving and how company will transition. So sir, what are your thoughts on what happened in the last two quarters on the general change in the movement. Obviously, the entire industry has had some issues, but -- no one's EBITDA per ton had such a big drop. Everybody would have not had the expansion that we were expecting.

But

no one -- like very few companies industries would have had such a big drop, say, from Q3 EBITDA per ton as a way of funds any -- if you could throw any -- whatever your light on that particular thought process? And when will we come back to trajectory because that's a big deceleration for the trajectory that you are looking at?

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Sudhir Bidkar: You are right. First quarter was likely a difficult for us primarily on account of the fact that we sell almost 70% of our reuse of the [inaudible 0:15:07] state of Rajasthan and Gujarat, which was rains in the month of June. So, that impacted us more than anybody else. And that was the reason our volumes were much lower than the industry volume, resulting in our fixed cost being amortized over a lower sales volume. But we are sure, as we mentioned in the last on -call after

the quarterly results, we should bounce back from the next quarter onwards. This, obviously, current quarter is a monsoon -impacted quarter, but there also the growth has been there. And from quarter onwards, we should be able to bounce back in line with the industry.

Fatema Pacha: And, sir, when is the new capacity expected? I think it's coming from Udaipur, right? The UCW capacity is coming. Our own capacity will be at a year away, right?

Sudhir Bidkar: Yes, Udaipur capacity clinker is coming on which is next or third by 20. The next year, we are sure. I'm saying the Udaipur clinkerization line will be on a stream in the next quarter, which is the third quarter of FY24. And its cement capacity of 2.5 million would be towards the end of the second quarter of FY25. So, those are the timelines which we are talking.

Fatema Pacha: So, right now, we'll be operating on full utilization, right? So, incremental growth, say, would be very difficult, right?

Sudhir Bidkar: Incremental growth will come from the additional clinker and cement capacity coming up.

Clinker is a line, as I mentioned, will come in third quarter. So, that will give us additional volume for both clinker as well as cement in the coming quarters. And then when the cement capacity comes, that will fuel further growth.

Fatema Pacha: Fair enough, sir. And, sir, is the pricing part back in the industry right now? Or is it yet a volume growth game?

Sudhir Bidkar: Sorry, come again?

Fatema Pacha: Is the pricing part, in a way, are the players looking to take price hikes or yet it is a volume market share game?

Sudhir Bidkar: This quarter is a monsoon -impacted quarter. But still, as we see, every year there is a drop in the monsoon. This year, there has not been. On the contrary, we have been able to increase some prices in July, especially in the northern and the western market. And in September, in the eastern market also, because the rains have now disappeared almost. So, hopefully, we should see good growth in demand going forward.

Fatema Pacha: Okay, sir. Thank you so much.

Moderator: Thank you. We'll take the next question from the line of Ronald Siyoni from Sharekhan. Please go ahead.

Ronald Siyoni: Good afternoon, sir. Just a few questions. So, on the acquisition front, like you had highlighted, now, you know, if some other kind of opportunity comes up in the future, then the same question would arise. So, is there any plan B that you would go for to acquire? Or, you know, after this, JK Lakshmi Cement Limited

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you know, this approval not getting passed through. So, what is the management strategy, you know, considering the acquisition related expansions?

Sudhir Bidkar: This was an opportunity which we were evaluating based primarily for two reasons. One, it was making a strategic sense for us. And two, it was coming, it was in the same marketing zone where we had. Three, it was coming again at a place where we ourselves have got the mines in

Kutch, and so mine, and this opportunity would have given us the ready facility without going through the rigmarole of first acquiring land and going for environmental clearance, and then putting a facility which would, in any case, take seven, eight years.

That was the basic idea. Otherwise, our roadmap for reaching a 30 million tons capacity by 2030 is very clear. From 18 million, which would be after UCWL expansion, we have two brownfield projects, one in Durg, another in UCWL of 3 million each. Then two greenfield opportunities at Nagor and Kutch, another 3 million each, would take us to 30 million by 2030. But going forward, if some opportunity comes, we are open to that. If it comes, makes strategic sense, comes at the right valuation, we are open to that.

We'll seek shareholders approval as and when required if there is any such opportunity in future as well. But this turning down of a resolution does not dissuade us from exploring the possibility or evaluating any growth opportunity in an inorganic way in any manner. Our investors, once they appreciate the real logic, reason they are rational, I'm sure they will support that as well in future.

Ronald Siyoni: And in terms of balance sheet, like consolidated debt was almost around INR2,000 crores last quarter. So management would be comfortable to how much debt levels are you considering any net-debt-to-EBITDA kind of figure or debt -to-equity kind of figure having in mind, with respect to acquisitions or organic expansion?

Sudhir Bidkar: Generally, we have a threshold of having a net debt not exceeding 3.4x. That is, we have informal guidance, which we keep in mind, against which is almost on a very low level as of now, as you rightly said, only INR2,000 crores of consolidated gross debt and that on a EBITDA of close to about 800, 900, around 2x. But you see, when you go for an expansion or an acquisition, for a year or so, that ratio is diluted, ratios get diluted. Like in case of UCWL, you would see that today their beta is INR150 crores and they are in the process of putting this expansion. So their

existing debt is INR500 crores.

They are taking a loan of INR1,100 crores for the expansion. So in the current year, they are expecting a INR200 crores EBITDA. So against a INR200 crores EBITDA, their target, their total debt before the expansion EBITDA comes in would be INR500 crores -plus INR1,100 crores, INR1,600 crores, almost 8x. But the moment that commensurate EBITDA from the expansion comes in of around INR300 crores, then obviously this ratio looks much better, healthier. INR500 crores of EBITDA and INR1,600 crores of debt, which is within the normative norm of less than 3.5x.

But initially, before the expansion EBITDA comes in, that looks very high. So also, same thing happens in an acquisition. Moment you do an acquisition for a year or so, that figure of net -debt-

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to-EBITDA may look higher. But moment you factor the commensurate EBITDA, which comes either from expansion or from acquisition, this gets normative and comes within the normal range of 3.5x to maximum 4x net -debt-to-EBITDA. So that is the guidance which we have, and we'll continue to follow those going forward, whether it is organic or inorganic growth.

Ronald Siyoni: And for some inorganic expansion, the target company should be towards the north and eastern or north -eastern regions or open to another central or southern regions as well?

Sudhir Bidkar: We would be keen to do the acquisition in the place where we operate, which makes strategic sense, makes synergical sense for us. To go to a new place where we have not been, we will be thinking twice before we're taking a call on a place like where we are not operating.

Ronald Siyoni: Okay, sir. And so last question was on the demand front, like July had, I think, as far as cement data from various rails

or VIPP, July was a weaker month. Well, August a little bit better. So

September onwards, you are seeing good demand from channel checks. We are seeing that eastern and north -western central regions are seeing price hikes. So if you can quantify, like, how much price bag, because eastern region has specifically suffered in terms of weaker prices post quarter 1. So how much that portion has been recovered or how much incremental pricing action you would have been taken in the eastern region specifically?

Sudhir Bidkar: Yes, your observation is right. July was a subdued month, but still there was a growth as compared to the corresponding month of the last year. August, because the rain suddenly had disappeared.

So there was almost a growth. September also we expect a similar growth. Eastern side, we expect in the current, after the rains have gone, because it was impacted by rains in the eastern region, we are talking of a price hike. I'm saying in the month of September, we are talking of a price increase of INR10 to INR12 per bag in the eastern market. Since the rain has now stopped there and the demand is good.

In the northern and the western market, an increase of about INR10, INR5 to INR7, INR8 is expected in the western region, about INR10 in the north region, including Rajasthan.

Ronald Siyoni: Okay. And just I could not hear the August and September demand growth, which you mentioned.

Sudhir Bidkar: July was subdued, you rightly heard that. But in July, still, though it was subdued, but as compared to the corresponding month of the last, there was a growth. In August, it was almost a 10% growth. September is expected to be even better.

Ronald Siyoni: Okay. Thank you very much, sir. Thank you.

Sudhir Bidkar: Thank you.

Moderator: Thank you. We will take the last question from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Yes. Hi, sir. Good evening. My first question pertains to, with the Sanghavi Industries now getting acquired by a bigger hand, do you see the risk in terms of market getting -- the non -trade

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market getting disturbed because of the volume push from the full operations of the Sanghavi assets, which were operating at low utilization in subsequent quarters?

Sudhir Bidkar: Not so much, because for two reasons, the increase in capacity or the capacity utilization in the target asset will -- and not the entire will come in the Gujarat market. They, because of their coastal jetties, etcetera, would also be serving other markets, which they have talked of. And the demand is good enough to absorb that additional volumes which in come. So it may not have a material impact on the pricing, because the demand is quite robust in the west and north.

Rajesh Ravi: How much of your console volume would be getting sold in Gujarat market, sir? About 14 million ton -odd, which you sell?

Sudhir Bidkar: About 40% in Gujarat market, from whatever we produce in Sirohi and Udaipur, and 30% in Rajasthan.

Rajesh Ravi: Okay. 40% and 30% is the northern production you're seeing is sold over there.

Sudhir Bidkar: In these two markets, Gujarat and Rajasthan.

Rajesh Ravi: Okay. And, sir, this upcoming clinker expansions to Udaipur, this will target which market? The, you know, commodity...

Sudhir Bidkar: In Gujarat and in northern market.

Rajesh Ravi: Okay. That will feed growth in the northern market.

Sudhir Bidkar: Yes, Yes. Plus something in Madhya Pradesh, UP also.

Rajesh Ravi: So, okay. So you're not targeting the Gujarat market from the upcoming capacity?

Sudhir Bidkar: No, we are very much, because 40% of that in any case goes to... If one were to do it, at least 40% in Gujarat market will definitely go there. 30% will go to Rajasthan, and balance in northern and other MP market.

Rajesh Ravi: Sir, out of this, you mentioned 40% of the northern

production. On a total company basis, how much would that be?

Sudhir Bidkar: It is almost means out of the total capacity of about 14 million before the expansion, we have 3.5 in the eastern market and 10.5 in the northern market. So when we talk of 70%, it's 70% of 10.5.

Rajesh Ravi: Okay. And, sir, last question, your current plans of two ground fields and two green fields will already take you to 30 million ton by FY29 -30. Yes. So, you know, and organically, you would be having a much better balance sheet, well below 2x. So why, you know, why are you looking to go at a leveraged balance sheet whenever you go for inorganics? You know, anything north of 2.53x net debt to EBITDA. Don't you believe that that could have a, you know, negative reaction from the minority shareholders?

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Sudhir Bidkar: Hmm. No, basically, as I mentioned, because of the time lag, when we were to put up, we are going to take seven, eight years to put up a Kutch cement plant, and this was a ready facility that was coming. We would have certainly slowed down our pace of our brownfield expansion had that asset come to us. But obviously, your point is right. Brownfield comes at a much lower cost. But because of the time value of money, we were evaluating the opportunity.

Rajesh Ravi: Okay. Great, sir. That's all from my end. Thank you.

Sudhir Bidkar: Thank you, Ravi.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Vaibhav Agarwal for closing comments. Over to you, sir.

Vaibhav Agarwal: Thank you. On behalf of Phillip Capital, we'd like to thank the manager of JK Lakshmi Cement for the call, and many thanks to the participants for joining us. Thank you very much, sir.

Sudhir Bidkar: Thank you, Mr. Vaibhav, and thank you, ladies and gentlemen, for joining us on this special call. I hope the company has been able to convey its point of view. Thank you very much.

Moderator: Thank you. On behalf of Phillip Capital India Private Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines. Thank you. Thank you.

Call: Nov 2023

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JKLC:SECTL:SE:23
7th November 2023

1 BSE Ltd. 2 National Stock Exchange of India Ltd.
Department of Corporate Services
Phiroze Jeejeebhoy Towers "Exchange Plaza"
Bandra - Kurla Complex
Dalal Street Bandra (East)
Mumbai – 400 001 Mumbai – 400 051
Security Code No. 500380 Symbol: JKLAKSHMI, Series: EQ
Through: BSE Listing Centre Through: N EAPS

Dear Sir/ Madam,

Re: Conference Call organized by PhillipCapital (India) Pvt. Ltd. on 6th November 2023
at 4:00 P.M. IST

In continuation of our letters dated 26th October 2023 and 6th November 2023 on the above subject, attached herewith the transcript/minutes of the aforesaid conference call. This is for your information and record.

Thanking you and assuring you our best co -operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

"JK Lakshmi Cement Limited Q2 and H1 FY '24
Earnings Conference Call"

November 6, 2023

MANAGEMENT : MR. SUDHIR BIDKAR – CHIEF FINANCIAL OFFICER –
JK LAKSHMI CEMENT LIMITED
MR. ARUN KUMAR SHUKLA – PRESIDENT AND
DIRECTOR – JK LAKSHMI CEMENT LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator : Ladies and gentlemen , good day and welcome to Q 2 and H1 FY '24 Earnings Conference Call of JK Lakshmi Cement Limited hosted by PhillipCapital (India) Private Limited .

As a reminder , all participant lines will be in the listen -only mode , and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr . Vaibhav Agarwal from PhillipCapital (India) Private Limited . Thank you, and over to you.

Vaibhav Agarwal: Yes. Thank you, Yashashri . Good evening, everyone . On behalf of PhillipCapital (India) Private Limited , we welcome you to the Q2 and H1 FY '24 call of JK Lakshmi Cement. I need to highlight that JK Lakshmi Cement is also the holding company of Udaipur Cement Works Limited . And therefore , this call is also open for discussion about the performance of Udaipur Cement Works Limited.

On the call we have with us Mr . Arun Kumar Shukla – President and Director , and Mr. Sudhir Bidkar – CFO of JK Lakshmi Cement .

I would like to mention on behalf of JK Lakshmi Cement and its management that certain statements that we made or discussed on this call maybe forward -looking statements related to future developments based on current expectations . These statements are subject to a number of risks , uncertainties , and other important factors , which may cause actual developments and results to differ materially from the statements made . JK Lakshmi Cement Limited and the management of the company assume no obligation to publicly alter or update these forward -looking statements whether as a result of new information or future events or otherwise .

I will now hand over the floor to the management of JK Lakshmi Cement for their opening remarks, which will be followed by an interactive Q&A. Thank you and over to you, sir.

Management: Thank you, Mr. Vaibhav and good afternoon, ladies and gentlemen, and welcome to this Q2 FY '24 Call for JK Lakshmi Cement.

We had announced the results on Thursday . So, you would have had sufficient time to go through in detail about the results . So, nothing much to mention , and we can throw the floor open for question answer so that we can accommodate more questions .

Moderator: Thank you very much , sir. We will now begin the question -and-answer session . We have our first question from the line of Sh ravan Shah from Dolat Capital . Please go ahead.

Shravan Shah: So, the first question is on the volume front . So, if you look at the 1H, we have done 9.4% volume growth on a consol basis I am talking about , and we were looking at 19% kind of a

growth for this year. So, if I do the maths, then for the second half, we need to do close to more
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than 27% kind of a growth. So, just trying to get your sense how are we looking at this number for the full year?

Management: Thanks, Shravan. During my last call also, I had mentioned that, yes, 19 was the projection to start with, but last call we mentioned that somewhere we are going to be growing in a double digit, right? It is about let's say 12 please go ahead to 15% kind of thing. So, I will give a range of 12 to 15% volume growth for the year '24.

Moderator: Mr. Shah?

Shravan Shah: Second on the pricing and the profitability front. So, we have seen a decent increase in the East prices particularly in September and also channel check suggest some roll back has happened, but for us in Chhattisgarh particularly, where we have a sizable presence, there we haven't seen that much increase. So, broadly, from the average of Q2

in the North and particularly East, how

are the prices currently versus a Q2 average and in terms of the profitability where we were looking at Rs. 1,000 kind of a EBITDA per ton over 12 to 18 months? So, is the deadline remain the same or can it be done even earlier also?

Management: Shravan, I think the last questions I would reply the first. So, yes, I think 18 to 40, 22 months' time period for Rs. 1,000 EBITDA, that remains intact. So, that is what I think we are working, and we will be inching towards that because lot of actions which we had taken, now all those actions will get fructified. So, this is part two of your question.

Part one was about a price increase in eastern part of India and also perhaps North and western part of India. So, perhaps you know that prices have increased at different point in time, right. So, I think East, I think, will have some improvement in this quarter because the price increase happened somewhere around September mid and then October, right. So, benefit will come as far as East goes in this quarter. This is one.

Second, as far as North and West goes, prices are going to be about roundabout because November is going to be a low month in terms of volume because of Diwali, but December onward I think things should be all right. So, demand also will improve and so would be the pricing. So, on average, I see an increment about Rs. 550 to about Rs. 100, I will give a range of increase over last quarter.

Shravan Shah: Sorry, sir, Rs. 50 to Rs. 100 increases on Q-o-Q, is this one can expect?

Management: Yes.

Shravan Shah: Second, in terms of the expansion, so definitely clinker we have started at Udaipur, the grinding 2.5 million ton previously we were looking at Q2 FY '25. Are we planning to pre pone this one?

Management: Yes. We hope to do that and towards March or April, we will be able to commission the 2.5 grinding unit at Udaipur.

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Shravan Shah: And then in terms of for the next phase from currently post the Sur at that we have announced 1.35 million t on, so there also if you help us in terms of two years we have mentioned, but will it be a 1 H of FY '26 where we are looking at to start and post the next expansion in terms of the reach of 30 million ton, we were looking at first Durg plant and then the Udaipur. So, when we will be going to announce that expansion?

Management: That you are right. It will be first half of FY26 as far as Surat is concerned, which is a 2-year timeline from now, and that we are trying to see if we can do it in phases instead of entire 1.3 coming in one shot, if we can do initially a bit off of that and then within 6 to 8 months do the complete 1.35. And yes, we will be at an appropriate time announcing the Brown field expansion which is in the pipeline. As you rightly mentioned Durg and followed by Udaipur, and then followed further by the Green field at Nagor and Kutch.

Shravan Shah: Last, a couple of data points for this quarter. So, trade share, premium share, blending ratio, lead distance, railroad mix, fuel mix and kCal cost, and also the non-cement revenue.

Management: Shravan, bunch of questions. So, maybe I will ask you one by one. So, the trade share was 62%. Blended about 65%. The lead distance is 387 kilometers. So, we have brought it down further, right.

Shravan Shah: 90% will be the road. That will remain the same.

Management: Yes.

Shravan Shah: Road last time it was 27%.

Management: Road, I think rail depends on because if you reduce your lead no, better to go by road than rail, right. Okay, and that is what as our lead goes down, I think dependence on rail will decrease.

But once that 2.5 million t on comes, then perhaps I think rail will reduce.

Shravan Shah: Sir,

I was asking about the premium share and the non -cement revenue for this quarter.

Management: Premium is 23% , right , of trade sales okay . And non-cement is 130 crores.

Moderator: We will take the next question from the line of Rajkumar Das from Navo daya Enterprises . Please go ahead.

Rajkumar Das: Sir, my question is in the last conference call , you have given information about the approval for your Durg railway siding and conveyor belt . So, can you give its current status and timeline by when it will be completed ?

Management: So, on the railway siding , we have already started our job . We got that approval . We have started our job , and that is going to get commission ed somewhere around Quarter 2 , Quarter 3 of next year. So, this is what the plan is . On conveyor belt, that approval process is still in progress . We

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are progressing well . Maybe when we talk next , I think we will have some update on that as well.

Rajkumar Das: So, my next question is what is your view about the expansion of D urg plant? And when can you announce the new expansion ?

Management: On the railway siding , once we have done some concrete steps have been taken , then we will announce that . Presently , we are evaluating various options because of the Clinkerization , while it will happen at the mother plant at Durg, the grinding units we are trying to look for the various split location places . Once those are formed up , then we will announce , and if things go as per plan, then hopefully by next , in this financial year we will certainly do that.

Rajkumar Das: Sir, we very old shareholder of JK Lakshmi Cement, and there are so many times we ask so many question on your email , but there is no one who reply us . Sir, this is my humble request please reply to our emails . Whether you want to reply on your NSE, BSE or public domain , we don't mind . So, this is my last humble request to you.

Management: A dedicated email for all the investors ' queries , if you put in your request on that dedicated email , it will get answered immediately . I am not sure whom you are sending your request to , but there is a dedicated email . You can see that it is available on the website as well as on our annual report . I don't remember the full email ID , but it is there , and if you load , upload your questions on that and send you email on that , certainly all questions , all the investors are getting responded to, but certainly , the only thing , we can't give specific information to one particular shareholder . If there are any data points which you require , certainly share that with you as we are doing with the other investors .

Moderator: Thank you. We will take our next question from the line of Mangesh Bhadang from Centrum Broking . Please go ahead.

Mangesh Bhadang: Congrats on a good set of numbers as well as commissioning of the Udaipur unit. Sir, my question was , now we have reached 10 million tons of clinker capacity , but after the clinker and the grinding unit coming up , there is almost a gap of say five to six months . So, I just wanted to understand that we would be selling clinker till then? And if it is so , then would it impact profitability in this mean while?

Management: Yes. So, yes, you are right . There is an intervening period . There is a gap between our Clinkerization and grinding capability . So, whatever clinker we are going to produce in the intervening period , part of that we will be utilizing in some of our outsource unit, one. And of course , I think our clinker s will go up little bit because we will have availability of clinker , and since we are kind of through this phase of kind of stabilizing our kiln too, so we want to kind of produce clinker whatever we can. So, the plan is two pronged. One, outso

urce grinding stations

which we have within our hold, and second , also selling little more clinker during this time .

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Mangesh Bhadang: So, which are these outsourced grinding units ? Is it Amethi?

Management: No. Amethi I think is part of it , we are taking from it . So, Amethi, it will not go to Amethi, but we have one outsource unit in Gujarat and one in North part of India , Punjab .

Mangesh Bhadang: And what would be the capacity ? Just wanted to understand how much incremental volumes we can generate from ?

Management: So, see, I think what we see is that we are going to produce clinker to the capacity of about 50% or 60% because this is the stabilization phase , right . Out of that 50%, if you take half of that or maybe about 40% will be grinding it because Rajpura, Punjab I think we have a good capacity . So, this is up to us how much we can really consume out there . So, there is no limit as such in terms of grinding. So, that capacity is available there .

And in Gujarat also I mentioned you. Yes, I think we can increase not to a great extent but a little more there as well . And third option , also I think our Surat unit , right . So, I feel that we can further improve our utilization out there . So, we will use there as well . So, combination of these three is going to consume about 40% to 50% of clinker , which will be producing during this interim period .

Mangesh Bhadang: And secondly , we mentioned that we are currently operating at almost 100% clinker utilization and the clinker capacity that has coming basically the matching grinding capacity is going to come later . So, that 75% cement utilization and 100% clinker utilization , would it remain the same for at least this and next quarter till the new capacity comes up ? The only increase probably could be higher clinker , but overall cement volume should remain the same that we did in this quarter?

Management: There is some turbulence . There is some earthquake in Delhi .

Management: Earthquake in Delhi .

Management: Yes, hold on for a moment. Just hold on for a minute . Yes, it has stabilized .

Mangesh Bhadang: We hope everyone is okay and if it's not very severe any.

Management: Yes, not. Go ahead please.

Mangesh Bhadang: So, sir, my question was that we did 75% cement utilization and 100% clinker utilization in this quarter . So, this would remain the same , right ? Because we will not be able to use the new clinker from Udaipur to cover. Is there any arrangement where in through which we can utilize some of the clinker inside and still be able to produce more cement ? That's what I wanted to .

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Management: So, if you look at our capacity utilization of cement grinding was 73% last quarter , right ? And that is what I mentioned to you that we do have scope within our system to consume clinker . If something is still left over , then we will go outside .

Moderator: Thank you. We will take our next question from the line of Sanjay Nandi from VT Capital . Please go ahead.

Sanjay Nandi: Sir, can you please throw some lights on your pet coke consumption , like what kind of inventories we are holding as on date or what is the thing as on date?

Management: You have asked about inventories and?

Sanjay Nandi: Yes, inventories or whether we have added something in this particular quarter or we are holding something from last quarter , like what is the exact inventory placing as on date?

Management: Inventories , especially the pet coke, we have about 3 months consumption available with us and in this quarter , the kCal was about 2.04 overall , and we expect it to be about 1.9 in the next quarter .

Sanjay Nandi: So, which means we can expect some price drop from the power and

fuel cost .

Management: Right . About 5% in terms of the cost of the fuel . You are right .

Moderator: Thank you. We have a question from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Couple of questions . Sir, first I wanted to understand our accounting policy . A couple of quarters back , you had indicated that whatever transaction with UCW , we do recognize it in expenses as well as on the revenue line . I think in the subsequent quarters , you indicated that we will only treat it as one line somewhere as a conversion cost. Sir, can you please highlight what the status is like over here ? I just wanted to understand that . So, that's the first question .

Management: Yes, that is basically earlier what we were doing when Udaipur was to get its clinker converted into cement from the grinding units of JK Lakshmi earlier what was being shown as clinker sale initially and then they purchase back the cement in the process to the extent of the clinker it was getting double accounting . So, now they are not showing any clinker sale for any conversion from clinker to cement , and whatever cost we are charging , they are loading that as part of the cement cost . So, there is no duplicity as far as the clinker . So, that has been done with effect from 1st April ' 22, that was done . So, that is what we did. Now there is no duplicity .

But we are also sourcing some cement from UCWL for which if we are not supplying any clinker , then obviously that is shown as cement purchased from that . So, the better way of seeing and analyzing the result , as we have always been mentioning on the call , is to see on a consol basis , which we are giving in our press release both (Inaudible) 21:33 and the numbers , etc. So,

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that will give you a fair idea of what the overall picture looks like in terms of EBITDA per ton on a consol basis .

Ritesh Shah: Sir, thanks for the explanation . Sir, just as a follow-up, I was looking at the related party transactions what we have put out. When I look at that number , the number is around 264 crores .

That is a purchase of cement /others from UCW . So, even if I look at JK Lakshmi on a consol

basis , this number is like nearly 35% of the total raw mat including inventory change . How should one interpret this because 35% looks a pretty cheap number given the inter company with UCW ?

Management: This you are talking of which figure and for which period you are talking of ?

Ritesh Shah: First half. Sir, I am referring to the first half numbers , the related party transactions what we publish . We just looked at the numbers on the purchase that JK Lakshmi had from UCW . This is only purchase for cement and others . This does not include I think fuel, and this number is 264 crores versus the total raw mat plus inventory change on a first half basis is 763 crores .

Management: Right .

Ritesh Shah: So, of the percentage of total even on a consol basis , this number looks very high at 35%.

Management: 35% of what ? 35% we have to see on a total turnover basis . Not on a cement or a raw material basis . You have to speak link it to the turnover , not to the cost of the material consumed. Link it to the turnover . You get the answer .

Ritesh Shah: Sir, why would that be so because you are purchasing something from UCW , which is a subsidiary?

Management: Right .

Ritesh Shah: So, you are saying that this is all cement . There is no clinker over here?

Management: No, no, there is no clinker obviously . There is no clinker .

Ritesh Shah: So, 264 crores of cement...

Management: But if you see that , it gets eliminated . If you see on that consol basis , it will get eliminated .

Ritesh Shah: Sir, the net , if I look at it on a net basis also , there is a difference of 150 crores because

cause sale of

cement and clinker , what is written is 114 crores . The purchase of cement is 264 crores , but the difference is 150 crores .

Management: Can you repeat that please ?

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Ritesh Shah: Sir, if you look at on a first half basis , the purchase from UCW for cement /others is 264 crores . The sale amount is around 113 .7 crores.

Management: From where you are reading this, can you tell me?

Ritesh Shah: Sir, purchase of cement /others is 264 crores.

Management: Yes.

Ritesh Shah: Sale is 113.7 crores . So, the difference is still 150 crores . 150.9.

Management: I am not able to see where you are reading it from .

Ritesh Shah: I am referring to the related party transaction . Probably , I will drop you a email , sir.

Management: You see the P &L please . The purchase of cement , I will read out . Purchase of stock in trade for JK Lakshmi, what figure you have ? 404 crores ?

Ritesh Shah: Yes, sir.

Management: UCW standalone is 113 crores .

Ritesh Shah: Sir, I am looking for it on the first half basis .

Management: Yes, first half . I am also talking about the first half only please .

Ritesh Shah: Right . So, on a consol basis , raw mat consumed is 227 crores . Purchase of traded goods is 113...

Management: 276 crores please .

Ritesh Shah: It's 227.5 , sir, raw mat consumed .

Management: I don't know where you are reading it is published is 276 crores.

Ritesh Shah: So, what I do is probably I will drop you an email . We have the numbers from the press release only.

Management: If you have my number , you can speak to me also maybe tomorrow or after this call . I am not able to tell the number which you are talking about or where are you referring it from . No worries . You talk to me after this call.

Moderator: Thank you . We have our next question from the line of Prateek Kumar from Jeffries. Please go ahead .

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Prateek Kumar: My first question is on your profitability improvement . In the past , you have talked about several measures which will drive an improvement in your profitability unit EBITDA by Rs. around 300 or higher over like 18 , 24 months as you highlighted earlier today also. This quarter , we did see that around Rs. 140 kinds of improvement in profitability . What particular element would have driven this on a Q-on-Q basis ?

Management: A combination of things . So, of course , I think our volume this year were better than last year same quarter one . Second , improvement in realization which is combination of pure price increase , what we call it , and then the top line levers , like I told you about trade sales , geo mix

and premium product . So, these are the contributor .

Of course , I think on manufacturing and logistics also, we have done quite a bit . So, we have reduced our lead last quarter it was 387 kilometers , which is about 13 km lower than before .

And apart from lead , I think there has been some actions at manufacturing end. So, I think on AFR improvement little bit , though I think we do not have still full-fledged capability at our plant , which we are working on . So, there also I think we have increased the AFR and hence reduction in fuel cost . And of course , I think the softening of fuel cost also has helped a bit.

So, combination of things . Something which is external which we got benefited from and some actions internally on top line and causeways which we have worked on.

Prateek Kumar: But trade mix has largely remain ed trade mix and b lended cement mix has largely remain ed similar , right , Q-on-Q? That particular aspect would not have contributed .

Management: No, trade sale has gone up no . It's 68% from 58 . 62 to 58 , right . A good increase , right ? And what is not visible on the figure is

, which I think anyway we work internally is geo mix, like

selling material in the low credit zone area where our realization is better . So, there are set of actions on logistics cost, on direct dispatches , on warehouse costing , on trade sales . So, all these actions put together , I think that has really helped us. And maybe I think we have not fully realized all these actions as yet because some of the actions are still work in progress . So, you will see that gradual improvement , and that is why I took that time of 18 to 24 months .

Prateek Kumar: And prima facie, like we have done good improvement this quarter , but prima facie, the next two quarters should look better than this quarter , right , based on the spot prciing and cost payment?

Management: Your demand is going to be better and some of the actions which are work in progress , that will also get fructi fied. So, my belief also is that it is going to be better than last quarter.

Prateek Kumar: And what is your net debt position as of now ? And what will be like peak net debt , which you are looking at on consolidate basis with the expansion project which we are undertaking ?

Management: Yes, we are today as far as JK Lakshmi on a standalone , we are having a gross debt of about 680 crores, and net of cash is about 140 crores. So, on consol basis , it is 1 ,975 as of September on a

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gross debt basis and about 1 ,175 on a net debt basis . Going forward , seeing various projects which we are doing , we feel our gross debt in JK Lakshmi would reach out to about 880 crores from 680 presently in the coming 6 months , and that is FY '24 and to about 1,000 by March '25 on a standalone basis . And net of cash will be around the same level 140, 150 and around the same level as of March 25 also .

So, there will not be any major increase in the net debt on a standalone basis from the present level of September to March '24 or March '25, but yes on consol basis , certainly the number would be larger because of the fresh loans which we are taking for UCWL expansion . So, there we will see from the present gross debt of 1,975 will peak out to about 2 ,400 by March '24 to 2,600 by FY '25, and a net debt position on a consol basis from the present 1,170 o dd to about 1600 cr ores and then 1,800 crores by FY '24 and '25.

Prateek Kumar: And FY '24, '25 on consol basis , how much CAPEX which you are factoring in this on year -by-year basis?

Management: Yes, we are talking of a CAPEX as far as JK Lakshmi is concerned in the current year , we are talking close to about 500 crores and 700 for UCWL . Next year, JK Lakshmi has another 500 crores and 100 crores remaining for UCWL . So, we are talking of 1,200 cr ores on a consol basis the CAPEX in the current year , 500 for JK Lakshmi and 700 for UCW L including their expansion . Next year, again 500 for JK Lakshmi and 100 -odd remaining for UCW L 600. So, 1,200 in the current year including whatever has been spent in the current 6 months and 600 in the next financial year.

Prateek Kumar: And any new projects which we take up may reflect in F Y '25 number , if any expansion?

Management: Addition to that if we announce as well, this numbers which I shared with you talks of only the announced projects like Sur at grinding unit , conveyor belt, railway siding , but once as and when we announce the expansion at D urg, that will be in addition to that.

Prateek Kumar: Conveyor belt has been very sticky in terms of clearances for years . So, has that been now like sort of sorted like at Durg?

Management: Yes, broadly yes , because there are two parts to that approval which were required . The bigger one approval which was more time consuming was the railway siding . So, that has come , and hopefully in this quarter , the conv

eyor b elt, green signal would also come for that . So, thereafter ,

we are talking of about 8 , 9 months for conveyor belt and about a year for the railway siding.

Prateek Kumar: And one last question on Gujarat market . So, after like while the Ambuja acquisition has not completed , but is there any expected increase in material from Sanghavi Industries in your core

markets in Gujarat post like that acquisition completing ?

Management: Sanghavi per se I think I have not seen that in quantum has increased . Little bit increase , yes, of course . The kind of demand which is there in the market is not at all disturbing any dynamics .

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Not much increase . Little bit increase . I think , I would say , they have gone back to the normal level which they were doing , right . So, nothing beyond . So, once they are coming full fledged, let's say , to 6.1 million ton, then I think that we need to see , but as of today I think things are business is as usual .

Moderator: Thank you. We have our next question from the line of Rajesh Ravi from HDFC Securities . Please go ahead.

Rajesh Ravi: First, on this non -cement revenues 130 crore, how much was the RMC ? And on this 130 crore, what was the EBITDA margin please ?

Management: This is basically the margins are low here in the non -value -added business . In this quarter , it was 3%, and out of the 130 which we told you , 60 crores were this RMC , 50 cr ores AC and 20 was POP.

Rajesh Ravi: Sir, on company level , all this trade , non-trade , and blended , you share those numbers . They are all on consol basis or standalone ?

Management: These are standalone .

Management: Standalone JK Lakshmi.

Rajesh Ravi: Oh, okay . Possible to share these numbers on a consol basis , because as you say , we should consider this company more on a consol basis ?

Management: Yes, we will share that also .

Management: Yes, we will share that . It will be the same level.

Management: Broadly , it should not be a material difference , (+/-1%) to (+/-2%).

Rajesh Ravi: And this quarter we have seen the trade sale, no improve from 55% in Q1, which remains around similar level full of FY '23 to no w 62%. So, is it some conscious effort to in ch up trade share or it is just as a non-trade volume have been lower and that is why the trade share is North of 60%?

Management: No, Ravi, I think this is a design ed one. Not something which has happened by default , right .

Rajesh Ravi: And again, on your green power , how much was the consumption sale, sir? 30% in Q1 and in Q2, and what is the outlook ?

Management: We had talked of that we have now started sourcing the 40 Megawatt of green power or the solar power for our Durg plant . So, by virtue of it, it will be on a renewable basis jumping up for Durg to 80% from the present 36% as far as Durg is concerned . On a consol basis or, sorry , on all the

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plants of JK Lakshmi taken together , then we are talking of close to about 35% by way of renewal in this quarter .

Rajesh Ravi: And this will in ch up when the Durg sourcing increases . And AFR, sir?

Management: October , obviously , this will go up .

Rajesh Ravi: Yes. AFR share was how much in volumetric terms ?

Management: What ? Sorry .

Rajesh Ravi: AFR , alternative fuel .

Management: AFR , I will give you in terms of TSR, thermal substitution rate is about 4. See, w e have taken up that project for increasing the TSR . So, that will increase our TSR from 4% to 12% and ultimately to 20% in phases .

Rajesh Ravi: And this year , what is the target from 4% FY23 ?

Management: So, Durg, we do not have any capability as such and more so because we always compare the other fuel cost versus AFR. So, we will be around 6% around at Durg

will be around close to

overall 6% in Sirohi as well because Sirohi right now is doing less than 4% . The first phase of AFR maybe will start during last quarter of this financial year . So, by end of this year, I think we will reach there about 6% there as well.

Rajesh Ravi: And sir, last question . First half you have clocked 10% volume growth and second half you have surplus clinker now that your clinker plant is operational in October . So, what sort of volume number , I mean, my understanding would be that you are already in shortage of clinker. So, given the surplus clinker, would you be able to ramp up the second line much faster maybe reaching 70 % , 80% utilization in Q4?

Management: Yes, so the effort is that only , Ravi. So, will have wherever capacity utilization has to go up , that will go up , and we will try to expedite that upcoming running stations as well, right . So, yes, that is what the effort is . So, let's see how fast we can . Team is there on the...

Moderator: Thank you. We have our next question from the line of Uttam Kumar Srimal from Axis

Securities . Please go ahead.

Uttam Kumar Simal: Sir, what has been our fuel mix this quarter ? Pet coke and imported coal?

Management: In this quarter , we had a total of pet coke of about 46% . 38 was coal and balance was the other .

Uttam Kumar Simal: And sir , what is the current status of wall putty plant in Alwar and AAC block in Aligarh that we are setting up ?

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Management: So, Aligarh, we have already commissioned , and we have going to a capacity of about , let's say , 75% of utilization . So, we are already doing about 11,000 cubic meters a month . So, more or less we have stabilized our Aligarh plant . As far as Alwar putty plant goes , it will take some time because now this job is not happening because of the ban NCR , entire construction activities has been banned , right ? So, this is going to be little bit delayed on account of this , right . But our target is to do these trials by the end of quarter three .

Uttam Kumar Simal: And sir , any target that you have set for your VAB business , value -added product business? Because earlier I think it was around 500 crores , and I think this year we will cross those 500 crores in terms of our value-added product . So, any new target you have visualized for your value -added product business ?

Management: So, value added product I think our ambition is to take it 1,000 crores level by the end of '27, '28, right ? This is what the plan is . So, right now we are at 500 crore level . So, in another maybe 3 years , we will go to 1,000 crores .

Moderator: Thank you. We have our next question from the line of Raghav Maheswari from AMSEC . Please go ahead.

Raghav Maheswari: I just wanted to know the new proposed grinding unit at Surat, what is the clinker ? So, it's from the import from the Middle East or we have the surplus clinker available at a Dabok or the Sirohi location ?

Management: So, we will have , I think , a combination of things . So, of course , I think Sirohi also we are contemplating if you can really increase further efficiency with least CAPEX involvement little bit more clinker from Sirohi or JK Surat . So, that is one . Second , of course , I think we will take some clinker out of Udaipur. And third is going to be import , if at all we require .

Raghav Maheswari: So, what is the cost difference on the landed at a plant ? What is the cost difference between import and the transferring from either Dabok or the Sirohi?

Management: So, that depends I think if you talk me like maybe 6 , 9 months back , then import was cheaper , right ? But since now fuel cost and other things have softened a bit , then I think clinker is little better , but I think import has always been comparable .

Import is not as high . So, if you really want to run your plant and you do not have clinker, then that also offers a very good opportunity .

Raghav Maheswari: And sir, last question from my side for the Gujarat market particularly . The Gujarat market is primarily after the Sanghavi operational , when it will go for the Adani management , what we are hearing Adani will introduce ACC as a new brand . How will you see the Gujarat market and particularly South Gujarat market , which is one of the strongest markets of the JK Lakshmi?

Because this is my understanding , most of the material evacuation from the Sanghavi is practically possible for only the South Gujarat and the Mumbai market because of the sea route availability . So, it will impact pricing pressure on this market ? How will you see it particularly ?

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Management: So, my reasonable assumption is that this will not impact as such . Maybe little bit but I don't think because , see, a market is big that some of the markets which you name some competitor , they are supplying to other market also which is as lucrative as Gujarat is , right ? So, I don't think that price dynamics is going to change drastically . That will happen to the extent of it normally happen because of the cyclicity and demand supply equation thing. But it is not per se that additional volume is going to really disturb the market prices .

Raghav Maheswari: And just wanted to check one thing . Why the plant for the UCWL for the cement grinding is delayed so much compared to the clinker because we have already commissioned the clinker in the current quarter and we are proposed to the commissioning for the cement is approximately of the three , after the three quarters . Why this gap? Because of there isn't any environmental clearance issue or something else?

Management: So, I think this is what our project plan was . If you recall all those calls, we have been telling that around October , our Clinkerization will come and during last quarter of this financial year , grinding will come . If you remember , I think we also had in the intervening period COVID issues , global supply chain issues , right ? So, this was the plan , project plan itself like this that we will install that Clinkerization first and then we will go to cement . So, as such there is no delay . Project plan is going as per the plan.

Raghav Maheswari: Yes, there is a lag from the start only, from the project planning, I guess.

Management: Yes. At that point in time, based on that global situation and supply chain issue, we planned that way, and that was prudent at that point in time.

Raghav Maheswari: So, meanwhile will, clinker produced by the UCWL will produce internally or we will go for the clinker sell from the UCWL plant?

Management: So, I told I think some of the gentlemen, they asked this question. So, the order is like this. So, first we will consume whatever clinker we will have for our internal grinding stations which we have. One. Second, we will go to some of the outsourced units where we have some surplus grinding capability. And third is going to be clinker sale, but of course, I think clinker sale is going to be little higher during this intervening period.

Moderator: Thank you. We have our next question from the line of Aman Agarwal from Equirus Securities. Please go ahead.

Aman Agarwal: Sir, two questions from my side. First was with respect to demand in the Eastern region. A couple of peers have highlighted some subdued demand growth mainly in the Eastern region. What is the kind of situation that you are facing? And going ahead, what is the kind of growth that you see for that market?

Management: So, whatever information I have got, the demand during last quarter in East was the highest in

terms of percentage growth Y-o-Y, right, followed by other markets like North, West, and South.

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So, my information and my intelligence is little different than what you are saying. Even going forward also, I see that East is going to grow in double digit because East we need to understand this is predominantly IHB driven market, right. And I think this market is going to grow in double digit going forward also. 8 to 10% growth I see going forward as well.

Aman Agarwal: And the second question was with respect to our expansion plan. Now we already tried for acquiring a much more sizable capacity in the western region, and now recently we have announced 1.3 MTPA expansion in another in West region. So, going ahead, can we expect more of such expansions to be announced in the western region itself for JK Lakshmi?

Management: That call we will take depending on the demand supply, but as of now we don't have anything in the offering.

Moderator: Thank you. We have a question from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Sir, two questions. One is, what is the rationale to choose the new 1.35 million ton grinding unit in Surat? Is it better demand? Because I am saying that if your existing unit at Kalol is much closer to Ahmedabad, which is a buzzing center as such, and also it will have a lesser lead if at all clinker has to come from Sirohi or even Udaipur, Durg for that matter.

So, my question was just trying to understand what is the rationale? Is it higher demand? Is that market more profitable for you? Is there an outlook that you see is much better? Because we could have also, I mean, we had Kalol as an option. We could have also had Jharli as an option for the grinding unit or some new grinding unit location in NCR. So, just trying to understand why Surat? Thank you.

Management: So, there are couple of reasons, Navin, why did we choose Surat. One, of course, I think the demand projection, demand the way demand is going up, so Surat was already touching to its capacity. So, we thought of putting it there because we have almost exhausted our capacity at Surat. One.

Second, if you know the geography of Gujarat, South Gujarat is a better price market than North and other part of it, though I think your lead is little bit more. So, I think price wise this is quite stable, and prices are also better.

And the third and important consideration is that, this also gives us an opportunity to enter into that Mumbai market, right? Because the way Mumbai market also is going, I think Surat is going to be a good source of supply in the neighboring area or bordering area of South Gujarat, right.

So, these were the three considerations, right, why did we choose Surat.

Navin Sahadeo: So, does this unit also have incentive benefits? Surat would have incentive, grinding units related incentives when sales, I mean, GST refund or something?

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Management: Yes, we have already applied. We have not got the confirmation, but we are trying to see if we can get some incentive there for this additional grinding unit. Hopefully, we will be able to get that.

Navin Sahadeo: So, concluding on this question per se, Surat is a better realization market for us net of rate from clinker from anywhere, but Surat is a better, at least as of now, we see it as a better realization

or profitable market for us .

Management: Yes.

Navin Sahadeo: Sir, second question then was , you mentioned about the railway sidings that are coming , I think , next year as you said Q3 or Q4 , and the conveyor belt . So, these will lead to what kind of savings do you anticipate ?

Management: So, of

course , I think we will be able to reach out to some of the high price markets . One. Because right now we do not have access to some of the high price markets of the West . Second , I think , is going to be incoming raw material also is going to be cheaper , right ? Third, we also transfer clinker to our grinding station of Cuttack, right ? And Amethi. So, that is also going to help us in reducing cost. So, these are the immediate benefit s which I see we can get out of this railway sidings.

Navin Sahadeo: Helpful . I think sequential improvements are really something that we all are very happy to see .

Moderator: Thank you. The next question is from the line of Mr . Shri Kirloskar from BOB Capital Markets Limited . Please go ahead.

Shri Kirloskar: I have two questions actually . Number one, if you can share the differential for premium product and normal grey cement in terms of pricing and EBITDA?

Management: So, the normal and premium , the difference at EBITDA level is about somewhere depending upon the market on an average about Rs. 250.

Shri Kirloskar: And on the pricing , sir? On the pricing front , what's the differential in terms of realization ?

Management: In different market a different gap right from Rs. 20 to Rs. 25, Rs. 27 per bag basis.

Shri Kirloskar: So, my second question is in our last conference call , we had spelled out on our peak net debt to EBITDA which is around 3x. Does the value remain the same right now ?

Sir, in our last one call we spelled out debt to EBITDA ratio of around 3x. Does the guidance for that 3x still remain the same ?

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Management: Yes, guidance is long-term guidance . When we do a project on a future expansion or acquisition , we try to keep that within that norm . So, norm and that guidance doesn't change on a quarterly basis . That remains the same .

Moderator: Thank you. Due to time constraints , we have the last question from the line of Mr . Parth Bhavsar from Investec . Please go ahead.

Parth Bhavsar: So, I wanted to know what was the clinker production and cement sales at UCW for the quarter ?

Management: UCW clinker production in this quarter was 3.84 lakh tons . And what was the other question ?

Parth Bhavsar: What was the cement sale ?

Management: Cement sale was total was 4.68 lakh tons, clinker sale of 0.92 total , sale of UCW 5.59.

Parth Bhavsar: 5 points ?

Management: 59.

Moderator: Thank you. I would now like to hand over the conference to Mr . Vaibhav Agarwal for closing comments . Please go ahead , sir.

Vaibhav Agarwal: Yes. Thank you. On behalf of PhillipCapital (India) Private Limited , I would like to thank the management of JK Lakshmi Cement for the call , and many thanks for the participants joining the call . Thank you very much , sir. Yashashri , you may now conclude the call . Thank you.

Management: Thank you, Mr. Vaibhav, and all the participants.

Moderator: Than you. On behalf of PhillipCapital (India) Private Limited , that concludes the conference call. Thank you for joining us , and you may now disconnect your lines .

Call: Feb 2024

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JKLC:SECTL:SE:2 4
14th February 2024

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Security Code No. 500380 Symbol: JKLAKSHMI, Series: EQ
Through: BSE Listing Centre Through: N EAPS

Dear Sir/ Madam,

Re: Conference Call organized by Philli pCapital (India) Pvt. Ltd. on 13th February 2024
at 5:30 P.M. IST
In continuation of our letters dated 8
th February 2024 and 13th February 2024 on the above
subject, attached herewith the transcript/minutes of the aforesaid conference call. This is for your
information and record.

Thanking you and assuring you our best co- operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

Encl.: a.a.

“JK Lakshmi Cement Limited Q 3 and 9M FY '24
Earnings Conference Call ”

February 13, 2024

MANAGEMENT : MR. ARUN KUMAR SHUKLA – PRESIDENT AND
DIRECTOR , JK LAKSHMI CEMENT LIMITED
MR. SUDHIR BIDKAR – CHIEF FINANCIAL OFFICER , JK
LAKSHMI CEMENT LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

JK Lakshmi Cement Limited
February 13, 2024

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Moderator : Ladies and gentlemen , good day and welcome to the JK Lakshmi Cement Q3 and 9 Months FY '24 Earnings Conference Call hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital. Thank you, and over to you , sir.

Vaibhav Agarwal: Thank you, R ayo. Good evening, everyone. On behalf of PhillipCapital (India) Private Limited , we welcome you to the Q3 and 9 -month FY '24 Call of JK Lakshmi Cement .

I need to highlight that JK Lakshmi Cement is also the holding company of Udaipur Cement Works Limited and therefore this call is also open for discussion about the performance of Udaipur Cement Works Limited.

On the call, we have with us Mr. Arun Kumar Shukla – President and Director and Mr. Sudhir Bidkar – CFO of JK Lakshmi Cement.

I would like to mention on behalf of JK Lakshmi Cement and its Management that certain statements that we made or discussed on this conference call may be forward -looking statements related to future developments based on current expectations. These statements are subject to a number of risks, uncertainties and other important factors which may cause actual developments and results to differ materially from the statements made. JK Lakshmi Cement Limited and the management of the company assumes no obligation to publicly update or alter these forward - looking statements, whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of JK Lakshmi Cement for their opening remarks, which will be followed by an interactive Q&A. Thank you and over to you, sir.

Management: Thank you, Mr. Vaibhav and good afternoon, good evening rather , ladies and gentlemen, for this Q3 call for the JK Lakshmi FY '24 . You would have already seen the results and our press release . So, nothing much to talk on that . You would have observed . So, we will now throw the floor open for question and answer.

Moderator: Thank you very much. We will now begin the question -and-answer session. We take the first question from the line of Shravan Shah from Dolat Capital . Please go ahead.

Shravan Shah: Sir, before asking a question, just a clarification needed. We have removed our outsourced

volume from our numbers. So, if you can help us with the revised volume number for last four quarters of FY '23 , third quarter we already have, and two quarters of Q1 FY '24 and Q2 FY '24 , because it seems because of that , realization seems to be a much higher Q -o-Q. So, just wanted
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to understand the revised numbers and is it the now this is the new normal volume number ? So, despite the volume reducing outsource, there is no impact on the revenue front.

Management: Yes, you are right. This is going to be the new normal, first and foremost, to answer your question. And first, you should all analysts understand the reason as to why we have done that. For last almost seven, eight quarters, we on all our Con-Calls have been talking of seeing the profitability in numbers, but especially the per ton numbers on a consolidated basis. Still, I find most of the analysts are publishing standalone per ton analysis. That distorts the figure, I will tell you why.

You see, for the simple reason, if UCWL is procuring some cement from us and then selling it to market, that volume when you report on a standalone basis gets counted as sales, both for JK Lakshmi as well as Udaipur . Ultimat

ely , from market , we realize only X profit, which gets divided in two companies.

So, what we have decided ? The company which ultimately sells in the market should show that as the sales. That's why when you would see, when you add the standalone reported number of JKLC plus standalone reported numbers volume, I am talking sales volume of UCWL. Earlier, there used to be huge inter-unit sale which used to be knocked off for doing the consolidation. This time there would not be any need for doing that because we have taken at one place. So, it is going to be the new normal.

Regarding your question of fast data, we will share that separately. You can put up the mail and our team will answer. It will be difficult for you and for other people who are in the queue to note down all the numbers for four quarters which you want. You can send the mail. We can answer that. But as you rightly said, it is going to be the new normal.

Going forward, you would have also seen in our press release and in our report to the Stock Exchange that the Board has decided to form a committee of executives to consider and evaluate the possibility of the restructuring. We have been talking of this consolidation of the two businesses, UCW and JKLC, for quite some time. But now the unfortunate time has come that we start seriously having a look at it. And hopefully next year, somewhere next year, we will announce at an appropriate time the plan to consolidate the businesses.

So, that is, once that happens, then obviously there will not be any reason and the need for any inter-unit sale because UCW L and JKLC will be one company and UCW L will be another plant or division of JKL only as a part of the company. Only a little bit of outsourcing which we are doing from some third party outsource, that is very negligible and will not distort the figures. But yes, this is going to be the new normal going forward. We will share the numbers . You send us the mail what you want . Right ? Thank you, Sh ravan.

Shravan Shah: Sir, now in terms of coming to the volume, so nine months, 6.6% volume growth and we were looking at last time say 12 to 15% volume growth. So, what kind of new growth we can look at
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for FY '24 ? So, particularly 4th Quarter , how much kind of volume growth we are looking at? So, for that also we need a 4th Quarter of FY '23 , the revised volume number. So, that's the first one.

Management: Yes, so the volume growth number which we have told before was based on some assumptions and market growth and there has been the area where we operate some disruption, like , you know, north, we had severe cold and this graph restriction, construction activities were not happening. So, that has impacted quite a bit. So, that is why in the last call also we had told that we are going to moderate our numbers. So, yes, our volume growth in the last quarter, volume growth was 8%. And going forward we see that growth is going to be, because January -March typically is high month, right? And the base is very high . So, I see that growth is going to be almost in the similar fashion what we have achieved in the last nine months. So, maybe around 8 to 10% end of January.

Shravan Shah: Sir, now coming particularly on the expansion and the CAPEX and the data things, so if you can help us in terms of how much CAPEX in the nine months we have done, what's the new number for this year, FY '25 , FY '26 , and also at the same time in terms of the expansions that we have announced at the Durg also and the acquisition in the Northeast. So, there also we are looking at expansion . So, if you can help us in terms of when each and every grinding unit and the clinker unit in terms of the timeline will be coming and how much CAPEX we will be doing in the 4th

Quarter , FY '25 , FY '26 , that could be helpful. And ultimately , the net debt which

we were

looking at the peak net debt at consolidated level is closer to 1,800 odd crores . So, now what kind of peak debt we can look at?

Management: Yes, we have announced some projects in this Board meeting. One is, apart from the normal CAPEX , which is happening, we are already in the two , three things which we are doing. One, we have announced a railway siding project of 325 crores . That will be implemented in two phases. The first phase by September of '24 and the second phase by March of '26. So, out of the 325, about 105 will be part of the Phase -2. So, balance that is around 200 to 220 would get spent by September of '24. That is number one as far as the railway siding is concerned and the balance of 105 in about 12 to 18 months' time thereafter.

And then we have also announced the expansion of our Durg plant which involves adding a clinker line of 2.3 million and 4 grinding units with an aggregate capacity of 4.6 million tons. So, again , that will be in phases. The 1st Phase will involve about 1 million ton in UP and another 1.2 million in UP and 1.2 million in Durg. So, that will take about 2 years' time and we are talking a CAPEX , of course , for the entire project of 2,500 crores. So, maybe 1,500 to 1,600 crores get commissioned or get incurred in those first 2 years by March of '26. We need maybe about I would say 40% coming in the first year , which is FY '25 and 60% in the next year. Broadly I am telling you , we have to just do the fine numbers there in quarter wise. And that involves fundraising of close to about 2,500 crores which is basically 1,750 for the Durg project, 250 for the railway siding and for our other aspirations about 500 crores , which includes the JK Lakshmi Cement Limited

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ongoing project like the AFR project and the Waste Heat Recovery Project where we are adding plus also some solar power plant which we are doing at the Sirohi . So, all that will be about 500 crores. So, we are talking of fundraising of 2,500 crores over the next 3 years' time. May be about 500 to 700 gets in this FY '25 and another may be 1,000 in FY '26 and balance thereafter.

Shravan Shah: Sir, if you can still help us in terms of the total combined, everything put together, CAPEX for 4th Quarter , FY '25 and FY '26 would be how much?

Management: We need to work on that. Broadly , I have given the high-level numbers. We have just announced the project. We have to break it down quarter wise and maybe next call I will be able to give the exact numbers. But broadly , I have given you broad indication of the quantum of the CAPEX as well as the term load.

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies . Please go ahead.

Prateek Kumar: My first question is on your expansion. Do you see any reason for choosing East over North or any other market for your first round of expansion after UCW? Can you just highlight any specific reason we looked at Durg expansion earlier than North expansion which you were also talking about earlier? In terms of order expansion, is it related to the readiness of the site or any other reason which you can cite here?

Management: We are in the process of completing North expansion. Udaipur will be completing hopefully towards the end of this quarter. So, they will need some time to stabilize before we embark on next expansion in the Northwest. That's why we chose and considering the demand supply mismatch there in the Eastern side and the expected growth in the demand in that region, we chose East as the preferred market to go for the next round of expansion. But yes, once this expansion gets stabilized at Udaipur, maybe then we will have a look at the expanding in the Northwest.

Management: Yes, adding to what Mr. Bidkar said, you must have seen that capacity utilization of our Durg unit is almost done exhausted. And the

highest growth in the entire India is Eastern region.

Typically , I am talking of those markets where we operate because we do not operate in the entire East. So, that was one reason.

And if you can look at our 30 -30 plan, our plan was to expand Durg. Our plan was to put up next line in Udaipur and then Nagor and Kutch . So, we are just on the track, whatever the road map which we prepared for ourselves, we are following that. So, I think this is almost as per the plan which we are kind of going ahead with.

Prateek Kumar: For the Northeast acquisition, we have talked about only mine seems as of now around Rs. 300 crore and initial capacity of only 1 million ton for which we have not cited any CAPEX .

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Management: So, you said 2,500 crore CAPEX is for East operation . 325 crore is for rail siding. May be 100 crore annually. This 100 crore is like adding up to 3 years of CAPEX excluding Northeast. So,

including Northeast will be like close to 5,000 crore of CAPEX for us in next 3 years.

Management: Yes, we are talking of a CAPEX of 2,500 crores for the Durg expansion, which will take about 2 to 3 years. Ongoing project is about 200 crores. Then the railway siding, 300 crores. So, that is 3,000 crores. May be 1,000 crore for the Northeast, 4,000 crores over the next 3 years.

Prateek Kumar: And just related to previous question, can you just give for the benefit of everyone, I am sure everyone is looking for your volume number. You stated volume numbers of quarter three for that and may be annual FY '23 volume.

Management: Yes, we will provide you that. So, I think what you want is net of that in the outsource, right? That we have already given in the press release both for 9 months as well as this thing. Quarter wise we will share.

Moderator: Thank you. The next question is from Noel Vaz from Union Mutual Fund. Please go ahead.

Noel Vaz: So, I had that question about Udaipur cement. Now my information might be a little incorrect, but I just wanted to know is there any issue of limestone availability or limestone shortage at the Udaipur cement plant?

Management: There is absolutely no shortage of limestone reserves. In fact, there was an additional mine which they have recently acquired. So, in fact, their reserves at present, it means after this expansion also would be good enough for another 40, 45 years. And we are thinking going forward, as I mentioned in response to an earlier question could be possibility of another line. So, there is no any possibility of a limestone reserve at that plant in Udaipur.

Noel Vaz: And just to clarify, so I think the company is going to finish off with the Udaipur expansion, then Durg and then at Udaipur Cement Works. I think that is all right.

Management: Yes.

Moderator: Thank you. The next question is from Rajesh Prasad Ravi from HDFC Securities. Please go ahead.

Rajesh Prasad Ravi: First, could you share on the trade, non-trade mix and blended cement and the fuel cost for this quarter? And then Q3 volumes, restated volume for Q2 if it is available, please.

Management: This quarter, fuel cost was Rs. 8,700, which is around 1.7 at kCal. And regarding your question on the ...

Rajesh Prasad Ravi: Trade mix and blended cement.

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Management: So, trade, quarter 3 was 58%. This is up by 3% from the previous quarter. 58% here and blended is 65% and 35% is...

Rajesh Prasad Ravi: And these numbers are standalone or consol, sir? Blended and trade?

Management: The consol number.

Rajesh Prasad Ravi: Consol numbers, okay. And second, what is your thought process on the Udaipur ramp up with the clinker plant now operational? Why are we still looking at 7, 8% volume growth and for next year, what sort of ramp up you are looking at, given that even your grinding

unit also will be

available by March end?

Management: So, I will just clarify whatever industry is growing at, we will grow higher than them and as I told, last quarter also we have grown by 8% in volume which is better than industry. Industry, to my estimate, is about 6%-7%. One. Even in this quarter also our growth is going to be better than industry. Second. Once that Udaipur capacity comes to 2.5 million tons, our growth is going to be much higher, right? So, next year, I think we are going to grow, industry growth is envisaged to be about 8%. Our growth with additional capacity at Udaipur we are looking at somewhere around early two-digit number.

Rajesh Prasad Ravi: Two last questions. Q2 volumes if you have handy, like volumes in Q2 and why are you in the consol volumes when you need to knock off again outsource volumes because it will be your consol numbers have come down by 5% versus the prior reported ones.

Management: That I told you because of that outsource is minimal in the second quarter we had for JK Lakshmi, the volume was 21.7 and for UCWL 5.6, total 27.32.

Rajesh Prasad Ravi: And lastly, your thought process on this entering into the Northeast and by when do you expect this project to be on scene and what is your thought given that that market is quite consolidated between two players, Dalmia and Star?

Management: Northeast I think we have kind of, you know by now that we do have interest in Northeast and because the Northeast is one of the markets which form part of Eastern India and we want to consolidate our position there. This is one reason. Second, of course, the demand supply situation also favors going to that market apart from the price which is prevailing in that market.

Rajesh Prasad Ravi: And by when you are looking to start work on that project, sir?

Management: I think we are just working out the timeline. We will come back maybe next time.

Management: Next call we will give somewhere. It's too premature for us to give a timeline. Next call we should be hopefully able to answer that.

Moderator: Thank you. The next question is from Narendra from RoboCapital. Please go ahead.

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Narendra: So, my questions are specifically pertaining to UCWL. So, what would be our peak utilization levels there and by when do we expect to reach those levels, if you could throw some light on that?

Management: Talking of the existing capacity which we have at Udaipur ?

Narendra: No, no, no, the expanded capacity.

Management: So, the plan is right now whatever capacity we have, we have gradually ramped it up to about 75% now and the plan is a new line which is coming up maybe first year is going to be about 60%, next year 75% and there on 80%.

Narendra: So, '25 would be 50% and '26 would be around 75%, right?

Management: Right.

Narendra: And I believe we had a target at UCWL to reach top 5 players in terms of EBITDA per time. So, what's the target on the EBITDA per time for UCWL?

Management: So, I think we look at UCWL and JKLC combined because that is what matters to us, right? We have seen in the last two quarters; I think we have been improving with respect to our EBITDA ramp up. If you also look at the gap which we had before with the leaders, we have squeezed that up to an extent. Going forward also our plan is to consolidate at this level whatever we achieved because we have been talking about Rs. 1,000 EBITDA per t on which we have achieved now. We need to consolidate this on a consistent basis and going forward yes, the kind of plan and the actions which we have in place, this top 5 company, EBITDA earning company in the industry, yes, that looks quite feasible. And we are happy in the way we are progressing. So, all those actions are getting realized and we are progressing well. We are satisfied with that.

Moderator: The next question is from

Aman Agarwal from Equirus Securities. Please go ahead.

Aman Agarwal: Sir, my question was once again on the reason why we went up the Eastern market, especially with the split grinding units in UP, Bihar and Jharkhand. Now, while we are aware that UP market is doing quite well in demand sense, Bihar and Jharkhand we hear that the demand has been subdued for quite a few quarters now. Further, this I think will also have some impact on our geo mix improvement target, which we have set for ourselves. So, just wanted your views around this.

Management: So, I think Bihar also you have to divide that market into further geographies like North -Bihar and South -Bihar. So, if you look at North -Bihar geography, that geography is better in terms of demand and supply situation and also on pricing front. Our plan is to go somewhere in North - Bihar, right? And Jharkhand also where we plan to go going forward.

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I think we are choosing an area where from I think yes, it is going to be better to serve our customers. Second, I think the demand supply situation is good and third also the price trajectory is also favorable. So, I think we have done our homework and ground work before deciding on to this.

Another issue was that we have been capturing part of the growth of Eastern market, which is Chhattisgarh and neighboring area. But I believe that the individual home builder segment, which is the highest in case of east, I think that is going to drive the growth going forward. Right? And perhaps the individual home builder segment in that geography where we plan to go going forward is quite sizable. So, that was the rationale as to why we chose to go to that market. If I look at Eastern market growth, I think growth of Eastern market is the highest in all zones in India, be it north, central, south or west. Moving forward also, I believe that this is going to be there for some time as to individual home builder segment which is ever growing. And that is going to really kind of consume all those capacities which are going to be installed going forward.

If you look at the demand supply gap also, I think though capacity has been added in east, but still, I think the gap is reducing. If you look at maybe one, one -and-a-half year, how industry has performed, the gap has gone down. And going forward I think it will further go down despite capacities are being added. This is what our estimation or the, I would say, presumption for that market is.

Aman Agarwal: That is really helpful. And sir, as we expand pretty aggressively for our own capacities, would that mean we would be trimming down our dependence? Obviously, it is low already, but would we be further reducing our dependence on outsourcing?

Management: Yes, so I think the strategy is we are going to be dependent on our capabilities to produce clinker, our capability to grind it. And if you see our 30 -30 road map which we have told to all of you, I think the clear -cut road map is there at least now for 24, 25 million t on. Nagor and Kutch already

I think work in progress which will take some time because of all those prerequisite processes are going on. Right? So, yes, we are going to be self-dependent in terms of grinding and producing clinker.

Aman Agarwal: And sir, lastly, Jharli would continue to purchase clinker from external market, any plans around that?

Management: No Jharli, I think we have in-house clinker only. We don't purchase from outside.

Aman Agarwal: I will check that.

Moderator: Thank you. The next question is from Navin Sahadeo from ICICI securities. Please go ahead.

Navin Sahadeo: Shukla ji, congratulations on Rs. 1,000 plus EBITDA per ton, as you had promised.

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Management: Good evening, Navin, I think we had a discussion over this.

So, I think now we are there.

Navin Sahadeo: Absolutely. So, I will just recall that as soon as you had joined, you had said Rs. 1,000 EBITDA per ton at the mark, and so congratulations on that. Sir, couple of questions. So, the volume growth of roughly 8% that we have seen, is it fair to assume that it was more biased in favor of North region because East would have been slightly slow or how should one look at the breakup between North and East?

Management: I think growth is in favor of the East. I told you that the East is going at a faster pace than other geographies are currently. Little bit more skewed towards East.

Navin Sahadeo: Even in the current quarter, it was more skewed towards East.

Management: Yes.

Navin Sahadeo: And said, realization wise, how should one look at, because in February, we believe there has been recent corrections in Jan and February, so how would you look at realization as on date versus the previous quarter? What kind of impact would you suggest would have happened?

Management: So, I think January, March, usually, yes, demand is good and is going to be good in the remainder of the February and March. Price wise, yes, I think there has been a softening in the prices in different market, for sure. It would be difficult to quantify as to how much softening has happened, but yes, softening has definitely happened in the month of January to an extent and even in February.

Navin Sahadeo: Sir, just one or two more questions, if I may. The split grinding units, I was just checking the distance, let's say, Durg to Madhubani, Bihar is roughly 900 plus kilometers. So, with that kind of a huge distance, would it not impact profitability? How should one, because it's almost 1,000 kilometers, I am saying, from Durg location. So, how should one look at it? And in the same breath, do we have this arrangement with Kanodia, if I am not wrong, in the same market and which will displace that or that's in a different market?

Management: No, no, I think we do not have any association with third party in that market, in the market which you are talking about. As far as that, you know, kilometer and other things you mentioned, I think we have done our calculation and that makes sense, you know. Because even today from our Durg unit, wherever we are selling, I think some of the markets are as good or as bad as the market which you mentioned, right? So, we have done our calculation. That makes sense to go to that market because we are also, you know, betting on the future because I personally see, we see that that market is going to grow at a much faster pace than others and once, you know, market growth is there, then price also comes along with that.

Navin Sahadeo: And just one last question. We purchased or we have agreed to purchase 85% in this North east entity, and it is for conceptualizing cement plant. So, the balance 15% would also, like, you

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know, I think the existing promoters, so would they also put in any equity, anything for the proposed CAPEX or it is us who will lead the entire expansion?

Management: Yes, obviously they would put in if they are good partners in that.

Navin Sahadeo: So, up to 15% in proportion to the equity that is being shared, right?

Management: Yes.

Moderator: Thank you. Next question is from Mudit Agarwal from Motilal Oswal Financial Services. Please go ahead.

Mudit Agarwal: I have some questions and some clarifications. Just wanted to know about this Surat grinding unit brownfield expansion. Is that plan intact or any changes on that site?

Management: There is no change in that plan. That is going as per the plan.

Mudit Agarwal: And sir, you mentioned 4,000 crore of total CAPEX including North East. Is it the right?

Management: Yes, you are right.

Mudit Agarwal: And one more clarification, sir, about this A

methi grinding unit which is on a tolling basis. So,

is it exclusively for JK Lakshmi or is it shared with other industry players?

Management: So, this grinding unit is being shared by other industry player also.

Mudit Agarwal: So, sir, can you just throw some light on how this arrangement is for the JK Lakshmi particularly?

Management: I didn't get what you are talking about.

Mudit Agarwal: I mean, what are the capacity which we are sharing and how much is the JK Lakshmi share?

Management: I think we do have a tolling contract with them. I think those other player s, they must be having a different contract. We are having our own contract with them and based on that JIRA -based costing we have worked out some contracting arrangements. So, that is how we operate, right.

Mudit Agarwal: So, in simple words like how much volume we are getting from that unit?

Management: So, we are sharing about maybe 50% of it.

Moderator: Thank you. The next question is from Uttam Kumar Srimal from Axis Securities. Please go ahead.

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Uttam Kumar Srimal: Sir, my question pertains to EBITDA ton. This quarter we have done over Rs. 1,000 EBITDA ton. And we have achieved our target earlier than we had envisaged. So, this EBITDA ton is sustainable going, moving ahead also, sir?

Management: So, our endeavor Uttamji is to be amongst top 5 players because market dynamics keep on changing, right? So, our effort is EBITDA goes to even 1,500, 1,600 also for others, we should also be moving in the same direction. If it goes down because of the regions, you know, then I think it will go down for us also.

Now what we can do, what is within our control is to release all those internal drivers of margins.

So, I think we are driving that. I would say we have accomplished part of those levers, right.

Going forward also, we are going to work on those levers and further consolidate on those things.

So, I think I would put like, you know, being top 5 amongst EBITDA per ton company, that is what our endeavor is. If others go up, then we will go up more than them. This is what I would say.

Uttam Kumar Srimal: And sir, what was the lead distance and premium cement sale percentage as a percentage of credit sales during this quarter?

Management: So, lead was 377.

Uttam Kumar Srimal: And premium cement, sir?

Management: Premium cement was 12% of the overall volume.

Uttam Kumar Srimal: 12% of overall volume and out of credit?

Management: 25% of credit, right.

Uttam Kumar Srimal: 25% of credit. And sir, how were VAP sales during this quarter? Value added product?

Management: So, here also, I think we have done quite well. So, value added has contributed about 134 crore this quarter. And the major contribution is from RMC, which is 67 crore and followed by UP and AC block.

Uttam Kumar Srimal: Because sir, one question. Last quarter in FY '23, our volume was 2.32 million tons and this quarter it is 2.36. So, there is a growth of only 2%. So, if you can clarify the same?

Management: Come again. Can you repeat your question?

Uttam Kumar Srimal: Sir, last quarter, quarter 3 FY '23, volume on stand alone basis was 2.32 as per your press release and this quarter, this is 2.36. So, there is a growth of only 2%. So, we are seeing around 8% growth. So, if you can clarify that?

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Management: Consolidated is 8%, right. If you take only cement, the growth is 5%. So, de-growth is there in case of clinker sale, which we kind of not encourage, right.

Moderator: Thank you very much. The next question is from Parth Bhavsar from Investec. Please go ahead.

Parth Bhavsar: I have two questions. Sir, just wanted to understand that Durg will be supplying clinker to your state grinding unit, right?

Management: Yes.

Parth Bhavsar

: So, sir, what sort of mineable reserves do we have at Durg?

Management: So, with the additional 2.3 million ton which we plan to have, it is going to be about 50 years. 45 to 50 years.

Parth Bhavsar: Oh, you added 50 years, okay. But this would be like, this is on the base of the 8 million ton grinding you have announced, right?

Management: Right, yes. Because typically all these markets are heavy on blended cement, right? So, blended cement is to the extent of about 80%, 85%.

Parth Bhavsar: So, can we, one assumes like the clinker factor would be around 1.67 x, 1.67?

Management: Yes.

Parth Bhavsar: And, sir, the other thing is like to, again, like to maybe target East in the future, wanted to understand if we are bidding for any limestone auctions in the East or have we recently won any limestone mines in East?

Management: No, not in the near future, near past.

Management: In this East, we have not won any. We have only two won in the recent past.

Parth Bhavsar: Are we bidding for any?

Management: Other than that, we have not done.

Parth Bhavsar: Are we bidding for any?

Management: There is nothing in the op -in as far as my information goes.

Moderator: Thank you. The next question is from the line of Devesh Agarwal from IIFL. Please go ahead.

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Devesh Agarwal: Sir, again, just to understand a bit better, this exclusion of our outsource volumes, is it because are we planning to scale down the outsourcing operations or was there any double counting and that's the reason we have now decided to exclude this?

Management: Two reasons. Broadly, you are right. One, there was double counting for UCWL. That's why we have done that, number one. The other one is we are scaling down considerably going forward the outsource. So, effectively, that will be negligible. It doesn't make sense to consider them.

And, Udaipur was a case of a double counting, which we have been saying for quite some time now. So, ultimately, we decided to do it ourselves rather than you are seeing it on a consol basis.

Devesh Agarwal: And if you were to just make the number comparable, sir, this quarter compared to the previous reported numbers, what would be the volume addition that we have to do for the quarter in terms of what was the volume from outsource units?

Management: Better to exclude the outsource model from the earlier one rather than clubbing it again and running into the same problem for which we have decided to start the new practice. And in any case, going forward, as we mentioned, we are seriously considering as consolidation next year. So, obviously, this double counting etc. will go away and the volume from the outsourcing will considerably get reduced.

Devesh Agarwal: And, sir, any number that you can share in terms of the profitability that was getting added because of this conversion or tolling volumes or any cost that we were paying to the tolling operator?

Management: That's why it was very negligible and just because of the volume getting, distorting the actual real profitability of the company. So, it was negligible only. No volume negligible profitability doesn't make sense to add and double counting, obviously, was the reason for the UCW L.

Moderator: Thank you. Next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti: Congratulations on the 4 -digit EBITDA per ton . Firstly, coming on the CAPEX side, what is the CAPEX for the 9 month and FY '24 ? I think that number might be handy right now.

Management: We can share that with you. In 9 month, period, we have done about 250 crores of CAPEX in JK Lakshmi and in UCWL in 9 month about 450 crores. 250 for JK Lakshmi and 450 for UCWL.

Keshav Lahoti: The green power share, you said 35% for this quarter?

Management: Green power share, what we are saying is after th

e Durg arrangement, Durg has already touched 80% thereafter and in this quarter the green one is about 44% .

Keshav Lahoti: 44. So, this quarter Durg was fully operational , right , for the entire quarter .

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Management: Yes, almost fully operational So, there it was almost, we reached 70% in the Durg.

Keshav Lahoti: Like, what I want to understand, like this 44% might increase in next quarter due to Durg. Is it a possibility in Q4?

Management: Marginal, because they have already touched 70, it might have maximum go up to 80. So, marginal increase could be there, but our aim is to first graduate to 50 on a company basis and take it forward from there.

Keshav Lahoti: And how is the fuel cost expected to be in Q4?

Management: This quarter it was about 1.78, maybe marginally lower 1.7, around 1.7 or so.

Keshav Lahoti: Last question from my side . You know as you are expecting 8 to 10% volume growth in Q4, so have we seen similar volume growth in Jan, like Jan has already passed?

Management: Yes, so Jan was good, yes, I think around that only. As I told you, I think we are doing better than industry in terms of growth and one thing I think you should remember is that during peak period because almost I think waste is very high, right? And capacity is almost exhausted, so you do not have headroom to grow further, right? So, Jan-March is something which comes out

of other lever, like more blended cement, more of other things, right? So, that your throughput goes up and production goes up. So, that is what we are trying . Jan-March I think is muted growth because of these reasons, because we have already achieved our capacity utilization at a given product ratio.

Keshav Lahoti: One thing in call, you highlighted that East volume growth is faster than North because our assessment is, you know, North is growing faster than East at least in the near period because of other issues in the East. So, is it due to JK Lakshmi doing better in East or you would say the industry is also behaving in a similar manner?

Management: I am talking of industry . Industry , if you see FY '24 , East growth has been better than all other zones .

Moderator: Thank you. Next question is from the line of Tushar, who is an individual investor. Please go ahead.

Tushar: Sir, my first question is, what is the current status and timeline for those conveyor belt projects?

Management: So, there are some approval and procedural issues . That is why this is getting delayed. We are working on that. Difficult to give a timeline, but hopefully I think we will resolve this very quickly within this quarter. Difficult to give a timeline as of yet.

Tushar: And sir, my second question is on the 7 megawatts solar power project at Sirohi . It was reported earlier in Quarter 2 and Quarter 1 Con -Call and was to be commissioned in March '24. So, what
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is the expected commissioning timeline for this project? And also , if you can clarify, is this project company -owned or tie -up?

Management: Yes, so solar power at Sirohi is on track and that will get 7 megawatts solar power plant. That will get commissioned somewhere around mid-March. You are right. That is what we told last time also.

Tushar: Is this project company -owned or tie -up, sir?

Management: Yes, it's company owned.

Management: In Rajasthan, unfortunately the state government policy doesn't allow any other mode other than the CAPEX mode. So, obviously , unfortunately it has to be that, as opposed to a possibility where it is pro -industry policies in Chhattisgarh. Rajasthan government doesn't have that policy. So, even in fact in Udaipur, what was the third -party solar power, we had to convert that into a CAPEX mode by buying that out. Otherwise , they impose those cross -subsidy charges and the

electricity duty and all th at, which doesn't make sense. So, that's why it is in CAPEX mode.

Tushar: And just one last question. Can you please give us the timeline to reach from 4% TSR to 16% at Sirohi and our savings through this ?

Management: So, Sirohi, good news is that AFR project which we told you that we are putting up , so that is almost getting accomplished now and now in the last month , we have clocked about 11% of TSR. Right? So, Sirohi, I think there has been a good improvement in terms of TSR improvement. One entire thing will get commission ed, then will reach about 13% and that is what I think we planned for phase 1. Phase 2 , our plan was to go to 16 , 17%, which we will take it up latter.

Tushar: Any timeline to reach 16 to 17%, sir, by when ?

Management: So, I think we will come back to you with the timeline once kind of we, our plan was to do it in FY '25. So, that is what I think we still believe that we will be able to do that.

Tushar: Sir, our savings after reaching 16% TSR level, sir.

Management: Any savings I think we will give you .

Management: Presently, it is saving of Rs. 28.

Management: Around Rs. 25 to Rs. 28 saving which we have done.

Moderator: Thank you. Next question is from the line of Ronald Siyoni from Sharekhan Limited. Please go ahead.

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Ronald Siyoni: Sir, I have only one question. If you can share quarter 4 of FY '23 restated numbers after excluding the double counting of UCW and outsource d volume, that would greatly help.

Management: We will share these with you separately . We don't have read ily for the 4th Quarter .

Moderator: Thank you. Next question is from Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Just one question , sir. This Phase -2 or this expansion that we are doing in Durg now is a brownfield unit. So, I was just curious to know why we still budget at least two years for the completion of it. Is it possible that we advance it by at least a couple of quarters into brownfield and change from that perspective? I just wanted to know your thoughts. Is there a reason why we are budgeting two years or there is a possibility we can do it in one and a half?

Management: So, yes, I think effort would be there to do it as fast as possible. Now the only critical activity is that equipment supply . Execution and other site work, we can do it very fast, no doubt about it. The only thing is how fast we can get all those equipments and accessories to put that plant up . That is what is going to be on critical path. Though our endeavor would be to do as fast as possible.

Navin Sahadeo: And I am assuming orders are yet to be placed for equipments.

Management: Now we are going to start that process because we took that board approval just in the last board meeting only. Now the team is working on that. Once we get the timeline and other things, definitely I think next call and thereafter we will be updating you.

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies . Please go ahead.

Prateek Kumar: My question is on incentives that you answered earlier. What is the annual incentives like we are looking currently and all you are looking at incentives from expansions in North East India?

Management: As of now we don't have any incentive for our existing operations. Going forward, Durg also does not have anything but for the split location , we will be doing the lacing with the government and trying to get the incentive wherever in those states UP, Bihar and Jharkhand . Those are available as per the state policy.

Prateek Kumar: And North East operation ?

Management: Yes, there also as per the state policy whatever is available , we will try to get those.

Moderator: Thank you. Due to time constraints , we will be able to take the last two questions . We take the next q

uestion from the line of Rajesh Prasad Ravi from HDFC Securities. Please go ahead .

Rajesh Prasad Ravi: Sir, this value -added products are RMC and AAC blocks , are they are managed captive or outsourced ?

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Management: We are doing on a summer captive summer outsource also .

Rajesh Prasad Ravi: So, when I look at your consol purchase of goods is close to 130 crores to 140 crore on a quarterly basis is almost 8% of top line . So, how much of these would be cement traded goods and how much would be the value -added products broadly?

Management: For which you are talking of?

Rajesh Prasad Ravi: So, last three quarter , if you look at the consol figure, right, purchase from goods , you know , the P&L item which is 130 to 140 crore every quarter. So, you know , that would have only smaller amount from the value -added sales as in this 40 crore should be coming in from the value -added product s?

Management: We will confirm that . I don't have the figure readily here.

Rajesh Prasad Ravi: What I am just trying to understand, does it include any purchase from the outsource P&L and volume was required in UCWL knocked off the associated volumes?

Management: We will come back, but you are right, it primarily would be the value -added product, but some could be this also, because the purchase of clink er or cement , that could also be there.

Rajesh Prasad Ravi: How much was the margin and top line for the value added? You mentioned. Sorry, I missed that.

Management: Top line I mentioned in this quarter was Rs. 134 crores. Margins are around 5%.

Rajesh Prasad Ravi: 5% and RMC o f how much in that?

Management: RMC was about Rs. 67 crores.

Management: Rs. 67 crores.

Rajesh Prasad Ravi: Rs. 67 crores.

Moderator: Thank you. The next question is from Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: My question is, in the end of the 4th Quarter , how much CAPEX are we planning to do?

Management: Now JK Lakshmi, we will be doing around 250 crores in this quarter. Mostly going for these projects which are to be completed . Especially some major CAPEX will go for the railway siding out of that 250. And another about 300 would go for the Udaipur . So, maybe 500 crores in this quarter. 300 as I mentioned, 250 JK Lakshmi and 300 Udaipur.

Shravan Shah: And sir, as on December, standalone, consol, gross debt and gross cash?

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Management: As of December , we have total debt of about 700 on a standalone basis, 720 crores and cash about 675. So, net debt is around 50 and on a consol basis, December stands at close to 2 ,000 crores for the gross debt, cash of about 850. So, 1,150 is the net de bt on 31st December '23.

Shravan Shah: And then this Durg 4.3 split grinding units, so 4.3 million, is it fair to assume that one can divide by 4, so it will be a 1.08 million grinding unit for each location s?

Management: It is not 4.3 . It is 4.6, right, first and foremost. Secondly, it will be 1.2 at 3 locations and 1 million at one location, right?

Shravan Shah: 1 million at which location, sir?

Management: 1 million at Jharkhand, I think, where in Jharkhand we have planned 1 million ton. And rest all other 3 places, 1.2 into 3.

Shravan Shah: And in terms of the timeline, everything will be, as we mentioned, 2 years, so for across all the grinding and the clinker will be mostly coming together at the same time?

Management: No, we did not say that. We said the Clinkerization, and 2 grinding units will come in first phase in 2 years' time and 2 grinding units split location would come one year later.

Moderator: That was the last question. I would now like to hand the conference back to Mr. Vaibhav Agarwal for closing comments.

Vaibhav Agarwal: Thank you. Sir, I just wanted to know that as per your ass

essment, what is the peak net debt of

the company on consol basis and what is the peak net to EBITDA you are targeting once you start commencing all your CAPEX plans?

Management: Vaibhav, I think, are you asking any question to us?

Vaibhav Agarwal: Yes, I am asking a question that what is the peak consol net debt you are targeting and what is the peak net debt to EBITDA that as per your assessment would be there for JK Lakshmi?

Management: We are talking of peak debt because we are talking of a contracting debt of close to 2,500 crores over the next three years. So, we expect the debt to increase by about 1,000 to 1,500 crores because over the three years' period, about 1,000 crores will get repaid also. So, 1,500 crores debt would be there on a consol basis. So, if it is 2,000 crores today, the peak would be anywhere between 3,500 crores or so thereabout. And our target for this would be to keep it net debt to EBITDA, anywhere between less than 2.5 max.

Vaibhav Agarwal: That answers the question. Thank you so much, sir. Thank you, sir. On behalf of PhillipCapital (India) Private Limited, I thank the management of JK Lakshmi for the call and many thanks to the participants for joining the call. Thank you very much, sir. You may now conclude the call. Thank you, sir.

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Management: Thank you, Mr. Vaibhav. Thank you, everyone.

Moderator: Thank you very much. On behalf of PhillipCapital (India) Private Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: May 2024

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JKLC:SECTL:SE:2 4
28th May 2024

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Mumbai – 400 001 Mumbai – 400 051
Security Code No. 500380 Symbol: JKLAKSHMI, Series: EQ
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Dear Sir/ Madam,

Re: Conference Call organized by PhillipCapital (India) Pvt. Ltd. on 27th May 2024 at 4:00 P.M. IST

In continuation of our letters dated 24th May 2024 and 27th May 2024 on the above subject, attached herewith the transcript/minutes of the aforesaid conference call. This is for your information and record.

Thanking you and assuring you our best co- operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

Encl.: a.a.

“JK Lakshmi Cement Q4 & FY24 Earnings Conference
Call”

May 27 , 2024

MANAGEMENT : MR. ARUN KUMAR SHUKLA – PRESIDENT AND
DIRECTOR , JK LAKSHMI CEMENT LIMITED
MR. SUDHIR BIDKAR – CHIEF FINANCIAL OFFICER , JK
LAKSHMI CEMENT LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

JK Lakshmi Cement Limited
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Moderator : Ladies and gentlemen, good day, and welcome to JK Lakshmi Cement Limited Quarter and Year Ended 31st March 2024 Conference Call, hosted by PhillipCapital India Private Limited .

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touch - tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital India Private Limited . Thank you, and over to you, sir.

Vaibhav Agarwal : Yes. Thank you, Michelle. Good evening, everyone. On behalf of PhillipCapital India Private Limited , we welcome you to the earnings call of JK Lakshmi Cement for the Quarter and Year Ended 31st March 2024.

I need to highlight that JK Lakshmi Cement is also the holding Company of its listed entity, Udaipur Cement Works Limited, and therefore, this call is also open for discussion about the performance of Udaipur Cement Works Limited.

On the call, we have with us Mr. Arun Kumar Shukla – President and Director; and Mr. Sudhir Bidkar – CFO at JK Lakshmi Cement.

I would like to mention on behalf of JK Lakshmi Cement and its Management that certain statements that may be made or discussed on this conference call may be forward -looking statements related to future developments and which are based on current expectations. These statements are subject to a number of risks, uncertainties, and other important factors, which may cause actual developments and results to differ materially from the statements made. JK Lakshmi Cement Limited and the Management of the Company assumes no obligation to publicly update or alter these forward -looking shipments, whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of JK Lakshmi Cement for the opening remarks, which will be followed by interactive Q&A. Thank you, and over to you sir.

Management: Vaibhav, good afternoon. Good afternoon to all of you, and thanks for attending this call. I think you must have gone through our Presentation , which we have already uploaded over the website .

But before that, I think I will give you a brief glimpse of what has happened in the Quarter 4 of last year and also for the whole year. So, we have been through a very good journey at JK Lakshmi Cement and Udaipur Cement Works Limited with respect to the progress which we

have made.

As I said, around a year back or even more than that, that we are trying to bridge our gap with respect to our competitors in terms of EBITDA per ton. And that is what I think we have been

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trying to do for the last 18 months or so. In my earlier conversations and during meeting with you I have told you that what all areas we are working on. And perhaps all those things are well - directional, and we have started getting advantage out of that. So, that effort has resulted into bridging our gap with respect to EBITDA per ton and with respect to competitors.

Quarter 4, if you see, I think, yes, our volume is a little bit on a lower side, primarily because of the fact that we have reduced our volume from our outsourced unit. And also, our focus was really kind of to improve our efficiency at across the value chain, right? In terms of renewable energy, we have progressed very well. Quarter 4, we are at 47% at the group level and individually at JKLC and Udaipur Cement Works Limited, we are at 39% and 46% level. So, renewable energy also we have progressed very well. On AFR front, which is one of our prime focusing area with respect to manufacturing costs. There also we have progressed very well. Last quarter, we

have closed our TSR at 7%, which was 4% last year. And Quarter 4, if you look at the Quarter 4 alone, then our TSR was 11.27% including the Jaykaypuram and Durg. On premium product front also, we have progressed very well. Yes, I think where premium segment is on little lower side, but west and north where sizeable premium segment is there, our premium proportion is more than 25% in these 2 markets, right? On supply chain, we have progressed on reducing our lead. Lead is at 372 kilometers at the end of Quarter 4. And if you look at last year, I think our lead reduction is more than 25 kilometers, right? Along this supply chain, also, we have done quite a bit on improving our direct percentage, then using technology to improve our customer experience, right? So, this is all supply chain part of it. On project front, first phase of AFR, we have already concluded, which I told you during our last conversation. Udaipur Cement Works Limited, we commissioned our grinding stations of 2.5 million tons on 28th of March 2024, right? And Durg Railway Project, first phase, we are likely to conclude very soon. We have already started loading clinker from that site to our different locations for selling as well as transferring clinker to our grinding stations.

So, this is on project front. This is what I think, I will just take you for questions. If anything, I missed out, I just wanted to give you a brief as to how we have progressed. You have seen our EBITDA per ton last quarter. And we are happy that whatever actions we have taken, we have been on the right track.

So, now I take a pause, and I wait for your questions. Our CFO – Mr. Bidkar, and I am here to answer your questions.

Moderator : We will now begin the question -and-answer session. The first question is from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi : Congrats on a good set of numbers, predominantly on the margins front, third consecutive quarter of good performance. Could you discuss on, first, the expansion plans, this Gujarat, Surat expansion? And then what are the plans on the East expansions and also touch upon what are the thoughts on the Northeast expansion? What sort of CAPEX and expenditure you're looking

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for the Northeast expansions in FY '25? And what is the plan for next 2 years because you're looking at 30 million tons by FY 2030?

Management: Thank you, Rajesh. As far as Surat grinding unit is concerned, we are doubling the capacity from 1.5 million to 2.7 million. So, that is on screen going as per the original schedule. As regards to the expansion in Durg, we are talking of a 2.3 million clinker and a 4.6 million cement capacity. There, we are talking of 3 split location grinding unit and 1 grinding unit at the integrated plant in Durg. That will cost us close to about Rs. 2,500 crores. So, in the first phase, we will go with the clinkerization plus grinding unit in Durg, that is the integrated plant in UP, Prayagraj. Then we will have the other split location located grinding units in Jharkhand and Bihar.

Rajesh Ravi : So, Udaipur, when you're looking at Surat, the expansion this year only FY '25, it will be operational?

Management: Yes, towards the end of the year, last quarter. But as first phase of Durg is concerned, that is FY '26 towards the end and second phase towards the end of FY '27. From the cost, it is about Rs. 225 crores for the Surat grinding unit and Rs. 2,500 crores for the Durg expansion. The Northeast project, we are presently in the process of acquiring land, which is still some time away before we can talk of the exact timeline for that project there.

Rajesh Ravi : And sir, this Rs. 330 crores is already paid for the acquisition?

Management: No, we have not paid, that is being phased out. We have paid about Rs. 125 -odd crores only.
Rajesh Ravi : So, this Rs. 1,500 cro

res includes everything, or this is over and above this Rs. 330 crores?

Management: This Rs. 1,500 crores is for the project. So, the Rs. 325 crores would be over and above that.

Rajesh Ravi : So, around Rs. 1,800 -odd crore. Is it fair to assume that this will get commissioned, if at all, by FY '27 and/or FY '28, because it is a greenfield project?

Management: That will take some time, I am not able to give a timeline because we are working on those external approvals like land acquisition, environmental clearance, and all that. So, once those are in place, then 2 years thereafter, we should target the start of the greenfield.

Rajesh Ravi : And coming back to the operations, could you give this RMC revenue and non -cement revenue and EBITDA for the contribution in Q4?

Management: The non -cement revenue in this quarter were Rs. 154 crores.

Rajesh Ravi : And RMC, how much in that?

Management: RMC is Rs. 86 crores out of that, Rs. 21 crores is POP, and 68 crores is AAC .

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Rajesh Ravi : Okay. And EBITDA margin for this non -cement revenue would be around 4%? Or better than that?

Management: 5%.

Rajesh Ravi : How much?

Management: 5%.

Rajesh Ravi : And sir, how are you looking at the Gujarat market, just wanted to ask because this is a very critical market for you and Duramix also, you have been guiding that you're making good profitability in Gujarat market. So, any views given that Ambuja is ramping up its plant in the Sanghi unit and would be selling under ACC and Ambuja brand. So, what is your thought process? Do you see pricing erosion and that could have a bearing on players like you because for you, Gujarat is a big market in terms of your total volumes?

Management: What I said is that West market is not going to behave irrationally because as a rational person, I believe that market is going to behave rationally and therefore, it's not going to be dilution with respect to the pricing trend, right? And that happens everywhere, not only for West, but everywhere. And that is what still I believe. And we are discussing this for the last maybe 2, 3 quarters, but perhaps it is not much of a change. And the West is behaving the same way as other markets are behaving, North, East or even other market trends. No kind of radical change in terms of price dynamic.

Rajesh Ravi : Sir, what are the cost levers you're looking at in FY '25 in terms of fuel and other efficiencies versus FY '24?

Management: So, one of the major cost drivers for us would be improving TSR. So, as I said that last quarter, our TSR was 11.27%. And FY '23, it was 4.11%. And last quarter was 7.01%. So, I think this is going to be one of our major levers for improving efficiency one. Second, we are also working on further improving our renewable energy proposal. And as I said that in Quarter 4 , we were at 47% of renewable energy. We are planning to enhance our capacity on solar. So, we are working on that. Another 7 -megawatt at Sirohi, then I think we are working at other locations also. That is still under planning. So, maybe next time I will tell you. So, solar is another area where we are going to work. This AFR facility at Udaipur also will get commissioned during September. So, we have not yet commissioned, so that will also get commissioned. So, this is going to be TSR, and renewable energy is going to be a major driver as far as cost goes. Apart from that, all those cost levers because we are heavily working on digital and technology. How we are going to really improve our efficiencies across plant operations, that is what we are working on. We are working with some organizations also to really come out with some kind of digital solutions. So, these are the major activity as far as cost goes.

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Rajesh Ravi : Sir, this TSR at more than 11%. Sir, how is your

costing per kilo cal versus your normal fuel

cost? Because blended, you are close to 1.7%, 1.8%. So, increasing the TSR, how is that helping in terms of costing also, sir? I understand it is helping your green mix for sure.

Management: The cost of TSR is about 1.2 now. That varies across locations. East, it is a little on the higher side, and in North part of it, it is on the lower side. On an average, you can take about 1.5, 1.2 whereas if you take conventional fuel, means about 1.8 plus because blended is about 1.68.

Rajesh Ravi : Saving for every event.

Management: For the saving. We are a very responsible corporate and we have committed to be carbon neutral

by 2047. So, in a way, this is also going to help us to reduce our carbon footprint. So, over and above, cost efficiency is also kind of renders our responsibility towards our commitment to mitigate carbon footprint.

Rajesh Ravi : And sir, how has been the trade and blended share in Q4?

Management: Yes. So, trade was 56% and blended 66%.

Rajesh Ravi : 56% and 66%, okay.

Moderator : The next question is from the line of Mangesh Bhadang from Centrum Broking. Please go ahead.

Mangesh Bhadang: Congrats on a good set of numbers. Sir, my question is related to the volume. So, we have had flattish volumes at consolidated level, and we have commissioned our Udaipur clinkerization unit in October. So, I just wanted to understand, have we done any clinker sales from that plant or what kind of contribution or utilization that plant would have had in this quarter at the consolidated level?

Management: So, yes, since we commissioned our grinding station during end of March 2024, and we commissioned our clinkerization unit in October. So, yes, we had some excess clinker with us, which we sold in the market, right? So, capacity utilization at UCWL, what is it? Yes. I will just let you know, clinker as well as cement. Cement, I think anyway, I think it was not there. 80% is cement. Cement was 90% last quarter, and clinker line 2. Just hold on, and we will just let you know.

Mangesh Bhadang: Sir, basically, the next question was, have we capitalized any costs related to UCW in this quarter?

Management: Sorry, come again, I just missed a few questions.

Mangesh Bhadang: Have we capitalized any costs related to UCW in this quarter?

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Management: Capitalization was only up to the period of implementation. Other than that, there is no capitalization.

Mangesh Bhadang: And sir, secondly, so we have seen substantial improvement in our cost over the past couple of years. So, I just wanted a couple of the actual operating parameters, like what is the change in the specific heat consumption of the kiln as well as the electricity consumption per, say, ton of cement. So, how have these parameters changed over the last 2 years? And definitely, with the new kiln coming up, there should be an improvement. So, what kind of numbers we are expecting on that side?

Management: Okay. So, our cost, the last quarter on consolidated level if you look at 5.3. So, our power cost was 5.3. And of course, the per Kilo Cal cost was 1.68, right?

Mangesh Bhadang: So, electricity consumption, not in terms of rupees, in terms of the units for ton of production, units required. So, around 73, 74. How it is?

Management: Yes. 69 units power for ton of cement.

Moderator : The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar : Congrats for good results. My first question is on, I mean, you talked about CAPEX number. Just can you repeat your CAPEX numbers expected for FY '25 -'26? Total CAPEX numbers, including project or other maintenance CAPEX ?

Management: Yes. Do you want for the next year?

Prateek Kumar : For FY '25 and FY ' 26?

Management: Yes. FY '25, including the Durg expansion, we would do close to about Rs. 1,200 crore

s, which

will include about Rs. 600 crores on Durg expansion and including the normal CAPEX of about Rs. 50 crores. And FY '26 would be another Rs. 1,000 crores.

Prateek Kumar : You said Rs. 1,800 crores in between and earlier in the call?

Management: Sorry.

Prateek Kumar : Earlier in the call, you said Rs. 1,800 crores CAPEX for FY '25?

Management: That was only for Northeast. That is separate. That is over 3, 4 years. You are talking about financial year wise?

Prateek Kumar : Okay. That was the Northeast CAPEX . Okay.

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Management: That was Rs. 1,800 crore is for the Northeast, which includes Rs. 1,500 crores for the project and Rs. 300 crore, that is only for Northeast. And that this Rs. 1,300 crores, Rs. 1,200 crores, which I am talking is only in JK Lakshmi. That is another Company .

Prateek Kumar : And in the opening remarks, you highlighted some reasons for volume load being slower. Can you highlight those again? Because it was not very clear.

Management: Volume, I said that if you look at consolidated level on FY '24, we grew by about 5%, right? If you look at a quarter basis, then we are almost flat. Now the reason which I mentioned was that

we have reduced our sales from some outsourced units. And I will just tell you a little in detail. We had one an outsourced grinding station in Punjab. So, that was taken over by some other players. So, we had to stop selling from that grinding station. We also reduced our volume substantially from Amethi outsourced plant because the kind of margin or profitability we wanted; I think that was not coming.

So, that was second. And there are other some sources where our volume uptick was low and that was a deliberate one. So, that was one reason why volume is low. Second, I think all of you should understand. If you look at Quarter 4 only JK Lakshmi Cement, standalone, our utilization was 89%. And if you look at 65 -35 kind of ratio of 66 -34 blended versus OPC, so this is the optimal what we could have sold, right?

So, I think we have utilized our full capacity given the product mix which we have, right? And if you look at overall basis also our capacity utilization was 81%, which is above industry average. And again, I will go back to that rational that looking at the product mix which we have, that is what we could have done. And that also includes that July, September month, which is cyclically low in demand, right? So, that is why our volume was on lower side. In fact, in Quarter 4, we were lacking volume. We did not have volume to kind of sell, right? Demand was there. If you look at Udaipur, Udaipur utilized 90% of capacity. JK Lakshmi, 89%. So, this is what I think best you could have done.

Prateek Kumar : And like FY '24 year -end capacity is like 16.5 million ton as I guess 14 million earlier and 2.5 million was commissioned consolidated capacity? What would be year -end capacity of FY '25, '26, yes, '25 -'26, right?

Management: '24-'25, you're asking, right?

Prateek Kumar : Yes. So, FY '25 and then FY '26?

Management: Yes. So, I think we have taken a ramp -up plan. Based on that, we will definitely achieve on an overall basis consol basis 70% and then next year on 80%. That is what we have said. Because 70% includes that 2.5 million additional capacity, which we have already put up and 1.35 million also, which will come during the last quarter of this financial year.

Prateek Kumar : Sure. In FY '26, 2.4-million -ton capacity will come at East locations?

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Management: FY '26, I think will have full 1.35 million tons from Surat. And we will have, of course, I think, good capacity utilization of Udaipur also. Udaipur line 2, 2.5 million tons. Any clarification, you can. So, overall basis, you just remember 2 figures, 70% and 80%. This is what we are targeting.

Moderator : The next

question is from the line of Praveen from Anandam Enterprises. Please go ahead.

Praveen : My first question is, what is the current status of conveyor belt at Durg and when it will be completed?

Management: So, conveyor belt, the status is, as you know, that this 5-conveyer belt passes through a stretch of land, which belongs to Steel Authority of India Limited Bhilai Steel Plant. We are pursuing this matter with them, and that is on the final stages of approval. So, we can get this approval in the next maybe a month or so. Once that approval is in place, we will start working on that. But in parallel, we have already started kind of getting ourselves ready. Once we have this approval in our hand, we will just right away start working on that. So, I think maybe a month or 2, we need to wait for approval and then maybe another 6 months, we will take to put this online.

Praveen : Sir, my second question is, what is the current capacity utilization of Udaipur Cement's new greenfield plant of 2.5 million tons?

Management: So, current, I think we have just started maybe in April, I think let's say. So, it's about 40% around.

Praveen : Sir, my third and last question is, how much sales you have reported from contract manufacturing sales? And where do you report it in this sale?

Management: That volume, we have not included, right?

Praveen : Sorry, sir. Can't hear you properly.

Management: So, unit volume is not part of the volume, which we have reported.

Moderator : The next question is from the line of Uttam Kumar Srimal from Axis Securities Limited. Please go ahead.

Uttam Srimal : Congratulation on good set of numbers. My question pertains to, sir, pricing. How is the current pricing in the region where we are operating in West, East and North? Further, second question is on power and fuel. You said our PCL cost is 1.68. So, any further reduction we are expecting in ongoing quarter?

Management: Yes. So, first question first. So, you asked about prices, right? So, I will take you a little back. If you look at Quarter 4 , prices went down by about close to 5% with respect to the preceding quarter, right? And if you look at whole year prices, the kind of data we have with us, price has dropped by about 1.5% if you compare that with FY '23, okay? So, prices have gone down. And

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I think all industry players, they have worked on kind of taken advantage of softening fuel costs and then kind of other efficiencies, which we have been driving in our organization, right? So, price trend has not yet reversed. The kind of trend which was prevailing in the Quarter 4 of this last year, that still persist. And that is because of the fact that we are through this national election. Once that election is over and results are out on 4th of June, demand will improve. So, demand is on lower side.

One, that is triggering not a very good movement in price trend upwardly. In fact, prices are either going down, our prices stable in some of the markets. So, pricewise, I think things are, I would say, as it was there in Quarter 4. Demand is on lower side. That is what the state of the affairs today. But I see that once elections are over, quarter 2 is going to be a little better than quarter 2 of last year. And once demand improves, then prices also will inch up. This is what I believe because that is good dynamics of demand and price. Since demand is low, prices are kind of under pressure. Once demand improves a bit, definitely prices also will go up a bit.

Uttam Simal : Sir, with regard to power and fuel, so any further decline we are expecting in terms of kcal cost?

Management: No, I don't think so because if you look at international prices of pet coke and imported coal, that is, in fact, going a little bit upward. And from the fact that we do have some supply chain issue because of the conflict, geopolitical situation, which is there, right? So, I don't think that that is going to go down further. Maybe this is going to be kind of around range bound, it will go a little bit up maybe or may be stable. That is what I see. But definitely is not going to go down from here.

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that is going to go down further. Maybe this is going to be kind of around range bound, it will go a little bit up maybe or may be stable. That is what I see. But definitely is not going to go down from here.

Uttam Simal : Volume growth we're expecting this year FY '25?

Management: So, as I said, we have planned along with additional 2.5 million plus 1.35 million, close to 4-million-ton additional capacity. Our plan is to achieve 70% utilization, and that translates into about close to 10% plus of volume growth. That is what we are targeting. That excludes all outsourced unit and everything.

Uttam Simal : This is on a consolidated basis. On standalone basis, sir, if you can elaborate on that?

Management: Very difficult because see, last quarter also, if you see Udaipur Cement Works Limited, we have grown by 33% in terms of volume growth. And in case of JKLC, it is maybe negative. So, I think better to look at a consol level, that would give you a better picture.

Moderator : The next question is from the line of Tushar, an Individual Investor. Please go ahead.

Tushar : My first question is, I just want to confirm the timeline of your new Surat grinding unit. You mentioned in your commentary last quarter of FY '25.

Management: So, Surat, we are commissioning this 1.35 in 2 phases. First phase, we are going to commission in the month of October, which is going to be 1.35 divided by 2 kind of things, around 0.7 million

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tons, right? And the next phase we will be doing around last quarter or maybe March, April of FY '26.

Tushar : March, April of FY '26?

Management: Yes, yes. Because first, we will kind of do this grinding and then we have pre-grinder plan also, which we will be doing around quarter 1 or Quarter 4 of this year.

Tushar : And second question is, what are the savings possible from railway sliding that will get commissioned in September 2024?

Management: So, saving, I think it's very difficult to really pinpoint. So, I think you need to understand. This is going to help us to be more competitive in the markets of Odisha because till now, we have been supplying clinker by road, which was costly. So, now it will go by rail. So, I think that advantage we will get. We have not also been able to reach out to some of the market where we want it to be, which is better in terms of pricing and also the distribution cost is lower. And particularly, I am talking of Eastern part of MP and some part of Eastern market like Bihar and Jharkhand, right? And incoming which we take like coal and gypsum, there also we are going to get advantage. So, we are going to add a good access to the market, one. We will set better price, second. But if you really want to know the kind of cost or distribution cost reduction, then it's going to be on account of the incoming which we bring in and the outdoing which we will take to some of the market. So, maybe I think we have not yet kind of clearly quantified it, but I can tell you that how much benefit we will get out of it.

Tushar : And sir, just the last question, can you provide any timeline for expansion at Agrani cement?

Management: Sorry, come again?

Tushar : Timeline for expansion at Agrani cement that you recently acquired?

Management: Agrani, okay?

Management: We are working on these external clearances. Once that is in place, we will take 2 years from

thereafter. So, environmental clearance and after that land acquisition. Once those are in place 2 years after that. So, maybe it takes about a year, 8, 9 months for those things that get completed by say, March, April of '25, then 2 years thereafter. So, maybe March, April of '27.

Moderator : The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Congratulations on the good profitability, Rs.

1,000 EBITDA per ton second quarter in a row.

Sir, just still need a clarity in terms of the CAPEX absolute at consol level. So, if you can help me, you have mentioned Rs. 1,200 crores for FY '25 and Rs. 1,000 crores for FY '26. Sir, total CAPEX for Durg is Rs. 2,500 crores, Northeast is Rs. 1,800 crores, plus railway siding, plus WHRS, solar. So, what is total cost? Out of that how much we have already spent and how much

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to be spent in FY '25 -'26 because it seems the number is on the lower side because last time you said Rs. 4,000 crores plus kind of CAPEX and that too in the Q4, we were looking at a much higher CAPEX total FY '24, we were looking at Rs. 1,500 crores, but we have done Rs. 1,000 crores. So, will it also spill over in FY '25? And based on this, how do we now look at the net debt number for FY '25 -'26 and maybe possible peak net debt?

Management: As far as CAPEX is concerned, we are talking of about Rs. 1,200 crores in FY '25, that is only and only in JK Lakshmi. Another Rs. 1,000 crores thereafter and Rs. 1,200 crores in FY '27. So, Rs. 1,200 crores plus Rs. 1,000 crores, Rs. 2,200 crores plus another Rs. 1,200 crores. That is as far as JK Lakshmi is concerned. Then coming to UCWL, they have about Rs. 300 crores remnant CAPEX for the expansion, which will come in FY '25. Thereafter, for next 2 years, other than a maintenance CAPEX of maybe about Rs. 15 crores, Rs. 20 crores, there will not be much. Third, on the Northeast project. One is the acquisition cost, which we are talking of 125 already paid in FY '24, another 200 gets paid in FY '25. And thereafter, we have the expansion, then it will be about Rs. 350 crores and then another Rs. 1,200 crores thereafter in FY '26 and '27, that is about Rs. 1,500 crores.

So, those are broadly. So, in line with these CAPEX, our debt would be, we are talking of a debt equity of 2:1 overall for the project. So, we will have contract additional debt to that extent. As of now, we are talking when we see our debt position as far as JK Lakshmi is concerned, it's almost negligible.

And going forward based on this CAPEX, it will be there. We are talking our gross debt on a standalone basis for JK Lakshmi as of March '24, about Rs. 700 crores, cash of Rs. 500 crores, so net debt of Rs. 200 crore for JK Lakshmi. On a consol basis, we have Rs. 2,000 crores of debt, Rs. 650 crores of cash and Rs. 1,400 crores of about net debt. I will not say it will not increase. It will certainly increase based on this CAPEX, which we will have on hand. But it will be within the norm what we had set for ourselves.

Shravan Shah : True, true, sir, but still, I just wanted to understand. So, broadly and in terms of the railway siding, WHRS or the solar, so what would be the additional CAPEX? And what would be the CAPEX for the maintenance? What we have right now, you mentioned is the only the expansion one.

Management: Around Rs. 1,200 crores, that includes when we have talked about JK Lakshmi, it includes partly for expansion, partly for all that. I have not given project-wise breakup. So, when I say Rs. 1,200 crores, it includes expansion, railway siding, Surat grinding, everything, right?

Shravan Shah : So, broadly, is it fair we can have kind of a Rs. 4,000 crores kind of net debt peak maybe in FY '26 or '27? Because the overall CAPEX would be still would be on the higher side versus the free cash flow or the cash flow from operations for the next 3 years?

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Management: The net debt will certainly increase because of the CAPEX of around Rs. 4,000 -odd crores, obviously, it will go up.

Shravan Shah : Second, in terms of just to clarify, the timeline, the first phase of Durg, which will be a 1.2 MTPA grinding. So, clinker is definitely there, 1.2 grinding at Durg and 1.2 grinding at Prayagraj, which

will be commissioned by FY '26.

Management: Yes. Last quarter, FY '26.

Shravan Shah: Second, sir, you mentioned in terms of the TSR and then the AFR and increasing this, so broadly, now from this quarter, how much more we can see in terms of the cost savings? Is it possible and important this is how much more? Definitely, we have done much better in terms of the cost reduction. So, just trying to understand how much more we can do?

Management: So, Shravan, I think I told you that our TSR is going to be more than 12% this year, which was

7% last year, right?

Shravan Shah : This is a consol number you are saying?

Management: This is I am talking of JKLC, right?

Shravan Shah : I want a consol level.

Management: So, consol level also, right now, we do not have any TSR at Udaipur because we do not have that facility, right? So, Udaipur will go to a level of about 7%, 8% and JKLC will be there at about 12%. And if you take average of this, then it will be around 10% around. From right now, let's say, average is about 6% to 10%. So, 4% increase in the year FY '25.

Shravan Shah : And then in terms of broadly, the current prices is for us at a consol level, if I have to look at it, is it fair that 1.5%, 2% would be lower versus the 4th Quarter average in the cement prices for us?

Management: Yes, prices have gone down in quarter 1 of FY '25, right? And it should be about, let's say, around 1% to 1.3%.

Moderator : Ladies and gentlemen, we will take the last question for today, which is from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi : Could you share on the consol, what was the clinker production in FY '24? And also, how much is the clinker purchase and clinker sold in FY '24, consolidated?

Management: Yes, hold on for a sec.

Rajesh Ravi : Sure, sir. And also, Udaipur volumes in Q4, total sales volume?

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Management: Udaipur sales volume, I can give you right away. So, whole year you want?

Rajesh Ravi : Yes, Q4 and whole year Udaipur?

Management: Udaipur Q4, it was 7.56, which included cement of 6.42 and 1.14 of clinker. And for the whole year, it was 24.92, which included cement of 20.97 and 3.95 of clinker.

Rajesh Ravi : And JK Lakshmi consolidated clinker production?

Management: That we have given in our press release.

Rajesh Ravi : Full year, full year, sir, total clinker production?

Management: We have given.

Management: Clinker production for JK Lakshmi Cement in Quarter 4 is 69.96 lakh tons.

Rajesh Ravi : 69.96 lakh tons, this is Quarter 4 .

Management: No, no, this is for whole of the year.

Rajesh Ravi : Standalone right?

Management: Yes, this is for standalone .

Rajesh Ravi : And Udaipur, how much clinker production?

Management: Udaipur Quarter 4 was 5.91 lakh tons. For the whole of the year is 19.75 lakh tons.

Rajesh Ravi : 19.75. And sir, how much is the clinker sales on a consol basis? And how much is clinker purchase?

Management: On control basis, the clinker sale was 2.32 lakh ton in Quarter 4 and for whole of the year, it was 8.7 lakh tons.

Rajesh Ravi : 8.7 lakh tons. And also, how much is clinker purchase at different places?

Management: There's no clinker purchase.

Management: Clinker, we have not purchased.

Rajesh Ravi : Not purchased, okay. And so, what would be your CC ratio in FY '24, cement to clinker production ratio?

Management: It is about 1.46.

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Rajesh Ravi : 1.46, okay. This has also marginally improved versus FY '23, which was around 1.43, 1.44. So, what is the outlook, sir, you're looking at increasing this blending ratio more and more. And to what level you're looking at? Obviously, the East, you will be targeting higher because in East you're setting up 5 -year grinding unit, almost 2x clinker. But purely from the Udaipur ramp -up and all

, are you looking at this cement to clinker ratio going up north of 1.5x in FY '25 or in FY '26?

Management: So, definitely, I think we are trying to reach to close to 1.5 level, right? Our endeavor is there to reach that level.

Rajesh Ravi : Sure. And sir, last question on the CAPEX , which you enumerated in detail. It seems you will be spending Rs. 1,700 crores this year, Rs. 1,400 crores on a consol basis next year. And you mentioned that the Northeast project, Rs. 1,200 crores, you are targeting for FY '27 alone? Or it could again get FY '27 and '28?

Management: Sorry.

Rajesh Ravi : The Northeast project, you mentioned that you would be spending Rs. 200 crores this year as a balance payment for the acquisition. And then FY '26 -'27, you mentioned Rs. 350 crores and Rs. 1,200 crores, right?

Management: Around that. Some portions may be incurred this year as well, especially on the land acquisition.

Rajesh Ravi : So, this Rs. 200 crore plus some. So, this year, CAPEX could be higher than Rs. 1,700 crores, consol level?

Management: Project cost is Rs. 1,500 crores. A part may get spent in the current year and balance in the next 2 years.

Moderator : As that was the last question for today. I would now like to hand the conference over to Mr.

Vaibhav Agarwal for closing comments. Over to you, sir.

Vaibhav Agarwal : Yes. thank you. On behalf of PhillipCapital India Private Limited , we'd like to thank the management of JK Lakshmi Cement for the call, and many thanks to participants for joining the call. Thank you very much, sir. Michele, you can now conclude the call. Thank you so much.

Management: Thank you, Mr. Vaibhav, and thank you for all the participants. Thank you.

Management: Thank you, everyone.

Moderator : Thank you, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of PhillipCapital India Private Limited , that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

JK Lakshmi Cement Limited

May 27, 2024

Call: Aug 2024

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JKLC:SECTL:SE:2 4
2nd August 2024

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Dear Sir/ Madam,

Re: Conference Call organized by PhillipCapital (India) Pvt. Ltd. on 1st August 2024 at 5:30 P.M. IST

In continuation of our letters dated 26th July 2024 and 2nd August 2024 on the above subject, attached herewith the transcript/minutes of the aforesaid conference call. This is for your information and record.

Thanking you and assuring you our best co- operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

Encl.: a.a.

"JK Lakshmi Cement Limited Q1 FY25 Earnings
Conference Call"

August 1 , 2024

MANAGEMENT : MR. ARUN KUMAR SHUKLA – PRESIDENT AND
DIRECTOR , JK LAKSHMI CEMENT LIMITED
MR. SUDHIR BIDKAR – CHIEF FINANCIAL OFFICER , JK
LAKSHMI CEMENT LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the JK Lakshmi Cement Q1 FY25 Earnings Conference Call hosted by PhillipCapital (India) Private Limited . As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited . Thank you, and over to you, sir.

Vaibhav Agarwal : Thank you, Darwin. Good evening, everyone. On behalf of PhillipCapital (India) Private Limited , we welcome you to the Q1 FY25 Call of JK Lakshmi Cement.

I need to highlight that JK Lakshmi Cement is also the holding Company of its listed entity, Udaipur Cement Works Limited, and therefore this call is also open for discussion about the performance of Udaipur Cement Works Limited.

On the call, we have with us Mr. Arun Kumar Shukla – President and Director; and Mr. Sudhir Bidkar – CFO at JK Lakshmi Cement.

I would like to mention on behalf of JK Lakshmi Cement and its Management that certain statements that may be made or discussed on this Conference Call may be forward -looking statements related to future developments and which are based on current expectations. These statements are subject to a number of risks, uncertainties, and other important factors, which may cause actual developments and results to differ materially from statements made. JK Lakshmi Cement Limited and the Management of the Company assumes no obligation to publicly alter or update the statements whether as a result of new information or future events or otherwise.

I will now hand over the floor to the Management of JK Lakshmi Cement for their "Opening Remarks ", which will be followed by interactive Q&A. Thank you, and over to you, sir.

Management: Yes. Good evening to all of you and welcome to this Conference Call post our Quarter 1 result. Before we go to question and answer, I will just give you a brief glimpse because a lot of data is there with you and you may have a lot of questions, so I will allocate more time for questions and answers than kind of giving a commentary.

So, last quarter, as an organization, I think we are satisfied with the way market has behaved in terms of demand and pricing. JK Lakshmi Group has done reasonably well. You must have seen that the trend which has emerged so far is lower realization and operating leverage which has impacted profitability for all the companies. Same goes with us as well.

I would like to give you some glimpse or the highlights of the organization :
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Volume-wise, we are almost flat and the reason being that some of the markets where we operate post Holi and followed by this longer layoff during this election that has impacted some of the geographies where we are there. And those geographies are dependent on the migrant laborers. While we have done quite well in the East, but in the West and North where dependency is more on migrant laborers, things have impacted in construction sites and hence our volume. In terms of pricing, I think pricing was under pressure because you must have observed, we are witnessing the price level which is the lowest in the last three years' time, right? So, that has impacted us as well and hence our realization has gone down. What we have done quite well is, of course, I think being very focused on some of the performance levers, which we have been focusing for the last couple of years, of course, on geo mix and then supply chain efficiency, then using digital to drive efficiency in our supply chain and value chain, working o

n renewable energy, non-fossil fuel uses and things like that.

We have been continuously focusing on that and that has resulted into a significant improvement on those parameters. For instance, AFR if you take, AFR in case of JK Lakshmi Cement, it was close to 12% last quarter, which is much higher than last year average of 7%. In terms of renewable energy, last quarter we have closed at about 48%, which is much higher than the exit overall average of last year which was 39%.

We have done quite well in lead also, lead has gone down by 12km, 384km was the average for last year, we have achieved 372km Quarter 1 of this year. So, there also I think things have turned out to be well. In terms of premiumization, our premium product was at 30%, close to 30%, which is a good moment and that has impacted our bottom line to an extent.

These are the highlights which I would say is there at our end to kind of let you know. I will now give time to all of you to ask questions because you may have questions on lot of things, the recent development which we have proposed in our recently concluded Board meeting that is a merger of UCWL and JK Lakshmi Cement.

I will leave it to you and now we are open for questions and answers. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Gautam Rajesh from EverFlow Partners. Please go ahead.

Gautam Rajesh : Yes, sir. So, I have 2 questions. My first question was, can you talk a little bit more about our limestone reserves that we put up our plants in north? And how many years of reserves do we have there and when do they come up for renewal?

Management: Yes. So, at Sirahi, our renewal is in the year 2030 and the residual reserve is for about 15 to 20 years now with us. At Udaipur, we have a requisite reserve for another 40 to 50 years and just to let you know, we have recently got lease of adjacent mines and that is also going to further our life of limestone at that location for at least another 10 years. So, this is what is there already operating. In terms of you know future programs, you must be knowing that we have already

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acquired limestone lease right at Nagaur, and there also I think if you are going to put up, let's say around 5 to 7 million ton plants, so that is going to last for at least 45 to 50 years. So, we have got requisite limestone reserves with us to continue our operation for at least 35 to 50 years depending upon the phasing of the different extension plants which we have.

Gautam Rajesh : And my next question was, how much time would it take for us to ramp up the volume for the Udaipur Cement expansion and achieve, let's say optimal or high utilization and volume growth?

Management: So, unfortunately, because of general election during Quarter 1, that impacted overall demand. You know that because you know industry has not grown the way it was expected and in fact, because of this Quarter 1 subdued demand, overall forecast for the demand for this year also has down revised. But yes, nevertheless our plan holds and still we stick to that that at least 60% utilization we'll achieve by end of the year of our line 2. And overall maybe around 70% to 75% that is what our plan is, around 75% for both the lines put together.

Gautam Rajesh : 60% by end of FY25 and 75% at peak utilization, am I right?

Management: Yes, yes.

Moderator : The next question comes from Nigel from Leo Capital. Please go ahead.

Nigel : My first question was about, how do our current profit margins in the east region compare versus the ones we have in the north and west? Is there like a substantial difference in profits as of now?

Management: Yes, so there is a difference. East, we are doing well. Last quarter, if you look at our EBITDA is at least Rs. 200 higher than north and west, right? And if

you look at industry, I think we have done better than industry in terms of really driving all those priorities which we have. So, being very focused on the market, which are nearby to our plants, that has resulted into a better margin in East than North in last quarter.

Nigel : And also, I wanted to know if you could talk about the thought process behind this expansion in the East given the high capacity being set up by competition in the region. How much do you think also we have the railway sidings and split grinding units? So, how much can those add to the profitability in the East on a per ton basis?

Management: Yes. So, I will just pick up from your last question. So, I told you that East has done well than north and western operations last quarter. And during peak period last year also, we struggled to cater to the demand which our customers has with us, right? So, that really prompted us 2 things. One, I think we were short of capacity during peak period, one. And second also the top line strategy and the distribution strategy which we have in this and profit margin almost kind of near to north, we thought of expanding. And further this kind of gets accentuated from the fact that now, we have railway sidings also within our premises.

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So, some of the market where we are unable to go now, we can go from those markets, that plant, right? So, these are the 3 reasons. One, of course, I think we had lack of capacity to cater to the demand during peak period and peak period means at least six months of the year, one. Second the strategy which we have for top line, which is kind of optimizing our distribution in the area where profitability is more. And third, now, we have avenue to reach out to the market where we were not going. So, these are the 3 things which really prompted us to kind of go for expansion.

Moderator : We have the next question from Aman Agarwal of Equirus Securities. Please go ahead. Hi sir.

Aman Agarwal : First question was on the realization fund. So, for J.K. Lakshmi, if we see, sequential drop in realization appear a bit higher than for broader industry. Just wanted to understand, has this got something to do with increased clinker sale from the new Udaipur capacity?

Management: No, I think I would not say that. Maybe I think prices were under pressure, you know that. And some of the market, our realization went down drastically because of the distribution cost because we cannot leave market during the period when prices are down because we have a strategy where we pursue that strategy of being in the market forever wherever we are and wherever we have chosen to be, right? So, that is one. Second also, little bit increased in clinker sale as well. That has also impacted our lower realization. For 2 reasons maybe distribution mix to an extent because some of the markets becomes, I would say, not favorable and second lower realization of clinker.

Aman Agarwal : And sir, on the merger proposition itself, if you can just quantify in terms of savings that you are directly expecting on this proposed merger?

Management: It is difficult to quantify the exact quantity of the savings which would emerge of post -merger because some synergical benefits which we were already driving. But more importantly that merger will help to make a stronger balance sheet with all the capacities consolidated into a single entity. And cash flow also in a single entity will help us to grow faster organic or inorganic. But there will certainly be some add-ons in terms of savings in the fixed cost, economies of scale through common procurement, additional common procurement, some logistic alignment, time to reach the market faster, benefiting the customer. All these benefits would increase as they are already in the pre -merger regime. But it's difficult to quantify that, put a number there too.

Aman

Agarwal : And sir, 1Q already going a bit subdued for the industry, what's the demand expectation for FY25 for the industry and for the Company as well?

Management: Industry, we see that earlier the forecast was 7% -8% of demand this year FY25 for the industry. Now this has been down revised to 6 -7% and we feel that we are going to do better than this at least by a percentage or 2. So, that is what we expect. So, we are going to do better than industry for sure.

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Aman Agarwal : And sir, lastly just a couple of data points. If you can provide with the net debt numbers on consol basis as on June 24 and second on the non -cement revenues for 1Q.

Management: On a standalone basis, the gross debt on a standalone was about Rs. 700 crores and about Rs. 375 crores of cash. So, that leaves a net debt of Rs. 325 crores. That is on a standalone basis. And as far as on a consol level is concerned about Rs. 2,050 crores of gross debt and Rs. 400 crores of cash mean Rs. 1,650 of net debt. That is as far as the gross and net debt on standalone and consol basis are concerned. And as regards your other question on the non -cement revenue,

it is about Rs. 132 crores for this quarter, almost flattish or the same as it was in the corresponding quarter last year.

Aman Agarwal : And what could be the EBITDA margin on this? Is it still maintained at somewhere around 5%?

Management: Yes, 4% in this quarter, slightly subdued which was the same as in the corresponding quarter last year.

Moderator : The next question is from Amit Murarka of Axis Capital. Please go ahead.

Amit Murarka : I wanted to understand the realization a bit better. So, I see that the Q-o-Q drop in realization is much higher than industry. I think it's close to about 6%. I understand pricing was down 2% to 3%. So, what is the reason for the higher decline? I mean, is it because the traded volumes are lower? Is it something like that?

Management: So, as I told you, little more clinker sales. So, because of that, that is reason number one. Second, some of the geographies, price drop was more and where our reliance is a little bit on higher side. For instance, West. West, prices were lower, much lower than other geographies, right? And third, I think in some of the other market, other than West also, competitors were quite aggressive. So, there are also prices went down a little more than our core market. So, these are the reasons why our realization is lower than average of the industry last quarter.

Amit Murarka : Could you share the split between the cement and clinker volume in the quarter?

Management: Yes, we can. So, in this quarter, our total sales were 23.26 lakh tons, out of which 21.68 tons was the cement sale and 1.58 tons was the clinker sale.

Amit Murarka : And the same number last year?

Management: Corresponding quarter, same number were 23.7 lakh tons for cement, 1.61 lakh tons for clinker, total 25.31 lakh tons.

Amit Murarka : So, versus Q4, it was higher, you mean the clinker volume?

Management: Yes, clinker volume is higher.

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Management: Marginally, only. Sequentially in the fourth quarter of last financial year, it was 1.48 lakh tons. It's marginally gone up to 1.58 lakh tons. You are right.

Management: But percentage wise, if you see, I think it's more. And that is why the impact is more on revenue.

Amit Murarka : But still, also is it like something like the dealer discounts are adjusted in the quarter? Is there some of that factor as well?

Management: No, I think we don't do that, and we don't have that this year.

Amit Murarka : And on cost per se, like is there any cost reduction target that you are working on or what are the initiatives that you are working on to get it down?

Management: On cost, I'll divide that into 3 parts. One, of course, I think in

the manufacturing, our major focus

is on 2 things. One, renewable energy, and second on AFR, right? So, that we keep on doing, right? We are trying to find a venue for putting more solar power so that we can reduce our power cost. So, we are working on that. And once that gets kind of finalized or we roll it out, we'll let you know. And second, also on AFR. AFR first phase, we have already commissioned at Sirohi. And we have already reached to 14%, I told you. And the ramp-up was quite fast. And there also, I think we are planning to go for now second phase. That is going to take our AFR proportion to 17% -18%. And in Durg, we have already reached about 10%. We'll try to take it to another percentage or 2. So, these are the things which we are working on there. Third thing, in manufacturing, we are using technology now to optimize our pyro-process. So, that project we have taken. It's very difficult to quantify how much saving we are going to have from this project. But definitely, I think we'll have some saving from there as well. So, this is from manufacturing part of it. And of course, I think product mix and other things, that is part of top line. So, that is being separately driven.

On top line part of it, again, I think our strategy is very clear. We are not changing. So, selling more in the area which is more remunerative. Working more on premiumization, right? And of course, blended cement proportion. And third part is supply chain. Supply chain, I told you that we have improved quite a bit. Lead has gone down by 12 kilometers if you compare this from the average of last year of 384 to 372. But we believe that still there is a scope and we are working on that itself, right? So, these are the areas where we are working on cost reduction, okay. And I'll not say the drastic cost reduction is going to happen. But I think all those things are going to put together definitely Rs. 50 to Rs. 75 higher.

Amit Murarka : And lastly, a bit of a qualitative question. Like, we are seeing an intense fight for market share that is going on across regions with larger players wanting to grow even bigger. And we are in fact seeing pricing drop in some of the markets to like unhealed levels in the last 10 years. So, in this kind of a situation, like given that you still sell cement, maybe Rs. 20 rupees lower or more than the larger guys in some of the markets, how are you being able to compete or what's your

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strategy? Are you still trying to compete in such regions or pockets where there is really intense competition, or you are choosing to maybe let go of certain volumes in some of such markets? Management: So, if you really look at it, our distribution strategy has been quite consistent for the last couple of years. So, we choose our market that where we need to be, and we are there, and we are going to be there. Now our strategy is not going to change much. We are going to reinforce in the market where we are already a relevant player. For let's say Rajasthan. In Rajasthan, we have an installed capacity of 10 million tons, right? So, we are quite a relevant player. Even some big players also, I think we are not far behind. Similarly, if you go to East and somebody asks this question, we are going to consolidate our position in East also. I told you that during peak time, we do not have cement to give to our customers, right? So, our strategy is going to be focused and undifferentiated, right? And we are not going to scatter ourselves everywhere. So, in North also, if you look at, we have a grinding station in Haryana. We are going to sell in and around that area, right? In Gujarat, I think we have got 2 plants. We are a prominent player out there. And if you look at our strategy also, I told you that somebody asked about our lime reserve and resource capability, right? So, we have already acquired limestone lease in N

agar in Rajasthan,

right? So, that is our core market and where further we are going to consolidate ourselves. Similarly, in Kutch, Gujarat also we have got limestone rights, right? So, Gujarat, we are already there, and we are going to further consolidate. In East, I told you, we have announced and last time also we told you that we are going to put up 4.6 million tons in Eastern part of India. Again, our strategy is to consolidate our position.

So, we are not venturing into new market. First, we want to consolidate, make ourselves relevant. And then maybe I think we will look for opportunity when things are conducive, and we will go to other markets. So, I think that strategy is consistent and all those actions, whether it is brownfield or greenfield, is consistent with our overall strategy of being a prominent and relevant player in the market where we operate.

Amit Murarka : Because this quarter itself, if I see your volume has dropped, I mean when others have actually grown volumes, I was also thinking in that context.

Management: We definitely don't want to really dilute our price positioning. That's very, very important because we look for an opportunity for us to reduce the gap with the leaders, right? So, to an extent, I think that is also our strategy because during this time, when everybody is dropping prices and trying to push volume which is perhaps not there in the market, our strategy is little different that how we can really bridge that gap up and improve our positioning. So, I think it is a kind of balance we play, right, and that we keep doing going forward even. Because that is a long-term kind of incentive which we'll have.

Moderator : We have the next question from the line of Raghav Malik from Jefferies. Please go ahead.

Raghav Malik: I just wanted to follow up on the pricing question actually. In July so far, could you give us any color on how region -wise pricing is looking across Northeast and West?

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Management: So, prices have slid further in the month of July and this pattern is across. I would not say that any region is less dropped in terms of prices. But I think all regions are consistently behaving and that is being driven by the fact that demand is low and of course, I think players are aggressive to take pie of that. So, there, I would say conduct is same across market. This is not a kind of selective market which is there. So, it is across. Prices have even further gone down in the month of July.

Raghav Malik: Would it be possible to quantify maybe at least on a pan -India basis what the drop is and if possible region -wise?

Management: Region -wise would be difficult, but my sense is at least prices have gone down by Rs. 5 to Rs. 7 in different markets.

Raghav Malik: Rs. 5 to Rs. 7 rupees. Okay, sir. And my next question is on CAPEX . So, what has been our spend so far and are we still on track to do Rs. 1,200 crores like we discussed last quarter, for FY25?

Management: Yes. Basically, we are working in this year on 2 -3 major projects. One is the grinding at split location, grinding unit at Surat which is going to cost us about Rs. 220 crores and then also on the railway siding which is costing us about Rs. 325 crores. A part from these two projects, we have also announced the brownfield expansion at Durg involving a CAPEX of Rs. 2,500 crores over the next 3 years. So, as far as actual CAPEX is concerned in the first quarter of the current financial year, we have done about Rs. 90 crores. And going forward, we expect another Rs. 800 crores to Rs. 900 crores in the remaining 3 quarters. That is FY25.

Moderator : We have the next question from the line of Aman Agarwal from Equirus Securities. Please go ahead.

Aman Agarwal : Sir, just a request. If you can provide the seal breakup between cement and clinker on a consol basis as well? You have already provided

on the standalone basis.

Management: You want also on a?

Aman Agarwal : Consol basis, sir.

Management: Consol basis, we have done a total sale of 30.37 lakh tons out of which 27.89 lakh tons is the consol cement number and 2.48 lakh tons is consol clinker. That is in the current quarter.

Corresponding quarter, it was 30.36 lakh tons total, 28.31 lakh tons cement and 2.05 lakh tons clinker.

Moderator : The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Hi sir, actually many data points are needed. First to start with just to correct, sir, you mentioned that in terms of the CAPEX we have done Rs. 90 crores . So, this is on the consol basis and Rs.

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800 crores to Rs. 900 crores on consol basis that we are looking at for 9 months. So, broadly around Rs. 1,000 odd crores we are looking at, at consol level in FY25, because last time we spoke about around close to Rs. 1,700 odd crore s.

Management: The number which I gave in response to the previous question was on a standalone basis, not on a consol basis.

Shravan Shah : So, at consol level how much we have spent in first quarter and for full year last time you said Rs. 1,700 crores. So, that number remains intact?

Management: Yes. In the first quarter in J.K. Lakshmi as I mentioned about Rs. 90 crores, another Rs. 70 crore, Rs. 80 crores got spent in Udaipur, that makes it around Rs. 150 crores to Rs. 160 crores on a consol basis in the first quarter. And going forward anywhere between Rs. 1,500 crores to Rs. 1,650 crores would be spent on consol basis in the current financial year, which broadly remains the same as I mentioned in the last call.

Shravan Shah : And for FY26 broadly and FY27 last time, we spoke around Rs. 1,300 to Rs. 1,400 crore and in FY27 around Rs. 1,200 odd crore s. So, that also number remains the same?

Management: That remains the same, barring any spill over, that's all.

Shravan Shah : Second sir, still further harping on the pricing front, so if I broadly look at this quarter realization for us, if I compare with the last full year, FY24 is close to 9.5% down and further as we are saying that prices are Rs. 5, Rs. 7, Rs. 10 are lower. So, whatever the benefit we have kind of gained through the geo mix, optimization, everything, do we think that most of that has been kind of gone? Because if we broadly look at whatever the current price trend and unless we see a price improvement in the second half, on Y -o-Y basis for us at consol level, a significant drop in terms of the realization will be there, 8% -9%, so would be significant versus the industry. And that would be the major in terms of the impacting the profitability.

Management: So, your question is Shravan, is what I think, then therefore what you are asking? Yes, that's what it is, but your question is what then?

Shravan Shah : So, my question was, I was trying to understand in last 2 years, whatever price increase we were able to gain because of our distribution strategy, geo mix, has that got impacted or it is only in general price decline and that's what we are also facing the same issue?

Management: I think this is general market trend and price which I see, right? So, that is what is there and second quarter definitely once demand goes up, prices are going to go up, right? So, that happens.

If you remember last year, even April -June was very good, but July -September was better, right?

Demand also supported in those months. So, typically, last year, July -September was better than the traditional month. So, this year I think, April -June was not good in other way. Maybe I think once demand improves a bit, prices will inch up and we'll be back to that original one, right? So, what we are witnessing is the normal trend in the market. Nothing specific to us only because

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we do compare ourselves with our competitors in the market where we operate. And if I compare our Company with other competitors or even leaders in that particular market where we operate, I think we are just in alignment with them. So, the trend, which was there, either increase or decrease, that impacts them, that is impacting us as well. So, there is nothing specific to us only.

Shravan Shah : Sir, couple of data points in terms of at consol level, trade non -trade share, premium share, I think you have mentioned 25% blending ratio, CC ratio for this quarter.

Management: Yes, I'll tell you. So, blended proportion was 65% on a consol basis and standalone 64%. Trade overall is 54% -55%. Premium product I told you, right, lead I told you 372 kilometers. What else do you want? Any other thing you want?

Shravan Shah : CC ratio, sir.

Management: 64% blended, right?

Shravan Shah : I was talking about the cement to clinker ratio, which was I think 1.46 last quarter.

Management: Cement to clinker ratio is in our case is 1.45.

And in terms of the timeline for all the ongoing plus expansions, whatever we have spoken in the last con call, that remains the same or is there any change, anything coming up early or is there any delay?

Management: Broadly, as of now, the timeline remains the same.

Shravan Shah : And in the presentation, sir, just wanted to clarify, we have highlighted that the Northeast will be coming up by 1.5 MTPA by FY26. Because last con call, we said that it will be coming by end of FY27.

Management: Come again, please. Sorry, we missed it.

Shravan Shah : In Northeast, the Company that we have acquired, where 1.5 MTPA to come up, last time, we said it will come up by March '27 or April '27. But in presentation, we are showing as part of FY26 capacity addition.

Management: So, it will spill over to the next financial year. There is some time being taken for that. You are right.

Shravan Shah : And sir, the RMC revenue was how much in this quarter?

Management: Out of the total non -cement revenue of about Rs. 132 crores, RMC was about Rs. 72 crores.

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Shravan Shah : And in terms of the broadly, to reach a 30 MTPA by '30 -'33, we are mentioning in there. So, broadly, if you look at in terms of the kind of a CAPEX on an average, would be a Rs. 1,300 crores , Rs. 1400 crore will continue till FY '30. Will it not be kind of concerning us in terms of the net debt going up? So, any idea in terms of how we look at a consol net debt? Is there any ballpark that we will not try to breach that? And if it's that, then maybe we can delay the expansion plans.

Management: In between when you are going in series of expansion, obviously, there are years when you would see our debt to EBITDA level crossing a certain norm. And only because of the fact that the debt gets contracted earlier and the commensurate EBITDA flows a year or a couple of years later. But once you factor the corresponding EBITDA, those will always be in line with the norms which we are. So, it is incorrect to see on an isolation only at the year -end that EBITDA level, either add corresponding EB ITDA or reduce the debt for which the EBITDA is not yet there in the books. In spite of these all expansion, which are going to happen over the next 5, 6 years, we don't see our debt to EBITDA crossing anywhere between 3 to 3.5 and a net debt to EBITDA abo ut 2 to 2.25.

Moderator : The next question is from Rajesh Kumar Ravi from HDFC Securities. Please go ahead.

Rajesh Kumar: My question pertains to first, again, on the realization front, if I look at sequentially, on standalone basis, your realization is down Rs. 200 per ton and on consol basis, it is down by almost Rs. 300 per ton. So, obviously, this is to do with ramp up in Udaipur or the nature of sales mix in Udaipur? The concern is that this realization i

s almost more than 2 -year low. If this is a

normal realization level, so will this keep our margins subdued in subsequent quarters ?

Management: So, in case of Udaipur, clinker was little more because we had some mismatch in terms of clinker capacity and grinding capacity because clinker we commissioned in the month of October 2023, and the grinding was there in March 2024, right? So, there was a gap and hence, clinker sale was more and that is why you see more reduction in realization at Udaipur than J. K. Lakshmi, right?

So, that is the reason. And this is the most temporary phenomenon.

Rajesh Kumar: So, what was the clinker sale on consol level in Q4?

Management : On consol level in Q4, it was 2.32 lakh tons, and which has increased to 2.48 lakh tons in Quarter 1, current quarter, April -June.

Rajesh Kumar: So, 2.32 lakh tons on a base of say 32.62 lakh tons and on a lower base sequentially, it has further increased. Okay, so partly to explain with this. But what else would have gone for such weaker realizations? It is just the clinker or is there anything like a geographical mix changed dramatically in this quarter versus Q4 and hence such a major fall in realization? Because Q2, you are saying that there would be further pressure on realization. So, I'll be looking at a case where this Rs. 730 may come down to below Rs. 600 in Q2 and thereafter even in Q3 and Q4 to go back to 900,000, you would require pricing support of as high as Rs. 300, Rs. 400 per ton.

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Management: Yes. So, I think this is the most temporary phenomenon. There is no change in geo mix as I repeat. If you look at the lead, lead is lower than average of last year and as good as quarter 4.

Quarter4 was also at 372 kilometers. So, there is no change in geo mix. In the distribution which we do from Udaipur remains same. There is no change. The only thing is more clinker and at a lower realization that is what has impacted realization at Udaipur.

Rajesh Kumar: So, what is the exit margin you are looking at EBITDA per ton for FY25 and in that what sort of price increase you are building in in Q3?

Management: I think this is going to be speculative. So, I think as of now I would not really comment on this. Because anything you forecast during lean months, then I think your forecast is going to be on other side of it. And if somebody forecasts in the peak month, then again, you are going to forecast in the other side of it. So, we'll let you know. I think how this train goes, we'll come back to you. But as of now, it's very difficult to really forecast something which I'm not reasonably sure about.

Rajesh Kumar: No issue, sir. On this Northeast expansion, you mentioned that it will spill over to FY27. So, what are the timeline you are guiding for this Northeast project? Is it early FY27 this project would be up and running? And if so, what is the current status on the project?

Management: So, Northeast you are talking about, right?

Rajesh Kumar: Yes, Northeast project, sir.

Management: So, Northeast we are moving as per the plan. So, the first and foremost thing is, of course, land acquisition for plant. Though we do have one lease deed already signed for one of the mines, right? We are now almost concluding this land acquisition for the plant, one. Second is, we are also applying for now environment clearance for the plant. And all these processes takes time, because it goes to MOEF and we have to follow the processes before, like public hearing and things like that. So, all those activities are happening. Once those approvals are in place, then we are not going to take more than 14 to 16 months to put up the plant. So, this was expected. Initially taking approvals and putting action at the ground level takes some time. So, that is a normal one. But we are well on track. So, whatever we have committed, we'll achieve that task.

Rajesh Kumar: So, just again, by when do you expect, like 2 -year time for getting all the approvals in place?

Management: What we believe that, we are in July, so by end of this year, we are going to have approvals in place. And somewhere quarter 4 of this year, we'll start the civil work.

Moderator : We have Parth Bhavsar from Investec with the next question. Please go ahead.

Parth Bhavsar : Sir, my first question is, can you help me with the fuel consumption costs on Kcal basis for the quarter?

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Management: Last quarter, it was 1.63 at JKLC level.

Parth Bhavsar : And what was this, sir, last quarter?

Management: Last quarter, it was 1.68.

Parth Bhavsar : And sir, where do we see this going, like, in the coming quarter? Is there like any room for improvement?

Management: Around that only, around that 1.63 to 1.65, this level.

Parth Bhavsar : Sir, my next 2 questions are related to the restructuring that we are undertaking with Udaipur Cement Works. So, I believe we'll give shares to the minority interest in Udaipur. And so, can you help me with the number of shares that will be issued? Because as per my calculation, according to swap ratio, promoter's stake gets diluted to 43.9%. And what the presentation that we've given out is, it says it will be like 45.12. So, what am I missing over here? If you could help me out with the number of shares you'll be issuing.

Management: There, we would be issuing additional number of shares. We have mentioned in our investors presentation which we have uploaded on the website.

Parth Bhavsar : So, the ratio is 100 is to 4, right, 4 is to 100?

Management: The swap ratio is 4 shares for every 100 shares held in Udaipur. And the post -merger promoter's holding is likely to be about 45.12%.

Parth Bhavsar : And sir, the other question is like, so 4 shares of JK Lakshmi would be issued for 100 shares of UCW, right?

Management: Right.

Parth Bhavsar : So, the value, like the surrender value for UCW comes to around Rs. 4,400 on current market price. And JK Lakshmi's value comes down to around Rs. 3,500. So, isn't like it's a little unfair to the minority of UCW? What's your take on that?

Management: No, their valuation has in any case been done by independent valuer. And what is important is while UCWL has just commissioned the project, so full benefit of that expansion will come in subsequent years. Whereas in case of JK Lakshmi, it's a matured capacity. Only additional investment which has been factored is the Surat expansion, which is there and likely to come in the current year, which is less than 10% of the total existing operating fully matured capacity. Whereas in case of Udaipur, it is almost more than 50% capacity has just plugged in, which has not yet fully been realized. So, the valuation also takes into account the fact that JK Lakshmi

also holds a major portion, almost 71 odd percent in UCWL. So, that is not fully reflective in the present market price of JK Lakshmi. So, it is wrong to say that it is unfair to the minority JK Lakshmi Cement Limited
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shareholders of UCWL. In any case, the parent's holding in this merger gets cancelled out. So, whatever shares are being issued is being issued only to the non -JK Lakshmi shareholders only.

Moderator : The next question is from the line of Saket Kapoor from Kapoor Company . Please go ahead.

Saket Kapoor : Firstly, if you could explain why our PBT numbers are lower, or the EBITDA numbers are lower on consol when comparable with standalone?

Management: Standalone, sorry, come again. Can you repeat your question?

Saket Kapoor : Sir, when you look at our standalone results, the EBITDA number is Rs. 277 crores. When we look at the consolidated, it is lower by Rs. 35 crores to Rs. 235 crores. So, on consolidation, why is that? We are making losses on the same,

if you could just explain firstly.

Management: Just a second. On a consol basis, it is Rs. 235 crores, you said, no?

Saket Kapoor : Yes. We have 2 set of results, the standalone and the consol numbers.

Management: Yes, I'll explain that. You see, if you were to exclude and see it before the other income, right, before the other income, if you exclude from JK Lakshmi standalone, you will see that JK

Lakshmi standalone EBITDA without other income is Rs. 185 crores, right? And UCWL standalone without other income is Rs. 39 crores. So, that adds up to Rs. 222 crores. But with the other income, because other income, a major portion, almost Rs. 80 crores is emanating from a sale of some stake in this quarter of Udaipur, which JK Lakshmi did. So, when you consol that, within the Company , you can't have the inter -unit profit on the sale of the inter -unit holding. So, that's why it got eliminated. That's why with other income, you are finding that anomaly, which has been eliminated in the consol numbers, Rs. 277 crores on a standalone, including other income, Rs. 40 crores for UCWL. But the moment you eliminate the inter-unit sale on profit, which is to be rightly done as per accounting standards, obviously it comes down. So, you see that number before other income, you will get the answer yourself.

Saket Kapoor : Yes, I got the answer. But you mentioned about Rs. 40 crores sale from Udaipur. What is the sale pertaining to?

Management: Sorry.

Saket Kapoor : What is the nature of this other income? You mentioned Rs. 40 crores sales from Udaipur.

Management: For some inter -promoter transfer, which took place of some holding during the quarter.

Saket Kapoor : Udaipur Cement ?

Management: Market transaction.

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Saket Kapoor : And sir, can you give me the CWIP number, the current capital work in progress for 31st March '24? And also, for the June quarter?

Management: That is head of the various CAPEX which we've incurred, that is all going till the time these are capitalized. Whatever CAPEX we are incurring is all going into CWIP. Nothing has been commissioned post -March. So, the initial Rs. 90 crores for JK Lakshmi and Rs. 70 crores for UCWL, that has all gone into CWIP without there being any capitalization. So, whatever numbers are in public domain as of March balance sheet which is in public domain and uploaded on the website, you have to add that as the CWIP as of 30 June.

Saket Kapoor : And lastly, sir, regarding the investor presentation and the operational performance, if we could just enrich our investor presentation, I think so the basic questions which we investor community has been asking during the calls that these can be very well articulated in the investor presentation. What we found in the presentation was that these basic numbers or the question which we are asking can very easily be answered through presentation. So, I want that if we can work with a revamped investor presentation with these all-basic numbers, that would have really helped us in spending more time in this discussion, sir.

Management: Investor presentation, we don't update on a quarterly basis. We do on an annual basis generally, number 1. Number 2, we give a detailed press release in which all these numbers which some of the callers have been asking what is the sales volume, what is that, is all given debt number, debt to EBITDA number, debt to equity numbers are all given in our press release quarter after quarter. So, together with the investor presentation, which is there, if we can see the press release, also most of the questions get answered therein. But your suggestion is good, we'll dwell upon it.

Saket Kapoor : And last point, if I may, sir. Taking into account all the CAPEX that we are doing in the different geographies in the country, what are we eyeing in terms of capacity 2, 3 years down the line
fr

on the current consolidated capacity, sir, if you could just give the color on the same?

Management: We are today sitting on a capacity of 16.5 million tons together with Udaipur, and then immediately we have 1.4 million tons of Surat coming in, so that takes up to 18 million tons.

Then another 4.5 million tons coming in 3 years' time for the brownfield expansion in 2 phases, that takes us to 22.5 million tons. And another 2.5 million coming from Northeast makes it almost 25 million tons. And thereafter, we have in the offing the Nagaur expansion greenfield as well as Kutch together with the possibility of adding another line in Udaipur.

Saket Kapoor : So, these 25 million tons, what is the extended timeline we can expect to reach from the existing 16.5 million tons? If you could give me phase-wise.

Management: Come again.

Saket Kapoor : Sir, if you could give me phase wise for every year, what will be our closing capacity, sir? Say 16.5 million tons was the consol number for last year, 1.4 million tons we added, we are closer

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to 18 million tons for this year. So, what would be the next year number? And up till to 25, by what time we will be reaching 25 million?

Management: As I mentioned, we are sitting at 16.5 million tons, I'll repeat for your benefit, we will be adding Surat in FY25, it will be 18. Thereafter, we can have immediately the Durg Line Phase 1 coming in, which will be maybe by FY27, in between that. And then another 2 million coming in for the expansion at Jharkhand and Bihar, that can come in. In between the Northeast, 1.5 can also come in. So, all this would come starting from FY27 onwards. Every year, broadly, you can take about 2 lakh tons to 2.5 lakh tons capacity gets added.

Moderator : The next question is from the line of Gautam Rajesh from EverFlow Partners. Please go ahead.

Gautam Rajesh : So, just for a follow-up question, you said, in Udaipur, your ideal capacity utilization would be 75%. So, by when can we expect that ideal utilization to be achieved by the Company?

Management: FY26, quarter 4, I think we'll achieve that.

Gautam Rajesh : So, end of 2026?

Management: Yes.

Gautam Rajesh : Okay, sir.

Management: So, this is the first year, in fact, just a couple of months back only we have commissioned that project. So, I think this year we'll reach on an average about close to, let's say, 55% -60%, what we mentioned, reaching peak to about 70% -75%. And then next year on, I think we'll have this.

Gautam Rajesh : Next year onward, we'll reach that 75% if I'm right.

Management: Right.

Gautam Rajesh : 75?

Management: Yes.

Moderator : Ladies and gentlemen, due to time constraints, we will now take the last question, which is from the line of Tushar, an individual investor. Please go ahead.

Tushar : Thank you for taking my question. My question is, what is the status of conveyor belt and the plant?

Management: So, we are still awaiting approvals. That is in the final stages. And we are expected to get that maybe in another couple of months' time. That we are waiting. You know that this approval

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from authorities takes a lot of time because of decision-making process which they have, right?

We are just waiting. I think that is in the final stages of approval.

Moderator : Thank you. I would now like to hand the conference over to Mr. Vaibhav Agarwal for closing comments. Over to you, sir.

Vaibhav Agarwal : Thank you. On behalf of PhillipCapital (India) Private Limited, we'd like to thank the management of JK Lakshmi Cement for the call and many thanks to the participants for joining the call. Darwin, you may now close the call. Thank you, sir.

Moderator : Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes this conference.

Thank you all for joining us. You may now dis

connect your lines.

Call: Nov 2024

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JKLC:SECTL:SE:2 4
9th November 2024

1 BSE Ltd. 2 National Stock Exchange of India Ltd.
Department of Corporate Services
Phiroze Jeejeebhoy Towers "Exchange Plaza"
Bandra- Kurla Complex
Dalal Street Bandra (East)
Mumbai – 400 001 Mumbai – 400 051
Security Code No. 500380 Symbol: JKLAKSHMI, Series : EQ
Through: BSE Listing Centre Through: NEAPS

Dear Sir/ Madam,

Re: Conference Call organized by PhillipCapital on 8th November 2024 at 4:00 P.M. IST

In continuation of our letters dated 5th November 2024 and 8th November 2024 on the above subject, attached herewith the transcript/minutes of the aforesaid conference call. This is for your information and record.

Thanking you and assuring you our best co- operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

Encl: a.a.

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"JK Lakshmi Cement Q2 FY-25 Earnings Conference
Call"

November 08, 2024

MANAGEMENT : MR. ARUN KUMAR SHUKLA – PRESIDENT &
DIRECTOR , JK LAKSHMI CEMENT LIMITED
MR. SUDHIR BIDKAR – CFO , JK LAKSHMI CEMENT

LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIPCAPITAL (INDIA)

PRIVATE LIMITED

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Moderator : Ladies and gentlemen good day and welcome to the Earnings Conference Call for Quarter and half year ended 30th September , 2024 of JK Lakshmi Cement Limited hosted by PhillipCapital (India) Private Limited.

As a reminder all participant s' lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr.

Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you and over to you sir.

Vaibhav Agarwal: Thank you , Michelle. Good evening , everyone. On behalf of PhillipCapital (India) Private Limited , we welcome you to the Q2 and H1 FY25 call of JK Lakshmi Cement.

I need to highlight that JK Lakshmi Cement is also the holding Company of its listed entity Udaipur Cement Works Limited and therefore this call is also open for discussion about the performance of Udaipur Cement Works Limited.

On the call we have with us Mr. Arun Kumar Shukla – President and Director and Mr. Sudhir Bidkar – CFO at JK Lakshmi Cement.

I would like to mention , on behalf of JK Lakshmi Cement and its management that certain statements that we made or discussed on this conference call may be forward -looking statements related to future developments, and which are based on current expectations. These statements are subject to a number of risks , uncertainties and other important factors which may cause actual develop ments and results to different material from the statements made. JK Lakshmi Cement Limited and the management of the Company has no obligation to publicly alter or update the statements whether as a result of new information or future events or otherwise.

I will now hand over the floor to the Manage ment of JK Lakshmi Cement for their "Opening Remarks" which will be follow ed by interactive Q&A. Thank you and over to you sir.

Management: Vaibhav , thank you so much and good afternoon to all of you. Welcome to this Quarter 2 FY25 call of J K Lakshmi Cement along with Uda ipur Cement Works Limited . Quarter 2 has been quite volatile , quite challenging not only for J K Lakshmi Cement but overall industry wise also.

If you look at typically July -September is low in demand because of cyclicity and monsoon factor. But this time around this was also coupled with the general election and usually what happens after this general election. Some kind of sluggishness which creeps into the market. So, that triggered very low demand in different geographies perhaps.

I think all of you know that demand was quite subdued in the Quarter 2 of this year and because of various sluggish demand there was a lot of pressure on prices also. My estimation or our

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estimation goes that prices have dropped by about 8% and this time around I think drop has been quite substantial in case of east west and followed by north . For a change at this time drop in prices in south and northeast were the I east. Since our geographies are limited to western part of India , part of it north and east. Yes , I think there has been impact on us in terms of subdued demand and depressed pricing. Nevertheless , I think yes of course I think the result would have been much better. But I think what we are really taking confidence from is that wherever whichever market we operate we are holding on to the market share. Like just to let you know , part of west , part of north and east west where we are there, we sell about 70% of our cement and there , our market share is intact. Also price -wise we have done better than others. So, that is what that gives us the confidence

that directionally we are alright. Yes , there was pressure because of the external environment which we cannot control fully. But w hatever we could have controlled , I think we have tried every bit to change that in our favor.

Just to give you a very brief performance update ; of course, volume and all you know that our volume is down by about 9% on a consolidated basis. But leading indicator if you look at , I think that gives us a lot of confidence that directionally we are all right. So, trade we are at about 53 %-54% quarter wi se, blended cement is at 66% , lead also we have substantially reduced. L ead was at 374 km which is about 13 km lower than last year same quarter . We have done quite well in terms of renewable energy also. Renewable energy last quarter stands at about 40% and out of that about 20% is solar and wind. So, that way we are progressing very well.

If you look at other performance parameter ; variable cost on a consolidated basis , we have done better. We are lower by about 11% YOY basis . Overall cost also has been down by about 5%. Power was down by 9% , fuel by 22% and fuel cost was about Rs. 1.62 per kilo calorie .

On TSR front also we have done quite well. TSR was at about 13% and operating cost also was down by about 4%. If you look at EBITDA , drop of top players in the industry ; in the last quarter YOY basis that ranges from right from Rs. 225 per ton to about Rs. 400 per ton. We also fall within that range only , we just kind of get carried away , if we look at percentage . Whenever price drops that similar kind of drop happens for every player. So , our drop was also in line with the industry and if you look at because we have also done comparison ourselves within the player who are there in our geographies because at times also, we carried away looking at the larger player who operates in different geographies. I told you that the price drop in different geography was different this time .

The overall drop was 8% but our geography somehow for a change was little higher drop and that is what has impacted our EBITDA . But we are confident that directionally we are alright, leading indicators are favoring us and I don't see any issue going forward also . Of course , there is also always scope of improvement and definitely whatever levers we have on top line or on cost front , we keep on working on that and hopefully we will bounce back in this quarter and going forward. So , this is what the brief update I just wanted to give you and now we are open for question answer.

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Moderator : Thank you very much sir. We will now begin the question -and-answer session. The first question is from the line of from . The first question is from the line of Nigel Mascarenhas from L eo Capital.

Nigel Mascarenhas: Firstly , by when is the merger with Udaipur Cement Works expected to be completed?

My second question was by when do you expect the expansion in the east to be completed and how much of CAPEX will be spent towards it?

Management: To answer your first question regarding the approval and the completion of the merger ; so the board had approved the consolidation of the cement business by merging the three subsidiaries of JK Lakshmi on 31st July in their board meeting. Thereafter the process is that we have to first approach the stock exchanges and once the stock exchange s, both the stock exchange s which is the BS E and N SE give their approval then they forward their joint recommendation to SEBI and only when SEBI approves it then we can approach the NCLT . So, that is the process. While the approval from BS E and NS E together with SEBI takes anywhere between 3 to 4 months . For us the stock exchanges as we understand have forwarded their recommendation , cleared that application and have forwarded it to SEBI . SEBI the BSE people and N SE people are chasing th

em. We can't approach them directly and there have not been any queries there so far and we hope in the month of December SEBI would clear it hopefully and thereafter we will approach NCLT . NCLT based on the past experience which different companies and different players have , take anywhere between 8 to 9 months. So , as we have mentioned in our press release which we put in and also the presentation whi ch we have put in the website after the board approved the merger , anywhere in the second half of the calendar year 2025 , we expect that to be in place . Though we are trying to expedite it as much as possible but things are not in our control. NCLT take their own sweet time. They are already overloaded with other cases but we are trying to push it and our endeavor would also be to do it as fast as possible. That is as far as the timing for the merger of UCWL is concerned.

Now your second question regarding the expansion in the East ; yes, we have embarked on an expansion of 4.6 million tons of cement together with about 2 to 2.3 million tons of clinker at our Durg plant and initially we will take up the Durg clinkerization along with the grinding unit in UP first and follow it up with the other two grinding units at the other location as we have mentioned. So, somewhere in FY26 -27 we expect that to be on stream. The first phase which will include the clinkerization and half of the cement capacity followed in the next financial year by that . Expenditure we have not incurred much as of now on the Durg expansion. In the current year we expect anywhere between 100 to 150 on that , primarily on account of some initial placement of orders etc. And thereafter the pace of expansion as well as the CAPEX will gather pace in the next FY.

Moderator: The next question is from the line of Ashish from Himalaya Capital.

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Ashish: I had two questions. Firstly , why has there been a delay in the ramp up of our expanded facility in Udaipur Cement Works? And secondly what sort of utilizations are we seeing operating for

both clinker and cement in the UCWL expansion?

Management: On the first question of ramp up, we commissioned our landing station at Udaipur on 28th of March. As that this 1st Quarter was marred by general election and followed by this impact of cyclicity and sluggish demands which I mentioned during my opening remarks. So, that has impeded our progress a bit. But I think that now taking pace and the way we see trend now, we are on the right track and whatever plan we have for this year hopefully we will end up achieving that.

Ashish: On the second question the utilization for both clinker and cement in the UCWL plant.

Management: So, clinker utilization was at 83% and at Udaipur 58% and cement 65% percent in JK Lakshmi Cement and about 37% of Udaipur cement utilization and consolidated basis it is 57%.

Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Some data point, non-cement revenue and RMC in this quarter and what was the margin?

Management: So, non-cement revenue in this quarter was 126 crores and margins were lower as has been generally it was down to about 5%.

Keshav Lahoti: And how much is RMC in this?

Management: Out of 126, RMC is I think 66.

Keshav Lahoti: So, firstly, this quarter our volumes have degrown by 9%. So, how our guidance stance which was 8% for this year and secondly 9% degradation should we assume the Company has lost market share? How you read it like it's a regional thing or how should we read it?

Management: So, first I will address you the question which is latter part of it. So, none of the core market we have lost our market share. In fact, in some of the market we have increased our market share.

Now the volume growth which we talked about, I told you that prices were quite depressed. And

some of the non-core markets where we were selling, I think it was not advisable to sell in those

market because we were going below variable cost. So, that was a conscious call not to sell in those market but to kind of be consolidate in the market, which is our core market, and, in those markets, we have improved market share a bit rather than kind of losing. So, that was a conscious call not to sell in those far off market. And that is what is reflecting in our lead also. If you look at our lead was 374 km which is 13 km lower than the same quarter last year. So, that was a well thought strategy because had we sold in those markets just to go up to the volume, I think you would have achieved a little better volume but our losses would have been more. So, that was a conscious call not to sell. So, that was on this 9% thing which you asked about. Other thing the guidance about in the next two quarters, I will just give you an industry estimation, whatever

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our estimation is. Quarter 1 was almost flat; industry wise all India wise. Quarter 2 we estimate that the growth is about 1% to 3%. Quarter 3 is estimated —industry I am talking about is — about 4% and Quarter 4 is going to be about 9% to 10% kind of thing. This is what our estimation is and if you go by that then overall all India cement demand is going to be about 4% to 5% for a full year basis. So, two quarters. I think our endeavor would be to go in alignment with industry growth. That is what we see.

Keshav Lahoti: Tell me one thing. If I see your freight cost, which has increased sequentially by 50 per ton, why is that so? Sequentially I'm talking freight cost have increased by Rs. 50 per ton. Last Q1 was 1,040 per ton, this quarter it is looking 1,085 per ton.

Management: So, sequentially, year-on-year basis it has gone up by about 4%, which is in alignment with the inflation rate. And that has gone a bit up because of some amount of increase in clinker sale also.

Lower clinker sale because clinker what happens is it is soft basis mostly.

Moderator: The next question is from the line of Raj Kumar Das from Navoda ya Enterprises.

Raj Kumar Das: My question is regarding your conveyor belt project which has been delayed for a long time, could you please update the current status of conveyor belt at Durg plant?

Management: So, conveyor you are talking about Durg 5 conveyor, right?

Raj Kumar Das: Yes.

Management: As I said before that there are some approvals which are pending and that is on the last stage of approval, so you know that government approvals this takes little bit more time and some of the things we cannot control. But we are actively working on that and hopefully I think we will be able to resolve this very quickly. Yes, this is taking little longer time because of again election was also one of the factors because the entire machinery was not really that focused on those kind of jobs which are not important for them. So, because of that this got delayed. But we are working on this. Probably I think we will have some solution very quickly.

Moderator: The next question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: Firstly, I joined the call a bit late, so if you could just share the volumes for the cement and clinker at stand on and consolidated level?

Management: Cement sales was 17.82 and clinker was 0.84, total was 18.66.

Amit Murarka: 17.82 and sorry how much?

Management: 17.82 and 0.84 clinker , total 18.66.

Amit Murarka: This is at the standalone level and what would be consol ?

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Management: This is certainly on a standalone level and on a consol basis it is 23.60 for the cement , 1.33 clinker and total 24.93.

Amit Murarka: On your comments which you made that in few markets

your variable cost was higher than the

realization hence you kind of did not participate in that market. So, just wanted to understand which markets would these be and like given that pricing seems to be staying subdued since quite some time , what is your strategy to combat this situation and get volumes back up again ?

Management: Our strategy is to reinforce in the market or the battleground which we have and battleground for us is all those markets which are near to our plant. So , we will keep on reinforcing our position in those markets. and during Quarter 2 also we have done the same thing. So , in all those markets our trade sales have gone up and overall markets here also in some market it is intact and some market we have done better . And those far off market like I would call them secondary market , is deep into cen tral India , then eastern part of UP and those market s. So, there we did not participate because our prices were not remunerative, and realization was lower than even variable. So, that was a conscious call. So, those market I am talking about otherwise all those four market s like Rajasthan , Gujarat , eastern market Chhatt isgarh , Odisha , Vidarbha part of it, Eastern MP and Western MP, these are the market where we keep on consolidating ourselves and that will keep on kind of effort will be further on to consolidate in these market s even better.

Amit Murarka: And generally, also a thought like I think 1.5 years back , 2 years back we had said that we are embarking on a journey of improving the brand in the market and improving in that sense realization as well. So, how far have we moved on the journey and like if that could also help to address this problem ?

Management: We have progressed quite far and if you look at the EBITDA per ton difference between the leaders and JK Lakshmi Cement last year and even 1st Quarter also was reducing. So, that has come about because of the actions which we took and which I elaborated in my previous c alls. So, on levers on top line , on cost which I mentioned some of them during my opening remark , that journey is I would not say fully accomplished, but I would say definitely 75% we have accomplished , 25% yet to be done. The major portion still we are further working on brand and premiumization , so we are working on brand premiumization also and for us when next quarter when we meet , so I will update you on what actually we are going to do with the brand. So, that is a very ambitious project which we have already started and hopefully we will have some update during next quarter. I would say about 70 %-75% journey we have traveled and that has resulted into reduction in the gap between leaders and JK Lak shmi Cement and about 25 %-30% still remain s and that is not the final thing because we keep on exploring different avenues , different opportunities and we embark upon them. And of course, digital also will help us to improve our efficiency further. And some of the plants have already deployed some AI tools and algorithms which is going to improve our efficiency in different value chain in the operating. So, 25%-30% from the previous one and even going forward we will explore further all those

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avenues. We will just try to realize with technology , with our experience and acumen which we have with in.

Amit Murarka: Also, lastly pricing has it improved versus Q2 averages what we're seeing now ?

Management: Prices have improved a bit for sure. Prices have started going up from September. October was more or less stagnant , little bit upward trend. But now since post Diwali demand will improve hence prices are also likely to go up. So, definitely prices will go up once demand improves.

Moderator: The Next question is from the line of Raghav Malik from Jeff eries.

Raghav Malik: Just a few housekeeping questions ,

actually what would the premium product mix be , I don't

think you mentioned that and the premium product mix even as a percentage of just the trade volumes ?

Management: So, premium product proportion is about 25% on our trade sales is about 12%-13% on an overall basis.

Raghav Malik: And just on the cost side the fuel cost per kcal this quarter , what would that be?

Management: Fuel cost rupees per kilo calorie you are asking.

Raghav Malik: Yes.

Management: It was 1.62.

Moderator: The next question is from the line of Sanjit Tambe from Centrum Broking Limited.

Sanjit Tambe: I just wanted UCWL volume for this quarter and previous quarter.

Management: UCWL volume, they did 5.74 cement sale and 0.84 clinker sale and in the preceding quarter you wanted, 6.41 was their cement sale and 0.9 was their clinker, total 7.31.

Moderator: The next question is from the line of Jatin Chhaparwal from Chhaparwal Enterprises.

Jatin Chhaparwal: I have just one question. I need to know about the CAPEX plan you are planning, what's the stage of it?

Management: CAPEX, as I mentioned in response to some earlier questions, we are having two-three projects on hand. One is the Surat grinding unit. We expect that to be commissioned towards the end of this financial year wherein we are adding 1.35 million capacity therein. And then there is a Durg expansion which will take 2 to 3 years therein. The Udaipur expansion is virtually complete, some small ancillary jobs are left. So, that is as far as the CAPEX are concerned. Railway siding
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project is on, we expect that to be in place in the 1st Quarter of the next financial year. Partly we have already started using railway siding there.

Moderator: The next question is from the line of Uttam Kumar Srimal from Axis Securities Limited.

Uttam Kumar Srimal: What is our CAPEX guidance, you just give the number of CAPEX, so just one CAPEX guidance for FY25 and FY26?

Management: Current year, we have done about 175 crores in the first 6 months. We expect in this year FY24 - 25 for the full year we can do about 500 crores, then 700 next year, followed by about 800 to 850 in FY27.

Uttam Kumar Srimal: Power and per KL cost has come down to 1.62. So, do we expect more decline in the coming quarters, or it will remain at the same level?

Management: Around the same level it may be. We don't see any substantial drop there in.

Moderator: This will be the last question for today which is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: I think the CAPEX you mentioned is for standalone. So, on consol basis in 1H we have done 440 odd crore s. So, for '25-26-27 put together at console level what CAPEX are we looking at?

Management: You are right, whatever figures I've given is for the standalone. So, we may have another 200 crores for Udaipur. Whatever 500 has talked of for FY25 on a standalone basis and about another 200 for the Northeast project. That is as far as in the subsidiaries are concerned in FY25. Going forward Udaipur may be not there, maybe only 3040 normal CAPEX there including some leftover of the expansion and another 200 to 250 for the Northeast project and thereafter in FY27 nothing for Udaipur. But Northeast may have about 400 to 500 crores.

Shravan Shah: I still want to tally the number, for FY25, so 500 is standalone plus 200 crore s Northeast. So, put together would be 700 crore s full at console level FY25?

Management: Another 200 for UCWL you have to add.

Shravan Shah: So, 900 crore s total.

Management: Correct.

Shravan Shah: And for effort 26 total would be 700 crore s standalone and Durg expansion would be how much?

Management: 700 crores include Durg expansion, Northeast asset, when I say Northeast that is the Assam project in the subsidiary. Not in Durg. North

doesn't mean Durg. It means the Assam project which is in the subsidiary. 700 includes Durga expansion.

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Shravan Shah: So, Northeast in FY26 would be a 300 crore s you say?

Management: Yes.

Shravan Shah: And this Durg expansion, just to clarify, first phase Surat expansion last time we said we will be doing a 1.35 in a half of by October and March. But now we will be doing the entire 1.35 by March end?

Management: Yes, around that.

Shravan Shah: And for Durg expansion the first phase also previously we were looking to start by FY26, the clinker and 2.4 million ton s grinding. So, now this will be....

Management: It may be spilling over to the first half of the next financial year.

Shravan Shah: And then the second phase would be in FY28?

Management: Yes, one year later.

Shravan Shah: And then the Northeast also will be in FY28 will start?

Management: Around that, you're right.

Shravan Shah: And just a data point, our CC ratio for this quarter was how much what ratio? Cement to clinker

ratio.

Management: 1.45.

Shravan Shah: And this RE share which is 47% , so by March end this will increase to last time we said 50 % odd. So, that remains the same.

Management: Yes, will be closer to 50% because we are still working on some of the solar projects. If that get s commissioned, they will reach there.

Shravan Shah: And in terms of the overall consol level cost reduction at per t on basis now how much one can look at ?

Management: So, as I said Shravan, yes, we are working on now one thing which is a big chunk is premiumization which we are working on. So, that exercise is going on and perhaps that will give us some good leeway . Apart from that this operational efficiency is a continuous journey. So, we will keep on getting something as we progress. So, definitely I see Rs. 50 to 75 a ton. That is what I see. Rs. 50 to Rs. 100 a ton going forward once we will realize different actions which will be taken.

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Shravan Shah: And then once as you said in the second half we will be doing in line with the industry growth but in FY26 , we will be growing much better than the industry growth ?

Management: That is what we wish Shravan because now by that time our capability improvement plan which we have taken for Udaipur expansion that will come in full force. So, definitely our ambition our plan is to grow faster than industry next year.

Moderator: Thank you, sir . Ladies and gentlemen that was the last question for today. I would now like to hand the conference over to Mr. Vaibhav Agarwal for closing comments. Over to you sir.

Vaibhav Agarwal: On behalf of PhillipCapital (India) Private Limited I would like to thank the Man agement of JK Lakshmi for the call and many thanks to all the participants joining the call. Thank you very much sir. You may not conclude the call, Michelle. Thank you.

Moderator: Thank you, sir . On behalf of PhillipCapital (India) Private Limited , that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

JKLC: SECTL:SE:2 5
11th February 2025

1 BSE Ltd. 2 National Stock Exchange of India Ltd.
Department of Corporate Services
Phiroze Jeejeebhoy Towers "Exchange Plaza"
Bandra -Kurla Complex
Dalal Street Bandra (East)
Mumbai – 400 001 Mumbai – 400 051
Security Code No. 500380 Symbol: JKLAKSHMI, Series : EQ
Through: BSE Listing Centre Through: NEAPS

Dear Sir/ Madam,

Re: Conference Call organized by PhillipCapital on 7th February 2025 at 4:00 P.M. IST

In continuation of our letters dated 29th January 2025 and 7th February 2025 on the above subject, attached herewith the transcript/minutes of the aforesaid conference call. This is for your information and record.

Thanking you and assuring you our best co-operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary
Encl: a.a.
JK Lakshmi Cement
February 07, 2025

"JK Lakshmi Cement Q3 & 9M FY'25 Earnings Conference
Call"

February 07 , 2025

MANAGEMENT : MR. ARUN KUMAR SHUKLA – PRESIDENT & DIRECTOR ,
JK LAKSHMI CEMENT LIMITED
MR. SUDHIR BIDKAR – CFO, JK LAKSHMI CEMENT
LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

JK Lakshmi Cement
February 07, 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to JK Lakshmi Cement Q3 and Nine Months Year ended 31st December 2024 Earnings Conference Call hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the

conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you and over to you, Mr. Agarwal.

Vaibhav Agarwal: Yes. Thank you, Michelle. Good evening, everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q3 & Nine Months FY'25 Call of JK Lakshmi Cement Limited.

I need to highlight that JK Lakshmi Cement is also the holding company of its listed entity, Udaipur Cement Works Limited and therefore this call is also open for discussion about the performance of Udaipur Cement Works Limited.

On the call, we have with us Mr. Arun Kumar Shukla, President and Director, and Mr. Sudhir Bidkar, CFO at JK Lakshmi Cement.

I would like to mention on behalf of JK Lakshmi Cement and its Management that certain statements that were made or discussed on this conference call may be forward-looking statements related to future developments, and which are based on current expectations. These statements are subject to a number of risks, uncertainties and other important factors which may cause actual developments and results to differ materially from the statements made. JK Lakshmi Cement and the management of the company has no obligation to publicly alter or update these forward-looking statements whether as a result of new information or future events or otherwise.

I will now hand over the floor to the "Management of JK Lakshmi Cement for their Opening Remarks," which will be followed by "Interactive Q&A." Thank you. And over to you, sir.

Management: Hello! Thank you and good evening to all of you. Thanks for attending this call.

Though you have already seen the result, I will just give you a very brief update on the industry as such and our view on that. So, last quarter from December, demand has started improving, demand is good in our operating markets and so the prices also are improving.

Going forward, what we at JK Lakshmi see is that this year the growth is going to be around 4% to 5%, somewhere around that, and next year FY26 may be around 6% to 7%. That is what we see. Maybe because of the delayed CAPEX release, all those pent-up demand is likely to come in next financial year, but we definitely see that next year is going to be good in terms of overall demand.

JK Lakshmi Cement

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and also I think prices also will be better than what we have witnessed this year particularly during Q2.

At JK Lakshmi Cement, we are still focused on how we are going to improve our efficiencies in the part of our operations, and we keep on working on that.

Our focus is also there on renewable energy. So, we are improving our renewable energy proposition in our overall energy requirements. In the last quarter it was at 48%.

Distribution also, we are very focused as to where we operate and where we are going to sell. That reflects in our lead in the different quarters which we have achieved. Last quarter also it was similar to the Q2, right.

And on top line, supply chain and operational efficiencies, that continuous endeavor is there to be amongst the best companies in terms of efficiencies.

So, this is what I think is a very brief update. I think you must have seen the Results. We are open for questions and maybe during answering those questions, we will have further conversation on some of the aspects which you

you want to know. Thank you so much.

Moderator: Thank you very much, sir. We will now begin with the question-and-answer session. Anyone who wishes to ask questions may press "*" and "1" on their touchtone phone. If you wish to withdraw yourself from the question queue, you may press "*" and "2". Participants are requested to use only handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. You may please press "*" and "1" to ask questions. The first question is from the line of Praveen from Anandam Enterprises. Please go ahead.

Praveen: Hi, thank you for the opportunity. My question is what is the current status of conveyor belt at Durg plant and what is the expected timeline to complete this project?

Management: Yes. So, the status, this is on the final stages of approval. So, that taking lease from the PSU's or the government is little bit tedious, so, we are trying for that and hopefully during this current quarter, we will be able to accomplish this approval.

Praveen: Okay. Could you give me any approximate timeline?

Management: Very difficult because these are the things which is not perfectly in our control, right. But as I said that this is on the final stages of approval. So, anytime we may get it, but it's very difficult to give a timeline.

Praveen: Okay, sir. That's all from my side. Thank you.

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Moderator: Thank you. You may press "*" and "1" to ask questions. The next question is from the line of Mangesh Bhadang from Centrum Broking. Please go ahead.

Mangesh Bhadang : Hi, good afternoon, sir. Sir, my question is on the volume growth you mentioned that December onwards volume s has picked up and we have commissioned Udaipur units on high back, but we're not seeing too much of a volume up tick from th ere. So, just wanted to understand from you what kind of volume growth can we envisage in FY 26? And when can we see optimum utilization at the Udaipur unit ?

Management: Udaipur Cement Works, I think we are going ahead as per the plan only in terms of volume ramp up . So, last quarter, if you look at , the capacity utilization was 57% along with a new unit, right, which is as per t he plan which we had head -out. Going forward, definitely , as I said that next year is going to be good in terms of demand. So, we will achieve somewhere around 65% of capacity utilization in FY26 for Udaipur, right ?

Mangesh Bhadang: Sir, that means have we slowed down production from other units just because Udaipur has come up and because of which it is not getting re flected in the volume growth?

Management: I am not so clear . Can you repeat this on ce again ?

Mangesh Bhadang: Sir, I'm saying, we a re operating a t almost you said 45% from Udaipur right now which was not there last year, but still we are showing growth of say 2%, 3% on volume. So, is it that the production from the other units that we have has slowe d down?

Management: No, no. I think more or less, if you look at, only JK Lakshmi Cement utilization is about 78%, right , and overall is 68% . Okay? So, as I said that December onward s demand has started improving. November was also quite sluggish . So, if you look at, overall capacity utilization of the industry also , I think we are little better than others. Okay ? So, overall at about 68 %, 69% Udaipur alone at 57% and JK Lakshmi at 78% to my mind is really okay in line with what others are doing.

Mangesh Bhadang: Sir, one more question was on the CAPEX for next year . What could be that number ?

Management: Yes, CAPEX we expect Next year to be about, as I mentioned in my last call also , this year in nine months, we already done about 250 crores , another 100 crores may come in the current quarter and then thereafter about 1 ,000 in the next FY26 and about 1 ,500 in FY27.

Mangesh Bhadang: Okay, sir. I will come

back in the queue.

Moderator: Thank you. You may press "*" and "1" to ask questions. The next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

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Rajesh Ravi: Hi sir. Good e vening. First, could you share the numbers I ike what was the blended cement and trade share and premium s hare in this quarter?

Management: Blended cement was at 65%, trade proportion was 58%.

Rajesh Ravi: Okay. And premium sale and fuel cost?

Management: Premium sale on a n overall volume basis, total trade , non -trade put together was at 11% and fuel was at 1.57 for 1, 000 Kms .

Rajesh Ravi: Lead distance, AFR and CC ratio ?

Management: 381 Kms was the lead, right , and AFR I think for a different unit we have different AFR . Overall it is 11%, Sirohi is at the highest at 14 %.

Rajesh Ravi: Okay. And s ir, the CC ratio would be how much for Q 3?

Management: Sorry ?

Rajesh Ravi: Cement -to-clinker ratio?

Management: It's 1.45.

Rajesh Ravi: And s ir, these numbers you share is on a con sol basis , is this understanding right?

Management: The figure which we are telling you is con sol.

Management: Until and unless you ask very specific about different companies , I think otherwise we mention only consol.

Rajesh Ravi: That is okay, sir. That i s wh y it is all consol only na , because that is how o ne should look at this company ?

Management: Yes. Yes.

Rajesh Ravi: How much was the volume sold in Udai pur, sir, for the corresponding volumes for Udaipur ?

Management: Udaipur volumes were at 8.3.

Rajesh Ravi: This is total sales fr om Udaipur.

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Management: Yes.

Rajesh Ravi: Okay. So, is it fair like U daipur has driven most of the volume growth in this quarter?

Management: You are right.

Rajesh Ravi: And sir, you mentioned in the nine months we have done this 250 crore s CAPEX and another 100 crore s CAPEX . So, are we running very short in terms of the ... this is a total CAPEX size which we have spent including maintenance and all , 250 crore s?

Management: Yes, you are right.

Rajesh Ravi: Okay . So, is this as per the plan or are there any slowdown deferment, which you are witnessing

here?

Management: There's no slowdown or deferment which we have witnessed.

Rajesh Ravi: Okay. And the phase -I railway siding is already operational?

Management: Yes.

Rajesh Ravi: Okay. And lastly, in terms of the cost reduction programs, so how much we have achieved and how much more we're looking at tangibly over next one year, say by FY26 end?

Management: So, I think this improvement or cost efficiency is a n ongoing process. Plan we had I think more or less we have achieved I would say to the extent of about 75 %, 80%. One of the major initiatives which was pending from our end ... I had explained this to you before that we are working on brand rejuvenation so as to improve our price positioning. Exercise we have initiated from 15th of January, right ? So, the brand recognition, the idea is to improve price positioning and perhaps I think that is going to give some good benefit in terms of at least improving our price positioning by Rs.80 to Rs.100 a ton. So, that is one major item which we have worked upon and perhaps I think that is going to give us benefit going forward. So, this is one. Second, on renewable energy front, as I said in my opening remark also, this is one area which we are very focused based on our corporate responsibility also as to how we are going to be carbon net zero by 2047. So, we are aggressively working on this. So, this is another area which is going to give us benefit. Quantification, I think maybe in the next call I will give you, because some of the things still we are working on, right. And third of course is further working on supply chain efficiency. So, if you see that after merger of Udaipur and

JK Lakshmi, right, so further synergy will come and that will benefit to an extent in logistics cost reduction also. There are other items which we keep on working on energy, on heat value and TSR of course I think we have further room of improving by a percentage or two with the capability which we have, right. So, that is we keep on working.

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Rajesh Ravi: Okay, sir. Two small questions. One is how much was the RMC Cement revenue for this quarter? And second, the CAPEX number for FY25, in last call you were targeting 900 crores, 500 crores at standalone, 200 crores at Udaipur and 200 crores for the Northeast project. Now which we are talking about is sharply lower, 350 crores.

Management: RMC revenue was 64 crores last quarter.

Rajesh Ravi: And non-cement revenue total ?

Management: 135.

Rajesh Ravi: CAPEX number which was at 700 crores in Q2 for FY25. Why this is reducing to almost half, sir?

Management: It is not reducing to us. It is I'm saying 1,000 crores for the next year. It's not -

Rajesh Ravi: No, that is I agree. For FY25 in the last call that you would be spending 900 crores you had guided, 500 crores at the standalone level, and 200 each at Udaipur and Northeast projects. So, where are going short on the expense?

Management: 500 is the standalone and about 300 -odd would be, that question was for the standalone, 500 is standalone and 300 is for the Udaipur.

Rajesh Ravi: So, total how much we are spending for this year ?

Management: 800 crores.

Rajesh Ravi: 800 crores. Okay, okay, this explains I will come back in queue. Thank you.

Moderator: Thank you. You may press "*" and "1" to ask questions. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Thank you, sir. Sir, EBITDA margin on non-cement revenue is 5% for this quarter ?

Management: No. It is lower than, it's at 1%.

Shravan Shah: Okay, 1% only. Okay, got it. So, just again reclarifying consol CAPEX for FY25 is 800 crores, for FY26 is 1,000-odd crores. And for FY27 is how much?

Management: Could be close to about 1,500 crores.

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Shravan Shah: Okay, 1,500. Okay, got it. In terms of the ongoing expansion so Surat will be starting 1.35 million tons by this March end?

Management: So, as we said before, we are commissioning it in two phases. First phase is going to get commissioned in the month of March itself or February end, which is about half of the capacity about 0.8 million tons, and another rest of 0.6 million tons during around June 2025.

Shravan Shah: Okay. So, this is getting delayed, so initial probably maybe a three to six months the timeline was. So, is there any specific reason why we are, because already we have a unit and we will be adding there. So, why there is a delay in this?

Management: I think first phase was about to be commissioned during this time only. Yes, there is some delay because of some of the equipments which got delayed in terms of getting supplies at the site. So, yes, little bit of delays, but not much because anyway I think we are hopeful that by this month end or maybe mid of March I think 0.8 million tons will be up.

Shravan Shah: Okay. Got it. Second, just on the timeline for the clinker and grinding in two phases, so the clinker 2.3 and 1.2 million grinding at Durg and Prayagraj that will be starting by 1 H of FY 27?

Management: Yes, you are right.

Shravan Shah: And the second phase of our million tons grinding units in FY28?

Management: Right.

Shravan Shah: Okay. And the Northeast one, last time we said 1,800 CAPEX expansion. So, that will be starting in FY28?

Management: Yes it is what the timeline we have given as of today.

Shravan Shah: Yes. And sir, if you can give us a gross standalone debt and consolidated debt and cashal

so and net debt,

standalone and consol?

Management: Standalone gross debt is 650 crores, 300 crores of cash, so net debt is 50 crores on standalone basis.

On a consol basis, gross debt is 2,150, 400 is the cash, so 1750 is the net debt on consol basis.

Shravan Shah: Okay. Got it. Second sir, in terms of currently the prices for our core markets if we compare with the third quarter average right now would be higher by how much?

Management: I would say definitely about Rs.75 to Rs.100.

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Shravan Shah: Okay. For this fourth quarter at a consol level broadly in terms of industry, I think would be 6% to 8% kind of a growth likely to see. So, us in terms of the volume growth in the fourth quarter would be the similar at consol level?

Management: Fourth quarter, our estimation is likely to grow at about 7% to 8% and we are going to be in alignment with that, right, 8% I would say.

Shravan Shah: Okay. Okay. Okay. And next year at a consol level for industry, you mentioned 6% to 7%. So, will we be growing a much better of 8% to 10% or mostly in line with the industry?

Management: I think we are going to do better because I think we have now Udaipur and Surat also in place. So, our growth is going to be better than industry.

Shravan Shah: Okay. Just in terms of the profitability, because we have done a good thing on the costing front for this quarter, a decent Rs.350-odd per ton QoQ reduction and now we are saying that probably we are looking at a kind of Rs.80, Rs.100 improvement on the pricing front what we are trying to achieve on the costing front. So, is it fair to say that easily we can see 800, 900 plus kind of EBITDA per ton on a sustainable basis?

Management: I think you are very quick in calculations. See, we are in the market and market is always dynamics, right? So, maybe I think why we should limit ourselves to only 75 to 100, we can go even up to 200 or maybe 50 also. So, I think some amount of volatility has to be there. So, I think I would give a range. I think you are right in that sense.

Shravan Shah: Okay. Got it. But we are not worried given the kind of incremental supply that will be coming at industry level. So, the broader calculation would be 100 million tons plus capacity will be added in '26 and '27. So, in terms of the market share so is it fair to say that if we can achieve the kind of market share or maintain, then maybe one has to look at the lower prices and maybe a lower profitability or it could be vice versa?

Management: See, if you look at capacity addition for the last maybe post-COVID the addition has been about 40 to 45, 50 million tons every year. The capacity addition CAGR is about 6% to 7% this year is about 7%. If demand is also going to be about 7-8%, perhaps whatever capacity utilization we have at the Pan India industry level that is going to be there. So, on an overall basis, I think I do not see there is going to be much demand and supply mismatch, it's going to be the same way as it was before. Yes, regional imbalances you may see wherever I think capacity is going to get added more, right, and maybe some of the area where I think some ramp up is happening. So, maybe regional level you may see some kind of demand/supply mismatch. On an overall basis I think it's going to be the same as it was before. And in our market we are sure that I think we are going to retain our market share and is not going to mismatch in demand and supply too much in our market where we operate.

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Shravan Shah: Okay. Thank you and all the best, sir.

Management: Thank you. Thank you so much.

Moderator: Thank you. Participants, you may please press "*" and "1" to ask questions. The next question is from the line of Uttam Kumar Srimal from Axis Securities Limited. Please go ahead.

Uttam K Srimal: Yes

, sir, good afternoon and thanks for the opportunity. Sir, what would be our closing capacity on a standalone basis in FY26 and FY27?

Management: FY26 I think on a standalone basis I think we will adding 1.35 million tons only. This is what is the reason as far as FY26 goes. In FY27 may be during Q2 or Q3 we will be adding this Durg and Prayagraj. So, that activity you can see about 2.5 million tons. Close to 4 million tons we will be

adding as per the plan we have today. Maybe if we can really take up some other projects also , this may go further up.

Uttam K Srimal: Okay, sir. Understood. That's all from my side.

Moderator: Thank you. You may press "*" and "1" to ask questions. Anyone who wishes to ask questions may please press "*" and "1" now. The next question is from the line of Nihar Dave from IIFL Securities.

Please go ahead.

Nihar Dave : Hi, sir. Good evening. Sir. Congratulations. You made a very good set of numbers. I just had one question. What can you tell me in terms of regional revenue split and regional volume split, what is it now ? And once our capacity comes on line what do you expect that to be by let's say '26, '27?

Management: So, you are talking about regional play, right?

Nihar Dave: Yes, yes, yes.

Management: So, whatever information we have I think capacities are going to be added in East , and if you look at East demand also is the fastest growing market , even last quarter also the demand was highest in case of East. So, the capacity is going to get added . I think dynamics is going to be more or less same, not different than what it was before . In the West, I think I do not see that till FY27 is going to be a major change whatever we can see today, right? It 's going to be like that only . Maybe I think demand will go up and then maybe I think capacity utilization will go further up. So , that will happen in tandem with the demand . But not much of a change which we see in West the market where we operate I'm talking, right. North, yes, capacities are on the anvil for some of the players. But as you know that North is a place where from I think supplies are going to some other market, right? So, there has always been excess capacity in North because no w supplies to other markets like Central India to far North India to UP, West and so on, right. So, it's not going to be a major change in terms of regional

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play and in terms of competitive intensity. Definitely , I think people have added , so they'll try to utilize their assets to the extent possible. And to that extent, I think that might have some temporary impact on pricing during low demand. Otherwise , I think it's not going to have much change on the dynamics of demand and supply.

Nihar Dave: Okay. Got it. Note d, sir . So, West, you expect to be more or less as is , East is the growing market -

Management: Capacities t o go up, and so is the demand . So, I think more or less I think is going to be a semblance.

Nihar Dave: Okay . Okay. Got it. Thank you so much, sir.

Moderator: Thank you. Please press "*" and "1" to ask questions. The next question is from the line of Shouvik Chakraborty from Dola t Capital. Please go ahead.

S Chakraborty : Yes, hello, sir. Thank you for the opportunity. Just wanted to understand the pricing scenario for the industry right now maybe from the exit of January , I mean, considering the recent hikes that we had seen from the end of December, maybe can you just help me , to understand the dynamics of the pricing front?

Management: So, pricing definitely goes along with the demand , and if demand is good, then prices are going to get reinforced. So, that is for sure and that is what we have seen in case of December and January whatever pricing movement has happened because of the support of the demand . And at least in the next two quarters, definitely , I see that d

emand is going to be good and hence prices are also going

to be reasonably alright . Yes, during monsoon as I said before your question that during lean demand, yes, there could be some pressure on pricing. But I think if demand is good, then prices are going to be in alignment with that. And that applies to all markets wherever we operate. So, then you are not going to get something which is unusual, which is what I see. Kind of demand/ supply equation and hence the pricing is one of the outcomes of that.

S Chakraborty: Right. Okay. Thank you so much, sir. All the best.

Moderator: Thank you. You may press "*" and "1" to ask questions . The next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead. Mr. Ravi, I have unmuted your li ne.

Rajesh Ravi: Sir, you mentioned premium cement volume is overall 11% of the volume total sales, which I adjust for trade volume, this would work out to be 19% and in the preceding quarters this number was maintained at between 25 % and 30%. So, i s there any sharp change in sales strategy or how come this premium cement as a percentage of trade come down so sharply?

Management: I think our premium share in the case of East is not very good. And as I said that we are also working on streamlining our brand and changing the positioning also, right. So, that had some impact on this.

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Yes, your observation is right. But perhaps I think in coming quarter, we are going to go back to the same level because what we have done is in East also we have done some kind of brand restructuring , just to let you, we have Pro+ as a premium product here in this part of India , there we have the base product. So, some kind of realignment we have done . So, that Pan India, we have on e brand architecture and similar kind of value proposition for different brand. So , this is a temporary thing I would say.

Rajesh Ravi: Great, sir. That's all from my end. Thank you. All the best.

Moderator: Thank you. You may press “*” and “1” to ask. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Yes. Hi, good evening. Thanks for the opportunity. My question is on Sirohi. I believe the limestone there is going to expire in 2030. So, what's the plan there like how do you plan to manage the transition when it happens?

Management: Yes. So, I think auction is due in the year 2030 and this is the case for Sirohi and this is the case for some other locations for other companies as well, right? So, we definitely want to retain this during re-auction also for sure. That may entail to kind of increasing cost of it because in the re-auction what will happen I think that we need to see. So, this is what the case is. And parallelly, we are also trying because we do have that limestone reserve at other places, but I think Udaipur and Nagar also, we have taken that, though I think we are in the process of kind of executing all those initial stages of land acquisition, environment clearance and so on and so forth. So, that is the backup. But that may not work on a long-term basis, but we are I think reasonably alright that mines when it goes for re-auction we will definitely try to retain it.

Amit Murarka: I am just trying to understand in case let's say the mine premium goes very high or whatever is the reason we don't get the mine, then like what is the backup plan for the plant then?

Management: As I said, it's not all about cost benefit. So, the premium which we are likely to pay for Sirohi, re-auction versus maybe bringing limestone from some other place. So, that cost analysis has to be done, right. Because we do have limestone source from other locations, which is not quite far.

Amit Murarka: But which mine would that be like -?

Management: Udaipur is the nearest one.

Amit Murarka: Okay. From there? Okay. Sure. And

also, generally the outlook on pricing, I believe it's bottomed out after the monsoon, but still like it's been a bit up and down in the last couple of months as well. So, what is generally your expectation on the industry competitive intensity and the pricing outlook?
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Management: Competitive intensity, yes, of course, I think it's going to be there and it was there before also. If demand supports, then I think prices are not going to see that level of bottoming up which we saw in the Q2, right? If demand supports, then definitely I think it's going to be reasonably alright and roundabout I would say. So, I'm quite optimistic that since demand is likely to be good in the coming year, FY26, which is about 7% to 8%, prices also are going to be reasonably alright. Because see, Q1, Q2 was exceptional this year because of general election followed by monsoon which has prolonged little longer and heavy monsoon in some of the areas where we operate, right, so that impacted, but in the coming year, I think there is no such kind of major events which are going to happen which we can foresee today, right. Demand is likely to be good. If you look at the budget, budget also has the CAPEX of about 11.21 lakh crore. And out of that, half of that is going to be in areas where cement is directly related, indirectly I think everywhere but directly related. Suppose about 1,70,000 crore in National Highways, Metro about 35,000 crore and urban housing, rural housing, 120 additional airport destinations. So, I think all these projects which did not take off or some of the ongoing projects, which did not take that steam is going to really be on the fast track in coming months and coming years. So, demand is going to be good and that will support pricing. So, I'm reasonably confident that pricing is going to be better than what we have witnessed in Q2 particularly.

Amit Murarka: Sure, understood. And lastly on cost saving, are there any projects going on for you as you will commission maybe in some time?

Management: Sorry, I missed something... sorry, I miss you.

Amit Murarka: No, I was asking on cost savings side. Are there any projects which you are doing either AFR or the TSR or anything like that, which you will commission and give you some savings on the next year or so?

Management: As I said, when some gentleman asked this question, so one is of course renewable energy which we are working on further improving our renewable energy proportion, part of our power portfolio, this one. So, that will give some savings. Secondly, we will be ramping up our TSR at Udaipur because we have already commissioned that AFR capability, and we will try to take this TSR up at that place. In Sirohi also we definitely see a percentage or two further we can improve with the given capability which we have. So, that is another headroom which we have. And these are the major items I would say other than all those ongoing things. We are working on fixed cost reduction wherever we see opportunity to reduce that. So, we have taken some action in the past; we will take some action in the coming months and years also. So, that is another thing which we are working on and supply chain efficiency further maybe because now we have railways at Durg, then the railways wagon loading at Udaipur. So, that is going to benefit us in further improving our supply chain efficiency, being able to serve our customers better and also reduce our distribution cost. So, these are the major items I would say.

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Amit Murarka: Got it. And if I may, just a last question . On Udaipur , what is the expected timeline for the completion of the merger process?

Management: I think jobs are almost over. This cement wagon loading is now getting commissioned. We have already started commissioning that. Apart

from that , all minor jobs like (Inaudible) 39.51 shed, and some raw materials shed and things like that , we are working on that. Otherwise, all the major jobs are over.

Amit Murarka: Sir, I was asking about the Udaipur merger. If it was already discussed, I missed it. But what is the timeline of completion of the merger of Udaipur Cement to JK?

Management: Yes, for merger, we already have the stock exchange , SEBI approval, we have approval from the NCLT and that might take about eight, nine months.

Amit Murarka: Okay. So, maybe end of this calendar ?

Management: Yes, yes, we're targeting that.

Amit Murarka: Got it. Got it. That's all from my side. Thank you very much.

Moderator: Thank you . Participants , you may please press "*" and "1" to ask questions. Ladies and gentlemen, this will be the final reminder and no further reminders will be given that you may please press "*" and "1" to ask questions. Ladies and gentlemen, I now hand the conference over to Mr. Vaibhav Agarwal. Over to you, sir.

Vaibhav Agarwal: Yes. Thank you . Sir, I had a question for Arun sir . So, last time on the call, Arun sir did mention that in the next call he will be coming back with some newer strategy regarding branding and something on that front. So, anything , Arun, sir which you would like to throw some light on this call regarding that?

Management: That's what Vaibhav I told one of the gentlemen, brand rejuvenation which I had promised before that we are working. So, that has come to that execution level now. So, we have launched a new brand called "JK Lakshmi Green Plus. " So, we have launched on 14th of January this year and the initial feedback from the market is very encouraging. So, one, I think our commitment towards greener product and greener environment. So, that was one of the motives. Second was also to improve the positioning of our brand, which we have done. And we definitely see that now, this brand rejuvenation exercise and brand repositioning is going to benefit us in many ways. One, of course, our very strong commitment towards greener product, greener environment , with this Green Plus and second also in terms of improving pricing positioning , that will kind of further give benefit in terms of our bottom line. So, that we have done and some of the brand restructuring because there were different brands in different geographies with different kind of positioning and value proposition , JK Lakshmi Cement

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that also we have aligned in all our markets. So, Pan India, we have now across one brand architecture and each and every brand has similar kind of value proposition for different markets all across India . So, it's quite a mammoth exercise and we are almost about one and half months into this and the encouraging feedback we are getting from the market and our customers. So, hopefully , I think things are going to be turning out well for us as far as our objective goes.

Vaibhav Agarwal: Right , sir. Sir, also one more question I wanted to ask you specifically that over the last couple of quarters, especially our numbers have been a little volatile versus relative to what our peers have reported. So, since you are taking now so much of initiatives regarding branding and several other stuff which you mentioned in the call. So, relative to that from here on, where do you see your numbers getting better ? I'm including the pricing aspect, but on a relative basis versus to peers so do you think so that in next couple of quarters you can come at a par to industry leaders in terms of profitability or you still be away like Rs.100, Rs.200 and if that number will remain sustain as per your assessment in that gap only or it will fluctuate like the way it has been in the recent past ?

Management: So, we have definitely bridged that gap , Vaibhav, you know that and all of you because you track each and every company

very closely. So , we have done a substantial job over the last couple of years , there's no doubt about it and that is also reflected in the gap which we have with our peer group. Now one thing I would definitely want to request all of you , when you compare our result with others, I think let's compare like-to-like, grey cement versus grey cement. Based on your input only, we have also done grey versus grey comparison because see if you are going to compare apple with banana , then I think it's not going to be good. So , we do not have any incentive with us. We do not have other than grey cement with us, right. I think based on those parameters, all of you are learned people and kind of doing detailed analysis. I think I would really love to really see that grey versus grey and like-to-like comparison where are we . We have done our own calculation, but when I see I think I'm not far behind , I'm absolutely not far behind. I am as good as what you call that best in the industry. And if you meet me one-to-one I will explain you why I'm saying so and what kind of analysis I have done . And similar kind of things if it is coming from you also , that will really help

us and give some insight s as to where we need to further work on. Otherwise, if you keep on comparing banana to apple, I think this is not fair.

Vaibhav Agarwal: Right , sir. We will discuss in-person, sir. I look forward to that. Thank you very much, sir. And on behalf of Phil lipCapital (India) Private Limited, we like to thank the manage ment JK Lakshmi Cement for this call and also many thanks participants for joining the call. Thank you very much , sir.

We are now concluding the call.

Management: Thank you.

Moderator: Thank you , members of the management . On behalf of Phil lipCapital (India) Private Limited , that concludes this conference . We thank you for joining us and you may now disconnect your lines.

Call: May 2025

JKLC:SECTL:SE:2 5
30th May 2025

1 BSE Ltd. 2 National Stock Exchange of India Ltd.
Department of Corporate Services
Phiroze Jeejeebhoy Towers "Exchange Plaza"
Bandra -Kurla Complex
Dalal Street Bandra (East)
Mumbai – 400 001 Mumbai – 400 051
Security Code No. 500380 Symbol: JKLAKSHMI, Series : EQ
Through: BSE Listing Centre Through: NEAPS

Dear Sir/ Madam,

Re: Conference Call organized by PhillipCapital on 28th May 2025 at 4:00 P.M. IST

In continuation of our letter s dated 23rd May 2025 and 28th May 2025 on the above subject, attached herewith the transcript/minutes of the aforesaid conference call. This is for your information and record.

Thanking you and assuring you our best co-operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

Encl: a.a.

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"JK Lakshmi Cement Q4 &FY '2 025 Earnings
Conference Call "

May 28, 2025

MANAGEMENT : MR. ARUN KUMAR SHUKLA – PRESIDENT AND
DIRECTOR , JK LAKSHMI CEMENT LIMITED
MR. SUDHIR BIDKAR – CHIEF FINANCIAL OFFICER , JK
LAKSHMI CEMENT LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

JK Lakshmi Cement Limited
May 2 8, 2025

Moderator: Ladies and gentlemen, good day and welcome to JK Lakshmi Cement's Quarter & Year Ended 31st March 2025, Earnings Conference Call, hosted by PhillipCapital (India) Private Limited.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you and over to you, Mr. Agarwal.

Vaibhav Agarwal: Yes. Thank you, Michelle. Good evening, everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q4 & FY '25 call of JK Lakshmi Cement Limited.

I need to highlight that JK Lakshmi Cement is also the holding company of a listed entity Udaipur Cement Works Limited and therefore this call is also open for discussion about the performance of Udaipur Cement Works Limited.

On the call we have with us Mr. Arun Kumar Shukla – President and Director; and Mr. Sudhir Bidkar, CFO at JK Lakshmi.

I would like to mention, on behalf of JK Lakshmi Cement Limited and its Management that certain statements that we have made or discussed on this conference call maybe forward-looking statements related to future developments, and which are based on current management expectations. These statements are subject to a number of risks, uncertainties and other important factors which may cause actual developments and results to differ materially from the statements made. JK Lakshmi Cement Limited and the management assumes no obligation to publicly alter or update the forward-looking statements, whether as a result of new information or future events or otherwise.

I will now hand over the call to the management of JK Lakshmi Cement for opening remarks, which will be followed by an interactive Q&A. Thank you and over to you, sir.

Moderator: Yes, thanks, Vaibhav. And good afternoon to all of you. You must have seen our Q4 result and the result for the whole year, so before we take questions and answer, just to give you a very brief about how things have really progressed during this entire year.

As you know, industry-wise Q1 and Q2 was not good, because of the regions all of us know, post-election and then followed by cyclicity which we have in the cement industry. Things started improving in terms of demand and also in pricing the latter part Q3 onwards. And as we speak today, I think demand wise, yes, things are better than Q2, better than Q1 even. And going forward also we see that this year the growth is going to be about 6.5% to 7%, though our plan is to grow higher than the industry growth this year.

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So this is on a kind of macro situation of the industry. If you look at other drivers of demand, I think post general election, yes, now traction is increasing in terms of the CAPEX which government has announced during this year. And in fact, we also see traction in other segments like housing, be it rural or urban, and even in industrial and commercial.

Demand drivers also look to be better. Initial estimation was that demand will grow by at least 7.5% to 8% rate. But what we estimate is going to be about 6% to 7% or 6.5% to 7%. That is what we see. As an organization, as I said before, I think we have been working on improving efficiencies internally. Of course, on top-line part of it and also the cost base for the cost line which we have.

On top-line, as I had mentioned during last quarter call also that brand rejuvenation exercise now we have completed, and the initial indication of the

feedback which we have from the market is

quite encouraging. The Green Plus product which we have launched has been received quite well in all markets where we operate. So this is good news for the organization.

And this brand rejuvenation exercise was all about kind of coming up with a brand with new value proposition, new look and feel, which is really kind of amenable to customers' requirement. And our premium product also is doing quite well. So Pro Plus remains to be our flag bearer in terms of our product or the brand proposition to our customers. So Pro Plus has been doing quite well and our focus also was to improve the proportion of premium cement in our overall portfolio.

Similarly, I think our effort also has been to improve on trade part of it. But because of this infra growth and other drivers also growing a little fast, so non-trade is going to be quite substantial and we do not want to lose that opportunity also. But nevertheless, I think our endeavor was also to improve upon the trade percentage, and last quarter has been good for us in terms of our trade volume, which stands at about 60%.

So, this is on the top-line part of it, a couple of things which we have done. And on other

efficiency part, we have been working on renewable energy, improving our thermal substitution rate, working on supply chain efficiency , and particularly on upstream and downstream logistics. So all those things we have been working. And perhaps I think the way we are progressing , I think , I am quite happy that our direction is all right. Now, definitely those things are going to really impact us in terms of the value at the bottom line.

So this is what I think I just wanted to give you a brief. Now we are open for question -and-answer. We have already seen our results , so we can take questions whatever you have. Thank you.

Moderator: Thank you very much , sir. We will now begin with the question -and-answer session. The first question is from the line of Amit Murarka from Axis Capital. Please go ahead.

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Amit Murarka: Yes, hi. Good evening and thanks for the opportunity. So , I just wanted to understand the status on the expansion. Like , the first thing is , have equipment orders being placed for the kiln and the grinding units ?

Management: So the first part expansion, I think as we told last time, that Surat we are doubling our capacity by another 1.35 million tons. The first phase we are now taking trials , right , and soon we are going to commission. And other projects which we mentioned that we are expanding our Durg capacity , putting up a clinkering unit up to 2.3 mtpa and four grinding facility at Durg. And along with that grinding stations at Prayagraj and Madhubani in India. So everywhere I think progress has been there. So in the case of Prayagraj , Madhubani , we have already acquired land, and we have started the process like applying for tour and then public hearing planning , so all those things are happening . In the case of Durg , we have already had this public hearing in case of plant and mines. So that has already been done. Now , we are waiting for environment clearance from MoEF, which will be accepted by any moment now . In terms of ordering of equipment and other things , we have already finalized the (Inaudible) 8:40.5 , we have already floated the tender. But as far as the ordering of equipment goes , that has not yet been done.

Amit Murarka: So soon enough will the orders be placed ?

Management: Yes, we will update you. I think as soon as that happens. So I think we are on track in terms of our activity plan which we have , right , sequentially we are moving. So as I told you, the major hurdle in case of going outside our existing premises that is land , so that we have been successfully kind of acquired land in these two places where we are going to p

ut up our grinding station.

Amit Murarka: Sure. And what is the latest timeline for this expansion ?

Management: So in case of Durg, our timeline is FY '27. This is what the plan is.

Amit Murarka: Okay . And the some of the Greenfield grinding units will come a bit later is what I understand?

Management: Yes. So I think we gave you that already. So Greenfield is going to come even before, right. So this is what the plan is. Because Madhubani we already had this public hearing, right . In Prayagraj we already applied for a tour . Now we will have the next step is public hearing. So those activities will happen .

Amit Murarka: Sure. So , assuming that Durg comes at FY '27 end , so in that case won't you have clinker capacity constraint, I believe , you will be at 88% or so utilization on clinker right now.

Management: So we have some excess capacity with respect to our grinding capability in the East , but not much, right . So whatever we have, I think we can definitely kind of commission one grinding station to start with.

Amit Murarka: Sure. I will come back in the queue. Thank you so much.

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Moderator: Thank you. The next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Hi, sir. Good evening. First the housekeeping questions, what is the RMC and the non -cement revenues for the quarter? And also how much was the margin for the non -cement revenue?

Management: The Rs. 151 crores non-cement revenue, right?

Rajesh Ravi: Okay . And RMC?

Management: RMC is Rs. 75 crores .

Rajesh Ravi: Okay . And sir, what was the margin for the non -cement Rs. 151 crores , EBITDA margin on the same?

Management: 3%.

Rajesh Ravi: Okay . Also , what was the fuel cost per kilo cal and the green power consumption trade and non - trade sales , you mentioned 60%.

Management: Yes, so 60% I already mentioned. So last quarter, fuel cost you are asking ?

Rajesh Ravi: Fuel cost in Q4, yes.

Management: 1.53, 1.52 is for JK Lakshmi, consolidated 1.53.

Rajesh Ravi: And blended cement share was how much, sir?

Management: 65.

Rajesh Ravi: And green power consumption?

Management: Green power is 50%.

Rajesh Ravi: Okay. And two more questions, sir, if I look at your realization sequentially, it is up by 7%. So

is there any change in the product mix or the regional sales mix? Because I see there is a significant jump even in your freight cost versus 11.30 odd, this is almost up by Rs. 80, Rs. 90

Q-on-Q. So was there any new mix which is why your realization and freight costs both are higher?

Management: So, as I said that because of demand improvement I think the price is also better in some geographies, so it is a little far from our plant because that was making sense to grow because the margin was better, right. That is one. But no, there is no significant change in our geo mix as such.

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Rajesh Ravi: Why was the freight cost so high when diesel prices and all have been, you mentioned that there was some increase in lead distance, basically how much was the lead distance there?

Management: Yes. So the lead was 393-kilometer last quarter. And as you know that we had an outsource grinding station in UP East Amethi, right. So we discontinued that, and we started supplying those markets from our existing plants. So that is why the lead has gone up because we are serving those markets. Anyway we are going to come in that market. Prayagraj is going to come maybe a year down the line, right, a year, year, and a half down the line. So we are still continuing with that market and that supplies are going from our existing plants and that is why lead has also gone up to an extent.

Rajesh Ravi: Okay. So sequentially from three 383 kilometers, 393 kilometers, s

o around 10, 12 kilometers

there was a lead increase.

Management: Yes, 12 kilometers.

Rajesh Ravi: Yes, 12 kilometer sequentially?

Management: Yes, 12.

Rajesh Ravi: So this sequential improvement, I am just coming back to this realization. If you could give some more color, was it like earlier last quarter the discount structure was higher for you and this quarter, because what we understand north prices in general have increased by 3% to 4%, east has increased by 5% to 7%, but east your volume share is much lower on a total sales mix basis. And even Gujarat market where you are heavy, that would also have seen 3% to 4% increase.

So, how come your reported realization sequentially is up by 7%?

Management: This is what is in front of you. So there is no change in discount, right? So discount we cannot change in between, because you commit to your dealers for the discount for the whole year. So last quarter you could not change the discount. This is only about the price increases happening because of the demand improvement in various geographies, right. Maybe I think we have optimized better, like you talked about east, east our presence is very limited. We are there in Chhattisgarh and neighboring states only, right. And maybe other players are there everywhere. So we have done a better geo mix, and with the support of price increase that has given us realization improvement. But we don't just change the discount.

Rajesh Ravi: Great. So now assuming what we understand that prices are either flattish or marginally better in Q1 versus Q4. So, your reported realization in that sense should be flattened or improve in line with the market if this is a normal realization in Q4.

Management: Sorry. Come again, you are talking about Q4 of this year, right?

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Rajesh Ravi: No, no, no, sir. Q4 versus Q1, given that prices have sequentially improved over or flattish, should we expect that your realization should also move in line that way, assuming that there are no one-offs or any different reporting in Q4 numbers?

Management: I do not know why you are mentioning one-off. I am not too sure about it. But what I know is, I think the way industry will improve we will go along with that, it's upward or downward, whatever.

Rajesh Ravi: Maybe if you could give some color on sequential, which market, how much was price increase for you on a like-to-like basis? Broadly like north, Gujarat and east, three key markets, what was the price increase Q-on-Q for you broadly, that would be helpful.

Management: I think I will give you maybe after this call. I do not have a breakup right now. I will give you

breakup also, geography wise, if you want.

Rajesh Ravi: Great. That will be quite helpful. And lastly on the CAPEX front, you mentioned that the Durg plant is expected. Did I hear correctly that Durg plant would get commissioned by end of FY '27, clinker unit ?

Management: I would say Q3 around.

Rajesh Ravi: Given that AC is still awaited, equipment ordering is still awaited , by the time it is going for trial runs and all, would it not be by end of FY '27?

Management: Any quarter . See, means a month here and there that happens , okay . But the way I see today, I think it looks at Q3 we will be able to commission it.

Rajesh Ravi: And sir this railway siding and conveyor belt projects, what are the status on that and what is the total CAPEX for FY '26 and '27 one should look at?

Management: Railway siding, we have already done the part. Now some deposits have to be made there for the railways and the BSP. So , on that basis in this year , last year actual CAPEX was about Rs. 300 crores as far as JK Lakshmi is concerned, and then about Rs. 250 crores for the UC LL remaining was spent. So 300 + 250, Rs. 550 crores was the total CAPEX included . And in the North

east we did about Rs. 50 crores. As far as next year is concerned, we are expecting a CAPEX of about Rs. 1,100 crores in JK Lakshmi, including for the Durg expansion and Rs. 150 crores for the North east project and maybe some small Rs. 40 crores, Rs. 50 crores of payment left for the Udaipur. So maybe to all taken together, including the subsidy, about Rs. 1,300 crores.

Rajesh Ravi: Okay , this would include maintenance and all ?

Management: Yes, yes. This includes that.

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Rajesh Ravi: Okay . And for '27, how much would be pending , sir, how much would you expect?

Management: We expect Rs. 1,000 for JK Lakshmi , and Rs. 800 crores for the North east. That's all , Rs. 1,800 crores would be there.

Rajesh Ravi: Okay , Rs. 1,300 crores for FY '26.

Management: Yes.

Rajesh Ravi: And convertible , sir, what is your status? It was expected in Q4.

Management: Conveyer belt is in last leg, we have been saying that for last two quarters, some final approval from the ministry is required. The Board has already recommended. So it should come any moment that we have been saying I know for last one or two quarters, but hopefully it should come, and thereafter almost eight, nine months to get it commissioned. It will require a CAPEX of about Rs. 70 crores, Rs. 80 crores additional from whatever has already been incurred, which is included in the figure which I have mentioned to you.

Rajesh Ravi: And this year you are expecting this to be finally operational ?

Management: By March of '26 it should be in place , hopefully, if everything falls in place the way we have been working on that.

Rajesh Ravi: Understood. Great , sir. I will come back. Thank you.

Management: Thank you.

Management: Thank you, Rajesh.

Moderator: Thank you , sir. The next question is from the line of Pratik Kumar from Jefferies. Please go ahead.

Pratik Kumar: Good evening , sir. Congrats for good results. My first question is on your Northeast project. So , can you also update us on status there and what are the timelines for the rollout of capacity in that market ?

Management: Northeast project is not going as per the plan , that is slightly delayed one, so it is taking because that's a different style of work ing there. So we did not envisage that in the beginning. So , there are hiccups, I would say . But it should be slightly delayed, I must say. As we speak, I would say that's slightly delayed maybe by about seven, eight months . Because when we acquired this opportunity, we expected the land to be in place within three months. So it almost took us almost a year to get the land. Having got the land , then we have moved for the environmental clearance and all that, whatever needs to be done . And there are some local issues, some political issues , so it is getting delayed to put it in simple words . We are off by about seven, eight months.

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Pratik Kumar: So is it commissioning by F Y '29 or something , internal expectation ?

Management: The actual maybe next con call we should be able to give the actual . So once that environmental clearance and local issues are settled and that takes care, then we should have a clear visibility.

I do not want to commit a timeline, we were expecting something. I must tell you that it is

slightly delayed there.

Pratik Kumar: Okay . And regarding your quarterly performance, like much more volatile versus some of the industry peers, is this related to some cost attribution between the quarters or the top-line attribution related to incentives , etc., which explains the quarterly volatility in performance versus peers ?

Management: No, there is no such as such quarterly this thing. It's based on the actual sales which happen and the booking of the expenses which take place. We do not mean to shift any expense or for

that

matter any incentive. We do not get, frankly speaking , as of now we do not have any incentive in any of the markets or the plants where we operate or states where we operate . Udaipur will start getting the incentive maybe next year , so that will get factored in. So there's no that quarter - wise shift is not there for us as far as we are concerned.

Pratik Kumar: And last question on industry pricing, how has the pricing behaved in your markets since March exit?

Management: Come again?

Pratik Kumar: How is the pricing trend in your markets in smart exit ? And I mean maybe in your markets monsoons have not arrived, but in some other markets they have . So any impact of that on, I do not know , in case your market.

Management: Prices are almost flattish. Demand is yes, better, but prices have not gone up. It's almost flat in all the geographies where we operate , like East , part of West and North , right. And what I see , I think prices are going to be range amount till about definitely June or July because monsoon sets in in this part of India North little later right , maybe till about June, July things are going to be better in terms of demand , and prices also will follow the same line is what I see.

Pratik Kumar: Thank you , sir. These were my question s.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Shravan Shah from D olat Capital. Please go ahead.

Shravan Shah: Yes. Thank you and congratulations on good set of number . Sir, a couple of questions. First, a clarification , 1.35 million tons Surat expansion , so how much will it be, so it was supposed to come in two parts , so the entire 1.35 million tons will come by June?

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Management: No, I think it's going to be in two parts. So June and September, this is what we said before, right . So June we will be commissioning half of it and around September remain ing part of it.

Shravan Shah: Okay . And second, the Durg one, s o just to clarify again, last time we said 2.3 million tons clinker and 1.2 million tons grinding at Durg and 1.2 million tons grinding at Prayagraj . So 2.4 million tons grinding a nd our 2.3 million tons clinker will be by September, but now this will be coming by the 3rd Quarter of FY '27 and the second phase to commission in FY '28, is it right?

Management: Yes.

Shravan Shah: Okay, okay . Got it. And second on the couple of data points. So first, if you can help us in terms of the consol clinker sale in the 3rd Quarter of '25, 4th Quarter of FY '25 and full year of FY '24?

Management: You can send the mail. We will respond on the mail for these questions , for these data questions .

Shravan Shah: Okay . And premium , sir, for this quarter at consol level was how much ?

Management: 25%.

Shravan Shah: And the CC ratio for this quarter is similar , 1.45?

Management: 1.44.

Shravan Shah: Okay . And so , sir, just again clarifying , given what we are saying that the prices currently are stable, the actual increase what has happened in the last quarter if I remove the non -cement revenue , it is 8% Q-on-Q increase in the realization , so that's likely to continue. And is there any further cost reduction from the peer groups ? So just trying to understand the given the current profitability EBITDA per ton, will it continue in the Q1 onwards?

Management: So if you take Q4 exit price , exit I am talking , then from there I think prices are flattened, prices have not gone up. And this is true for all geographies where we operate. So this is one, right.

And next part what you want?

Shravan Shah: On the cost front, is there anything that are we looking at in Q1? Obviously the operating leverage, obviously the volume would be slightly lower versus the Q4 in the Q1, so that we understand has some negative operating leverage . Apart from that , there is as suc

h no one -off in

the costing front also. So broadly , the EBITDA per ton, that Rs. 976 odd likely to be there at least in Q1, then obviously we will see the pricing how it moves.

Management: Yes. So I think the prices are flat tish. C ost, yes, I think is not going to be , we see a substantial increase in cost anyw ay. Okay . Yes, the operating leverage will little bit go down because of the

lower volume in quarter?
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Management: So you are right, I think you picked up the right thing.

Shravan Shah: Right. Yes. And structurally in next one year or maybe two year in terms of the cost reduction, how much more one can look at in terms of whatever we are saying, the re power or green share , there also if you can mention from 50% where we can go in FY '26? And what about the logistic cost now all this, how much more one can look at the per-ton cost reduction ?

Management: As I said during last quarter also that in 12 to 18 months ' time the plan is to reduce cost by about Rs. 100 to Rs. 120, okay. And that is basically going to come from one, of course , increase in renewable energy proportion. So we have already reached 50% . And by the end of this year I think we will reach somewhere around 52%, around 53% kind of the renewable energy proportion . So this is one lever which we have.

Second , continuously we are working on thermal substitution in all our plants . Udaipur is a little bit on the lower side as of today because we have just started our facility at Udaipur . So that is going to give some benefit. All the other two integrated unit we are already beyond 12%, 13%, right , so that we will maintain or even improve by 1%. T hat is going to be some kind of saving out of that also, AFR.

Third, of course, I think , logistics, Rajesh was asking this increase in our lead by 12 kilometer s. We definitely will try to bring it back to about 380 kilometer s level, so maybe 10 kilometer s of reduction we see there as well.

And the fourth thing we talked about that Green Plus brand which we have launched. So we have got a good traction in the market and probably also I think that will give us some improvement in price positioning improvement in different market. So these are the major, I would say , levels . Apart from all those efficient parameters like heat value , specific energy, and other things we keep on working , that is a continuous process that will go on. So these are the major drivers I would say of this Rs. 100 to Rs. 120 in the next 12 to 18 months ' time.

Shravan Shah: Got it , sir. Lastly because this non -current financial asset which has increased from Rs. 60 crores to Rs. 66 odd crores in 1H and FY '24 to Rs. 409 crores in FY '25, w hat is this?

Management: Sorry, come again. Can you repeat your question please?

Shravan Shah: Non-current financial asset as on FY '25 is Rs. 409 crores versus in 1H and FY ' 24 it was Rs. 60 crores to Rs. 66 odd crores . So why sharp increase in this?

Management: On th e standalone or you are talking of consol ?

Shravan Shah: Consol sir, everything is on consol .

Management: Yes, please. Now you can pose non -current financial assets , what is the figure you are talking of?

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Shravan Shah: Rs. 408. 9 crores , which is a part of others , so it is third number.

Management: Deposit with banks of about Rs. 300 crores .

Shravan Shah: Okay . So as on March the total cash --

Management: If it is more than one year deposit then it has to be in the non -current , but it is fixed deposit with banks that has gone up from Rs. 60 crores to Rs. 408 crores primarily consist of these bank fixed deposits for more than a year.

Shravan Shah: So total cash and cash equivalent s as on March is how much and the net debt is how much?

Management: Yes, that I will tell you . Rs.

1,150 crores.

Shravan Shah: Rs. 1,150 crores is consol cash?

Management: Yes, yes.

Shravan Shah: Okay . Got it , sir. Thank you. And all the best , sir.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Hi, sir . Part of my questions you answered in Shravan's queries. Just wanted to check on the cost saving projects again, you mentioned that you will be able to reduce or increase the green shares slightly. But given that on average for full year you are already at 48% in FY '2 5, and for full year you are looking this to increase to 52%, right?

Management: Right.

Rajesh Ravi: So there incrementally savings may not be large , and even on your freight lead distance, you averaged at 380 kilometer s in FY '2 5. So , even if you reduce by 10 kilometers, this will save another say Rs. 30 to Rs. 40. So between these two programs maybe Rs. 50 savings should come up.

Management: Right.

Rajesh Ravi: And TSR how are you looking at , what was it for full year and how much you are looking this to go on an average for FY '26?

Management: On an average we look at about 12 % to 13%. So, average we are looking at 12% for this year, right? This is what we are looking at . And the current year, means the year which has gone by,

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it was at about 9%. So 9% to 12%, that is what , 3% TSR improvement. This is what we see as of today.

Rajesh Ravi: And this fuel cost 11.53 are you looking this to remain stable in Q1 versus Q4 ? Or because of the recent spike during Q4 we have seen a spike in pet coke prices , so would that inflate your Q-on-Q consumption cost, blended fuel cost?

Management: This quarter I think is going to be around that.

Rajesh Ravi: Sorry I missed that.

Management: This quarter, Q1 is going to be around Q4 only.

Rajesh Ravi: Okay, okay . And thereafter, do you see this number to be stable given the current prices, current level of prices ? And what was the pet coke mix in your fuel , sir?

Management: Pet coke prices, that has been quite volatile, right? So what we do , whenever we have the opportunity , we kind of try to buy at a lower cost. This is what we do. So as we see today, I think Q1, Q2 I think is going to be around this only , not much increase in this .

Rajesh Ravi: Okay . And FD is booked under non -current loans and advances , it is around Rs. 300 crores or Rs. 350 crores you mentioned.

Management: 350 crores.

Rajesh Ravi: Perfect. This is what I was thinking. Okay , I think that's all from my end. Thank you.

Moderator: Thank you. The next question is from the line of Mudit Agarwal from Motilal Oswal Financial Services. Please go ahead.

Mudit Agarwal: Yes. Sir just wanted to understand , how much volume is coming from the outsourced grinding units, is it still we have some arrangements for that, or the overall volume is pure JK Lakshmi and the UCL?

Management: Pure volume. Nothing is coming from outside .

Mudit Agarwal: Nothing is coming from the outsourced grinding unit, o kay. Understand. Thank you so much , sir.

Moderator: Thank you. The next question is from the line of Uttam Kumar Simal from Axis Securities Limited. Please go ahead.

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Uttam Kumar Simal: Very good afternoon . And my question pertains to, sir you spoke about cost savings of Rs. 100 to Rs. 120 per ton. So how much we have achieved during this quarter and how much we will be achieving in FY '26 and FY '27?

Management: So this Rs. 100 to Rs. 120 I mentioned about combination of FY '26, FY '27, 12 to 18 months ' time. And the combination of size , just once again I will tell you that one of course is the new brand which we have launched to improve in price for this thing, Green Plus which we have launched recently,

this is one . Second further premium ization, we were at 25% last quarter , we want to take it further. So this is the second .

Third was a reduction in lead , going back to about 380 kilometers average , right . And some of the actions and plant one was on renewable energy going from 48 % to about 52% and TSR improvement of about 3 to 4 percentage points. So this is what I think some actions which we have put in place , right.

And if you ask me that last quarter savings , I think all these parameters are gradually improving.

So let's say trade sales was 50% last quarter , we ideally want to maintain this at this level, right .

So that also gives some kind of operating leverage for us.

So combining all these things, I think really pointing out how much saving out of these actions in Q4 is a little difficult because some of the drivers are overlapping. I can give you that, but you have to give me some time. But what we see is that directionally if at all we are okay, so if at all my TSR is improving, renewable power is going up , my lead is kind of going down, right , the premium is going up. So that way I think we can tell you that how much we have done this last quarter.

Uttam Kumar Simal: Okay . Okay, sir . And sir, any new plan to put a plant in Gujarat? Because you have got some limestone mine over there.

Management: Gujarat , come again, please. I think I didn't hear you properly.

Management: We have got those limestone mines at Kutch, so that option that will come . Presently in the

process of acquiring land , so it is three, four years away still.

Uttam Kumar Simal: Okay, okay . That's all from my side, I wish you all the best .

Management: Thank you , Uttam .

Moderator: Thank you. The next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Hi sir, just one follow -up question, any volume guidance for FY ' 26 please ? And what is your ramp up you are looking at Udaipur ?

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Management: So volume guidance, as I said that the industry is at let's say about 6%, 6.5%, we are looking at 10% growth at least this year volume growth .

Rajesh Ravi: And sir, Udaipur volume would be consol minus standalone for Q4 ?

Management: Udaipur volume, sorry ?

Rajesh Ravi: For Udaipur cement, the volume can be derived from consol minus standalone volume numbers, which you have given in the press release ?

Management: Yes.

Rajesh Ravi: Okay . Great. That's all from my end, sir . Thank you.

Management: Thank you..

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Yes, two small clarifications . Sir for Northeast that Agrani Cement , we were supposed to pay Rs. 200 odd crores by March , so have we paid that?

Management: No, we have not paid that. We never said it is to be paid by March. We said it will be linked to certain achievement . So that has not been paid. Out of Rs. 325 crores consideration we have paid, initially to start with , Rs. 125 crores . Rs. 5 crores was additionally paid. So as of now we have paid Rs. 130 crores. And nothing beyond that. And in response to some earlier question I had mentioned that there are certain issues in that project because of the style of working which we are not used to working in that zone or area. So there are issues, so it is slightly getting delayed.

There are local issues, some political issues and we are putting our foot down at the cost of even they are threatening to abandon the project and all that. But it is getting delayed that much as of now we can say . But we are not going to dance to their tunes the way their style of working is there, which to our utter surprise we found is not the style we are used to operate in other states . So it's taking time . They

are threatening. We are putting our foot down and all that.

Shravan Shah: Okay . But the original plan in terms of the 1 million tons clinker and 1.5 million tons for grinding with the CAPEX of Rs. 1,800 crores , that remains intact or there is a possibility that this will also further go up ?

Management: No, this will not change. Issues are the initial hiccups which we are facing at the local levels.

That's the issue. Once those local level things are sorted out , then obviously we will follow the path which we had initially envisaged ourselves for this project. Initial local and political issues at that level is happening . And we are taking a tough stand not adhering to their demands and

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whatever are their local issues. So that's why I said it is getting late . Land we have acquired , there are some encroachment, all those local issues is taking slightly longer time than what we had envisaged . They are threatening us. We are putting our foot down , not yielding to their demands and all that. So things are not moving the way we wanted the way we envy such so. And that's the reason as to why whatever consideration, it was good that we did not pay the entire consideration upfront , entire Rs. 325 crores . Otherwise , that would have got stuck up. But as of now to start with, we have paid only Rs. 125 crores, Rs. 130 odd crores. And I have linked it to the achievement of those milestones. We are taking a tough stand on that and not yielding to their pressures.

Shravan Shah: Got it. And sir, just a broader perspective, so let's assume even if we had so currently 16.5 million tons, Surat 1.35 million tons, then this 4.6 million tons in Durg, so everything if we add, it would be close to 22.5 million odd tons, that will be there by FY ' 28. We are saying that we will be reaching 30 million ton by FY ' 30. So an additional 7.5 million tons. So even if this Northeast maybe 1.5 million tons by FY ' 29 if comes , then also still we need 6 million tons. So we have to start spending maybe from next year onwards. So is there a possibility that this 30 million tons target can be moved to maybe FY ' 31-'32? Or any ballpark or the range in terms of the CAPEX would be similar what right now we are doing Rs. 600 crores, Rs. 700 odd crores per million ton, that's the way one can look at ?

Management: We also have two Greenfield plants, limestone mines or Nag or and Kutch as I mentioned in response to some earlier question on Gujarat. So we are hopeful that that they will be in place by then. It's too early to give up a deadline of 30 million tons by 3030. Then there are other inorganic opportunity which keep coming up. So, obviously, our target remains to reach 30 million tons by '30. Even if Northeast, as I mentioned, is delayed and as you rightly said could be delayed. So, without Northeast also we will be able to reach. Northeast has come as an additional opportunity, but without Northeast also we will be able to reach 30 /30 as of now as we speak.

Shravan Shah: Got it. And then this UCL amalgamation and in terms of the extra shares, so that 6.5 million tons, that will be done by this December, it will be done ?

Management: Yes, could be earlier than that. Additional share, sorry, could not get that ?

Shravan Shah: So for minority stake of UCL JKL will issue 4 shares for every 100 shares, so that roughly translates to around 6.5 million shares that we will be issuing ?

Management: Yes, yes. Yes, that hopefully should happen sooner than December. That is what as of now we are saying. We are in final stages of hearing for the NCLT. Once that is there, it should be maybe we will not have to wait till December, I can tell you, as of now. It should happen sooner than that.

Shravan Shah: Got it, sir. Thank you. And all the best sir.

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Management: Thank you.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to Mr. Vaibhav Agarwal for closing comments. Thank you and over to you, sir.

Vaibhav Agarwal: Yes. Thank you. On behalf of PhillipCapital (India) Private Limited, I would like to thank the management of JK Lakshmi for the call and also thanks the participants for joining the call.

Thank you very much, sir.

Management: Thank you, everyone. And thank you, Mr. Vaibhav.

Management: Thanks everyone. Thank you.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of PhillipCapital (India) Private Limited, that concludes this conference. We thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Aug 2025

JKLC:SECTL:SE:2 5
5th August 2025

1 BSE Ltd. 2 National Stock Exchange of India Ltd.
Department of Corporate Services
Phiroze Jeejeebhoy Towers "Exchange Plaza"
Bandra -Kurla Complex
Dalal Street Bandra (East)
Mumbai – 400 001 Mumbai – 400 051
Security Code No. 500380 Symbol: JKLAKSHMI, Series : EQ
Through: BSE Listing Centre Through: NEAPS

Dear Sir/ Madam,

Re: Conference Call organized by PhillipCapital on 4th August 2025 at 2:30 P.M. IST

In continuation of our letter s dated 1st August 2025 and 4th August 2025 on the above subject, attached herewith the transcript/minutes of the aforesaid conference call. This is for your information and record.

Thanking you and assuring you our best co-operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

Encl: a.a.

"JK Lakshmi Cement Q1 FY'26 Earnings Conference Call "

August 04 , 2025

MANAGEMENT : MR. ARUN KUMAR SHUKLA, PRESIDENT &
DIRECTOR, JK LAKSHMI CEMENT LIMITED
MR. SUDHIR BIDKAR, EXECUTIVE DIRECTOR,
CORPORATE AFFAIRS & CHIEF FINANCIAL
OFFICER, JK LAKSHMI CEMENT LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

JK Lakshmi Cement Limited
August 04, 2025

Moderator: Ladies and Gentlemen , good day and Welcome to the Earnings Conference Call of JK Lakshmi Cement Limited for the Quarter ended 30th June 2025.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity

for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal of PhillipCapital. Thank you and over to you, sir.

Vaibhav Agarwal: Thank you, Rio. Good afternoon, everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q1 FY26 Call of JK Lakshmi Cement Limited.

On the call we have with us Mr. Arun Kumar Shukla – President & Director and Mr. Sudhir Bidkar – Executive Director, Corporate Affairs and CFO at JK Lakshmi Cement.

I would like to mention on behalf of JK Lakshmi Cement Limited and its management that certain statements that may be made or discussed on this conference call may be forward-looking statements related to future developments and statements which are based on current management expectations. These statements are subject to a number of risks, uncertainties and other important factors which may cause the actual developments and results to differ materially from the statements made. JK Lakshmi Cement Limited and the management of the company assumes no obligation to publicly update or alter these forward-looking statements, whether as a result of new information or future events or otherwise.

Also, JK Lakshmi Cement has Uploaded a Copy of the “Q1 FY26 Results Presentation” on stock exchanges and the company website. Participants may download a copy of the said presentation from these websites.

I will now hand over the floor to the management of JK Lakshmi Cement for their opening remarks, which will be followed by an interactive Q&A. Thank you and over to you, sir.

Management: Thanks, Vaibhav and good afternoon to all of you. This time as requested by some of you that we need to upload our presentation, so we have done that this time. So, probably you would have downloaded the presentation for the meaningful discussion in this conversation.

Since we have given everything, I think we can start our conversation right away, but before that, I will just give you a glimpse of the industry, which is important, though I think all of you are in touch and you are tracking the development in the industry, but nevertheless.

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Demand /supply side, if you look at last quarter, the volume growth is about 5 %-6%. This is what we have seen. And there is regional disparity in terms of volume growth. So, some of the zones have done better, but some of the zones have not done that as good. So, this is on demand side of it.

On pricing, some of the geographies have witnessed a good price increase, particularly South to the extent of about 8 %-9% and East also about 6 %-7%. North and west, I think have not witnessed that much increase and also Central part of India. West, in fact, I think prices have been little bit slipped last quarter. So, this is on pricing side of it.

If you look at what kind of drive we have within the organization, so I think that remains what I have been talking about for the last so many calls. We are looking inwardly as to how we can really improve our efficiency across the value chain to be amongst top companies in terms of EBITDA per ton. And I am happy that I think directionally we are all right and we are working on all those levers which is going to take us to that level.

On the “Manufacturing” front of course, I think “Renewable Energy” is one of our areas where we are focused. That is what is going to give us saving

s going forward.

Second is “Improvement of (TSR), Thermal Substitution Rate.” We are doing better, and in coming quarter, I think things will further improve. Of course, I think after this monsoon quarter which is typically challenging in terms of operational difficulties when you use AFR and RDF.

Third is “Digital” front we are working quite intently and extensively and particularly on manufacturing front. So, there are a few initiatives which we are going to take on digital front which is going to drive our efficiency further.

On “Supply Chain” front of it, yes, I think constant focus is there to optimize this in terms of our dispersion and also in terms of per ton per kilometer freight.

On “Top Line” front, the recently rejuvenated band of Green Plus and Pro Plus is doing very well.

And with this merger of UCWL and those two brands coming to our fold, JK Lakshmi Fold which is Platinum Heavy Duty and Platinum Supremo is further going to help us to improve our channel reach and volume, that is what we believe.

We are constantly working on improving price positioning aftermath of this new brand launch which we call “Green Plus.” So, that effort is also on.

Apart from that, I think which I think Vaibhav has been mentioning in his thesis and I am quite aligned with him that how we can really improve this ground level kind of working in terms of efficiency, in terms of dividing all those redundancies. I think that is also in our sight. So, this is what

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we have with us. I think just a brief prelude to our discussion which we are going to have now. So, thanks for now. Now we can start question -and-answer.

Moderator: Sure. Thank you very much. We will now begin the question -and-answer session. The first question is from Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Yes. Yes, hi! Good afternoon. Thanks for the opportunity. First question is on volumes and realizations. You have done quite well in this quarter. What would be the guidance that you would like to give for the full year from a volume perspective now?

Management: As I said before, we will do better than industry and we are well on track. So, we will deliver that, at least incremental over the industry growth, that is we are confident about.

Amit Murarka: Sure. You keep optimizing on the geomix as you have been highlighting. So, has this volume growth come from other regions because what we also understand was there was weakness in the Northern India region this time?

Management: Yes, yes, Amit, you are right. So, I think, yes, as I told in the last call also that some of the areas where we are going to be there in future, so we have started seeding those markets. So, yes, volume has come from those areas, those markets, and you would have noticed that our lead also has gone up to an extent. So, that is the outcome of that. Like central part of India, particularly UP East, so volume growth is coming from there. Of course, I think North was a flat kind of thing or not done that well in terms of volume. But yes, we have got growth out of those newer market one. Second, I think we had clinker also with us. So, that has helped us to improve our volume a little bit. And market like M.P. East, which we cater from Durg and Maharashtra East, so that has helped us to improve our volume. Of course, I think other zones have also done reasonably well and we are in alignment with the industry growth in those markets as well.

Amit Murarka: Got it. Thank you. And this second question is on the expansion in East. So, what is really the status right now? I think, like, is the equipment ordering done? And if not, then how soon can we expect that?

Management: Equipment ordering, you are talking of the Durg plant, no, expansion?

Amit Murarka: Yes, yes.

Management: Durg plant expansion, we hope to start placing the order from the current quarter.

Amit Murarka: Sure. So, March '27, I think is what you are guiding for completion, so then like -

Management: Hopeful that we will be able to do that.

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Amit Murarka: Got it. Sure, I will come back in the queue then. Thank you.

Management: Thank you.

Moderator: Next question is from Vishal Dudhwala from Trinetra Asset Managers. Please go ahead.

Vishal Dudhwala: Yes. Thank you for the opportunity. So, like JK Lakshmi Cement reported a two-fold increase in net profit on a YoY basis plus volume growth is fantastic. So, I want to just know partly attributed the merger with Udaipur Cement, can you elaborate on the operational synergies already realized post-merger in this quarter?

Management: I think almost all those synergies we had been doing before, right? So, I think we have realized almost of that. Maybe I would say to the extent of 80%-90%.

Vishal Dudhwala: Okay. That is it from my end.

Moderator: Next question is from Ashish from Leo Capital. Please go ahead.

Ashish: Sir, can you just reiterate what is the timeline for commissioning of our Durg expansion project? And my second question is, what sort of utilizations are we operating at currently in the East?

Management: East, currently I think we are almost operating at 100% kind of a thing. This is what I think you asked. So, East I think our efficiency is good in terms of capacity utilization.

Management: And on that project, we expect the first phase, which will include the clinkerization and two grinding units, one at the mother plant at Durg and another in the Madhubani, would happen by March '27, and one year later, the balance, the other two grinding units will happen. That is what we think the timeline is of now.

Ashish: All right. Thank you, sir. That is all from my side.

Management: Thank you.

Moderator: Next question is from Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Hi, sir. Good afternoon and congratulations to the team for a strong performance. My first question pertains to what is the status on the expansion of the Northeast projects?

Management: Yes, Northeast, there have been some developments which we have been reporting to the exchanges. As we mentioned earlier, that the MDO agreement, which AMDC had granted to Trivikram Consortium, that was cancelled, and we obviously filed a writ petition in the Assam High Court

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against that. But parallelly, we have been able to retrieve at least two of the three mines having limestone reserves of about 250 million tons, that has come directly as an MDO in JK Lakshmi. The

third mine may be auctioned in future, but we have got direct access as 100% owner in those two mines out of 335 million reserves, which were there in three mines taken together, we have now access to 100% for the two mines. So, we are pursuing with that. The land, which was allotted in name of Ma habal in that consortium, we have now got that transferred in the name of JK Lakshmi. So, ultimately, this Northeast project, which was earlier supposed to have happened in a subsidiary, Agrani and other things, will happen in JK Lakshmi as 100% owner. So, what it also means that the balance consideration, which out of the Rs.325 crores was the transaction value for that deal, and we had already paid based on the milestone achievement, Rs.130 crores to be precise to the erstwhile owner and the balance Rs.190 crores was payable on the achievement of certain milestones in future, that would obviously not require to be paid in future. So, we get the two mines directly in our JK Lakshmi. The royalty is slightly higher. Earlier, it was Rs.105 with escalation of 5% every three years, now that has come to us at a royalty of about Rs.251 per metric ton. So, that is the status. Once the land already is in our possession,

we will start placing the order immediately after the Durg placement. It will be a replica broadly from the Durg.

Rajesh Ravi: Okay. So, Rs.130 crores, which you had paid to the erstwhile promoter, is there anything that you need to get this recovered because now it is happening directly under JK Lakshmi?

Management: Yes, we will pursue with them. Once everything is streamlined as far as JK Lakshmi is concerned, we will explore those legal possibilities of getting that money.

Rajesh Ravi: So, what will be the total project cost now when you are doing it on your own basis and what will be the project cost -

Management: The project cost is not going to change. We have to firm it up. Actually, we will be able to respond by next quarter the exact size which we are going to put in as part of JK Lakshmi only. Earlier, we were toying with the idea of doing a 1-million-ton clinker and 1.5 ton cement, right, and that was costing about anywhere between 2,000 to 2,500. Now we will explore and hopefully when we have the call for the second quarter meeting results, we will be able to confirm the exact size and the project cost.

Rajesh Ravi: Okay, great. And two more questions. First, could you share the non-cement revenue, EBITDA? And second, what is the CAPEX outgo in total on a consol basis for FY26-27 which you are looking at currently?

Management: Now, as far as that non-cement is concerned, total is about Rs.144 crores what we have done with an operating margin of 4%. We are doing in the current year, it is expected to be about Rs.1,500 or so, then Rs.1,800, then again Rs.1,500, that is what -

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Rajesh Ravi: Sorry, for the next three years, 15, 18, 15 guiding?

Management: Yes, 15, 18 and 15.

Rajesh Ravi: Possible to share some breakup of this Rs.1,500 crores, how is that placed between?

Management: Primarily will include the Durg expansion and the North east will happen maybe about six months later, but broadly it will be Durg expansion.

Rajesh Ravi: Okay. And this railway siding which is pending a phase-II, what is the status and how much CAPEX -

Management: Most of the expenditure has already happened. So, that should start only. Surat grinding unit hopefully we will be announcing in this ongoing quarter the commissioning of that. So, our capacity will be 18 million and railway siding as I mentioned, most of the CAPEX has already happened, so, marginally there first phase is already over. So, some revamping of the line is required to be done, which we will do.

Rajesh Ravi: Great. And the overhead conveyor belt which was pending?

Management: Yes, so that is also in the advanced stage of approval. So, SAIL board has already approved, the line of ministry of industries and steel. So, I think that is in the final stages of approval now.

Rajesh Ravi: So, it is more of a procedural delay now rather than earlier it was getting stuck because of the main approval?

Management: Yes, procedurally delay, because everything, major thing has already happened.

Rajesh Ravi: Great. See, you are now present in almost all markets barring South, West you are already there, Central, you are there, East and even North east you have plans. So, what is pending is in South market? So, do you think you should be also looking into becoming a Pan India player over the next three, four years?

Management: We evaluate various opportunities, and size has to make sense to us because strategically as of now, as you rightly said, we do not have a presence, so, it will not be a strategic fit, but we explore. yes, there are some pluses and minuses for Pan India and being concentrated in a few regions as we are today, but we always explore, and if it comes at the right price, obviously, we do not rule that out.

That is what I can say.

Rajesh Ravi: Okay. Great. Great, sir. Thank you and all

the best. We will come back in queue.
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Moderator: Next question is from Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Hi, sir. Thanks for the opportunity. Two questions. Sir, how should we look at the operating cost of difference between North and East if you could give some broad guidelines that would be great?

Management: So, I think only difference is in North we do use fuel, it is imported, like particularly pet coke and coal, right? But in case of East, we have that some linkage coal with us, right? And more so, we are dependent on about close to 80% of renewable energy. So, that is what the difference is.

Ritesh Shah: Okay. And sir, from a logistics standpoint?

Management: Logistics, I think our leads are lower than what we have in North and West because we are very focused in the geography of Chhattisgarh where our plant is there and we go to bordering areas of some neighboring states. So, lead wise, we are lower than this place of North and West.

Ritesh Shah: Okay. And sir, would it be possible to indicate broadly EBITDA per ton differential between North and East?

Management: We do not have readily available with us. So, we can come back to you on this.

Ritesh Shah: Sure. And sir, my second question is, how should we look at the leverage profile? You did indicate broad CAPEX numbers. Now, the reason to ask is there were a few press notes about we looking for one particular asset in Southern India. So, are there any broad guidelines on net debt -to-equity that we have in mind and we should be looking at?

Management: We generally want to be conscious of our leveraging whether in terms of the net debt -to-equity or net debt -to-EBITDA. And as we speak, we have a net debt -to-EBITDA as of now of 1.5. Generally, our endeavor is to keep it below three. But when we do go for the expansion as we are doing, at the time when we are nearing the expansion, the debt comes on the balance sheet, whereas the commensurate EBITDA follows one year, two years later based on the ramp -up which we are able to do from that expansion. So, even if it marginally exceeds that level of three times, but so long as the roadmap is very clear how it is going to taper down, we take a call on that. That is how we go about it.

Ritesh Shah: Sir, any hopes on pricing to increase in North and West because structurally these are far better, stronger demand /supply regions in contrast to what we are witnessing in South, so, how should we look at pricing in North and West?

Management: I think prices definitely will up tick going forward. So, maybe we are through now the cyclicality of our industry. So, July, September typically is low in terms of demand. But my sense is I think prices are definitely going to move upward going forward.

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Ritesh Shah: Sure, sir. Thank you so much for your answers. I will join back the queue.

Moderator: Next question is from Dharmesh Shah from JM Financial. Please go ahead.

Dharmesh Shah: Thanks for the opportunity, sir. Sir, my first question is on the merger of UCWL and JKCL. How should we look at from a brand consolidation perspective? Is there will be any brand consolidation or we will operate with all the brands?

Management: Dharmesh, thanks for asking this question. So, as I said in my opening address that we are going to continue with the two brands of UCWL which is Platinum Heavy Duty and Platinum Supreme. Now, the strategy behind this is that we want to improve our channel reach, right? Because now, these two brands are well accepted in various markets where we operate, we want to leverage those brands now and more so because now they have come under JKLC umbrella. So, that is going to give us in a good leeway to really further expand this and reach out to more number of channels and improve our channel reach and

volumetric reach. So, this is what the strategy is. So, in a nutshell, yes, we are going to continue with these two brands.

Dharmesh Shah: Thank you. My second question is on this North east. So, I am not very clear the reasons for increase in the royalty rate and how it will change the project IRR because we are witnessing almost two and half times increase in the royalty rate?

Management: Royalty is based on the fresh tender which was floated by this AMDC. So, the reserve price itself was Rs.250 per ton. Obviously, it will on one side increase the cost of clinker because of the higher royalty, but more importantly, initial cost of the project comes down. So, overall, there may not be much difference in the project IRR including the initial, because we had factored that acquisition cost of Rs.325 crores, that was for 85% stake and to buy back the remaining 15%, another 100 -odd. So, to that extent, it goes down. On the other hand, the royalty increases, but that is futuristic, because of the lower upfront outgo, the project IRR may not materially be so different.

Dharmesh Shah: Thank you. Thank you, sir.

Moderator: Thank you. Next question is from Madhav from Emerge Capital. Please go ahead.

Madhav: So, just wanted some thoughts on how do you view the increasing aggressiveness by Adani and Ultra Tech and how is the competitive landscape shaping up?

Management: Competitive landscape has already stepped up in fact, if you see the last trajectory of one, one and a

half year, two years' time, this has stepped up in a way already. And in fact, I think you see, wherever we are there, we are a formidable player, we have good presence, very good network, good reach. So, I think we are equally competitive in those markets where big players are there. I will not name them, but wherever they are there, I think we are equally competitive. And if you see our performance
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also, I think, market share and whatever we had before, I think is in alignment with that. Okay. See, competition is going to be there in the market. It is all about how we are going to have our own strategy, which is going to really take on to those challenges and ascertain our objective, right. So, that is what we are doing. And this is what I think I told in the beginning also that our much more focus on improving our competitiveness looking inwardly and I told you various actions which we are taking and going forward also I think we are not going to relent, we are going to further intensify our effort internally to kind of be competitive in all those markets wherever we play.

Madhav: Understood, sir. Thank you so much. Could you also share some thoughts on the market share, what do we have currently?

Management: So, market share, I think, in different markets, since we are not everywhere, I think wherever we are there, I think we have a reasonable market share of about, 10% to 12% in all those markets, in Chhattisgarh and all, we have even 13%-14% market share, right, and Rajasthan, we have a good market share, Gujarat, we are 13%-14% of market share. So, all those markets, wherever we are there, I think fair market share what our definition is, we should be more than 12%-13%. In all those markets where we operate, we are kind of having those kind of market share in every market.

Madhav: Understood, sir. Thank you so much. That is all from my side.

Moderator: Thank you. Next question is from Kamlesh Bagmar from Lotus Asset Managers. Please go ahead.

Kamlesh Bagmar: Yes, thanks for the opportunity, sir. Just referring to some media news saying that we are in the race for Deccan Cement. I know that you have articulated to the exchanges saying that we assess all those opportunities. But anyway, like, just to have some sense why we want to be in the south market? Like, if we see last six, seven years, say, Bahrain, Udaipur, we have not

expanded capacity in the

north market, and which is the most important and most efficient and high-yielding market. And if we see over the last six, seven years, like, the way the Wonder Cement has come in, or various other players have come in, we are not able to scale up in that market in such a way. Why not proceeding with expansion in the north market and prioritizing or moving to the south market?

Management: I think north, anyway, we are expanding, we have already added about 2.5 million ton on 28th of March 2024. It is not that I think we have not added capacity in north. And in fact, I think we have done some kind of bottlenecking also, 0.6 million tons at Udaipur itself, close to about 0.3 million ton at Sirohi, right. So, idea was that let us exhaust our capacity first then to kind of move on to next expansion. And that is what I think we have done. Now, since, after Udaipur, anyway, I think in the pipeline is Nagore, we have mining licenses with us and we have already started acquiring land, taking approvals and we do have a plan to set up a 3-million-ton plant out there. So, I think north is very much focused in our case. And north, we are going to be a very formidable player. If you look at north, our installed capacity in north itself is close to 10 million ton, which is none less than even
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the bigger player in that market. So, I think that is going to be our focus, that will remain our focus even going forward, one. Second, I think you asked about exploring other market. I think Northeast, we are not there. As an organization, we do kind of have a look at our future canvas as to where we want to play. And we felt that, Northeast is a good market where we should be in. And that is what we are trying to be there. In east, I think, I told you that our capacity utilization has reached to a level. Now, we have a good plan of 4.6 million tons, right. So, there we want to consolidate our presence, right. Similarly, I think wherever we feel that, any opportunity which comes on our way, be it, Brownfield or Greenfield, right, we definitely evaluate, and we take a very conscious and well-deliberate and thoughtful decision as to how much we need to go there and to what extent we can play, right. So, that exercise as an organization, I think anybody would be doing. And that is what I think JK Lakshmi Cement as an organization we are doing. Even going forward also. We look at all opportunities. We have a clear-cut roadmap of 30 million ton by 2030, right. The way I think we are moving we'll definitely achieve that as well. We are through with all those I think utilization of capacity, then going forward, we will have that kind of growth ambition as well.

Kamlesh Bagmar: Sir, what is the status of land acquisition at Nagore plant? Because, honestly, like the way the competitors, like Shree Cement, they came out with their plant at Nawalgarh. Ultra Tech also came in, then JSW, which has, like say they are about to commission the plant in next six months. So, the aggression or the speed which the other players have shown in adding capacity in the North market and with the focus, we are honestly missing on that particular part at least in the North market. So, on that line, what is the status of Nagore plant acquisition or land acquisition?

Management: So, Nagore, we have two mining lease licenses. In one, I think we are almost through with all those

approvals, right. So, I think we are almost there where we wanted to be. In case of other mines, we have some exchange of land, like gochar land and forest land, which we are in the process of now exchanging. So, that process is on. Okay ? Plant land, we have already identified the place and part of land acquisition we have already done, right ? So, we wanted to first kind of ensure that all those prerequisite approvals for limestone

mining is in place. That we have done in case of one mining almost. Second, in case of second mining, yes, we are in the process of some of the more steps which we need to take. And land, we have already identified place and we have started acquiring land. So, this is what the status as of now.

Kamlesh Bagmar: So, we have also one mine in Saurashtra as well. So, any update on that land acquisition?

Management: Saurashtra, in fact, I think we are ahead of Nagore also in terms of acquisition. So, public hearing is already done, environment clearance is in process, land acquisition, almost, I think, government land we have already obtained, some rehabilitation has to be done ... there I think we are in the process of, rehabilitating some of the people who are there on the land, right. So, Kutch, I think, mining side of it, I think we are almost through.

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Kamlesh Bagmar: Thanks a lot, sir.

Moderator: Next question is from Shravan from Dolat Capital. Please go ahead.

Shravan : Hi, sir. A couple of questions and clarifications. Sir, first, on Durg expansion, you said, clinker is there and obviously, 1.2-million-ton grinding will be there at Durg. But 1.2 million ton, you said Madhubani, I think it was Prayagraj which will come first. Correct me if I am wrong ?

Management: I think these two sites are ready almost in terms of land acquisition. So, both the places, I think, we have plant land in place. In case of Madhubani, we already had this public hearing, and we have applied for TOR and environment clearance we are going to take now very quickly, right. So, Madhubani is ahead of Prayag as of now. So, that is what we mentioned that Madhubani may come a little earlier than Prayag.

Shravan : Madhubani should start by this March '26 and then the Prayagraj and Patraru, both will come by March '28 or a possibility that both come by September ?

Management: So, Patraru will come around '28 March, right, and along with at least Durg grinding station along with clinkerization and one grinding station by March '27 and somewhere around mid of March '27 and March '28 will have Prayagraj, maybe September, October kind of thing event.

Shravan : Okay. Prayagraj would be in September, October next year. Okay. Got it. Second sir, a couple of data points. First, what was the CAPEX in Q1 and what was the RMC revenue?

Management: RMC CAPEX 1st Quarter was about Rs.100 crores. And separately out of 144, you wanted the RMC ? It was about Rs.70 crores.

Shravan : Okay. 70 crores. And sir, in terms of last time, we said in terms of the cost reduction Rs.100, 120 - odd per ton for next 12 to 18 months, so, that still remains intact ?

Management: That still remains intact. Yes.

Shravan : Okay. Okay. Got it. Despite that we have done 100 -odd crore s CAPEX, we are kind of confident that we will be able to do Rs.1,400 odd crore s in this remaining nine odd months ?

Management: Yes.

Shravan : Okay. And sir, just two things wanted clarity now. As we restated the tax particularly and the PAT because of the UCWL merger, is it possible to share the tax for Q2 and Q3 of FY25 or maybe a PAT number?

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Management: Tax, we have already switched over to the new tax regime. So, whatever profit we have going to have in the subsequent quarters, we will have to pay 25.0%-odd as per the new tax regime on that.

Shravan : No, no. That I understood. What I am trying to say for FY25, we have restated the consol tax and PAT number. So, Q1 and Q4 FY25, we have the number with the results, but Q2 and Q3, if possible, if you can share would be helpful ?

Management: FY25, I can separately provide. I do not have a readily for the four quarters as of now.

Shravan : Okay. Okay. No issues. And just one thing. I wanted a clarification, sir. Did we organize a plant visit in this quarter for BICET [ph] 39:52 ?

Management: Yes, Mr. Vaibhav had advertised a lot for that plant visit, invited the participants to go for the plant visit.

Shravan : Yes, because it was not there announced on the exchanges. So, that is what just wanted a confirmation.

Management: It was put there. I am not sure. Mr. Vaibhav had talked to various people whom he had spoken to. I think all the institutional players. So, obviously, maybe you must have missed it out. Others had been able to join.

Moderator: Thank you. Next question is from Nidhi Hasija from Goldman Sachs Asset Management. Please go ahead.

Nidhi Hasija: Yes. Hi, sir. Congratulations on the good set of numbers. Sir, just one clarification. On the third plant, our CAPEX number seems to have increased from Rs.2,500 crores to Rs.3,000 -odd crores. Can you let us know what led to the CAPEX increase in one quarter?

Management: There were certain additional equipments we had talked of which were not earlier including the triplex, etc., plus some cost escalation going forward. That was about one year back that we had estimated it. So, normative in that.

Nidhi Hasija: Okay. Understood.

Management: Thank you.

Moderator: Next question is from Milind Raginwar from BOB Capital Markets. Please go ahead.

Milind Raginwar: First question is what was the cement revenue for the quarter ?

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Management: We have given separately for Rs.144 crores for the value-added products. So, remaining is all cement and the corresponding quarter was Rs.132 crores.

Milind Raginwar: Okay. And the second question from my side would be the freight cost on a per ton basis. That is showing some escalation. Any specific thing that you want to call out on that as to why would that be on an inflationary side?

Management: Yes, I think that is what I mentioned fact before, right. So, it has gone up a little bit. If you look at, lead was 393 kilometers, it has gone to 399. And the reason I mentioned that we are in fact feeding those markets where we are going to be present in the coming maybe a year or a year and a half. So, we have started kind of feeding those markets and creating our brand awareness so that once we have plant there, then we can quickly ramp up. So, that is why it has gone up a little bit.

Milind Raginwar: Okay. The increase in the lead is the only reason for the increase in the logistic cost, is that what do you think?

Management: I think it is all intact.

Milind Raginwar: Okay. And any specific reason we seeing the other expenses on a higher side again on a year-on-year basis?

Management: That is basically because of the increase in the volume. It is not 100% fixed cost. With the volumetric increase, it is there.

Milind Raginwar: Okay. There is nothing specific beyond volume side that we have something loaded in the June quarter in terms of the expenses?

Management: Yes, nothing.

Milind Raginwar: Okay. Thank you, sir. Thanks.

Moderator: Next question is from Uttam Kumar Srimal from Axis Securities. Please go ahead.

Uttam K Srimal: Yes, sir, thanks for the opportunity and congratulations on a very good set of numbers. My question pertains to your total debt profile. So, what is the consolidated gross debt currently?

Management: That is there in our presentation which we have uploaded on the website.

Uttam K Srimal: Sir, that is standalone you have given?

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Management: Now, it is consolidated, because now UCWL has merged. So, there is nothing called standalone, consolidated, it is all together.

Uttam K Srimal: Okay. Sir, how much debt are we going to take this year to finance the expansion project?

Management: We have talked of a CAPEX of about Rs.1,500 crores in the current year, for that, we may take Rs.1,000 crores additional debt in this year.

Uttam K Srimal: Okay. Sir,

how is the current pricing compared to Q1 prices?

Management: So, pricing is more or less stable, but non-trade has gone down a little bit in some markets. Like in case of north and even in east, west trade and non-trade, both prices have gone down a little bit. So, prices have gone down a little bit than what we had last quarter. If you compare this with exit, then yes, at least in June, I see that prices have slid a bit.

Uttam K Srimal: Okay. Sir, with regard to premium cement, this quarter it has come down to 23% compared to 25% last quarter. So, where do you see this premium cement growing this year?

Management: So, our target is to reach to minimum 27% -plus premium cement. And what happens is when your volume goes up, I told you that in some markets where we have ventured into, we have sold a base product. And that is why premium percentage has gone down. But in all those markets where is a core market, our premium proportion is intact. But newer market, I told you that UP East market and part of Central market where we have gone, premium product has not done that well. But nevertheless, I think our plan is to take it to 27% by end of this year.

Uttam K Srimal: Okay, sir. That is all from my side and wish you all the best.

Moderator: Next question is from Parth Bhavsar from Investec. Please go ahead.

Parth Bhavsar: Hi, sir. I have just one question. This cost savings of Rs.100 to 120 per ton, can you tell us from what

and which initiatives, be it renewable energy or whatever, so, what sort of CAPEX are we putting in and how would the renewable energy move in terms of capacity over what period or if there are any other levers as well?

Management: Renewable, we are there at 49% now. And we do have a plan wherever we have possibility, we are enhancing that like in Gujarat and in Rajasthan, we are improving our renewable portfolio and we see that our renewable portfolio will go around 52% in this year. So, this is one initiative, of course, I think is going to give us some kind of saving. Second, I told you that TSR or AFR, which we are using in our integrated units. So, from there also, we are going to have saving. And third, on manufacturing area, we are initiating some AI-led initiatives in our manufacturing process. So, we will have some saving in power and fuel also once we deploy that. So, I think this is in the

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manufacturing area. And on top line, I told you that further consolidating our newly rejuvenated brand, which we call Green Plus. And of course, I think just now I replied on premium products, so that is another area on top line. Improving price positioning further, so that is the third one. So, these are the initiatives on top line part of it. And of course, I think supply chain remains a constant factor whenever it comes to drive efficiency. So, there also, we have plan to further improve our direct dispatches kind of work on different modes of transportation to reduce distribution costs, and reduction of leads. So, this is what the initiative, which is in our sight in case of supply chain. So, these are the three major areas where I think where from this 100-plus saving is going to come in the next 12 to 18 to 24 months' time.

Uttam K Srimal: Okay, sir. That was my question. Thank you so much for answering.

Moderator: Thank you. Next question is from Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Yes. Hi. Thanks for the opportunity again. So, just coming back on CAPEX, so, you mentioned like I think Rs.1,500 crores this year, Rs.1,800 crores and then Rs.1,500 crores. So, could you also provide a split of it between Durg and Northeast, how is that split?

Management: Basically, we are talking of about Rs.3,000 crores of Durg and balance will be Northeast, other than some minimum CAPEX of about Rs.70 to Rs.80 crores every year.

Amit Murarka: Rs.3,000

crores over next two years or three years?

Management: Yes, three years.

Amit Murarka: Three years. Okay.

Management: We started acquiring land both at Nagore and Kutch, bit will go in there also.

Amit Murarka: Sure. Why I ask is because Northeast, for instance, is still going to take a bit of time to figure out. But like -

Management: It will not take that much of time. It is almost there now. So, this CAPEX number which we have given for the three years includes three basic things -- One, the Durg expansion, Two, the Northeast, and Three, the land acquisition at Nagore and Kutch, and the other normative maintenance CAPEX.

Amit Murarka: Okay. Sure. Also, lastly, like I do not have the number. For FY25 what would have been your split for clinker and cement sales?

Management: FY?

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Amit Murarka: For full year FY25, how much was the clinker sales that you had done?

Management: For the full year, total we have done 121 lakh tons. So, out of that 7 lakh was the clinker, balance was all cement.

Amit Murarka: 7 lakh? Okay. Got it.

Moderator: Next question is from Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Yes. Hi, sir. A couple of questions. First is, for the East expansion, do we have any incentives in place?

Management: Yes. So, East also, they have some incentives. So, since we are in the initial phases of our preparedness, so, we are going to approach the government. So, they do have some incentives and we will try to obtain some customized package also if possible.

Ritesh Shah: Okay. And, sir, my basic question is -

Management: No. So, specific number I think I will not be able to put now. Once we approach them and then come back as to what we are going to get.

Ritesh Shah: Okay. Sir, my second question is, we have optionality in Northeast. You indicated Nagore. We have a lease in Gujarat. We also have something in Madhya Pradesh. Sir, how should we look at it? So, after Durg, what is it that we are looking at? Is it Northeast, then Gujarat, then MP, what is the thought process? And if you could marry your answer with the limestone lease expiries that we have specifically in Rajasthan? I do understand that we have one lease in Nagore, but I think the premium over there is quite steep. I think similar thing is also probably for Central India as well. So, sir, how are you looking at incremental growth and how are you marrying it with the cost curve increase that we will potentially see?

Management: Broadly, you have answered in your question only. You are right. We are first targeting Durg expansion followed by Northeast, then Kutch and then Nagore in that order.

Ritesh Shah: Okay. Answer on the lease expiry, how should one understand?

Management: Our Sirohi mines will go for re-auction in the year 2030. So, this is one thing which is there. And a couple of years later, Udaipur also. But this is the phenomenon all across India you know that. So, a lot of mines are going for re-auction in the year 2030, right? So, one of our mines, of course, I think is part of that. So, yes.

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Ritesh Shah: Okay. Sir, just a simple follow-up. So, would it be possible for you to quantify how much can be the peak cement and clinker capacity first in Northeast, then in Nagore, then in MP and then in Gujarat? Just trying to appreciate the growth pipeline that we have, which can unfold over the next say five years, 10 years?

Management: So, we are starting with Durg where we are going to add about 2.3 million tons of the clinker and 4.6 cement. In next quarter, definitely for sure we will be able to tell what will be the size to start with at the Northeast. And as regards the Nagore and Kutch, they are still far away. You can broadly say 3 million tons each for Kutch and Nagore. Northeast is the only thing which we need to

finalize on the

exact size of both the clinker as well as the grinding capacity, which hopefully we will be able to firm it up by next quarter.

Ritesh Shah: Sure, sir. This is very helpful. Thank you so much.

Management: Thank you.

Moderator: Thank you. Due to time constraints, we will be able to take one last question. We take the last question from Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Hi, sir. Just a follow-up question. You mentioned in the press release, there was this East expansion cost increased from Rs.2,500 crores to Rs.3,000 crores.

Management: Yes.

Rajesh Ravi: Any specific reason because we do not see any increase in the capacity.

Management: As I mentioned in response to a query from an earlier question, we had included some additional equipments like Triplex, etc. Two, we have also added railway siding at the three grinding units, which were earlier not part of that. So, that is why it has gone up from Rs.2,500 crores to Rs.3,000.

Rajesh Ravi: Okay. So, that will only increase the efficiency of these assets?

Management: Absolutely.

Rajesh Ravi: Right. And when you mentioned the total project CAPEX for the next three years of around Rs.4,800 crores, and Rs.3,000 crores is being earmarked for the Durg and if I look at maintenance, it would be close to Rs.300 crores. And how much you are factoring in for the two land acquisitions at Nagore and Surat? And how much we have already spent for the Northeast expansion so far?

Management: In Durg, the land acquisition is already there. So, Nagore and Kutch may be there. So, that may not be a very high figure, balance would go for the Northeast.

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Rajesh Ravi: Okay. And how much we have spent for the East project?

Management: East project for the Durg?

Rajesh Ravi: Yes. Out of this Rs.3,000 crores?

Management: Rs.70 crores to Rs.80 crores only.

Rajesh Ravi: Only Rs.70 crores to Rs.80 crores? Okay. And Northeast, whatever you have just paid Rs.130-odd crores -

Management: No, we have already done of about Rs.80-90 crores on land.

Rajesh Ravi: And plus Rs.130 crores?

Management: Yes.

Rajesh Ravi: Okay. Great, sir. That is all from my end. Thank you.

Management: Thank you.

Moderator: We will take that as the last question. I would now like to hand the conference back to Mr. Vaibhav Agarwal for closing comments.

Vaibhav Agarwal: Yes. Thank you. On behalf of PhilipCapital (India) Private Limited, we would like to thank the management of JK Lakshmi Cement for the call and also many thanks to the participants for joining the call. Thank you very much, sir. You may now conclude the call.

Management: Thank you.

Management: Thank you, Mr. Vaibhav. Thanks, everyone.

Moderator: With that, we conclude the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Nov 2025

JKLC:SECTL:SE:2 5
10th November 2025

1 BSE Ltd. 2 National Stock Exchange of India Ltd.
Department of Corporate Services
Phiroze Jeejeebhoy Towers "Exchange Plaza"
Bandra -Kurla Complex
Dalal Street Bandra (East)
Mumbai – 400 001 Mumbai – 400 051
Security Code No. 500380 Symbol: JKLAKSHMI, Series : EQ
Through: BSE Listing Centre Through: NEAPS

Dear Sir/ Madam,

Re: Conference Call organized by PhillipCapital on 7th November 202 5 at 4:00 P.M. IST

In continuation of our letters dated 30th October 2025 and 7th November 202 5 on the above subject, attached herewith the transcript/minutes of the aforesaid conference call. This is for your information and record.

Thanking you and assuring you our best co -operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

Encl: a.a.

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"JK Lakshmi Cement Limited Q2 & H1 FY 2026
Earnings Conference Call "

November 07 , 2025

MANAGEMENT : MR. ARUN KUMAR SHUKLA -- PRESIDENT AND
DIRECTOR , JK LAKSHMI CEMENT LIMITED
MR. SUDHIR BIDKAR -- EXECUTIVE DIRECTOR
(CORPORATE AFFAIRS) AND CHIEF FINANCIAL
OFFICER , JK LAKSHMI CEMENT LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator: Ladies and Gentlemen, good day and Welcome to the JK Lakshmi Cement Limited Quarter and Half Year ended 30th September, 2025 Earnings Conference Call hosted by PhillipCapital (India) Private Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal of PhillipCapital . Thank you and over to you, sir.

Vaibhav Agarwal : Thank you, Dorwin . Good evening , everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q 2 H1 FY '26 Call of JK Lakshmi Cement Limited.

On the call we have with us Mr. Arun Kumar Shukla , President and Director ; and Mr. Sudhir Bidkar , Executive Director, Corporate Affairs and CFO at JK Lakshmi Cement.

I would like to mention on behalf of JK Lakshmi Cement Limited and its management that certain statements that may be made or discussed on this conference call may be forward -looking statements related to future developments and statements , which are based on current management expectations.

These statements are subject to a number of risks, uncertainties and other important factors which may cause the actual developments and results to differ materially from the statements made. JK Lakshmi Cement Limited and the management of the company assumes no obligation to publicly update or alter these forward -looking statements, whether as a result of new information or future events or otherwise.

Also, JK Lakshmi Cement has Uploaded a Copy of the “Q1 FY26 Results Presentation” on the company website , which p articipants can download .

I will now hand over the floor to the management of JK Lakshmi Cement for their opening remarks, which will be followed by an interactive Q&A. Thank you and over to you, Arun sir.

Management : Yes. Thanks, Vaibhav and good afternoon to all of you. Thanks for joining this call. We have already uploaded our result on the website and all details are there with you. I think everything is there. I think we can take questions right away.

Moderator : Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Nigel Mascarenhas from Leo Capital . Please go ahead.

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Nigel Mascarenhas : Yes, good afternoon, sir. Thanks for the opportunity. I just had one question. Can you summarize the expansion timelines and CAPEX plans to get to 30 million tons capacity for each of the projects over the next five years?

Management : Right now, we are at 18 million with the commissioning of the Surat g rinding unit, which we announced in the month of September. From here, our journey with the Durg Brownfield expansion will take us to 22.6 by FY '28. From there, we have three Greenfield plants, Nagaur , Kutch and Assam , they will come in FY '29 and FY '30 for about 3 million each for Nagaur and Kutch and maybe about 2 to 2.5 w e have not yet found out the size of Assam, but in that region. So, that is how we are going to reach 30 million by FY '30.

Nigel Mascarenhas : Got it. And also the expected capital outlay for the project?

Management : Project, right now we are talking of, we have zeroed it only on the Durg Brownfield expansion, which is costing about Rs. 3,000 crores. We have not yet formed up on the Greenfield for Nagaur , Kutch and Assam.

Nigel Mascarenhas : Understood, sir. Thanks.

Management : Thank you.

Moderator : Thank you. Our next question comes from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : Hi, all. Than

ks for the opportunity. So , the first question is on the status of the Durg expansion.

Just following up from the previous Q1 call, has the equipment order been placed now or what is the status of that?

Management : Yes, you are right. You had asked this question earlier also and we had confirmed that we will confirm to you in the next quarter. We are happy to inform that the orders for all the major long delivery items have been placed.

Amit Murarka : Okay. So , which will be your kiln and grinding units and everything?

Management : Yes.

Amit Murarka : Great. And the timeline now is March '27 for the kiln and I believe...

Management : For the Durg grinding unit. Yes.

Amit Murarka : And I think even now, I think one more grinding unit, I think is targeted by March.

Management : Yes, we have clubbed and o ne of the two. Yes, you are right.

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Amit Murarka : Right. Thanks for confirming that. And also for the quarter, the revenue seems to be a bit high and even there are some traded purchases in the P&L. So, could you give a breakup of the cement, non -cement revenue in that contract?

Management : Non-cement revenue in this quarter was Rs. 153 crores.

Amit Murarka : And what was the EBITDA margin for this?

Management : EBITDA margin there is only 4%.

Amit Murarka : 4%?

Management : Yes.

Amit Murarka : So, has the cement realization been higher QOQ for you then?

Management : So, I think what you are looking at is in blended, if you really break it up. Contribution from our other businesses like SBS has gone up. It was RS. 144 crores to Rs. 153 crores , so that is the one thing.

Second is we have improved our sales in North more than East. The proportion in case of North has gone to 69% and North includes perhaps Gujarat also. We divide that our geography into North and East , North includes Gujarat. Our proportion has gone to 69% in these markets and East has gone down a little bit. So, that is second.

Third reason is premium proportion has gone up by 3%. Look at last quarter premium proportion it was 23% of real volume. In the current quarter or just September quarter it was at 26%. So, this is second.

Third , of course , I think , because of the commissioning of Surat grinding station our volume has gone up in Gujarat which is a better renewal realization market. These are the reasons.

Amit Murarka : And what is the CAPEX guidance, I see in 1H it is only , I think its Rs. 250 crore kind of CAPEX that I can see in the cash flow.

Management : Yes, we are talking of about Rs. 1,000 to Rs. 1,200 crores in the current year, full year. For six months there has not been much you are right in the cash flow. So, that is what we are talking of. And maybe Rs. 13 crores to Rs. 15 crores over the next two years.

Amit Murarka : Rs. 1,300 crores to Rs. 1,500 crores per annum you mean next two years?

Management : Yes.

Amit Murarka : And does this include anything for North -East expansion or only Durg expansion?

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Management : No, no it does include marginal expenditure for that as well.

Amit Murarka : Right. This Rs. 3,000 crores is Durg , right? I mean , so in that sense.

Management : Yes, as of now that is there.

Amit Murarka : Sure, sure. I will come back in the queue. Thank you .

Management : Thank you.

Moderator : Thank you. Our next question comes from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Hi, thank you. So, just continuing this, so out of the total Rs. 3,000 crores Durg CAPEX , how much we have already spent till September?

Management : September, I do not think we have spent much, having about Rs. 50-odd crores we would have done , most probably .

Shravan Shah : No, no till now out of Rs. 3,000 crores for Durg , how much till now we have spent?

Management : Yes, we ar

e talking of that only, Rs. 50-odd crores only has been spent. Rest will come in the remaining part of the current year and next two years.

Shravan Shah : Okay, so total we are saying Rs. 1,500 crore, Rs. 1,000 crores to Rs. 1,200 crore s for this year and next Rs. 1,300 crores to Rs. 1,500 crore s and even for FY '28 also. So, then, we are not even factoring the CAPEX for whether the Nagaur or Kutch or Assam?

Management : Kutch we are only pursuing with the current acquisition. The major expenditure will happen in the last two years which is '28 and '29. So, we will be focusing more on the Durg expansion Brownfield up to '28.

So, you can see, I have talked of over the next two years that is Rs. 3,000 crores, Rs. 1,000 crores to Rs. 1,200 in the current year that is Rs. 4,200 crores . Out of that Rs. 3,000 crores goes for Durg , so remaining Rs. 1,200 crores is for maintenance CAPEX and other small land acquisition, some ordering of equipment, even some land acquisition in North -East and all that. But majority of that expenditure will flow in '29 and '30.

Shravan Shah : But sir, considering both these are Nagaur and Kutch are Greenfield s, so at least it should take three years in terms of the cash flow CAPEX spending , if we want to start by FY '30.

Management : Initial expenditure is primarily on the land acquisition and the land development. It kick -starts

only when you start ordering the equipment and the equipment start arriving. So, it will be more rear ended rather than initially we only need to open LCs and all that. That is what we believe
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as of now. It may undergo changes for FY '28, may be later as we come closer to that time period.

Shravan Shah : Okay, got it. And sir, now coming to on the cost front, so this quarter also if you can specify the Kcal cost because the power and fuel cost seems to have gone up significantly. And even to some extent the freight cost has also gone up, Q-o-Q I am talking about. So, just wanted to understand , how one can look at because we were having a Rs. 100 - Rs. 120-odd cost saving over 12 months to 18 months. So, from here on how much more savings one can look at?

Management : Yes, I think we mentioned last time also those levers are there. I just mentioned a couple of minutes back that we have improved our product. Yes, during July - September our distribution cost has gone up , of course, lower demand.

So, all those levers which were going to drive performance in which we discussed last time, which is about improving premium product, reducing distribution cost, working on efficiency in the plant level using technology, ESR, renewable power, I think those things remain.

I think we are working on that and we will continue to work on that and whatever we have promised that 18 months to 24 months' time we are going to have at least Rs. 120 of savings.

So, that we will definitely have and we are on the track and one of the things which I just mentioned was premium product has moved from 23 % to 26 %. We are going to take it further. A new brand which we had launched which we call Green Plus that is doing very well and that is also one of the reasons that we have been able to bridge our price gap with the competitors quite a bit. So, that is reflecting in our NOD also.

So, all those actions are ongoing I think and we keep on exploring new avenues and one of the newer avenues to my mind is technology, how we can deploy effectively all those autonomous AI digital algorithm in our process and grinding station. So, that is the next phase of performance drivers for us to improve.

Shravan Shah : Yes, so sir , just coming back to the in terms of the price and the cost and ultimately the profitability. So, how one can look at , so in 1H if we broadly look at around Rs. 700-odd per tons. So, going forward two aspects. One, currently what we understand

is in October till now

the East prices have kind of has declined. So , if you can confirm and now third and fourth quarter how one can look at in terms of both , because the price if it is lower and the further cost reduction. So, how one can look at the profitability ?

Management : I think Shravan all those actions of improving performance is little mixed in long -term. So, all those actions which I mentioned is not going to give benefit right away tomorrow. What is important for us is to really all those ongoing levers which we are working on which again I mentioned that improving our price positioning of Green Plus newly launched brand which is doing quite well.

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Improving our premium product, improving you know supply chain efficiency. So, these are the imminent things which we are working and will keep on performing that. So, definitely , this will give you know some benefit in this three and four also right. So, this is one .

And second, we have started deploying AI / ML and using technology in improving our performance. So, that will give some benefit maybe going forward in the next you know three months to six months and all those we have to move along that only. You cannot do much about that and you cannot worry about what is happening outside and our focus has been inward and which will keep on doing.

Shravan Shah : Yes, I got it , sir. Just one thing to understand further. Currently the prices in East, North or wherever we are operating versus the Q2 average or maybe exit of September how the prices are currently?

Management : Yes. So, Shravan , so trade prices are almost intact everywhere. Gujarat has gone down a little bit. But I think , because of the demand pressure maybe it happens during mostly. Non-trade dilution has happened in almost all market. So, you can take like you know trade is almost intact and non -trade prices have gone down even beyond 22nd September prices , right.

So, one was you know passing on benefit to our customers which we have done and even after that prices have gone down in case of non -trade segment everywhere. So, perhaps once demand improves then non -trade prices will inch up for sure , this is what I believe . And November onward , I think that the demand will look up and non -trade prices , which perhaps I think got eroded in the last maybe a month or so will come back to the normal level. That is what my

thought is.

Shravan Shah : Okay . Lastly, some data points are trade sir, blending ratio, lead distance, TKL cost and green share for Q2 ?

Management : Yes. So, I think you have asked everything. Our lead sale is at 53%, blended cement at 62%, premium 26%, lead has gone down last quarter from 399 kilometer to 395 kilometer and green power is at 46%.

Shravan Shah : And TKL?

Management : 1.61.

Shravan Shah : 1.61, will it further inch up or will remain the same?

Management : It is 1.54.

Shravan Shah : Okay . Got it, sir. Thanks and all the best.

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Moderator : Thank you. Our next question comes from the line of Milind S. Raginwar from BOB Capital Markets Limited. Please go ahead.

Milind S. Raginwar : Thank you , sir for this opportunity. Just if we can focus on the line items you mentioned Rs. 1.153 crores as the non -cement revenue. Can you please further give the breakup between RMC and the other components?

Management : RMC is Rs. 72 crores ; AC is Rs. 52 crores , rest is the others.

Milind S. Raginwar : And can you please have this number for the September '24 quarter also? That is the year -on-year quarter ?

Management : It was overall it was RS. 126 crores total , against Rs. 1.53 crores and RMC was RS. 66 crores and AC was Rs. 40 crores .

Milind S. Raginwar : Okay Yes. Sir, just in detail this has been asked in the call previously , is about the bit of an inch up w

hich is a bit sharp on the power and fuel cost on a Q -on-Q basis. Anything specific that you would like to mention about it or call out on for that increase that we are seeing?

Management : Yes. So, one is of course I mentioned that my green power proportion in last quarter is only 46 % which has gone down and that is primarily because of we take shutdown during this quarter two of all pins. So, WHIS production goes down. So, this is one of the major reasons.

Second you also have less solar power generation , because of the weather. So, this is second one and third I think we have seen that Petco prices also have gone up little bit. So, that has impacted our power and fuel cost.

Milind S. Raginwar : Okay. So, any possibility of this normalizing in the subsequent quarter or this is going to be a run rate kind of as for us going forward? I am talking on the per ton basis.

Management : So, at least on two counts like this green power definitely it will improve this quarter , because of more what WHIS generation and more of a solar availability. On a fuel part and in our case because we import Petco from outside that is dependent on a lot of other things geopolitics you know which is existing and supply chain issues , which is there right. So, though , I think Petco prices are around \$ 116 to \$120 per ton now.

But I think if that goes up , then maybe I think we will have some you know impact on that.

Otherwise I think we see reasonably within control in the next you know two quarters as far as WHIS, green power and other cost elements goes.

Milind S. Raginwar : Okay . And on the freight side sir again on the per ton basis both year -on-year and Q -on-Q year on year is something , which I want to understand more is there something that we try to reach out to newer geographies , can you just , because there is an about 8% - 8.5% of jump in the freight cost on a per ton basis.

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Management : Yes. So, during this lean quarter we definitely try to go to some of our non -poor market , which is one of things right okay and that has happened in case of quarter two . Because we sold some quantity in areas where normally we do not go and even you know going forward also we do not go so this is one.

Second some of the market we are seeding for future which will keep continuing even you know coming quarters as well. Like as Mr. (Virkar 22:54.9) mentioned that we are going to have you know grinding station in Bihar and then the Prayagraj and somewhere in Jharkhand. So, those market we are just you know have started seeding , so that will keep kind of you know continuing going forward also .

But some of the market are occasional markets where we have gone in the last quarter will not go when you know things are going to come back to the normalcy.

Milind S. Raginwar : Okay . So, now on the balance sheet we see the receivables nearly doubling in from March to now so anything specific that you want to call out on?

Management : Nothing specific generally March we make sure make extra effort to ensure that it is at the lowest , but it is normal nothing much to highlight on that.

Milind S. Raginwar : Okay . Nothing specific that you are mentioning on this. Right . And sir , just finally , on the conveyor belt are we in the East is there anything that new development that you like to call out on?

Management : So, I think , from the last quarter when we discussed on this topic , I had mentioned that sale board has approved this leasing out of the land and the right of way for that overhead conveyor belt.

That is now pending with the ministry of steel for the final approval and that we are pursuing to get this as fast as possible . So, this is what the update is.

Milind S. Raginwar : So, can I just ask one strategic question this has been long pending , so are we giving some timeline to this that at how much is this going t

o be prolonged or we will take something else as an alternative for this because this is being stretched beyond too much on a time timeline perspective so anything that we are internally thinking on this?

Management : I agree with you , I think it is taking a little longer time than what we expected . But we cannot help something which you cannot really control I think , you can just put the effort in the right direction which we are doing.

Second , I think we keep on exploring alternatives also right so plan A, plan B, plan C kind of things , so that is anyway I think is there , which I think is not firm up . But yes , we do keep working on plan B and plan C as well.

Milind S. Raginwar : Right . I do know that you know we will refrain from giving any volume guidance . But now that we have done 6.2 odd in the first -half anything we have in sight for the full year for 2026?

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Management : So, what I said last time , I think our growth is going to be little higher than the industry , so that I still maintain . In the first two quarters , I think you have seen that you know we have done better than industry in terms of volume growth . And that is what I believe that you know in remaining quarter two quarters also we will keep that you know kind of momentum . But giving that you know definitive kind of volume perhaps you know too premature now because things keep on happening like you know quarter one you have seen a very muted growth .

Quarter two was a little better for the entire industry about 6% to 7% of volume growth . So, I believe , quarter three - quarter four is generally good . But this time , I think the you know little , I would say non -conventional trend was that October was not that way because of course you know Diwali . And second , I think unseasonal rain I would say , which prolonged to for quite some time in case of our geography in North India, East India and part of West India .

So, with a reasonable kind of you know assumptions , I do believe that we will do better than industry in the coming two quarters as well .

Milind S. Raginwar : Okay, sir, thank you for the opportunity .

Moderator : Thank you. Our next question comes from the line of Amit Murarka from Axis Capital . Please go ahead.

Amit Murarka : Yes, hi for the opportunity again . So, just clarifying a couple of things , so you mentioned that in Q2 the geographical mix changed a bit which led to better blended realization . So, now, as we kind of get out of monsoon , so will that mix go back to the older levels which means that at least on a realization basis I mean that could go back to similar trends as what we saw in Q1 on a mixed perspective ?

Management : Amit , you are absolutely right and as I mentioned that is occasional move which we take just to improve a little bit of our utilization.

Amit Murarka : Got it. Yes, and that is what also kind of maybe changed all those a bit of freight cost and all also.

Management : Yes, definitely, yes, very much.

Amit Murarka : Sure. Just I wanted an operational update on the OLDC where are we right now and what is the visibility of the completion of the same?

Management : So, this overland conveyor belt I mentioned just couple of minutes back.

Amit Murarka : I am sorry , I missed it.

Management : Right of way approval is now pending with Ministry of Steel. Board of Steel Authority of India has already approved. We are now trying to get approval from Ministry of Steel , which may

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happen you know in coming days and months. It is very difficult to give timeline because you know this is something which we cannot really control . But since you know board has approved sales board , I do believe that you know things would come to in place in coming months. But very difficult Amit to give a timeline because you k

now that how things work.

Amit Murarka : No, right . Absolutely. And as far as that also that Agrani that Rs. 125 crore payment that we had made to them. So, I think that is also recovery process right now after that lease issue that happened. So, what is again , the I mean the expectations of how that will play out?

Management : Yes, right now the matter is sub judice. So, we will wait for the court verdict before we take a call or talk much on that.

Amit Murarka : Got it. Lastly, I just also wanted to get the gross debt and net debt right. I mean , I have a number with me but just if you can spell it out.

Management : We have put it on our website in the presentation.

Amit Murarka : We can take it from there. That is all. Thank you.

Management : Thank you.

Management : Thanks , Amit.

Moderator : Thank you. Our next question comes from the line of Dharmesh Shah from JM Financial. Please go ahead.

Dharmesh Shah : Thanks for the opportunity and sir, congratulations on good set of realization. So, if possible to provide the geographical breakup for the regional mix for the first quarter and second quarter?

Management : So, Dharmesh, right now I am not handy with those information. I will give you separately .

Dharmesh Shah : Thank you. Secondly, sir, we were earlier mentioning about the guidance of around RS. 1,000 EBITDA per turn for the FY '26. So, the asking run rate looks very high for the second -half.

Are we on track for the guidance or how should we look at for the second -half or there will be any revision in the guidance?

Management : So, Dharmesh, I think we focus things with a reasonable assumption. You know that now entire industry is less than Rs. 1,000 you know that because of whatever competitive landscape we are in. Our effort has always been to kind of be closer to our peer group in our related market. And if you look at the peer group and the market where we operate, I think we are very close to them. The gap has gone down and that gap will keep going down even going forward. So, that is what our effort is. If entire industry is not doing so well on EBITDA, I think it is very difficult because internal efficiency you can drive to an extent.

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But overall market has to really support conditionally to go to that level. But yes, what I said, I still believe that our effort is to reach to that first milestone of thousand rupees and being amongst top companies in terms of EBITDA per ton that we kind of keep our ambition intact even now.

Dharmesh Shah : Sorry, going back to the mixed perspective, because when I look at the overall of our trade share perspective, it has declined on a sequential basis. So, I am just still trying to understand from a realization perspective, is there will be a significant shift in the geographical mix this time?

Management : So, as I said, non -trade, if I sell non -trade in Gujarat, which is better in terms of net price in case of North and West. So, whenever our mix changes, even if trade non -trade goes other way, you will find that in a realization.

And I said during my opening question also, that because of Surat commissioning, right, and improved volume in Gujarat, you would see that our realization or the net prices have gone up. Though you may see or you are seeing that overall non -trade has gone up and trade has gone down. So, I think , we need to look at these things along with the, I would say, landscape of pricing in different markets where we operate.

Dharmesh Shah : Got it, sir. And sir, just last question, are we eligible for any incentive in the UCWL plant?

Management : Yes, we are eligible for capital incentives, right. We have already applied for that and we are working towards realizing that incentive in coming months.

Dharmesh Shah : Sure. Thank you. Thanks for the opportunity.

Management : In fact, we have not taken it

out yet.

Dharmesh Shah : Thank you.

Management : Yes, thanks, sir.

Moderator : Thank you. Our next question is from the line of Ritesh Dhoot, an individual investor. Please go ahead.

Ritesh Dhoot : Hello, sir. In the Q1 Concall, you discussed about exploring inorganic expansion. So, is there any update on that now?

Management : Yes, we keep exploring that. So, that is a continuous exercise, provided that comes at the right valuation and right location and makes strategic sense for us. So, no update further on that other than what we have been routinely doing quarter -after-quarter.

Ritesh Dhoot : Okay, thank you.

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Moderator : Thank you. Our next question comes from the line of Shravan Shah from Dolat Capital. Please

go ahead.

Shravan Shah : Hi, sir. Sir, just to check, Doordh 1.2 million ton and Madhubani 1.2 million will come in March '27. And 1.2 million ton Prayagraj will come in September - October '27. And the Patratu will come by March '28?

Management : Yes, broadly, we are talking of 2.2 by March '27 and balance by March '28.

Shravan Shah : Okay, and not because Prayagraj will not be commissioning maybe four months - five months earlier than the March '28?

Management : We are trying but difficult to say. We are trying.

Shravan Shah : Okay, got it. And, sir, broadly, if I have to look at this 3.3 million ton Greenfield Nagaur and Kutch, and also if you can specify the how much clinker that also we are looking at, and maybe Assam also 2.5 million ton, roughly ballpark in terms of the CAPEX so size would be how much one can look at ?

Management : As I mentioned, we have not formed it about the project cost. It will be in the range of what otherwise a Greenfield cement plant cost of 3 million. So, clinker would be about 2 and 3 will be the cement. We have not formed up in the range of anywhere between 2 to 2.5 for cement.

Shravan Shah : Sorry, sir, are you saying a clinker will be a 2 million ton?

Management : Yes, for Nagaur and Kutch, 2 million clinkers and 3 million cements .

Shravan Shah : Okay . But in terms of if you look at the other companies, so around \$80 to \$90 plus kind of power would be there for Greenfield , 4 million per ton basis, if one has to look at being a Greenfield , it will be closer to \$100 per ton?

Management : Since it is going to come by 2030, so it will be closer to \$100 only. I am not counting on the capital cost of other companies. But that means that taking into account the inflation for next four years - five years, at least \$100 would be there.

Shravan Shah : Yes, because even if we let us say, take that number also for around Rs. 2,700 crore, then Rs. 2,700, Rs. 5,400 and then maybe of Rs. 2,000 odd crore to Rs. 6,400 odd crore. So, that the entire as you said, mostly the entire CAPEX would be in there for '29 and '30, if we want to achieve a 30 million ton.

Management : Yes, we will be more clear or closer to maybe in six months or years time from now, we can give definition number of CAPEX for those years as well. Since , the project cost is not yet formed up and we are busy in acquiring land and taking other external clearances, it is difficult

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to put a number of CAPEX for years. Maybe six months, two years' time , we will be definitely be able to give you the current guidance.

Shravan Shah : Yes, but broadly, we will not be crossing three times net debt -to-EBITDA, even whatever the odd, there is a possibility if that is likely to happen, maybe FY '30 could be FY '31 also possible.

Management : We would much rather like to cross that 3 to 3.5 net debt -to-EBITDA line.

Shravan Shah : Okay. Thank you and all the best, sir.

Management : Thank you, Shravan .

Moderator : Thank you. We have no further questions, ladies and gentlemen. I would now like to hand the conferenc

e over to Mr. Vaibhav Agarwal for closing comments. Over to you, sir.

Vaibhav Agarwal : Yes, thank you, Dorwin . Before we end, I had one question for Arun, sir. So, sir, we have a feedback from our distributors and our channel partners, except for the geographical mix, what you have changed. We also have a feedback that you are working hard towards identifying leakages at the ground level and that has also helped up.

Basically, you are identifying a lot of conflict of interest between your ground partners, CNF agents, sales promoters, et cetera . So, that effort has also helped in the realization. Is that feedback correct, sir, as per you? And is it a sustainable number or is it a number which can roll back in quarters to come? So, how much of it is sustainable and what do we say about this that's my question.

Management : Absolutely, I think you are right, Vaibhav. I think this ground level discipline, having less conflict between channels like multi -role channel partners, that we have already started working on. I would not say those things have completed or accomplished.

We have started working on that and that is also benefiting us in many ways. One, of course, improving our price positioning and price perception in the market. Second, also further improving our efficiency of supply chain.

So, I think you are right, there are a lot of things to be done in this area. But the good thing is we have started that and the initial impact of all these actions is very positive and that is helping us in many ways.

Vaibhav Agarwal : So, sir, I know it is difficult to identify a number or put a number to this perspective, but I want to say a number and Q2 versus Q1 or maybe H1 versus last year, how much of gains in relation to your guess you can put to this particular area and how much is for through market , if you can put a number just for the sake of it?

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Management : Very difficult, Vaibhav. Maybe I think I will have a very kind of scratchy calculation. I will give you a little later. But right now, very difficult to really quantify it.

Vaibhav Agarwal : No problem, sir. Thank you very much. On behalf of PhillipCapital (India) Private Limited , we would like to thank the manage ment of JK Lakshmi for the call and many thanks to all for joining the call. Thank you very much, sir. We do not have any further questions. Thank you. Dorwin , you can now come to the call.

Management : Thank you, everyone. Thank you. Bye.

Moderator : Thank you. On behalf of PhillipCapital (India) Private Limited , that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2026

JKLC:SECTL:SE:2 6
6th February 2026

1 BSE Ltd. 2 National Stock Exchange of India Ltd.
Department of Corporate Services
Phiroze Jeejeebhoy Towers "Exchange Plaza"
Bandra -Kurla Complex
Dalal Street Bandra (East)
Mumbai – 400 001 Mumbai – 400 051
Security Code No. 500380 Symbol: JKLAKSHMI, Series : EQ
Through: BSE Listing Centre Through: NEAPS

Dear Sir/ Madam,

Re: Conference Call organized by PhillipCapital on 4th February 2026 at 4:00 P.M. IST

In continuation of our letters dated 28th January 2026 and 4th February 2026 on the above subject, attached herewith the transcript/minutes of the aforesaid conference call. This is for your information and record.

Thanking you and assuring you our best co -operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

Encl: a.a.
Amit
ChaurasiaDigitally signed by Amit
Chaurasia Date: 2026.02.06 13:08:58 +05'30'

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"JK Lakshmi Cement Q3 & 9M FY-26 Earnings
Conference Call"

February 04, 2026

MANAGEMENT : MR. ARUN KUMAR SHUKLA – PRESIDENT &
DIRECTOR , JK LAKSHMI CEMENT
MR. SUDHIR BIDKAR – EXECUTIVE DIRECTOR
(CORPORATE AFFAIRS) & CHIEF FINANCIAL OFFICER ,
JK LAKSHMI CEMENT
MODERATORS : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

JK Lakshmi Cement
February 04, 2026

Moderator : Ladies and gentlemen, good day and welcome to the Earnings Conference Call of JK Lakshmi Cement Limited Quarter and 9 months ended 31st December 2025 hosted by PhillipCapital (India) Private Limited .

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing * then '0' on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited for opening remarks. Thank you and over to you, Vaibhav.

Vaibhav Agarwal: Thank you, Ryan. Good evening, everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q3 and 9 months FY25 call of JK Lakshmi Cement Limited.

On the call, we have with us Mr. Arun Kumar S hukla – President and Director and Mr. Sudhir Bidkar – Executive Director (Corporate Affairs) and CFO at JK Lakshmi Cement.

I would like to mention on behalf of JK Lakshmi Cement Limited and its Management that certain statements that we made or discussed on this conference call may be forward-looking statements related to future developments and such statements may be based on current management expectations. These statements are subject to a number of risks, uncertainties and other important factors which may cause the actual developments and results to differ from the statements made. JK Lakshmi Cement Limited and the management of the Company assumes no obligation to publicly update or alter these forward-looking statements, whether as a result of new information or future events or otherwise. Also, JK Lakshmi Cement Limited has uploaded a copy of the Q3 FY26 Results Presentation on the Company website which participants can download.

I will now hand over the floor to the Management of JK Lakshmi Cement for the opening remarks, which will be followed by thereafter Q&A . Thank you.

Management: Thank you so much. Good afternoon to all of you and welcome to this call of JK Lakshmi Cement Quarter 3 and 9 months of financial year 2025 -26. We have already uploaded the presentations and we can right away start with questions and answers.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. We take the first question from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.

Pathanjali Srinivasan: Your trade share has fallen quite a bit on a quarter-on-quarter basis in your overall volume, trade cement sales. So , can you explain why this has happened?

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Management: So, you are asking about trade sales drop, so that has happened in Quarter 3 of this year. And this is precisely because of two things. One, of course, I think our volume in Gujarat has gone up. Whatever we sell in Quarter 3 , we have sold more than that. This is one. Second, that is also coming from the fact that we commissioned our Surat grinding station in the month of September 22nd September 2025. So that volume was also available with us and there was a good demand in Gujarat beyond 15th November. So, our volume went up in Gujarat, which is predominantly a non-trade market. And that is why our trade share has gone down by about 4%, 53% to 49%. So, this is what the reason is.

Pathanjali Srinivasan: And why would our trade volumes on a year-on-year basis decline? I get the fact that your non-trade has gone up because you got more business, but why is there a degrowth in volume for trade year-on-year?

Management: So, trade also, if you really see, post GST reduction on 22nd September, there was some confusion in the market with respect to passing on prices to

customers and things like that. In

fact, prices went down quite a bit post GST reduction . So, there was a demand in non-trade segment during that point in time. Also, the fact is during this Diwali season and extended rains also during this time, labourers have not come back to their respective sites. I will just take you back a little bit because there were also elections in Bihar during that time. So , labourers went back to their respective states, and they came back to the site only after this election of Bihar. Scarcity of labourers and hence there was more demand in sites where onsite ready-mix plants were there and hence more of a demand in non-trade segment. So that is what the reason is.

Pathanjali Srinivasan: Can we confirm that this situation was a temporary thing and in the current quarter our share of trade should be like back to a fairly decent level?

Management: I think, in the month of December and January only we have gone back even little better than what we have done before. So not an issue. That was a very temporary thing. Extremely temporary.

Pathanjali Srinivasan: Got it, sir.

Management: Mr. Srinivasan, you need to understand. We commissioned our plant in the month of September and also, we had to really kind of test that capability of plant. We need to ramp up that plant. I

think that was also one of our priorities during that time.

Pathanjali Srinivasan: No. My concern is not about the non-trade volumes growing. My concern is about trade volumes, why it did not grow, but I got the answer from you. Thank you, sir.

Management: We have come back very strongly in December and even in January.

Pathanjali Srinivasan: Got it, sir. Thank you so much.

Management: Thank you.

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Moderator: Thank you. We take the next question from the line of Sanjeev Singh from Motilal Oswal, Financial Services Limited. Please go ahead.

Sanjeev Singh: Thank you for the opportunity, sir. So can you throw some light on the pricing scenario in your respective markets, North Gujarat, as well as East region during 3Q, because the license seems to be down around 10% on a sequential basis. And also, what was the gap between trade and non-trade prices in the markets where you operate?

Management: So typically, if you look at our footprint, which is there in part of Western market, which is Gujarat, heavy on institutional sales. We go to Mumbai, which is also a little heavy on institutional sales. And part of North, I would say, Rajasthan, Haryana and West part of UP, right. So, if you really look at distribution of our sales, then because I told the earlier questions, I was replying to that, post GST reduction, there was some sluggishness in the market. And hence, effort was there to really at least sell some volume from this newly installed capacity, which was Surat. Also in other markets, there was some sluggishness in trade segment and that is kind of common with the industry. If you really look at, I think that cut across, majority of the players who have reported volume, their volume has gone down percentage wise in trade, in majority of the cases, not all. And that has happened with us also. In our case, more predominant because our dependence on Gujarat is much higher than other players. So that is what the case has been for us.

Sanjeev Singh: So secondly, how is the pricing scenario as of now in the month of Jan and plus, if we look at your employee expense, then sequentially that has gone down from 130 crores to around 160 crores. So, what has been the reason for that?

Management: So, I will ask second question first. As I said before also that we have been optimising or improving productivity at our different locations. First phase we had done last year, second phase we had started a couple of months back, 3-4 months back. And in fact, going forward also, I think we do have

plan to improve our productivity. One, of course, through improved volume and second also per person productivity in terms of cement revenue, per ton cement revenue you get. So that effort even is still continuing. So that has benefited us in terms of reduction in employee costs, so one. Second, you asked about pricing scenario. Almost in all markets post, I would say December onward, maybe in the latter part of December, non-trade prices have gone up everywhere. Trade prices have not gone up that much, but I see since demand has been very good in the month of December and that is still continuing in January and February also is a similar situation. I see that prices in trade also will go up from two counts. One, improved demand situation and also fuel prices are going up. So that also I think will have to recover from the market. So, from these two counts, trade prices also we expect that will go up and even non-trade also, the gap, which is still very high in different markets, that will also get shortened going forward. So, price-wise, I see a good improvement in non-trade segment in the last 1.5 months. Going forward, I see improvement happening in trade as well, along with non-trade. So, pricing-wise, I see things are improving for sure.

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Sanjeev Singh: So should we assume that employee costs will remain at Rs. 150-120 crores kind of range going forward?

Management: I think our endeavour is...

Moderator: Sanjeev, if you could please repeat your question for the management. Thank you.

Sanjeev Singh: I was asking about the employee cost. I think he answered it.

Management: So, you asked two questions. One on pricing, which I said non-trade has gone up, even trade also is expected to go. Second on employee costs, we had taken some previous projects. In fact, our endeavour is to further improve the productivity, which we are working on. So, these are the two things he asked.

Sanjeev Singh: Thank you, sir.

Moderator: Thank you. We take the next question from the line of Harsh Mittal from Emkay Global Financial Services. Please go ahead.

Harsh Mittal: Good evening, sir. Thank you for the opportunity. I have a few questions. First one being given

as a continuation to previous participant question. So, do you feel that the realisation could improve in the similar quantum, what we lost in Q3?

Management: Yes.

Harsh Mittal: In the coming Quarter 4?

Management: I think, as I said, prices are improving and volume also is improving. So, we will get some leverage as well. So yes, I definitely see that.

Harsh Mittal: And what was the clinker sales for this quarter? If you can just bifurcate between cement and clinker sales in the quarter.

Management: 1,51,000 tonnes.

Harsh Mittal: And the clinker utilisation level?

Management: So, we had 90 %.

Harsh Mittal: The last question, what is the CAPEX that we have already incurred for the Durg Line-2? And have we ordered each clinker unit for Durg Line-2?

Management: Basically, in Durg Line-2, we have not incurred much of the CAPEX other than what we had mentioned in the last call. So, in the first 9 months of the current financial year, we have incurred

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about 250 -260 crores, we have incurred. Balance will happen in the, we have talked of a figure of about close to 400 in the current financial year of the Durg project. So, balance will happen in the current quarter.

Harsh Mittal: So, we will be spending Rs. 400 crores out of the Rs.3,000 crores planned in this year?

Management: Yes. Only up to 400 in the current financial year, you are right.

Harsh Mittal: Right. And we are aiming for everything commissioning, including the clinker and grinding unit by March '27. am I right?

Management: Entire project will get completed by March '28, including all the spread location.

Harsh Mittal: Okay. So, these were the questions. I will join back the queue. Thank you.

Management: Thank you.

Moderator: Thank you. We take the next question from the line of Harshal Mehta from AMSEC. Please go ahead.

Harshal Mehta: Hi, sir. Thank you for the opportunity. Three questions from my end. Firstly, in terms of realization, just harping on that. So, this quarter, like we have seen a very sharp decline of 9% on QOQ, could you please help understand the drivers behind the same? And additionally, if we see what the last few quarters volatility in terms of realizations and in the EBITDA per ton continues to remain much higher versus peers. So, any colour on the structural or operational factors behind this volatility will be helpful. Also, in terms of price, if you can just throw some number on how our spot prices versus Q3 average for the trade and non-trade segment in our core operating market. Secondly, on the project update, so two clarifications. Firstly, we already understood that it was planned to be commissioned into phases 2.2 by March '27 and 2.4 by March '28. So, does this season remain intact? And secondly, on the overall Durg CAPEX of Rs.3,000 crores is a number what you said earlier that still remains. That was the clarification. And lastly, in terms of, if you can just share some data on regional mix for this quarter, CC ratio and the clinker season 2Q and 3Q FY25. So that will be helpful.

Management: All right. I will answer first part of it on the realization part of it. I will explain that. So, drivers were, one, non-trade prices went down drastically post GST reduction, one. Second, in our case, because you also mentioned about peers. So, our dependence on Gujarat is a little higher. And since non-trade prices went down everywhere, including Gujarat and our trade sales was also not that great. I think 49 %, that is what our trade is. So, these are the drivers why realization has gone down. This is one. Second, I think you also mentioned about on this realization quarter-on-quarter basis. I think one thing we need to understand is our footprint. Our footprint and since I think we are limited to some geographies, like in north, we are only in part in north. So north limited to only Rajasthan, Haryana, and west UP, we don't go anywhere. In west, we are only limited to Gujarat and part of Mumbai. We don't go anywhere else. In east, we are only limited

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to Chhattisgarh and maybe a little bit of neighbouring states. So, anything kind of happens in this market, either upward or downward, that impacts us. And this is a little different than other players because they have a little spread footprint in different markets. So that gets kind of assimilated and that gets averaged out. But in our case, as I mentioned that, let's say, take last quarter. Last quarter, our sales in the west part of India, which is predominantly Gujarat for us, was higher than the previous Quarter 1 and second, non-trade prices went down. So, we were impacted much more than what others would have been. And if you see the last quarter, if you

go back to July to September, during that period, Gujarat did better. And in fact, all markets were better wherever we were present. In our case, I think Chhattisgarh did very well, Rajasthan, Haryana was very good and Gujarat also kind of performed very well. I think everything ticked together and that is why you see a good performance in Quarter 2 and not so great in terms of realization. Though if you really look at the bottom line, whatever the estimation was, I think we are close to that. There is no miss on that count. But yes, because of the footprint which we have in our case, I think that definitely has bearing on us. So, this is what on realization. Second, pricing, I told you, I see prices are going to do better. One, because of

improved demand. Second,

also cost is going up. So, prices definitely will go up going forward. Non-trade prices have gone up in majority of the market. Even trade also is likely to follow. That is what my estimation is.

So, this is what you asked. I think your question was quite overloaded. You asked about clinker factor, which I think I will give you. That is 1.44. You asked about CAPEX of Rs. 3,000 crores.

So that remains. This is what I remember. If anything is missing from my end, just let me know.

Harshal Mehta: So multiple things. First on pricing, if you can list any particular number in terms of trade and non-trade, how we are at spot versus Q3 average. That was one thing. Secondly, on project update, I was just asking 2.2 million ton by March '27 and 2.4 by March '28. That still remains intact. That was just a clarification. And lastly, I was asking on the regional mix, if you can share for this quarter and clinker sales for the last year like Q3 FY25 and Q3 FY26.

Management: So last year it was 7.23 lakhs ton. And this year, we have already told you last quarter it was 1.51 and for the whole 9 months, it's 5.34. On this pricing and all these things, this is not handy with us. We can give it to you later.

Harshal Mehta: Sure sir. Thank you and all the best.

Management: Thank you so much.

Moderator: Thank you. We take the next question from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Thanks for the opportunity. So, a lot of questions have already been asked about your pricing decline. But honestly, I mean, it's still a little confusing still, because while I see that your share of non-traders dropped by about 4 percentage points from 53 to 49, even looks like even though the overall portfolio seems to have deteriorated in pricing, including trade. So, what generally in North, I think the trade pricing was pretty steady. So is it like your non-trade price decline kind

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of influences even your trade pricing in the market, even let's say the other category players, let's say like Ultratech and all. Essentially, does your gap increase between trade also versus the higher price players in the market when non-trade goes down? Because it's such a sharp decline was not there in the market, essentially in any of the markets. So, it's still a bit confusing over there why it has gone down so much.

Management: So, Mr. Murarka, yes, I will repeat once again. So, trade prices almost were intact. The gap which you are having with the leading players, that remains. That has not widened. I told you two reasons, precisely two reasons and we do have that detailed reconciliation also with us. One is, of course, I think, Surat we started on 22nd September and we had to really ramp it up. And Surat expansion, typically, this caters to market of Gujarat and Mumbai, which is heavy on non-trade. This is one. So increased volume in non-trade and decreased price in non-trade. I think that has impacted the most. That non-trade is not limited; reduction is not limited to this market. Non-trade prices went down in other markets as well. But the most impact on us was from Gujarat state. So, this is why this has gone down, one. This is what I think you asked, right?

Anything else?

Amit Murarka: I mean, if I simply put, if I think of it, that trade was steady, which is, let's say, 50% of your volume, 9% overall realization decline would imply about an 18% fall in non-trade pricing, honestly. So, which I don't think was the case in the market.

Management: If I give you detail, the kind of price drop, and in fact when I was doing this road show in Mumbai during that quarter, I did mention to some of you, I don't know who all are there in the call. That, what kind of price drop we see in non-trade. So, non-trade, particularly in western market, non-trade prices were not that

at great. And in fact, post GST reduction, since demand was sluggish, non-trade prices went down in other markets also. For instance, let's say, we have a grinding station in Cuttack, Odisha. Odisha was not that great, non-trade price wise. Even Chhattisgarh, I think our non-trade presence is not that much. There also prices went down drastically, gap increased. So, if you put things together, I am just giving you the major impact which is having on us. I think that has impacted us. That is what I am trying to explain to you.

Amit Murarka: Sure. Could you also share the non-cement business revenue in the quarter?

Management: I will tell you. So, it's a Rs. 147 crore s.

Amit Murarka: And how much was RMC in that?
Management: RMC was Rs. 67 crore s.
Amit Murarka: Also , AAC blocks?
Management: AAC Rs. 56 crore s.
Amit Murarka: Got it. And the EBITDA margin would be roughly how much in this?
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Management: 4%.
Amit Murarka: Sure. And lastly, the CAPEX number for this year, if I understood right, you said 260 has been spent and another 400 will happen. So, it's what Rs. 650 odd crores CAPEX for FY26, then?
Management: No, it is about around that. You are right. Total CAPEX .
Amit Murarka: 650 odd?
Management: Yes.
Amit Murarka: And then next year would be how much?
Management: The next year, we are targeting anywhere between Rs. 1,600crores to 1,700 crores.
Amit Murarka: Sure. And then balance will be in '28 then?
Management: You are right.
Amit Murarka: Thank you. That's all for my side.
Management: Thank you.
Moderator: Thank you. We take the next question from the line of Rajesh Ravi from HDFC Security. Please go ahead.
Rajesh Ravi: Hi, sir. Good evening . You shared the operating numbers and just wanted to understand. See, your non -trade mix did increase quarter -on-quarter. And you also mentioned that there was a sharper drop in non -trade. Broadly, could you suggest what would be the fall if trade prices would have declined on a like -to-like basis by 2%? How much would have been the drop in your non-trade realizations broadly ?
Management: I think that varies , sharper drop.
Rajesh Ravi: Broadly, on an average, on an average, 5% -10% just wanted to understand. Because trade, we understand it would have been dropped by 2% to 3% at max, seeing results of various years. So just wanted to understand non -trade markets where you operate, what could have been the quantum of correction?
Management: Correction would be about more than 10%. Exactly, I will tell you maybe straight away.
Rajesh Ravi: And could you also share what was the clinker volumes in Q2? You mentioned 1.51 lakhs for Q3. For Q2, what was the number?
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Management: I will just tell you, Ravi. 1.71.
Rajesh Ravi: So, it dropped quarter -on-quarter ?
Management: Yes.
Rajesh Ravi: And what explains the sharp decline in your input costs on a Q -on-Q basis by almost Rs. 150, given that your fuel costs remain steady at around 1.4 -1.6, and green power mix has also been stable, and then there would not be any, even the clinker production was lower. So, there would be more power consumption and whatsoever. So, if I look at the total input costs, raw material, power, and fuel and chain in stock, that number has come down by Rs. 150. And secondly, the fall in the freight cost, sh arp fall by more than Rs. 100 per ton. Is it on account of higher non -trade sales, which is mostly ex-factory ?
Management: You are right on point, Ravi. Because this happens only for plant and if you look at , our lead has also gone down. You are right.
Rajesh Ravi: And for the input cost reduction?
Management: So, power cost has, Ravi, gone down from 5.52 to 5.37 per unit.
Parth Bhavsar: And year -on-year, how was the number?
Management: Year -on-year, just give us that. I'll give you.
Moderator: Ladies and gentlemen, we have the management line reconnected. Sir, please proceed.
Rajesh Ravi: So, you were explaining the input cost reduction on a sequential basis? .
Management: So, 5.52 to 5.37, that is what I told you.
Rajesh Ravi: So, this is the nominal change, on the power cost.
Management: If you want, we can give you the details also. We are not handy with that.
Rajesh Ravi: No issues. And second, on the CAPEX project, you mentioned that you have spent 260 crore s and another 400 crore s is targeted for Q4. So, given that January is already out, can we assume the 400 crore s is on track or are there chances of any major slippages? And second, given that you are targeting the Durg expansion brownfield over the next 12 to 13 months, so what is the

status of the execution on that? Has the civil work already started? What is the status on the equipment ordering? When would the equipment installation would start because that will require some time to get executed ?

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Management: Yes, we are broadly on track for the CAPEX, which we are talked of in this. We spend about 400 crores in the current quarter. And all the equipment, most of the equipment have all been ordered. And construction should start as soon as the excavation has started. And once the equipment land there, we start the installation there.

Rajesh Ravi: This 12-month target for the clinker is good enough for getting the plant operational by March next year?

Management: Yes, as of now, it's okay. We are monitoring it regularly. We will keep you updated on that.

Rajesh Ravi: Great. Just two last more questions. One on the railway siding Phase 2, what is the status? And second, how is the demand traction so far you are witnessing in the Q4? And January has passed on and we are hearing non-trade prices across India have improved. What is the status on trade price improvement? And why is that not picking up? Is only non-trade price firming up leads to a better trade price?

Management: As far as the railway siding is concerned, the second phase that is expected to be completed by March '28. And then the other part.

Rajesh Ravi: Demand and pricing. How is the demand stepping up in Q3? Are we expecting a similar type of growth in Q4 for the Company as well as for the industry? Industry also would have grown 7%-8% in this Q3.

Management: The Q4 being the base little higher. So, I think demand momentum is good. What we see definitely, double digit growth in Quarter 4 as well. So, industry and of course, I think we will also grow in line with industry volume-wise. On pricing, with yearly basis, if you look at, I think our estimation is industry would grow by about 7% or so. Quarter 4 is going to be a double digit. This is what we see as of today. Pricing-wise, non-trade prices have gone up in almost all market markets. Maybe I think some of the markets like Odisha and all, still prices have not gone up that much. And in the trade, since demand is good and cost also is going up, prices are likely to go up in trade as well. Now, you asked why trade prices did not go up. I think trade prices were almost intact. That did not go down that much. So, non-trade prices, which went down practically in almost all markets, that is resurrecting. And then since demand and cost also is now pushing, so trade prices also will go up.

Rajesh Ravi: Just last question, if I squeeze in, how much is the fuel price outlook for Q4, given that the surge in pet coke prices and also for Q1, if there is some indicative number you are looking at?

Management: Pet coke, coal prices, it's going up. I think definitely it will go up because whatever we have in stock, that we have almost exhausted. Now, new buying is also happening. It will go up by at least 1.58 to 1.60, that is what

we see in our case.

Rajesh Ravi: Great. That's all from my end. Thank you and all the best.

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Management: Thank you so much, Ravi.

Moderator: Thank you. We take the next question from the Pushkar Jain from Mili Capital. Please go ahead.

Pushkar Jain: Hi, sir. I just wanted to ask that our non-cement revenue currently operates at like 4% EBITDA margin, which is significantly lower than the core business. So, what is the tipping point volume where operating leverage kicks in for EEC blocks or to match the double-digit margin of grey cement business or something to that effect?

Management: So, all these businesses, you have a very good ROCE. But EBITDA margin, I think we are in almost alignment with the industry. So, that varies. Ready Mix operates at about 3% to 5% kind of thing. Plaster of Paris business, that is a little on higher side and AAC block is somewhere in between. Though we are working on improving productivity all across, and our effort is to really focus much more in case of Ready Mix on value-added concrete, in case of AAC block improving AAC footprint. So, we are working on that as well. And now, we are also in the process of ramping up our Alwar plant, which produces Putty and little bit of white cement. So, perhaps that will take our margin a little better than what we have today. But right now, I think since all these product lines and installations are in the ramping up phase, we see that improved margin going forward. But not closer to the cement, I would not say that we will reach to the cement level, but definitely a higher single limit. That is what our effort is.

Pushkar Jain: And aim to reach there by?

Management: It will take at least 2 years' time.

Pushkar Jain: Thanks a lot.

Management: Thank you.

Moderator: Thank you. We take the next question from the line of Tushar Chaudhari from Prabhudas Lilladher Private Limited. Please go ahead.

Tushar Chaudhari: Thanks a lot for the chance. Sir, most of my questions have been answered. I just had one doubt. We have seen 4 percentage point decline in trade share in this quarter. But our blended share is flattish or constant. What could be the reason for this?

Management: Blended is 62%, I suppose, last quarter.

Tushar Chaudhari: Yes, it has not fallen at all.

Management: Yes, sir. So, institutional cement is not only about OPC. Institutional cement is also about blended cement. For instance, we have started pushing. So, institutional sales, we are trying to push blended cement, that is PPC. In a lot of Ready-Mix plants, we have supplied now PPC, which was not the case before. So, non-trade percentage increase necessarily doesn't mean that

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OPC goes up. Because our effort is also to work on the carbon footprint and the carbon net zero roadmaps, which we have defined for ourselves. We are working parallelly on that. Effort is to really push blended cement in institutional sales.

Tushar Chaudhari: All right. I missed your employee cost. Did you say that employee cost will continue to go down further also in the next few quarters?

Management: No, it will not go down. I think it will get stabilized or maybe I think if you look at some of the sites we are adding. So, Surat, we have now added. So, Surat we need to reinforce. Then we have some increased footprint in Ready Mix business. So, our aim is to really kind of improve productivity rather than employee cost focusing only on employees.

Tushar Chaudhari: Right. And then lastly on CAPEX, FY26, you said 650 crores. Out of which 400, we have planned for 3,000 crore s CAPEX, which is ongoing. Am I right?

Management: Yes.

Tushar Chaudhari: Thanks a lot, sir.

Moderator: Thank you. We take the next question from the line of Kamlesh Bagmar from Lotus Asset Managers. Please go ahead.

Ka

mlesh Bagmar : Just one question. So far, whatever results have come from the sector, we haven't seen this sharp fall in realizations. So, 10% quarter-on-quarter fall in realizations, ex of non-cement revenues. So, how do we define that because it's a significant fall, Rs. 456 quarter-on-quarter. And same market is there for all other peers as well. So, why we have seen such a sharp fall? And over the quarter, I really don't understand how the communication has been. So far in the last con-call, we were saying that realizations are not going to fall that much. But what we are seeing is a massive fall of Rs. 450 quarter-on-quarter realization.

Management: I think I explained to you, Mr. Kamlesh, whatever I had to say and whatever something exceptional happens. I told you our footprint and wherever we are. I do not know which peer group you are comparing with. I am not too sure. Maybe I think you have something in your mind. But I told you that our presence in some of the market which is heavy on non-trade is high. And that increased in the last quarter. And there were reasons also for that. So, I explained to you that. That is what I think I have to say. Nothing more.

Kamlesh Bagmar : No, but like now going forward, have we been able to recoup the fall in the realizations in this quarter? Where do we see our realizations in the current quarter?

Management: So, as I said, in all these markets, we are in the competitive scenario. We are competing with other players. The way that market moves we will move in that alignment only. And I told you the pricing scenario also. Because for us, I think priority in Quarter 3 was to really ramp up the additional capacity which we had. And I think that was the right decision, right call. So, that is

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now getting stabilized and things will come to semblance for sure. That is what we have seen that in the last 3 or 2 months.

Kamlesh Bagmar : But if you can quantify how much, what our current realizations are compared to Q3 average or whatever we have recorded in this quarter.

Management: Right now, we cannot quantify because still 2 months are left in this quarter. So, let us wait for some time because there are volatilities in the market. So, if I tell you something and tomorrow again you will ask me a question, then you had mentioned that. So, I think that is not fair from my part. So, I will keep you updated. Only 1 month is over in this quarter. Things are moving in a positive direction. And hopefully, I think that direction will not change. This is what my conviction is today. But quantifying things as of today is perhaps, I may not be able to.

Kamlesh Bagmar : Great. Thanks a lot.

Management: Thank you.

Moderator: Thank you. We take the next question from the line of Parth Bhavsar from Investec. Please go ahead.

Parth Bhavsar: Thank you for the opportunity. I have two questions. One is what was your fuel cost on consumption basis in Q3?

Management: It was 720, 1000 kilocalories.

Parth Bhavsar: On kcal basis?

Management: Yes, kcal basis and it is 1.56, yes.

Parth Bhavsar: One more thing. Would it be possible for you to quantify the Gujarat sales maybe for the Q3 quarter as well as base year and previous quarter?

Management: I think this is not handy with me. We can talk on this later.

Parth Bhavsar: Thank you, sir. Those are my questions.

Moderator: Thank you. We take the next question from the line of Shravan Shah from Dola t Capital. Please go ahead.

Shravan Shah: Thanks. Finally, got the opportunity. Sir, most of the question -answers are again coming on the realization part. Just to get a quantitatively better understanding, since 1st January till now, non - trade prices for us has gone up by how much , Rs. 15-20? Is that the fair understanding?

Management: So, Shravan, this varies in different markets. And the range

I would put is Rs. 10 to 15.

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Shravan Shah: And in terms of trade, you said it remained at the same level?

Management: Trade, I think we have been around 54 %-55% level. So, this is what.

Shravan Shah: But now we are seeing that the trade prices to also go up.

Management: Likely to go up.

Shravan Shah: But given that, sir, some of more capacity is still to come up and everybody will try to push the volumes for the March. So, even we are considering that there will be some rollback in the month of March.

Management: So, that is what I was trying to make understand earlier, gentleman, Mr. Kamlesh, that whatever we say, based on what we see today, I think there is a lot of volatility and dynamism in the market. And based on that, we will have to take our call, business call, which we keep on taking. So, definitely, we know forecasting sitting today, I think it becomes very difficult. I agree with you.

Shravan Shah: Understood. Because the issue for us, why everybody is trying to harp on the same thing is because to make the number or the estimates as an analyst, this kind of deviation at Rs. 200-300-400 makes our entire estimates goes on for a toss. So, it will be difficult. So, from buy to it can become a sell , from sell to it can become a buy. So, that's why everybody is trying to understand why such a significant volatility in the price is for us. So, that's the only thing. Just more clarification in terms of total CAPEX in 9 months at consol level is how much? Is it Rs. 260 crores because Rs. 250 crores was there in 1H?

Management: On a consol basis, including the various projects which we are doing in 9 months is about a Rs. 350 crores , Rs. 260 crores we are talking of only for the Durg expansion.

Shravan Shah: And more another we will be doing a kind of Rs. 400 crores on Durg and maybe if you can specify in terms of on a yearly basis, the maintenance CAPEX would be how much , Rs. 200 odd crores for us?

Management: No, maintenance of us is not 200. It's totally 50 crores in a year.

Shravan Shah: So, for FY26 would be a then 350 plus or 750 to 800 crores would be the total CAPEX .

Management: That's why in itially it could be ending up maybe anywhere between , it will not touch 800 within 650 to 700.

Shravan Shah: Understood. And then sir on the conveyor belt, is there any update or it is the same what we said last quarter?

Management: Yes, same status. So, still is in the final stages.

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Shravan Shah: And then in terms of the further expansion beyond this, the Nagore, Kutch and Assam, so whatever we say to reach a 30 million tons, so that stand remains same. And in terms of the net debt to EBITDA, that 3-3.5X that we will try to maintain.

Management: Yes, we would like to not cross that limit.

Shravan Shah: And, in terms of the cost reduction, so from here on, from Q2, would be a difficult even for on the cost business, because when you say the staff cost, so there also want to understand more, was there a from Q2 to Q3, the number of employees, has there a decent decline or was there a salary cut?

Management: So, no salary cut productivity improvement. And that is what we will keep doing even going forward. So, we don't do salary cut.

Moderator: Thank you. We take the next question from the line of Harsh Mittal from Emkay Global Financial Services. Please go ahead.

Harsh Mittal : Thank you for the follow up question. Just one question. So, we are already working at more than 90% clinker utilization. And our Durg Line-2, as mentioned earlier in the call, will not be coming before March of 2027. So, what can be a safe assumption for the volume growth for FY27?

Management: So, FY27, we have some headroom in Surat. One, we have some headroom in Udaipur. Second, we do have some headroom in even Jharkhand.

ar, Jharkhand. And fourth, we have some headroom in Cuttack. So, I think this is what we see that this will keep us on the growth path. So even next year also, we see a similar kind of growth, of course, contingent to the industry growth. But we see a similar kind of growth even next year.

Harsh Mittal : So, are we sourcing clinker from outside or something like that?

Management: No.

Harsh Mittal Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we take the last two questioners in the queue. We take the next question from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Hi, sir. I just wanted to confirm the depreciation impact in this quarter increase. Is it totally on account of Surat?

Management: Basically, you are right. Surat got commissioned in the last week of September. So, interest and depreciation increase is the capital related cost increase on account of Surat. As compared to...

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Rajesh Ravi: This is totally for one quarter impact in depreciation, because from 78 crores it has gone to 85 crores. There is a sizable 7-8 crores. If we analyse it, then it becomes 36 crores and while the project cost of expansion was, if I recollect, it was less than 300 crores. It is one quarter impact in December quarter.

Management: I was told that about 6 crores is on account of the Surat and some normal CAPEX that has happened. And third is on account of the leasehold land depreciation also being charged.

Rajesh Ravi: Understood. And sir, could you give what was the clinker production for FY25 consol basis? Clinker sales total full year.

Management: 7.23 lakhs ton.

Rajesh Ravi: Because if I see, you told your CC ratio is at 1.44. So, are you looking to increase the CC ratio in FY27?

Management: Yes.

Rajesh Ravi: You told earlier, in FY21-22-23, you operated at 1.54 and more than that. Now, it has come down to 1.44. What is the safe assumption for next year?

Management: I think our effort is to take this blended cement from 62% to about 67%. To that extent, our CC ratio will improve.

Rajesh Ravi: Understood. That's all from my end. Thank you. All the best.

Management: Thank you so much.

Moderator: Thank you. We take the next question from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Hi. Thanks for the follow-up opportunity. So, just wanted to clarify on Durg CAPEX. I see that your November corporate presentation mentioned the CAPEX number as Rs. 3,300 crores. So, can you just clarify, is it Rs. 3,000 crores or Rs. 3,300 crores?

Management: We had included some expenditure on the conveyor belt also therein. Otherwise, it is Rs. 3,000 crores only.

Amit Murarka: So, the conveyor belt is added to that, but that's already going on I mean, what you mentioned.

Management: No. That is not going on. That is stalled because of this issue of the land, as we have been talking of. So, that includes the expenditure already incurred plus the balance to be incurred, which is about Rs. 170 odd crores.

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Amit Murarka: So, if there's no progress on the conveyor belt, then it is 3,000 crores then.

Management: Yes.

Amit Murarka: Thank you. That's all I wanted to clarify.

Management: Thank you.

Moderator: Thank you. Ladies and gentlemen, with that, we conclude the question-and-answer session. I

now hand the conference over to Mr. Vaibhav Agarwal for his closing comments.

Vaibhav Agarwal: Thank you, Ryan. On behalf of PhillipCapital (India) Private Limited, we would like to thank the management of JK Lakshmi Cement for the call and also many thanks to the participants for joining the call. Thank you very much, sir. Ryan, you may now conclude the call. Thank you.

Thank you.

Management: Thank you, sir.

Mana

gement: Thank you.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

JKLC:SECTL:SE:2 6
22nd May 2026

1 BSE Ltd. 2 National Stock Exchange of India Ltd.
Department of Corporate Services
Phiroze Jeejeebhoy Towers "Exchange Plaza"
Bandra- Kurla Complex
Dalal Street Bandra (East)
Mumbai – 400 001 Mumbai – 400 051
Security Code No. 500380 Symbol: JKLAKSHMI, Series : EQ
Through: BSE Listing Centre Through: NEAPS

Dear Sir/ Madam,

Re: Conference Call organized by PhillipCapital on 21st May 2026 at 4:00 P.M. IST

In continuation of our letters dated 13th May 2026 and 21st May 2026 on the above subject, attached herewith the transcript/minutes of the aforesaid conference call. This is for your information and record. Thanking you and assuring you our best co- operation at all times.

Yours faithfully,
For JK Lakshmi Cement Limited

(Amit Chaurasia)
Company Secretary

Encl: a.a.
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"JK Lakshmi Cement Limited
Q4 & FY26 Earnings Conference Call "
May 21 , 202 6

MANAGEMENT : MR. ARUN SHUKLA – PRESIDENT AND DIRECTOR – JK
LAKSHMI CEMENT LIMITED
MR. SUDHIR BIDKAR – EXECUTIVE DIRECTOR ,
CORPORATE AFFAIRS AND CHIEF FINANCIAL OFFICER
– JK LAKSHMI CEMENT LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL INDIA
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the JK Lakshmi Cement Earnings Conference Call for the Quarter and Year Ended 31st March 2026, hosted by PhillipCapital India Private Limited.

As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital India Private Limited for opening remarks. Thank you, and over to you.

Vaibhav Agarwal : Thank you, Ryan, and good evening, everyone. On behalf of PhillipCapital India Private Limited, we welcome you to the Q4 and FY26 call of JK Lakshmi Cement Limited. On the call from JK Lakshmi Cement, we have with us Mr. Arun Shukla , President and Director; and Mr. Sudhir Bidkar, Executive Director, Corporate Affairs and CFO of the company.

I would like to mention on behalf of JK Lakshmi Cement Limited and its management that certain statements that may be made or discussed on this conference call may be forward - looking statements based on current management expectations and also something that relates to future expected business developments by JK Lakshmi Cement management. Such statements are subject to a number of risks, uncertainties and other important factors, which may cause the actual developments and results to differ materially from any management projections made on this call.

JK Lakshmi Cement Limited and the management of the company assumes no obligation to publicly update or alter these forward -looking statements, whether as a result of any new business development, information or future event or otherwise. Also, participants can download a copy of JK Lakshmi's Q4 and FY26 results presentation from the company website or stock exchange websites.

I will now hand over the floor to management of JK Lakshmi Cement for their opening remarks, which will be thereafter followed by an interactive Q&A. Thank you, and over to you, sir.

Arun Shukla : Yes. Thanks, Vaib hav. Good afternoon to everyone. And I have some little sore throat, so forgive me for some disturbance in my voice today. But anyway, I'll just start. I'll give you a brief update for the quarter and the whole year, how it looks for us and for our industry. And since we have already uploaded this quarter 4 performance, we'll have question and answers thereafter that.

During the financial year 2025 -'26, pan -India cement demand grew by about 7% to reach to about 480 million tons, estimated 480 million tons. This is an improvement over 5% Y -o-Y demand growth recorded in 2024 -'25. Overall quarter 4 FY26 demand growth is estimated at about 6% to 6.5%, volume about 17% quarter -over-quarter driven by broad -based traction. Cement demand remained strong during December '25 till about February 2026, 8% to 10%
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growth, but moderated during March, which is estimated at around 5% due to weak sentiment amid Middle East conflict.

Supply side witnessed highest ever annual capacity addition of 64 million tons. The national effective installed capacity reaching now to 712 million tons at the end of March 2026. The highest capacity was added in the East, followed by North, South and Central India. West added the lowest capacity during the financial year. This led to an adverse impact on the overall demand -supply situation with pan -India capacity utilization estimated to be at around 69% and marginally lower than previous year.

On pricing side, cement prices witnessed partial recovery, recovering particularly in non -trade segment during quarter 4 FY25-'26. On a qua

ter -over-quarter basis after slipping beyond GST

pass-through level in the preceding quarter, which is around 22nd September 2025. Substantial capacity addition during the financial year '25 -'26 and intense competition restricted meaningful price hikes. Fuel costs surged sharply because of the geopolitical situation, pet coke prices up by about 40% quarter -over-quarter to about \$160 per ton level, and that is again quite fluctuating.

Global coal prices also went up by about 30% quarter -over-quarter. Operating costs likely to decline in the last quarter for the entire industry due to operating leverage and stable freight and input costs. Limited price hike constrained marginal expansion despite cost efficiencies. Now on outlook part of it, what we see volume growth during FY25-'26 was driven by, of course, housing demand, infrastructure and is likely to remain in the range of about 5.5% to 6% or 6.5%, this is what our estimation is. Cement demand outlook suggests slowdown with pricing power staying weak despite sector consolidation.

Energy costs are expected to rise by about at least INR300 and packaging cost about INR80 to INR100 per ton, and that is going to impact maybe in coming quarters because of this geopolitical situation. If the Middle East conflict is sustained for a longer period of time, then operational expenditure may go up even more than that.

Capacity addition may slow down. This is what we see in the backdrop of West Asia crisis.

Industry to continue on efficiency improvement trajectory, coupled with go green focus.

Sustainability agenda in focus with key initiatives spanning renewable energy, scale up, thermal substitution, emission reduction and EV deployment is talk of the day. AI and digital deployment is also emerging as a key lever of productivity and efficiency improvement.

Overall, we see that FY26-'27 cement demand is going likely to grow at about 6% or so. So, this is just a brief top line of the industry for the whole year and quarter, and this is what we think as of today. Now since we have already uploaded our results that is there with you, now we can have questions and answers over that. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. We take the first question from the line of Sanjeev Kumar Singh from Motilal Oswal Financial Services Limited.

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Sanjeev Kumar Singh : Two questions. You spoke about grinding capacity addition in FY26. So, what is the clinker capacity addition in your view? And going forward in FY27-'28, what sort of capacity addition are we foreseeing?

Arun Shukla: So '26 -'27 estimated to be about -- again , our estimation is about around 45 million to 50 million tons, right ? Last year, it was about 64 million tons. And this is the cement capacity. Now we have to apply that clinker factor, whatever clinker factor is there on an all-India basis, which is maybe about 1.6 or so ...

Sanjeev Kumar Singh : [Inaudible 0:07:54] having about INR300 kind of a cost increase. So, my view is that we will see INR150, INR160 in 1Q and then rest will be in 2Q. So, what sort of price increases have we taken -- has the industry taken so far? And also, is there any pressure on demand which has been seen in the month s of April and May?

Arun Shukla: April demand was better. May when we started, there was sluggishness and because of the reason because typically, wherever we operate, I think labourers had gone to their respective places for election. Now there was some delay on account of they are coming back. So that impacted demand to an extent initially. But I see a little better demand 15th May onwards. So, April was better. May initially, it was sluggish because of combination of reasons. And of course, I think there was a big uncertainty around this geopolitical conflict also and that has got rubbe

d on the cement industry as well. But May 15 onwards, I see a little bit green shoots in demand in the month of May.

Sanjeev Kumar Singh : And anything on price increases, sir?

Arun Shukla : So, price increase, as I mentioned initially that there was some price increase in non -trade segment in various areas. There is a bit of trade price increase also. But as I said that those price increases are not at all kind of [inaudible 0:0 9:32] with the cost increase which we are foreseeing.

Sanjeev Kumar Singh : Okay, sir. Thank you.

Arun Shukla : Thank you.

Moderator: Thank you. We take the next question from the line of Omkar Rane from Emkay Global Financial Services. Please go ahead.

Harsh : Yes. Good evening. This is Harsh here. So, my first question [inaudible 0: 10:02]. Last quarter, you said that the realization fell 10% sequentially due to the adverse product mix and the ramp -up of the Surat plant. So, this quarter -- hello?

Arun Shukla: Yes, go ahead.

Harsh : Yes, yes. So, this quarter, sir, there was -- in quarter 4, there was a good kind of ramp -up in or healthy pricing in the non -trade particularly, and we maintained kind of 42% share in the non -

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trade segment. Sir, why was our realization just 1% growth, why not higher? This is my first question.

Arun Shukla: So, I just tell you again, [our estimates 0:10:47] . There are different level of price increases in different parts of India, right. And perhaps our geography, the price increase was a little lower than other zones. And particularly, I'm talking of this. East also, we have a limited presence in Chhattisgarh, which is perhaps the least price zone in entire East. And in western part of India, Gujarat, I think initially, I think there were no price increases, but I think I see a little bit of improvement in demand and prices are also going up now. So, I think our footprint wherever we operate, like North, West and a very small part of East, the meaningful price increase was not there. And that is why our price or NSR increase is about around [inaudible 0: 11:42]. So, this is just based on the geo footprint which we have, which is a little different than those players who are there in different, you know.

Harsh : Yes, yes. Got it. My second question then is on the AMDCL, cancellation of our AMDCL contract. We have reported INR130 crores in other noncurrent assets. Just wanted to know, sir,

what is the surety or the certainty of receipt of this or recovery of this cash in July, basically, whenever there is a hearing in the High Court. How sure are you?

Sudhir Bidkar : We'll not get -- we are not saying that it will come in July. We are saying that the next hearing is in July.

Harsh: Okay.

Sudhir Bidkar : [Inaudible 0: 12:32] today. I don't know when it will come, but we are sure it will. That's why we are sure it is recoverable .

Harsh : Last question, sir, what would be the [clinker 0:12:44] production in FY26 and C C ratio ?

Arun Shukla : Clinker production, right?

Harsh : Clinker production, yes.

Arun Shukla : 92.26 lakhs ton .

Harsh: Sorry, sir, you are not audible. Can you repeat?

Arun Shukla : 92.26 lakh tons.

Harsh: Okay, okay. Thank you, sir. Thank you.

Moderator: Thank you. We take the next question from the line of Shashank Goel from Vyomara . Please go ahead.

Shashank Goel : Thank you so much, sir. I 've got two questions . My first question is after the Durg expansion, what is the next project we are looking to take up?

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Arun Shukla : Come again? I didn't -- once again, come again?

Arun Shukla : After the Durg expansion ?

Shashank Goel: Yes. So, after the Durg expansion .

Arun Shukla : [Inaudible 0: 13:46].

Shashank Goel: Sorry sir, your voice is lagging sir.

Arun Shukla : So, we are going to take Assam project after East expan

sion.

Shashank Goel: And my second question is are we on track to achieve the 30MT guidance by 2030? And will we be adding 9MT of capacity over FY '27 -'30 after the Durg project ?

Arun Shukla : So, we are reasonably confident that we'll achieve 30 million ton by 2030. And our ongoing projects in East, they are well on track, right. So, we are confident that we are going to achieve that.

Shashank Goel: Like both the links 30MT and 9MT addition?

Arun Shukla : No, no. Your voice is not clear.

Shashank Goel: Actually, I was asking that will adding 9MT of capacity over FY '27 -'30, after the Durg project ?

Arun Shukla : Sorry, your voice is not so clear.

Shashank Goel: Hello, am I audible?

Moderator: Shashank, if you could please use your handset and ask a question.

Shashank Goel: Got it, sir. Hello?

Arun Shukla : Yes, yes. Go ahead.

Shashank Goel: So, will we be adding 9MT of capacity over FY '27 -'30 after the Durg project?

Arun Shukla : Yes, after Durg projects only, yes.

Shashank Goel: Yes. Okay, okay. Thank you. That's all. Thank you so much.

Arun Shukla : Thank you.

Moderator: Thank you. We take the next question from the line of Dhruv Sitlani from Everflow Partners. Please go ahead.

Dhruv Sitlani : Thank you for the opportunity and congratulations on the good set of numbers. So, I have a couple of questions. So, my first question is that in the Q4, as one of the participants

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mentioned that company derecognized some crores of investment in Assam following the cancellation of the mining development agreement. Given that the limestone mine was the foundation of the Assam greenfield plant and can the management clarify on this?

And also, is the Assam integrated plant still viable? Are you actively pursuing an alternative limestone source or has the plan been revised to a grinding unit and that would source clinker externally? And what does this mean for the FY29, 2030 timeline and the earlier indicated 2 to 2.5 MTPA capacity target?

Sudhir Bidkar : You see this earlier, the AMDCL had granted that MDO contract to the consortium, which was cancelled subsequently. But out of the 3 mines, we were able to get 2 mines under the auction

route in JK Lakshmi. So based on these 2 mines, which have reserves of about 250 million tons, we are pursuing our Northeast foray, so which will come after the [inaudible 0: 16:45].

Dhruv Sitlani: Okay. That is really helpful. My second question is that our ramp -up on utilization from our new capacities in Surat has been quite slow. What have been the factors for it? And by when do we expect utilization to reach regional averages?

Arun Shukla : Surat ramp -up is well on track. In fact, we commissioned on around end of September 22nd September 2025. And we are utilizing capacity more than 60% already. So, we are well ahead of ramp -up plan of about 18 to 24 months. So probably, I think we'll reach even higher capacity this year, maybe 70% plus.

Dhruv Sitlani: Okay, sir. Thank you. That was all from my side.

Arun Shukla : Thank you.

Moderator: Thank you. We take the next question from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar : Yes. Good evening, sir. My question is on your capex. So last 2 years, the capex has been INR650 crores to INR700 crores with the large project commissioning with INR4,000 crores kind of capex in -- for the ongoing East expansion. How do you look at capex for FY27 and FY28?

Sudhir Bidkar: This next 2 years will be quite high capex . We expect total capex in FY27 to be around INR1,500 crores to INR1,700 crores and close to INR2,000 crores in the next year when we would be also taking up the -- we have already started, but it will ramp up the land acquisition and the project in Kutch and Nagaur.

Prateek Kumar : And timelines of East expansion, can you revisit that again?

Sudhir Bidkar:

We are expecting the Durg first to come by FY28 towards the end of that year, FY28. And one year later, the Northeast project should also be there and followed by the greenfield there thereafter.

Prateek Kumar: Sorry, Durg clinker by FY28 and the supporting 3 grinding units by what time?

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Sudhir Bidkar: This is Durg including the grinding units.

Prateek Kumar: Okay. So Durg plus grinding units by FY28 end and FY29, we commission Northeast clinker?

Sudhir Bidkar: Yes, clinker and the grinding together.

Prateek Kumar: It is 1 million ton each, right?

Sudhir Bidkar: Yes, we have not firmed up the size, but we'll do that, maybe around slightly higher than 1.5. And thereafter, the Kutch and Nagaur in that order. Kutch should come earlier than Nagaur.

Because Nagaur, there are issues in the land acquisition that is taking time. So, Kutch will get the priority that will come ahead of Nagaur.

Arun Shukla: And in Nagaur, in fact, additional issue is of Aravalli is more . So, until unless that Supreme Court decision comes, I think that is why there is some delay on Nagaur part of it. But Kutch is going to be even before.

Prateek Kumar: Kutch and Nagaur is a FY30 onwards capacities, right, '30 to '35.

Arun Shukla: No, no. by FY30.

Sudhir Bidkar: Kutch is for sure FY30.

Prateek Kumar: Sure. Another question on, like, so you exited this year -- so last year, 2 years, you exited EBITDA per ton at like close to INR1,000. This year, we have exited at like INR730-odd in terms of quarterly EBITDA per ton with additional cost pressures, which are very severe and price increase have not happened. So how are you looking at the profitability for the full year versus like erstwhile targets of INR1,000 per ton, which we were used to discuss earlier?

Arun Shukla: INR1,000 per ton is, of course, the anchor. But if you really look at cement EBITDA for even other leaders also, that has also gone down, right. So definitely, I think our ambition is to reach to INR1,000 EBITDA. But definitely, we have been bridging our gap up with leaders in the last couple of years, and that journey is continuing. And for that, we are taking a lot of measures which are internally controlled.

So, I think I have said all those levers even before. Major levers are, of course, I think, on top line part of it, I think last year, if you see our volume growth and even premium product, that has been at a good level. Despite volume growth, I think we are at -- our volume growth in premium product is also good. We are working on logistics. We are extremely focused on now renewable energy. We have closed at 46% of renewable energy. We do have plan to go even beyond. So that is another lever.

Then, digital is also being deployed in our manufacturing units, particularly in pyro -process and grinding units. There, we are deploying digital AI/ML capabilities, enabling them, operations to have AI/ML deployment, which is going to help us to improve efficiency and reduce cost. So, all those actions are already there, and we are relentlessly working on that. So

that remains, that at all, we have not deterred from that.
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And whatever bridging of the gap, which we have been able to do in the last couple of years, majorly goes to all those internal actions and efficiency levers we have worked upon. So that is going to continue in coming months and coming years also. But you definitely are going to see that our gap is going to further reduce with leaders in this FY27. And I'm sure that it is going to reduce at least by another INR50 to INR75 for sure.

Prateek Kumar: But some of your industry peers have reported like INR1,150, INR1,250, INR1,000 like which peers are we comparing to like because the gap seems very high this quarter versus last quarter.

Arun Shukla: We are looking a

t grey cement EBITDA because some other cement manufacturers, they do have portfolio of other businesses also within that, right. But if we compare ourselves with grey EBITDA, then we are very much there. And I'm sure that all of you must be doing that calculation as well. okay. And I'm in touch with some of you, and we do get that analysis done externally also. And if you look at that figure, then we are very much there that within our radar.

And that gives us confidence that we are in the right direction and that gap is going to get reduced even further. So just compare grey cement versus grey cement because we do not have other than grey cement as of now. Another thing, I think incentive also, we only kind of factor when we realize that. We do not take incentive on accrual basis. So that is also one of the differentiators.

Moderator: We take the next question from the line of Rajesh Ravi from HDFC Securities.

Rajesh Ravi: Sir, my first question was a housekeeping one. Could you share the non -cement revenue and the RMC revenue for this quarter?

Arun Shukla: Yes, sir, very much.

Rajesh Ravi: Non-cement revenue INR169 crores.

Arun Shukla : Okay. And RMC revenues.

Sudhir Bidkar: Sorry? INR82 crores.

Rajesh Ravi: INR82 crores, okay. Now coming to the capex plan, which you outlined, INR1,500 crores to INR1,700 crores this year and INR2,000 crores -odd for next year. If I do the calculation based on the cost pressure on all the industry is reading through, I see your net debt increasing by at least INR1,500 crores over the next 2 years. So, from -- over the next 2 years. So that would shoot up your net debt level significantly. So how do you plan to manage that?

And second question, you have one of the -- you are among the lowest cost quartile operating cost level. I believe if I do a line by line matching your numbers with UltraTech , you're better off in terms of your fuel cost, you have a higher share of green power, your logistics costs and
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distances are similar. Your overall cost is comparable to Ultratech operating cost. But the margin is different and obviously, the difference is on the realization.

Even trade mix, both the companies are -- you are slightly off versus their numbers in terms of trade. So, what we understand is there is a sharp gap of INR400 to INR500. And that is what is -- where I'm coming from that you may have limited headroom available on your costing front to squeeze your cost further. So what efforts are we doing to increase our price premium or price positioning, whereby the margins can sustainably move north of INR700, INR800...?

Arun Shukla: [inaudible 0: 27:04].

Rajesh Ravi: We can't hear anything sir.

Arun Shukla: Am I audible I think there is some disturbance.

Rajesh Ravi: Yes, now you are audible sir. P lease tell me.

Arun Shukla: Rajesh, as I mentioned before, I think this is one of the focus area for us, how we are going to [inaudible 0:27:30] our product at pricing level to our competitors in the market . This has been an area and we have worked on that for the last maybe a year or so. Are we further going to work on improving our price?

And for that, we do have a plan of placing a different brand also in the market. For instance, we have rejuvenated our legacy brand, launched Green+. That was the whole idea to improve our [inaudible 0:28:02] in the market to improve upon that. And over and above now we do have ambition of -- we have already launched LC3, what we call in Lime Calcined Clay Cement.

How we are going to ramp that customer that is also a plan for us which is not only a green cement, but this is as good as ordinary portland [inaudible 0:28:35] durable. So, we are working on that as well as to how we are going to get better volume from LC3 at the right price. So, the strategy there, Rajesh, is right product, right price and right

market. I do feel that

we have headroom there to further improve.

Rajesh Ravi : And on the net debt, sir, given the large capex we are planning for next 2 years?

Sudhir Bidkar: Yes, this will peak out. You're right that there will be an almost INR10 crores. But once the EBITDA from -- because that is before the additional EBITDA from the Durg expansion, moment that closes that will back to the normative level.

Rajesh Ravi : Okay. And sir, just on the -- when you mentioned the clinker volume, if I put, we see the clinker utilization in FY 26 is close to 93%. So, for next 2 years, given that your Durg expansion will be back ended in FY 28 end. So, for next 2 years, are we looking at a sub 3%, 4% volume CAGR I'm talking. So, if you deliver 5%, 6% volume growth this year, chances of a flattish volume offtake we expect in FY 28?

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Arun Shukla: So, we are going to grow higher than the industry in FY 27 as well. And there are number of reasons for that. One, as I said that we have reached about 60% plus capacity utilization in Surat, which we are going to ramp up one. Second, Udaipur that capacity utilization, we need to take it up, second and third we have that headroom in Cuttack as well. So, these are the areas or the plants where we do have that headroom to grow this year at least higher than industry.

Rajesh Ravi : So are you looking to purchase clinker externally, sir, because at 93% utilization, suppose we expect the industry to grow at 7%, 8%. Would we have enough clinker to support that growth?

Arun Shukla: I think we do have enough clinker with us [inaudible 0:30:47]

Moderator: Ladies and gentlemen, we have lost the line of the management. Please stay connected while I reconnect the management. Thank you. Ladies and gentlemen, we have the management line reconnected. Rajesh, if you could please repeat your question for the management.

Rajesh Ravi : Yes. So same question sir, in terms of clinker availability given that we are already operating at 93% utilization. And given if the industry grows at say, 7% odd and if we are targeting, say, 10% growth, how would that be achieved?

Arun Shukla: Yes. So, with -- even if we take, let's say, current product mix which we have, Rajesh, we'll go beyond 14 million ton, around 14.2 million ton with the same level of capacity utilization of clinker. If I improve blended cement ratio, which was 62% last year, if I take to 65% and 94% of clinker utilization to about around, let's say, 97%, 98%. And the clinker which we have sold last year, close to about 6 tons, 7 lakh tons, 7.5 lakh tons then we do have that enough capacity to grow at that rate. So, three, four things. One, improvement in blended ratio second.

Rajesh Ravi : Your voice is breaking again.

Arun Shukla: Sorry I think there is some. Am I audible?

Rajesh Ravi: Yes, you are audible but in between it start breaking up.

Arun Shukla: Yes. Sorry for that. So, these are the three things. Blended ratio further improving clinker utilization, 94% to, let's say, 97%, 98% and the clinker, which we have sold last year about 7.5 lakh tons that we don't. Then we are there. We are there. We have calculated and we are there to grow at that rate.

Rajesh Ravi : Yes. And lastly, if you could share just the Q4 clinker volumes?

Arun Shukla: Yes. Just Clinker production was 24.72 lakh tons.

Rajesh Kumar Ravi : No, clinker sale in this quarter?

Arun Shukla: 2.2 lakh tons.

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Rajesh Ravi : 2.2 lakh tons, okay. That's all from my end. I will come back in queue. Thank you. All the best.

Arun Shukla: Sir if you have any question, you can come back even after. Thank you so much.

Moderator: Thank you. We take the next question from the line of Pradeep Kumar from Mittal Consultant. Please go ahead.

Pradeep Kumar: Thank you

very much. My question is on the NECEM acquisition update after acquiring about 80% of the share off market. What is the latest status of the liability settlement? Has the

liabilities been settled and the promoters got paid?

Sudhir Bidkar : Can you repeat your question. I am not clear please. Your voice is very feeble.

Pradeep Kumar: My question is on the latest update on the NECEM acquisition in Northeast, where the transaction was supposed to be closed by the end of March, where 80% of the shares were acquired off market . What is the latest on the settlement of a NECEM liability and the payment to the promoter?

Sudhir Bidkar: Yes. You see this transaction was consummated at a total consideration, as we mentioned, of about INR19 crores and takeover of certain past liabilities. Now those past liabilities have been settled in the month of March at a figure of around INR12.5 crores. That is first part. Second, regarding out of INR19 crores, which was the consideration broken up into two, three parts. We have paid about INR1.5 crores towards the acquisition of shares. The other part, which is the non -compete fees of about INR10 crores gets paid after the entire transaction gets consummated. And additional about INR7.5 crores is required to be inducted as capital into the company, out of which we have done about INR3.5 crores. So, we are hopeful that this transaction will in entirety gets completed in this quarter only. But most important was the settlement of the liabilities which were taken over, that has been settled at INR12.5 crores in the month of March.

Pradeep Kumar: Thank you very much. That's it.

Moderator: Thank you. We take the next question from the line of Nilesh Sharma from Anantnath Skycon Private Limited . Please go ahead.

Nilesh Sharma: Thank you so much. I just wanted to understand what is the current operational capacity as of now? And for this financial year, how much capacity we can expect that will be operationalized?

Arun Shukla: We have current capacity of about 18 million tons, right. And last year, capacity utilization was 73%, okay. And as I said before, in the month of September, we added 1.35 million tons. So that is why the full year capacity last year was only 17.7 million tons. This is what the totals are.

Nilesh Sharma: Any capacity that we are going to add in this financial year as well?

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Arun Shukla: This financial year, no [inaudible 0:37:24] addition, and that is what earlier speaker asked about was growth. So, I explained him, to have focus that on improvement which we have in our hand. This year, we do not have any capacity.

Nilesh Sharma: Okay. And sir, how much EBITDA per ton we are expecting in this year considering all the effect of the war prices and all?

Arun Shukla: I think quite uncertain. I think maybe next quarter, I'll update you. Just give me another quarter because I think that depends on a lot of external environment, which is beyond our control. But definitely, I think we'll do better than industry in terms of all parameters that we are confident about.

Nilesh Sharma: Okay. And although you have given the answer that you are still targeting 30 million for 2030. Is it right or we are planning to increase this target or reduce it?

Arun Shukla: We are on course.

Nilesh Sharma: Thank you, sir.

Moderator: Thank you. We take the next question from the line of Akshay Shetty from Mirae Asset Sharekhan . Please go ahead.

Akshay Shetty: Good evening, sir. Thank you for taking my question. I wanted to know, given the elevated fuel cost and rupee depreciation, how do you see input cost trending over the coming quarters?

And what could be the impact on margins? Also, would the recent price hikes be sufficient to offset this cost pressure? And also additionally, what demand trends have you observed in April and May across your

key markets?

Arun Shukla: Yes. So, I'll just answer one by one because you combine 2, 3 questions together. So first, on cost part of it, just to let you know that we were dependent on imported coal and pet coke from outside in North part of India. East, I think we do have fuel, which is indigenous. So East, we do not have much of an impact, except in maybe your explosive cost, bag cost that has gone up.

But North part also, we have done quite a bit to, kind of, contain the cost increase by changing the fuel mix. So, we are kind of changing the proportion of pet coke versus coal in our Northern plant also. So that way, we are going to mitigate the cost increase to an extent, which is coming on account of imported coal and pet coke.

So that is one thing which we are doing. So even if that impact is going to be higher, we'll try to mitigate it to an extent by changing the fuel mix in our Northern plant, right. If you look at last quarter, we had this fuel cost of about 1.58 -- 1.54, right. So, I think this will definitely go

up despite our effort to kind of change the fuel mix. This is one of the mitigating measures we are taking just to preserve our margin to an extent.

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And second also, you asked about our core markets. So, I think overall, India, you see a growth of about estimated growth of 6%. Our markets are also going to grow in the similar line. Maybe I think geographical here and there, some percentage here and there would be there. But as I said before, we'll grow at a higher rate than industry, which is estimated to be growing at 6%, right.

So just to summarize you answers, one action is to mitigate the cost increase to an extent by changing the fuel mix. Second, of course, I think working on some of the levers to further mitigate that impact and typically on top line by, which I mentioned, blended cement, maybe trade percentage, working right product, right market, right price. So those things we are going to take. And on growth part of it, definitely, I think we'll grow similar line and even a shade better than industry.

Akshay Shetty: Yes. Thank you, that was very useful.

Arun Shukla: Thank you.

Moderator: Thank you. We take the next question from the line of Parth Bhavsar from Investec. Please go ahead.

Parth Bhavsar : I have a couple of questions on cost. So, sir, you guided for a INR 300 per ton sort of per ton number increase on energy cost and INR 80 per ton due to packaging. So, what sort of number will we see in Q1? Will the hit be entirely in Q1? And how much can we mitigate through our cost measures?

Arun Shukla: So, what I see maybe the INR 300 impact would come somewhere around quarter 2. But this quarter, definitely, I see somewhere around maybe INR100 to INR120 or INR 130 a ton.

Parth Bhavsar : Versus the INR 400 per ton that we are guiding, including packaging and energy, right?

Arun Shukla: Yes.

Parth Bhavsar : Okay. And sir, like how much like of this -- so again, like INR 120 per ton sort of a number, we are seeing a dent in Q1. So, to mitigate that, what sort of price increases has the market absorbed till now?

Arun Shukla: As I said before, non-trade prices have gone up in various markets. Trade prices are also inching up, but not to that extent. Once now demand I see is getting better. As I said that May beginning was a bit sluggish. I see a little better demand in latter part of May. And probably now since demand is improving, prices also will inch up even in trade segment also.

So, trade, non-trade prices also will go up. And I'm confident that we'll be able to kind of -- since demand will support, we'll be able to recover or pass on majority of the cost increase which we are going to have. This is what I kind of foresee as of today. But that depends on a lot of external factors, right, how demand behaves and how competitive intensity is. So t

hat

depends on a lot of things. But this is what my fair estimation is.

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Parth Bhavsar: And sir, what would be our blended mix in Q4 and for FY '26?

Arun Shukla: Yes. So blended was 62%.

Parth Bhavsar: Okay. And for '26.

Arun Shukla: 62%.

Parth Bhavsar: Okay. Perfect those are my question. Thank you so much.

Moderator Thank you. We take the next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: I have a couple of questions. Just wanted a curiosity or maybe a request. Sir, do you have any kind of a problem with me because I feel or maybe the organizer not allowing or maybe allowing at the end of the call to ask the questions. And if you wish that I do, not ask the question, I don't mind. So just wanted to...

Arun Shukla: No, no, sir. Sorry, sir, if you are getting that impression. Please, I think ask as many questions you want, and I will invite you to come to my office. All else, I'll come to you and meet you sir.

Shravan Shah: I would love to meet you, sir.

Arun Shukla: Yes, please do that. Let's meet as early as possible. I -- because I get a lot of insights from you. That really helps me.

Shravan Shah Yes. A couple of questions. Most of things has been covered. Just continuing the previous

participant's question. So broadly, to understand in Q1, if you see INR120, INR130 cost and maybe INR50, INR70, INR80, so maybe INR30, INR50 kind of -- and plus some operating deleverage. So maybe INR80 kind of EBITDA per ton reduction broadly at current level, that's the way one can look at?

Arun Shukla: So, Shravan ji, as I said, I think that depends on a lot of things. Maybe I think if demand supports, then I think we'll be able to recover full cost increase also. We are not too sure about it. Very difficult to really kind of give an estimation. But broadly, we think that, yes, we have not been able to, kind of, increase our prices to the extent cost has gone up. But if demand supports, then maybe I think we'll be able to recover also. So, we are not sure as of today. But what we are focused as of now at JK Lakshmi Cement is to work on all those things which we have control over and which I said a couple of things which we are working on.

Like to mitigate the cost, Shravan, we are working on fuel mix in our North plant, right. We are working on further improving our renewable energy and improving TSR and all those low - cost fuel. So those actions we have already started taking. So, our focus is to really work on all those things which we can control. And let's see if things go all right, then maybe I think we'll be even better.

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Shravan Shah: Got it. Got it. Sir, a couple of data points, non -cement margin would be for fourth quarter would be how much 4 -odd percent?

Arun Shukla: 4%. You are right. You are absolutely right.

Shravan Shah: And AAC block revenue would be INR58 crores, INR60 -odd crores for this quarter?

Arun Shukla: Shravan, you are absolutely on the dot INR59 crores.

Shravan Shah: Sir, just wanted to know this Durg INR3,000 crores capex that the total we have, out of that, how much we have already have done by FY '26 by March and how much already spent?

Sudhir Bidkar: We have done about close to about INR500 crores.

Shravan Shah Okay. INR500 crores is done. And roughly, if you look at...

Sudhir Bidkar: Including the railway siding.

Shravan Shah Yes, yes. So roughly now if we look at, obviously, we will still be finalizing in terms of the capacity for the Assam. So roughly, if I have to look at INR500 crores and for maybe by FY '29, now we are saying FY '30, obviously, the Nagaur will depend. But broadly, if I leave apart the Nagaur, how much we need to spend by FY '29, broader number, I just wanted to understand.

Sudhir Bidkar: Yes. As I mentioned i

n response to earlier question, FY '27, we are seeing about INR1,500 crores to INR1,700 crores of capex and then INR2,000 crores at least in FY '28 and maybe INR1,000 crores to INR1,500 crores in the FY '29.

Shravan Shah : Okay. Got it. And sir, just one thing, intangible asset s, which was INR329 -odd crores in FY 25 and September and now it is just INR 5-odd crores. So, any accounting adjustment or ?

Sudhir Bidkar : Which asset you're talking of?

Shravan Shah : In balance sheet, intangible assets that we have, so that was , in consol balance sheet, it was INR329-odd crores was there, which is now is just a INR 5-odd crores. So just wanted to know.

Sudhir Bidkar : Because you would have read in our note, we have , in the consol results, we have derecognized the mining rights because of the cancellation of the.

Shravan Shah : Okay. Okay.

Sudhir Bidkar : INR325 crores gets knocked off. That's how INR329 crores goes down to INR 5 crores, right? That is appearing in the note.

Shravan Shah : Yes. Got it. And lastly, sir, 2 data points. The CC ratio for fourth quarter and power cost would be the similar 5.37 per kilowatt for fourth quarter?

Arun Shukla : Yes. CC ratio, Shravan, is 1.44. And what is the next question?

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Shravan Shah : Power cost for fourth quarter, 5.37 was in third quarter?

Arun Shukla : 5.79.

Shravan Shah : 5.79. Okay got it , sir thank you and all the best.

Arun Shukla : Thank you Shravan. Thank you so much.

Moderator: Thank you. We take the last question from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi : Hello am I audible?

Arun Shukla : Yes, yes. Yes Rajesh.

Rajesh Ravi: Yes. I think you mentioned for the Durg project, INR3,000 crores till FY 26 end, we have incurred INR 500 crores. Is this understanding, correct?

Sudhir Bidkar : Yes, yes.

Rajesh Ravi : Okay. And sir, how do you , if I just look at the Durg project capex , for next 2 years, how would that be phased out in terms of capex outgo?

Sudhir Bidkar : Total, as I mentioned, including the land acquisition and also the Northeast project together, we have talked of 15 to 17 in response to earlier question and 2,000 in FY 28.

Rajesh Ravi : I just wanted to understand, even if you want to delay the Northeast project and prioritize the Durg project. So, in that way , in that case, how would the capex number would look like?

Sudhir Bidkar : We will not delay.

Rajesh Ravi : We will not be delaying. And sir, the Sirohi TSR project, by when is that expected?

Arun Shukla : TSR, I think Phase 1 is over. Phase 2, we have not yet taken up because the availability of alternate fuel is not that great around that plant. Yes. So right now, I think we just have Phase 1, we have completed. Phase 2 also, we are contemplating, but we have not yet finalized.

Rajesh Ravi : Okay. And the railway siding Durg second phase , is that work going on, on that?

Arun Shukla : I think we are dependent on a lot of other agencies like we have to put up one flyover and that passes through one PWD road. So that we have to really kind of get it done through them only.

So, there is delay from their end. And another one is strengthening this existing track, which again with the Steel Authority of India Limited. So, once they are kind of ready, then I think that will get done. But nevertheless, I think our operation is going on full swing. There is no issue on that. So, once they are kind of ready with all those things, then we do that. So, there is no delay from our end.

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Rajesh Ravi : Understood. And sir, this non -cement revenues, there were earlier targets of growing this at 20%, 30% CAGR. But last 2 years, we are seeing around 10% revenue CAGR. So, any thought on that, why we are not aggressive in this segment, the non -cement revenues?

A

run Shukla : Non-cement revenue you're talking, Rajesh?

Rajesh Ravi : Yes, non -cement revenue, sir.

Arun Shukla : I think we are going as per plan. And yes, I think ready -mix plant, which we wanted to set up, I think we are a little behind our projection. But in AAC block area, I think we are kind of as per the plan, we are growing. In other products like clustering solution, tile adhesive, we are growing well, I think, and high margin. And though I think revenue -wise, you will not find that much, but I think that gives a decent margin. So there, I think we are as per plan only.

Ready -mix has not grown as per the plan. And the reason was also because we want to grow in the area where we have our cement footprint. And the fact ready -mix, you have got margins also on lower side. So, we focus on other than RMC so that we get better margin, though I think revenue -wise, we are a little lower. So that was a very conscious and deliberate call.

Rajesh Ravi : Understood. And sir, lastly, when you talked about the quarterly Q1 outlook, and you said that April was good, May started off on a weak note. So overall for the quarter, what sort of growth you're looking at sub 5% given that the market has been subdued. And the cost pressure, you're looking at close to INR 150 in Q1, Q-on-Q and around INR50 to INR 70 cost pass -through has happened. Is this understanding, correct?

Arun Shukla: So, growth -wise, Rajesh, I think , though I think , May initial was a little sluggish. But overall, I think April, June is going to be better and will grow in alignment with the projections. So, I don't see it's going to be an issue in terms of growth, right. INR120, INR130 a ton. So that impact will come in this quarter. But next quarter, I think impact is going to be even bigger. And the whole idea is if demand picks up, then perhaps . I think we'll try to recover this from the market.

And I suppose that now demand is a little looking up going forward. But I think you do have other challenges also because of petrol and diesel hike. That is another element which is coming into force. And that is going to impact our logistics cost, because in the last maybe a week or so, you have already seen that about INR4 per litre increase, right.

And that to about, let's say, INR15 to INR16 a ton, if you really. So, I think let's see, let's wait for some time because cost and the other external scenario is so volatile, it's very difficult to really kind of calculate as to what is going to happen and how much we will be able to pass on.

Rajesh Ravi : No, I just want to be checking these 2 months, April, May, have you been able to effectively pass on the cost increases or that have been suboptimal?

Arun Shukla: April, I think thanks to our inventory also, at least we have been able to do that in April.

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Rajesh Ravi : Understood sir. That's all from my end. All the best sir. Thank you.

Arun Shukla: Thank you so much.

Moderator: With that, we conclude the question -and-answer session. I now hand the conference over to Vaibhav Agarwal from PhillipCapital (India) Private Limited for closing comments.

Vaibhav Agarwal: Sir, just a couple of quick questions. One thing you said on the call, INR120 unpassed of inflation expected in Q1. So, you are unadjusted it for the price increase, if any, right? I just want to reconfirm that. You said INR120 would be the expected cost inflation in Q1. That's what you indicated in terms of the cost inflation for the current quarter.

So, you are not adjusting this for any price increase, which potentially could be passed on or which has already been passed on, which has rolled back. So, it is only purely the cost inflation, right? INR120 is purely the cost inflation number you're saying?

Arun Shukla: Cost inflation, purely cost inflation, I see.

Vaibhav Agarwal: And sir....

Arun Shukla: Yes. Go ah

ead.

Vaibhav Agarwal: No, please continue sir.

Arun Shukla: No, no, I'm through. I think.

Vaibhav Agarwal: Okay. And second question, sir, was that we recently got to know that you have now partnered with some manufacturers for iron rods, etcetera. So JK Lakshmi steel rods, etcetera, also rods have also been like sold in the market.

So, what's the management broad thought process? Are you going to get into multiple building material products like starting with maybe furthermore, anything more in the ambit and what is the management thought process of getting into newer product lines? And what is the kind of income which you are expecting from all these businesses?

Arun Shukla: Vaibhav, I think first, I think I need to correct you. we are not at all going into iron ore area, right?

Vaibhav Agarwal: No, no, the steel rods, what I'm saying.

Arun Shukla: But I think we are piloting it because if you really look at distribution network of all those products like TMT and all, that has quite a synergy with cement channel network. The idea was can we leverage our brand strength. We are not at all going into manufacturing. We are not at all going into distribution. We just wanted to just pilot it, if at all, we can leverage that brand strength, which we have in different markets. That is at a very, I would say, a nascent stage, a very initial stage. So, I'll not be able to comment on quantum of...

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Vaibhav Agarwal: Broader management thought process also to get into more products in the future? Or this is only after the testing of this product only, we will take a final call as to what needs to be done?

Arun Shukla: Definitely, our effort or our thought or the strategy is to go to adjacent building material for sure, because that -- we want to give our customers portfolio of products. So, we definitely want to go into adjacent building material.

And you see that tile adhesives, plastering solution, which we give and then AC block, RMC, I think all the adjacent product only, which is being used in building materials. So definitely, I think our -- not only you do have a number of other products also, which we may explore in the future. But yes, strategy -wise, we do have that thought.

Vaibhav Agarwal: Right. So that's what I wanted to -- I did not manufacturing, sir, I just meant you have tied up with some manufacturers and you are just lending them your brand and charging a royalty in terms of brand fees or that's what I was commenting. That's all from my end.

On behalf of PhillipCapital (India) Private Limited, I thank the management of JK Lakshmi for the call and also many thanks to the participants for joining the call. Thank you very much, sir.

Ryan, you may now conclude the call. Thank you.

Arun Shukla: Thank you.

Moderator: On behalf of PhillipCapital (India) Private Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.